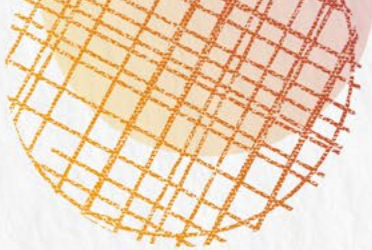


2024

Vanguard International Semiconductor Corporation

Sustainability Report

Contents

Letter from the Chairman

Innovation. Sustainability. Thirty Years — VIS' Journey of Shared Prosperity

The year 2024 was filled with challenges and uncertainties. Geopolitical tensions persist, with the Russia-Ukraine war, the Israel-Palestine conflict, and strained U.S.-China relations impacting supply chain stability and energy security. At the same time, global economic growth has slowed, with high interest rates and inflationary pressures showing little sign of easing, dampening consumer and investment sentiment. In the semiconductor industry, although the global sector is gradually emerging from inventory adjustments and entering a phase of moderate recovery, it continues to face multifaceted challenges brought by political, economic, and technological shifts. Amid these changes, VIS demonstrated a strong capacity to adapt — enhancing risk management, driving technological innovation, and deepening sustainable governance to comprehensively strengthen operational resilience and corporate competitiveness.

In terms of corporate governance, VIS continued to enhance the structure and governance mechanisms of its Board of Directors in 2024. We achieved our goal of appointing an additional female director and increased the number of independent directors from four to five, further improving the Board's diversity and supervisory functions. In the same year, we also established the "Internal Control System for Sustainable Information Management" to strengthen internal controls related to sustainability disclosures. In alignment with international sustainability disclosure trends, we began implementing IFRS Sustainability Disclosure Standards S1 "General Requirements for Disclosure of Sustainability-related Financial Information" and S2 "Climate-related Disclosures," with ongoing monitoring of implementation progress. Additionally, we issued new restricted employee shares to safeguard employee rights and enhance talent retention in 2024. To further strengthen our corporate governance framework and concretely advance our sustainability vision, we proactively evaluated the establishment of a functional committee — the Sustainable Development Committee — under the Board of Directors, and successfully completed its formation in 2025.

In the area of environmental sustainability, VIS continues to refine green manufacturing technologies and implement measures for energy conservation, water efficiency,

carbon reduction, and waste minimization, steadily progressing toward our 2050 net-zero emissions goal. In 2024, guided by the principles of resource circularity and environmental symbiosis, the Company released the "Sustainable Raw Materials Policy," committing to minimizing the sustainability impact of raw materials, increasing the use of recycled materials, and optimizing their utilization and efficiency to ensure a positive contribution to sustainable development. That same year, VIS launched the research project "Enhancing Soil Carbon Sinks through Resource Recycling" in collaboration with National Taiwan University. In the first quarter of 2025, the project was successfully implemented in the Qianjia Air Quality Purification Zone in Hsinchu, where on-site carbon sequestration experiments were conducted. Regarding biodiversity within fab sites, four species currently under rehabilitation at Fab 1 — Bamboo Orchid (nationally critically endangered, NCR), Shower of Gold Climber (nationally endangered, NEN), Wulai Azalea (extinct in the wild, EW), and Matsu Oil Chrysanthemum (native plant) — are currently growing well, demonstrating initial success in restoration efforts. We plan to expand these efforts based on this successful experience.

In building a friendly workplace, we adhere to our "Human Rights Policy": providing employees with a safe, healthy, challenging, and enjoyable work environment and training opportunities. In addition to promoting a culture of internal knowledge sharing, VIS is committed to fostering a diverse, open, and highly trusting communication environment to foster workplace diversity and inclusion. In 2024, under the initiative of the employee resource group Women V, we implemented several workplace-friendly measures, including the inaugural VIS Junior Engineer Camp, which allowed employees' children to experience their parents' work and tour the workplace, fostering parent-child interaction and a sense of connection. The camp also offered environmental education and science courses to inspire sustainability awareness and introduce the semiconductor industry. VIS also officially introduced a flexible working hours system to help employees better balance work and family life. We will continue to implement concrete actions to promote workplace diversity by creating a supportive environment and comprehensive support systems, enabling employees to work without concerns, realize their potential, and positively impact both themselves and the Company.

In terms of social engagement, VIS remains committed to five key areas of public welfare: Care for Disadvantaged Groups, Care for Elderly Citizens Living Alone, Diverse Empowerment, Sustainability Initiatives, and Environmental Conservation. In 2024, the Company held its year-end charity donation campaign for the tenth consecutive year, raising over NT$35 million in total, which benefited 20 charitable organizations and remote communities, with nearly 30,000 participants. We also continue to focus on "empowerment for the disadvantaged, educational sessions on the semiconductor industry, and bridging the gap between learning and application", aiming to broaden students' horizons and expand the talent pipeline. In 2024, VIS partnered for the second year with IC Broadcasting to promote the "Learning-Application Link" project. Aligned with the United Nations Sustainable Development Goals (SDGs), the project produced interview videos encouraging high school students to reflect on career planning and prepare for their futures, reaching over 140,000 people. Additionally, VIS collaborated with National Yang Ming Chiao Tung University and the Taoyuan City Government to promote the "University/High-school Collaboration On Online-learning (UHCOOL)" program. The digital curriculum "Introduction of Semiconductor Principles and Manufactures" was officially introduced into high schools, opening a new gateway for students to explore the semiconductor field.

In 2024, VIS actively advanced ESG initiatives and continued to receive recognition through numerous domestic and international awards and indices. These include being selected for the Dow Jones Sustainability World Index (DJSI) for the fourth consecutive year and the Emerging Markets Index for the third consecutive year; inclusion in the MSCI Global Standard Index for twelve consecutive years; the FTSE4Good Index for nine consecutive years; and ranking in the top 5% of the Corporate Governance Evaluation by the Taiwan Stock Exchange and Taipei Exchange for eleven consecutive years. The Company also received an A rating in the CDP Climate Change Questionnaire and an A- rating in the Water Security Questionnaire, both considered industry-leading scores. Furthermore, VIS was once again honored with the TCSA Taiwan Corporate Sustainability Awards, including "Taiwan's Top 100 Sustainable Companies Award," "Gender Equality Leadership Award," "Talent Development Leadership Award," and "Workplace Wellbeing Leadership Award." Other accolades include the HR Asia Best Companies to Work for in Asia Award, the Silver Award in the National Enterprise Environmental Protection Awards by the Ministry of Environment, and a twA+/twA-1 credit rating with a stable outlook from Taiwan Ratings.

The year 2024 marks the 30th anniversary of VIS. Looking back over the past three decades, we have remained true to our core business values, steadily navigating a rapidly changing world. Looking ahead, we will continue to leverage the semiconductor industry's core influence and enhance corporate resilience and competitiveness through the practice of ESG principles. In addition to deepening our core business, we will join hands with upstream and downstream partners to expand the scope of sustainable action. Thirty years makes not only a milestone, but also a new beginning. VIS will move forward with even greater determination to become a driving force for industrial advancement and social progress, creating a better future for the next generation.

Chairman, Leuh Fang

Sustainability Focus

Enhancing Soil Carbon Sinks through Resource Recycling: The Joint VIS and NTU Research Project

Enters a Critical Phase with Field Carbon Sequestration Experiments at the Qianjia Air Quality Purification Zone

Climate change remains a pressing global challenge, and Vanguard International Semiconductor Corporation (VIS) is addressing it through innovative technology and concrete actions. In March 2025, VIS and National Taiwan University (NTU) officially launched the field verification phase of their joint research project, "Enhancing Soil Carbon Sinks through Resource Recycling." Field experiments are now underway at the Qianjia Air Quality Purification Zone in Hsinchu City, a site that has been long supported by VIS. This milestone represents a critical step in transitioning promising biological carbon sequestration technologies from the lab to real-world natural environments.

Launched in 2023, the three-year Phase I research initiative between VIS and NTU has focused on developing methods to enhance soil carbon sinks using recycled resources. The research involves the establishment of lab scale pilot experiments with compost and carbon dioxide nanobubbles irrigation. These experiments have demonstrated that CO_2 nanobubbles irrigation, in combination with food waste compost and biochar, can effectively conserve and enhance soil organic carbon. The research has also identified optimal microbial growth conditions - including the ideal ratios of biochar, food waste compost, and CO_2 nanobubbles – and confirmed that these components work in synergy to promote plant growth and increase carbon retention in soils.

Throughout 2025, the team has continued to optimize microbial residues accumulation and their long-term stability in soils. Current efforts focus on scaling these findings through field testing at the Qianjia Air Quality Purification Zone. This phase assesses the practicality and effectiveness of the technology under natural environmental conditions. The research team is also actively monitoring soil health and plant performance to ensure ecological sustainability and compatibility with local climate and soil characteristics.

The "Enhancing Soil Carbon Sinks through Resource Recycling" project aims to generate lasting environmental benefits to the Qianjia Air Quality Purification Zone. By improving soil health, supporting ecosystem stability, and contributing climate change mitigation, this effort strengthens the foundation for broader applications of soil-based carbon sequestration technologies. Looking ahead, the project will explore the feasibility of extending these solutions to urban green spaces, agricultural lands, and other subtropical climate zones. It may also play a role in supporting corporate carbon neutrality strategies.

VIS remains committed to its ESG mission and will continue working with NTU to advance negative emissions technologies based on rigorous scientific validation. Together, the partners aim to foster scalable, nature-based solutions that help build a more sustainable future.

Note: Qianjia Air Quality Purification Zone in Hsinchu City covers an area of 3.81 hectares. VIS initiated a sponsorship project in 2018 and successfully greened the previously baren public land. Currently, the purification zone contains 250 trees and extensive green spaces, which naturally remove five tons of carbon dioxide and one ton of particulate matter annually, thereby contributing to air purification. VIS has received the "Excellent Air Quality Purification Zone Adoption Enterprise" award from the Ministry of Environment for five consecutive years in recognition of its excellent results in sponsoring Qianjia Air Quality Purification Zone.

Sustainability Focus

VIS Establishes 'Training Development Team Section' to Lay a Solid Semiconductor Professional Foundation for New Engineers

Focusing on Three Aspects: Hands-on Training, Workplace Integration, and Communication & Care, to Enhance the Competitiveness of Industry Talent

Talent cultivation is a crucial cornerstone for VIS' growth. In the first quarter of 2023, the Company's Operation & Environment Safety Department established the Training Development Team Section (TDT), kicked off the first training session, and planned around the three key aspects of hands-on training, workplace integration, and communication and care. In 2024, two batches of training were completed, covering a total of 283 new engineers. The program received a high satisfaction score of 4.8 out of 5. Adhering to the spirit of knowledge transfer, the colleagues serve as instructors at Training Development Team Section. Over a hundred professional instructors have been trained by participating in courses on affinity, team formation, general education development, and professional learning, enhancing the competitiveness of industry talent.

Training Development Team Section conducts 12-week hands-on training courses to help new engineers systematically master semiconductor professional knowledge and skills, including foundational and advanced courses in various areas, practical component operations, and learning by working in departments. This effectively imparts the knowledge, skills, and attitudes required for the job. Concurrently, core competency training aids new employees in quickly integrating into the team, establishing efficient communication and creating a friendly workplace for continuous growth and development. The training results are significant, drastically reducing the ramp-up time for new engineers. The period for an engineer to manage duties independently has been shortened from 12 months to 9 months, allowing them to start earlier by 3 months, which effectively boosts organizational efficiency.

The second training batch at the Training Development Team Section officially commenced in the second quarter of 2024. Based on feedback from the first batch, materials and courses have been optimized, planning 23 professional programs across 396 classes, with 182 instructors joining the training courses to effectively pass on knowledge and experience. A total of 112 new engineers have successfully completed their training this year.

Additionally, the second batch has further deepened workplace integration, and communication & care by establishing the "iCourse" online system, which features workplace integration/new employee care options. Through "Daily Questions," "Talk with the Mentor," "1 on 1 with the Supervisor," and "Quarterly Surveys," comprehensive care is provided to new engineers, enabling mentors and supervisors to immediately grasp learning and adaptation status, ensuring that new employee care is effectively implemented, and issues are resolved, gradually inspiring passion and a sense of achievement at work.

Employee development remains a key factor in VIS' continuous growth. The Company will continue to invest resources in discovering employees' potential, cultivating professional talents in the industry, establishing friendly communication workplaces, improving work efficiency, assisting in the overall team growth and development, and further strengthening the sustainable competitiveness of the semiconductor industry.

Sustainability Focus

VIS' Year-end Charity Donation Campaign Achieves a Decade of Success

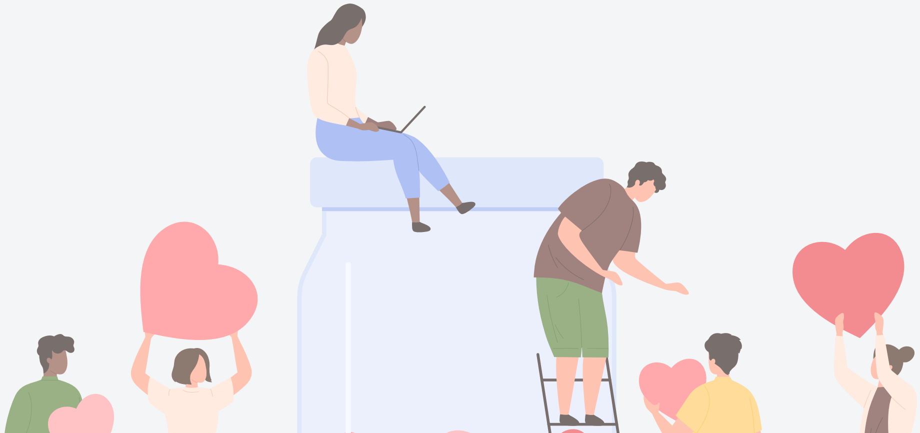
Spreading the Seeds of Love Through Action to Push Society Towards an Ideal Future

In its Year-end Charity Donation Campaign, VIS not only consistently supports the "Spending the New Year with the Elderly" project of the Huashan Social Welfare Foundation, Eden Social Welfare Foundation, and Old Five Old Foundation, but also selects an annual theme to rally employees to actively assist charitable organizations in need. For 2024, under the theme "Overcome High Walls, Open the Door to the World," VIS expanded its support for projects empowering the disadvantaged, raising funds for MUVE NPO, Taiwan Proactive Early Intervention Association, and Maria Social Welfare Foundation. This aims to help individuals with disabilities and children with developmental delays overcome their challenges and embrace hope and the future. The campaign raised NT$4.6 million, setting a new record for employee donations over the past decade.

In January 2025, VIS held a Year-end Charity Banquet, hosting service recipients from the Huashan Social Welfare Foundation, Eden Social Welfare Foundation, Old Five Old Foundation, and nearly 300 senior citizens from Baoshan Village and Kehu District. Together with company volunteers, they enjoyed singing and fine cuisine. On that day, Chairman Leuh Fang, on behalf of the colleagues, presented donation checks to six charitable organizations: Huashan Social Welfare Foundation, Eden Social Welfare Foundation, Old Five Old Foundation, MUVE NPO, Taiwan Proactive Early Intervention Association, and Maria Social Welfare Foundation. The collected funds will be used for designated projects in 2025.

The 2023 Year-end Charity Donation Campaign, which supported the Taiwan Foundation for the Blind, Blue Sky House, and LoHas Children's Home, also brought good news. In 2024, these three organizations used the funds raised to achieve significant results in projects empowering the disadvantaged. The Taiwan Foundation for the Blind provided over 467 hours of digital learning courses for the visually impaired and purchased eight low vision aiding devices to help those with low vision learn to use them. Blue Sky House enhanced the fundamental academic abilities of children through bi-weekly tutoring sessions, resulting in 70% of students improving their English and Math scores by 25% in their final exams with the help of academic tutoring. LoHas Children's Home introduced external instructors and offered 26 career courses through board games and card activities to help children explore their personal traits, understand important elements of career planning, and experience professions such as auto repair, baking, and aesthetic styling firsthand.

To practice the precepts of the common good, VIS has held an annual Year-end Charity Donation Campaign for ten consecutive years since 2015, raising a total amount of over NT$35 million. These funds have been used to support 20 charitable organizations and remote communities, with nearly 30,000 participants cumulatively. For four consecutive years, projects empowering the disadvantaged have been selected as the annual theme in response to the United Nations Sustainability Goal (SDG) 4: "Eliminate gender disparities in education and ensure equal access to all levels of education and vocational training for the vulnerable, including persons with disabilities, indigenous peoples, and children in vulnerable situations." In the future, VIS will continue to sow the seeds of love through action, promoting society towards an ideal future!



Achievements

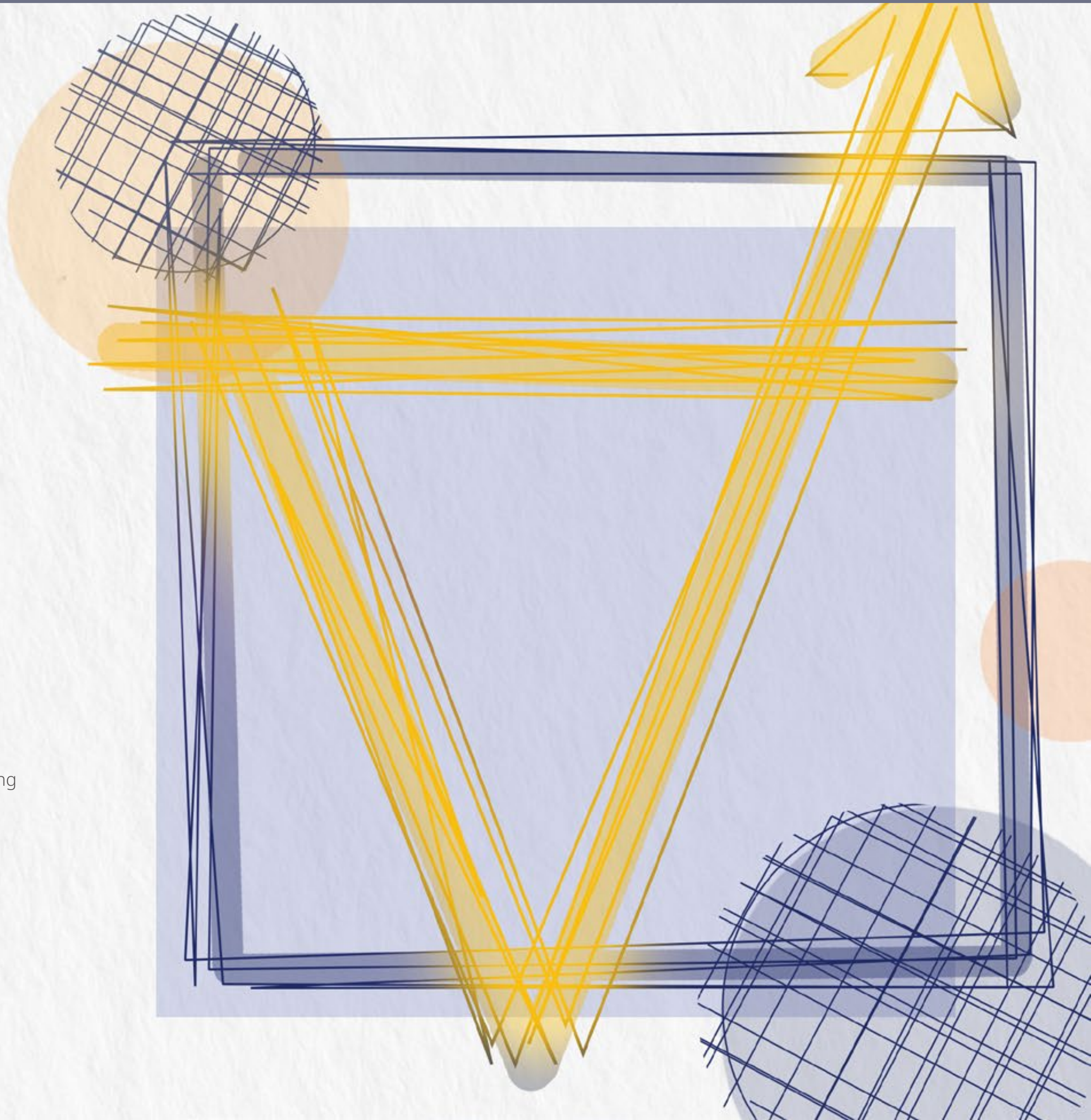
For more information, please refer to the Certification section on the VIS website.

Awards

- A constituent of Morgan Stanley Capital International (MSCI) Global Standard Index (for 12 consecutive years)
- A constituent of FTSE Group's FTSE4Good Index Taiwan ESG Index (for 9 consecutive years)
- A constituent of S&P Global Dow Jones Sustainability Index (DJSI) – World Index (for 4 consecutive years)
- A constituent of S&P Global DJSI – Emerging Markets Index (for 3 consecutive years)
- Carbon Disclosure Project (CDP) Climate Change Questionnaire: Grade A
- Carbon Disclosure Project (CDP) Water Security Questionnaire: Grade A-
- HR Asia "Best Companies to Work for in Asia" Award
- Global Corporate Sustainability Reports Awards (GCSA) "GCSA for Sustainability Reporting": Silver Level
- Ranked among the top 5% of "non-categorized TPEx listed companies in the Corporate Governance Evaluation" (for 11 consecutive years)
- CommonWealth Magazine's "Corporate Social Responsibility Award": Ranked 12th in the large manufacturing enterprise
- CommonWealth Magazine's "Talent Sustainability Award" in the large manufacturing enterprise
- TCSA "Taiwan Corporate Sustainability Reports Awards": Taiwan's Top 100 Sustainable Companies Award
- TCSA "Taiwan Corporate Sustainability Reports Awards": Platinum Award for Electronic Information Products Manufacturing (Category 1)
- TCSA "Taiwan Corporate Sustainability Awards - Outstanding Performance in Sustainable Practices": Gender Equality Leadership Award, Talent Development Leadership Award, Workplace Wellbeing Leadership Award
- Womany Media "Diversity for Better Tomorrow Award": Silver Award
- Ministry of Labor "Disclosure of occupational health and safety performance indicators in a Corporate Sustainability Report": Top 10% Outstanding Enterprises
- Ministry of Health and Welfare "Performance Health Workplace Award": Outstanding Healthy Workplace- Health Care Award (Fab 3)
- Ministry of Environment "National Enterprise Environmental Protection Award": Silver Award (Fab 1)
- Ministry of Environment "Excellent Air Quality Purification Area" (for 6 consecutive years)
- Hsinchu Science Park Bureau "Outstanding Business Unit Promoting Workplace Equal Rights": Excellence Award
- Corporate Synergy Development Center "Taiwan Continuous Improvement Awards (TCIA)": Silver Tower Award & Bronze Tower Award

Certification

- CNS 45001 Taiwan Occupational Safety and Health Management System Certification
- Enhanced Band Strategic Trade Scheme Certification
- IATF 16949 Quality Management System Certification
- ISO 14001 Environmental Management System Certification
- ISO 14046 Product Water Footprint Verification
- ISO 14051 Material Flow Cost Accounting (MFCA) Verification
- ISO 14064-1 Greenhouse Gas Inventory Verification
- ISO 14067 Product Carbon Footprint Verification
- ISO 26262 Road Vehicles - Functional Safety Certification
- ISO 27001:2022 Information Security Management System
- ISO 31000:2018 Risk management
- ISO 45001 Occupational Safety and Health Management System Certification
- ISO 46001 Water Efficiency Management System
- ISO 50001 Energy Management System Certification
- ISO 9001 Quality Management System Certification
- Sony Green Partner
- Authorized Economic Operator (AEO)
- Statement of COC Conformity



About VIS

As a leading specialty IC foundry service provider, Vanguard International Semiconductor Corporation (VIS) adheres to our customer-oriented business philosophy while firmly moving forward on the path of fulfilling corporate social responsibility.

$44.05 billion

Annual consolidated revenue reached NT$44.05 billion

$4.16

Earnings per share were NT$4.16

12.8%

Return on equity was 12.8%

1.1 Company Profile

As a leading specialty IC foundry service provider, Vanguard International Semiconductor Corporation (VIS) adheres to a customer-oriented business philosophy and is committed to providing customers with the most competitive and comprehensive solutions along with high value-added services. While taking into account shareholders' rights and interests, we also work together and grow together with our stakeholders including employees and suppliers as well as communities and society. VIS adheres to sustainable missions of implementing corporate governance, promoting environmental sustainability, establishing a friendly workplace, and contributing to social engagement.

We co-prosper with society and environment. The VIS headquarters are located in Hsinchu Science Park, Taiwan. We currently have five 8-inch wafer fabs: four in Taiwan and one in Singapore. In 2024, the number of employees was over 6,500. In addition to our headquarters in Taiwan, VIS has also established sales and service offices in major IC locations around the world providing the best support services for customers around the world.

In 2024, VIS achieved an annual capacity of approximately 3.387 million 8-inch wafers, with a shipment volume of 2.194 million 8-inch wafers, indicating a capacity utilization rate of 63%. The total capital expenditure for the year amounted to approximately NT$6.74 billion.

To achieve stable growth, meet customers' mid-to-long-term capacity needs, and further diversify manufacturing capabilities, VIS officially announced the establishment of VisionPower Semiconductor Manufacturing Company (VSMC) in 2024, a joint venture with NXP Semiconductors N.V. in Singapore. This venture is set to build a 12-inch (300mm) fab, with groundbreaking completed in the second half of 2024 and mass production slated for 2027.

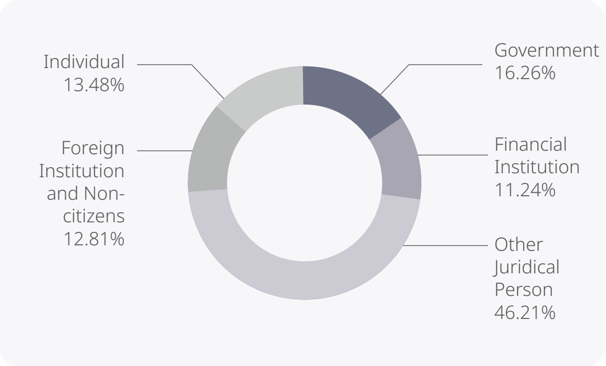
By leveraging its global deployment of 8-inch and 12-inch wafer fabrication capacities, advancements in process technologies, intelligent manufacturing applications, and long-term development strategies, VIS will continue to deepen its core business, diversify its product portfolio, and strengthen semiconductor product lines, including power management, discrete components, gallium nitride (GaN), and silicon carbide (SiC). At the same time, the Company remains focused on specialized IC fields, such as display driver ICs, embedded memory, and MEMS sensors, to deliver greater value to customers and shareholders.

The year 2024 marked the 30th anniversary of VIS' founding. As it enters the fourth decade, the Company will continue to meet customers' needs for capacity and technology, while upholding the core corporate values of "integrity, customer orientation, value orientation, and commitment." VIS will drive operational development and implement corporate sustainability to maintain our leading position in the specialty IC foundry service sector.

Shareholder Structure

VIS was established in 1994 by Taiwan Semiconductor Manufacturing Company (TSMC), and 13 other companies. It was publicly listed in March 1998. The main shareholders include TSMC, the Executive Yuan's National Development Fund, and other juridical entities.

Shareholder Structure and Shareholder Structure



Reference date: October 28, 2024

Net Revenue (Disaggregation by Region)

Unit: NT$ thousand

Region	Net Revenue
Asia	36,525,708
America	6,367,062
Europe	1,161,992

Net Revenue (Disaggregation by Process Platform)

Unit: NT$ thousand

Product Platform		Net Revenue
Wafer Revenue :	Power Management	27,710,418
	Large Display Driver IC	8,789,707
	Small Display Driver IC	3,702,698
	Other Platforms	1,500,459
Subtotal - Wafer Revenue		41,703,282
Others		2,351,480

The groundbreaking ceremony of the VisionPower Semiconductor Manufacturing Company (VSMC) joint venture.

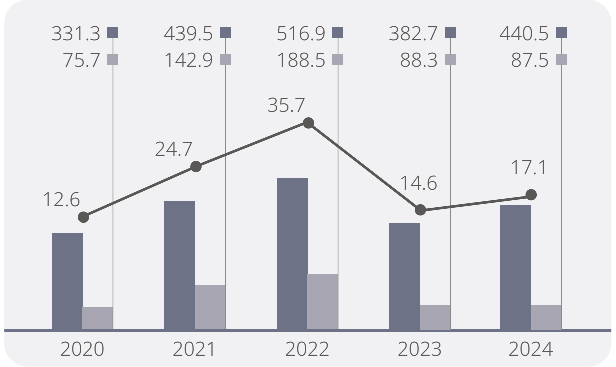
1.2 Financial Performance

VIS responsibly fulfills our obligations and is committed to enhancing overall operational performance, with the implementation of corporate sustainability as our core mission. A sound fund management strategy, a steady production capacity expansion plan, and good financial performance have generated long-term and stable economic value for VIS, laying a solid financial foundation. VIS continues to deepen our long-term partnership with customers, while safeguarding shareholders' interests, to create value for all stakeholders.

In 2024, as the global semiconductor industry approached the end of inventory adjustments and end-market demand gradually recovered, artificial intelligence (AI) continued to thrive, and key technological advancements drove growth, signaling a trend of gradual market recovery. However, the economy is still experiencing the impact of overall economic uncertainties. In 2024, VIS' consolidated revenue reached NT$44.06 billion, marking a 15% increase from the previous year. Net income was NT$7.05 billion, a 4% year-on-year (YoY) decrease, with earnings per share (EPS) declining 6% YoY to NT$4.16. The gross margin declined from 27.3% in the previous year to 27.1%, while the return on equity (ROE) was approximately 12.8%. Facing challenges, VIS leveraged our operational resilience and strong industrial competitiveness to prudently manage inventory adjustments in the semiconductor sector throughout the year, thereby sustaining profitability. VIS' contribution to national tax revenues amounted to NT$1.77 billion.

VIS is committed to the transparency of financial information. In addition to regularly disclosing our latest financial report, we have also carried out in-depth communication with investors to demonstrate VIS' corporate values through clear and quantifiable financial performance goals. Additionally, due to factors including the rapid growth of personal computers and 5G smartphones, the increasing penetration rate of the Internet of Things, rising demand for artificial intelligence (AI), cloud computing, industrial automation, and data analysis, and the expanding market for electric vehicle and power semiconductor wafers, the medium and long-term market demand for 8-inch wafers as a whole still shows a trend for demand exceeding supply. To address medium and long-term market and customer needs, in 2024, VIS and NXP jointly established a 12-inch wafer fab in Singapore. With future capacity expansion, we aim to grow alongside our customers and create more value.

Income Before Income Tax and Income Tax



■ Operating Income
■ Income Before Income Tax
● Income Tax

Unit: NT$ hundred million

Sustainability goals

Goals 2025	Goals 2030	Long-term goals: Strategy to achieve
• Long-term average return on equity: ≧ 20% • Compound annual growth rate of operating revenue: Between 2% to 4% over the last five years	• Long-term average return on equity: ≧ 20% • Compound annual growth rate of operating revenue: Between 5% to 15% over the last five years	• Link financial goals with performance indicators of each unit, assess potential risks to formulate countermeasures, and regularly review and adjust action plans and dynamically modify financial goals based on market changes and actual implementation

Consolidated Financial Information from the Past Three Years

Unit: NT$ million

Item	Basic Elements	2022	2023	2024
Generated Direct Economic Value (A)	Revenues Note 1	52,739	41,332	45,696
Allocated Economic Value (B)	Operating costs Note 2	19,281	21,560	25,003
	Employee salaries and benefits Note 3	14,536	10,867	11,862
	Payments to investors Note 4	7,375	7,375	7,375
	Payments to the government Note 5	3,631	1,525	1,772
	Community Investment Note 6	11	7	11
Retained Economic Value (A-B)		7,905	-5	-328

Note 1: Revenues include net operating revenues as well as non-operating income and expenses.

Note 2: Operating costs include cost of revenue and operating expenses. Employee salaries and benefits, payment of housing tax, stamp duty, official vehicle tax, other taxes, and community investment are excluded.

Note 3: Including bonuses, pensions, labor insurance, health insurance, and other employment expenses.

Note 4: Cash dividends distributed in the current year.

Note 5: Including company income tax, housing tax, stamp duty, official vehicle tax and other taxes.

Note 6: Referring to public welfare expenditures such as donations to government agencies and public welfare associations as well as other types of charities that are good for society.

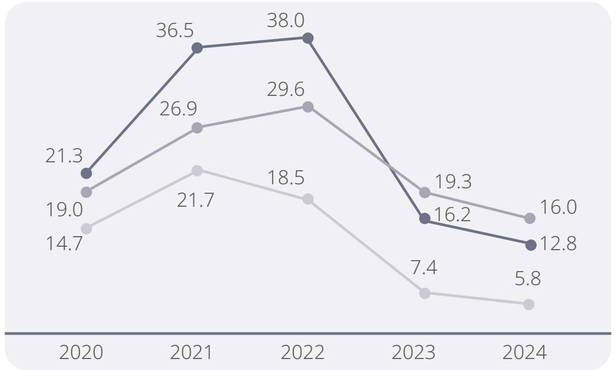
VIS' profitability comes from the efforts of all employees. In 2024, the average income per employee was NT$6.885 million, and the average net profit per employee was NT$1.101 million.

Based on stable business growth, cash dividends have been distributed to shareholders every year since 2005. The earnings distribution in the past five years is as follows:

Item	2020	2021	2022	2023	2024
Earnings Distribution (NT$ hundred million)	57.4	73.8	73.8	73.8	73.8
Amount (in NT$ dollars)	3.5	4.5	4.5	4.5	4.5

In addition to distributing cash dividends to shareholders, VIS allocates earnings to capital expenditures and R&D to expand 8-inch and 12-inch wafer capacities, enhance process technology, drive innovative smart manufacturing, and develop green products. This fulfills our corporate sustainability mission and creates greater value for our customers and shareholders.

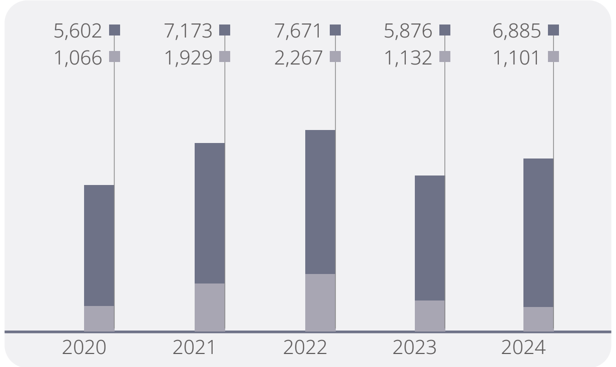
Company Profitability



● Return on Equity ● Profit Margin ● Return on Assets

Unit: %

Average Revenue and Profit Per Employee



■ Average Revenue Per Employee ■ Average Profit Per Employee

Unit: NT$ thousand

1.3 Tax Policy

In response to the international trend of tax governance and multinational operating requirement, VIS has established the "VIS Tax Governance Policy" (hereinafter referred to as "Tax Governance Policy") By adhering to the principles of tax governance, we ensure compliance and transparency in tax management, strive to enhance shareholder value, implement corporate sustainability development, and fulfill corporate social responsibility.

Tax Governance Policy

In order to ensure the effective implementation of tax governance mechanisms, VIS' Board of Directors has approved tax governance policies based on overall operational strategies and the business environment. We adhere to the principle of compliance with tax laws, strive to manage tax risks, and optimize the overall tax burden, ensuring compliance and stability in tax governance. We conduct prudent tax planning and control tax costs in accordance with the law, without engaging in tax avoidance through non-substantive or illegal means. We are committed to fulfilling our corporate social responsibility and obligations as a corporate citizen. "Tax Governance Policy" was approved by the Board of Directors and came into effect on May 5, 2022. It applies to VIS and all subsidiaries included in the consolidated financial statements, both domestic and international, ensuring compliance with the "Tax Governance Policy" for effective operations.

The Tax Governance Principles

1. Act all times in accordance with tax laws, regulation, and legislative spirit. File tax accurately and punctually in the jurisdictions where VIS operates.
2. Inter-company transactions are based on arm's-length principle in compliance with internationally accepted transfer pricing guidance published by OECD. Not to use transfer pricing arrangement for manipulating profit.
3. Make appropriate planning of tax incentives and comply with regulation when use incentives.
4. Consider tax impact as part of major business decision.
5. Perform the tax planning rationally. Investment structures are in line with operation consideration. Not to use tax havens for purpose of tax avoidance, and not to undertake unusual tax structures to transfer value to low tax jurisdictions.
6. Develop honest and mutually respectful relationship with tax authorities, involve in the tax reform and provide the suggestions from practical viewpoint.
7. Tax related information is disclosed transparently in public financial reports, annual reports, and corporate sustainability reports.
8. Maintain and update regulatory change all the time. Comprehensively assess the implications of changes in applicable tax laws and consider the adaptive responses. Managing tax risk to avoid disputes, consulting with tax advisors to obtain professional advice and opinion on uncertainty or complexity tax issues. Significant tax issue shall be reported to the Board of Directors.
9. Supporting tax personnel to ensure that they have the skills and ability to effectively and accurately fulfill their tax responsibilities by providing continuous training.

VIS' primary operational locations are in Taiwan and Singapore, and it complies with the tax laws and regulations of each jurisdiction where it operates, meeting its tax obligations. Due to its proactive support for government tax policies and honest tax filings, VIS was recognized by the National Taxation Bureau, R.O.C., and was awarded the Excellent Business Enterprise Award by the Ministry of Finance in 2014 and 2020, respectively.

Any amendments of taxation laws and regulations will affect the Company's effective tax rate and operational performance. To effectively manage tax risks, VIS maintains and updates regulatory changes all the time. Comprehensively assess the implications of changes in applicable tax laws and consider the adaptive responses. In addition, VIS hires internal tax professionals and offers professional training on tax to ensure that all tax management operations are conducted in compliance with the law. With regard to major uncertain or complex tax issues, to avoid disputes, VIS and its subsidiaries will discuss and consult with external experts or apply for ruling from the tax authorities. Significant tax issue shall be reported to the Board of Directors.

VIS' primary activities, financial and tax information for each tax jurisdiction is listed as follows:

1. The Names of the Main Tax Resident Entities, Primary Activities and Number of Employees in Each Tax Jurisdiction Where VIS Operates

Item	Taiwan	Singapore
Companies' Names	Vanguard International Semiconductor Corporation	Vanguard International Semiconductor Singapore Pte. Ltd.
Primary Activities	Manufacturing, selling, packaging, testing and computer-aided design of integrated circuits and other semiconductor devices and the manufacturing of masks	Manufacturing, selling, and packaging
Average Number of Employees in 2024	5,471	844

2. Revenue, Income Before Income Tax, Income Tax and Income Tax Paid in Each Tax Jurisdiction Where VIS Operates

Unit: NT$ hundred million

Item	Tax Jurisdiction	2023		2024	
		Amount	%	Amount	%
Operating Income	Taiwan		91		91
	Singapore	382.7	9	440.5	9
	Other		0		0
Income Before Income Tax	Taiwan		122		131
	Singapore	88.3	-27	87.5	-35
	Other		5		4
Current Income Tax	Taiwan		100		100
	Singapore	18.1	0	18.0	0
	Other		0		0
Income Tax Paid	Taiwan		100		100
	Singapore	23.9	0	26.4	0
	Other		0		0

3. Consolidated Financial Statements Tax Information

Unit: NT$ hundred million

Item	2023	2024	Average Tax Rate for Two Consecutive Years
Income Before Income Tax	88.3	87.5	-
Income Tax	14.6	17.1	-
Effective Tax Rate	17%	19%	18%
Income Tax Paid	23.9	26.4	-
Cash Tax Rate	27%	30%	29%

VIS' effective tax rates were 19% and 17% in 2024 and 2023, respectively, which were lower than the 20% of R.O.C statutory corporate income tax rate. The lower effective tax rates were mainly because of R&D tax credits granted in accordance with the R.O.C. Statute for Industrial Innovation. The cash effective tax rates in 2024 and 2023 were 30% and 27%, respectively, both exceeding the statutory corporate income tax rate of 20%. The major reason is that income tax expenses are estimated for each fiscal year, whereas actual cash payment occurs in the following year, resulting in a time difference. In other words, the cash tax payments in 2024 and 2023 were attributed to earnings and profit from 2023 and 2022, respectively. In addition, the decline in profit in 2024 and 2023 compared to the previous year resulted in a higher cash effective tax rate based on the calculation rule.

In addition to income tax, VIS also pays other taxes, including housing tax and stamp duty. In 2024, VIS paid taxes of NT$1.77 billion. The actual taxes paid to the government in that year were NT$2.71 billion, equal to 6% of total revenue.

Unit: NT$ hundred million

Item	2020	2021	2022	2023	2024
All Tax Expenses[Note]	13.1	25.2	36.3	15.3	17.7

Note: Tax expenses include business income tax, housing tax, stamp duty, official vehicle tax, and other taxes

4. Government Subsidies

In 2024, VIS and its subsidiaries received government investment subsidies, talent training, and research and development grants totaling approximately NT$129.97 million.

Regions	Government Shareholding Percentage	Government Subsidies (NT$ ten thousand)
Taiwan	16.02%	2,759
Singapore	0%	10,238

Sustainability Management

As a leading specialty IC foundry service provider and a responsible corporate citizen, VIS is laying the foundations for the Company's sustainability with continuous innovation to enhance product value. We are actively implementing missions including "Implementing Corporate Governance", "Promoting Environmental Sustainability", "Establishing a Friendly Workplace", and "Contributing to Social Engagement" and maintaining good interactions with all stakeholders coexisting and thriving with the environment and society.

17

There are a total of 17 Material Topics addressing stakeholders' concerns

16

Echoing a total of 16 United Nations Sustainable Development Goals

2.1 Corporate Sustainability Policy

VIS abides by the "Corporate Sustainability Policy", taking concrete actions to realize the vision of "Cultivating the Value of Sustainability, Creating Social Common Good.

Our Vision

- Cultivate the Value of Sustainability
- Create Social Common Good

Our Mission

- Implementing Corporate Governance
- Promote Environmental Sustainability
- Establishing a Friendly Workplace
- Contribute to Social Engagement

Our Implementation Guidelines

In the Area of Corporate Governance
Integrity is the primary corporate core value of VIS. We follow the principles of corporate governance, put emphasis on business ethics, and adhere to the rule of law. While proactively developing our operations and managing risks, we also ensure the integrity of information disclosure and balance the interests of all stakeholders. We will continue to innovate, enhance the value of our products, and create a foundation for long-term sustainable growth and profitability, thus establishing VIS' foundation for long-term growth.

In the Area of Environmental Sustainability
VIS adheres to the sustainable values of living in harmony with the environment, carries out continuous R&D, and pursues green investment. We are committed to promoting green manufacturing, clean production, circular economy, and the development of green supply chains. We seek to maximize the efficiency of energy and resource use, and actively reduce waste and prevent pollution in order to mitigate and adapt to the adverse effects of climate change on the environment.

In the Area of Friendly Workplace
As a people-oriented company, VIS considers our employees to be one of our most important assets and provides them with competitive compensation and benefits, a safe, healthy, challenging and fun work environment, as well as educational training to help them improve themselves and develop their talents.

In the Area of Social Engagement
In order to deepen the value of sustainability and realize the vision of a better society, VIS actively invests resources and encourages employees to make use of their expertise and passion to join VIS in helping disadvantaged groups, supporting education in remote areas, participating in community building, advocating the United Nations' sustainable development goals, and leading the supply chain to participate in and become a driver behind social advancement.

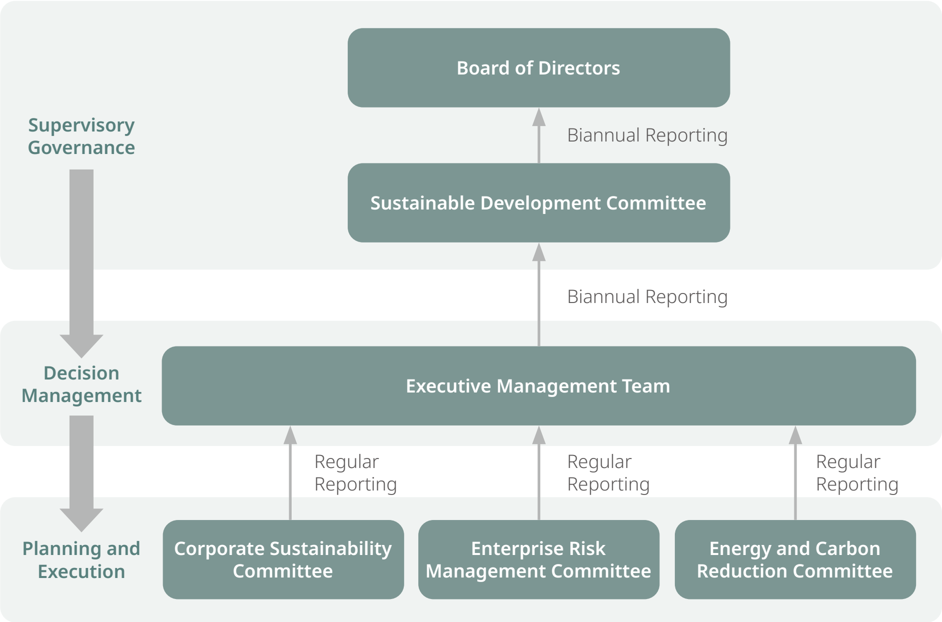
2.2 Corporate Sustainability Management

2.2.1 Corporate Sustainability Management Structure

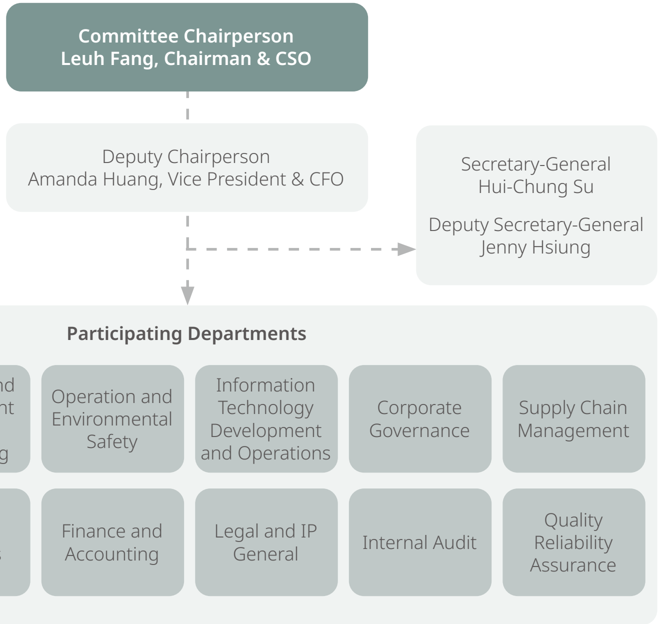
In 2025, to enhance sustainable governance and actively realize the Company's sustainability vision, VIS established a functional committee: the Sustainable Development Committee, approved by the Board of Directors on February 24, 2025, and officially established on April 23. The Sustainable Development Committee is responsible for supervising sustainable development policies, guidelines, goals, strategies, and implementation progress, reviewing sustainability reports, and overseeing other sustainability-related tasks resolved by the Board of Directors. The Sustainable Development Committee is currently composed of three directors, including the Chairman and two independent directors. It is responsible for supervising sustainability policies, guidelines, goals, strategies, and implementation status, reviewing the sustainability report, and overseeing other sustainability-related tasks as resolved by the Board of Directors. The Committee reports important matters and implementation status to the Board every six months.
The executive management team is responsible for confirming sustainability governance guidelines, strategies, and goals, and regularly reports sustainability development execution results, work plans, and important stakeholder concerns and corresponding response measures to the Sustainable Development Committee and the Board of Directors. Under the executive management team are the Corporate Sustainability Committee, the Enterprise Risk Management Committee, and the Energy and Carbon Reduction Committee. These committees are responsible for planning and implementing sustainability-related initiatives and regularly reporting outcomes to the executive management team.

From an operational standpoint, the Corporate Sustainability Committee is led by the Chairman and Chief Strategy Officer as Chairperson, with the Vice President and Chief Financial Officer serving as Deputy Chairperson. The Committee comprises representatives from various departments, each appointed based on their respective functions. These representatives are responsible for planning and executing diverse sustainability initiatives aligned with their areas of expertise and regularly reporting to the executives.

The Committee convenes on a quarterly basis, during which members present updates on ongoing initiatives and outline future plans. Through collective brainstorming and collaborative review of performance and improvement strategies, the Committee drives the Company's continued progress toward sustainable growth across economic, social, and environmental dimensions.



Corporate Sustainability Committee



2.2.2 Highlights of Sustainability Issues Presented to the Board of Directors

Corporate Governance

- Approved the establishment of the Internal Control System for Sustainable Information Management and incorporated it into the 2025 audit plan.
- Strengthened the Board's oversight of sustainability governance by approving the Company's 2023 Sustainability Report.
- Approved the employee restricted stock award program.
- Re-elected the new Board of Directors: achieved the goal of appointing one female director and increased the number of independent directors from four to five.
- Initiated the implementation of IFRS Sustainability Disclosure Standards: S1 General Requirements for Disclosure of Sustainability-related Financial Information and S2 Climate-related Disclosures.
- Evaluated the establishment of a functional committee under the Board of Directors: Sustainable Development Committee.

Environmental Sustainability

- Implementing both "Task Force on Climate-related Financial Disclosures (TCFD)" and "Taskforce on Nature-related Financial Disclosures (TNFD)" management frameworks.
- Continued building the e-carbon management platform, shortening the implementation time for conducting the annual Greenhouse Gas Emissions Inventory: completed the internal system setup for Scope 1, Scope 2, and Scope 3.
- Completed greenhouse gas, carbon footprint, and water footprint inventories.
- The "Firefly Restoration Project" has been consistently executed. By the end of 2024, had released more than 8,000 fireflies into the wild in total.
- Collaborating with National Taiwan University, we are continuously promoting the research project "Enhancing Soil Carbon Sinks through Resource Recycling": completed laboratory-scale tests, with field implementation conducted in the Qianjia Air Quality Purification zone in the first quarter of 2025.
- Continuously maintaining and monitoring the restoration status of four types of restorative plants within Fab 1, promoting "Fab Biodiversity": including Bamboo Orchid (NCR, National Critically Endangered), Shower of Gold Climber (NEN, National Endangered), Wulai Azalea (EW, Extinct in the Wild), and Matsu Oil Chrysanthemum (native plant).

Friendly Workplace

- Implementing diversified two-way communication models and cultivating an open communication environment with a high level of trust: Encouraging various areas and Fabs to convene communication meetings at all levels.
- Strengthening cultivation and retention of human capital at all levels, continuing promoting the culture of internal knowledge sharing, and expanding the pool of management course lecturers for supervisors in factories and offices.
- Promoting workplace diversity and inclusion: Established the employee resource group - Women V, which holds quarterly meetings to discuss relevant topics. Additionally, quarterly small-scale forums are held, inviting female executives to share and exchange experiences. Other initiatives include implementing flexible working hours, launching the first DEI (Diversity, Equity, and Inclusion) seminar, and organizing the inaugural "Junior Engineers" winter and summer camps.
- Creating a Maternity-friendly Workplace - Maternity Protection 2.0: (1) Mommy Resting Stations, providing comfortable reclining chairs for expectant mothers; (2) Exclusive items for VIS babies.
- 30th Anniversary Series of Activities: With a total of 22,000 participants, these activities promoted team cohesion, a sense of belonging, and enhanced the employer brand. In addition to a series of internal company activities, special events such as the 30th Anniversary Concert, Fun Sports Family Day, and Charity Bazaar were held.

Social Engagement

- Supporting the "Taiwan IC Industry & Academia Research Alliance" (TIARA) high school semiconductor micro-course materials, reviewing course content.
- Cooperating with IC Broadcasting to implement the "Learning-Application Link" project, inspiring the career thinking and vision among high school and vocational students: In 2024, the project had a total impact of over 140,000 participants, and it will continue in 2025.
- Since 2015, held the "Year-end Charity Donation" event for ten consecutive years: In 2024, we raised over NT$ 4.6 million, setting a new donation record for three consecutive years.
- In partnership with Zhaodong Elementary School and Fuxing Elementary School in Hsinchu County, and Neihu Elementary School in Hsinchu City, we organized semiconductor career lectures, sharing semiconductor science knowledge.
- For the second consecutive year, we organized the "Winter Love Delivery" material collection activity.

2.3 Communication with Stakeholders on Material Topics

2.3.1 Materiality Analysis

VIS conducts materiality analyses annually. In 2023, the Company aligned with the 2021 GRI Standards and referenced the Double Materiality concept proposed by the European Financial Reporting Advisory Group (EFRAG) of the European Union. It employed a three-phase process — identification, analysis, and validation — to assess stakeholder concerns on sustainability issues (Stakeholder Concerns Questionnaire), the impact of these issues on VIS' business operations (Operational Impact Questionnaire), and their potential consequences for the external economic, environmental, and human rights context (Sustainability Impact Questionnaire). Through this process, 17 material topics were identified and reported to the Board of Directors. These material topics include: Innovation and R&D, Customer Relationship Management, Economic Performance, Talent Attraction and Retention, Supplier Sustainability Management, Risk Control, Product Quality and Safety, Climate Change, Energy Management, Integrity Management, Regulatory Compliance, Corporate Governance, Information Security and Privacy Protection, Waste Management, Employee Development, Water Resource Management, and Occupational Safety and Health.

In 2024, to strengthen the connection between sustainability issues and operational performance, VIS invited 36 participants — including senior executives, members of the Corporate Sustainability Committee, and related business personnel — to complete the Operational Impact Questionnaire. The questionnaire focused on evaluating the impact of each sustainability issue on business operations and financial performance, and assessing the appropriateness and efficiency of resource allocation based on the Company's sustainability framework and long-term goals. The results of the 2024 Operational Impact Questionnaire were then integrated with findings from the 2023 Stakeholder Concern Questionnaire and Sustainability Impact Questionnaire, and used to confirm the prioritization of the 17 material topics. These rankings were submitted to the Board of Directors for approval and served as the foundation for implementing sustainability strategies and initiatives in the current year.

VIS has established long-term goals for each of its material topics, and continuously monitors and reviews the implementation progress and effectiveness. The Company proactively discloses the development of its sustainability strategies and adjusts its actions in response to stakeholder expectations and feedback. The investigation and analysis results were verified by the independent third-party organization, SGS Taiwan Ltd., to ensure the accuracy of disclosed information.

Material execution stage and process

Stage I Data Review

In 2023, VIS followed the reporting principles of the GRI 2021 Standards and referenced the Double Materiality concept advocated by the European Financial Reporting Advisory Group (EFRAG). The Company adopted a three-step process — identification, analysis, and confirmation — to systematically assess stakeholder concerns regarding sustainability issues, the impact of each issue on business operations, and their potential effects on the external economic, environmental, and human rights landscape. As a result of this process, 17 material topics were identified in 2023: Innovation and R&D, Customer Relationship Management, Economic Performance, Talent Attraction and Retention, Supplier Sustainability Management, Risk Control, Product Quality and Safety, Climate Change, Energy Management, Integrity Management, Regulatory Compliance, Corporate Governance, Information Security and Privacy Protection, Waste Management, Employee Development, Water Resource Management, and Occupational Safety and Health.

1. Identification

In identifying sustainability issues, VIS referenced international sustainability standards and frameworks, ESG ratings, stakeholder expectations and communications, internal operational goals, and previously disclosed sustainability information. A total of 23 sustainability issues relevant to VIS were compiled for materiality assessment.

Step 1: Communication Target

Employees, investors, suppliers/contractors, customers, government, media, and community/other societal stakeholders are the primary communication targets identified by VIS through the AA1000 SES Stakeholder Engagement Standard, conveying VIS' commitment to corporate sustainability.

7 Major Categories of Stakeholders

Step 2: Sustainability Issues

To comprehensively gather relevant sustainability issues for VIS, we compile 23 sustainability issues based on domestic and international sustainability norms/standards, sustainability advocacy, feedback from internal and external stakeholders, company operational strategies, and internal management feedback.

23 Sustainability Issues

2. Analysis

VIS distributed a "Stakeholder Concern" questionnaire to integrate the dual materiality perspectives of financial materiality and impact materiality, assessing the operational and sustainability impacts of each issue. The analysis combined both monetized and non-monetized approaches to evaluate the sustainability impacts on economic, environmental, and human (including human rights) dimensions, enabling the identification of issues with significant impact.

For the "Stakeholder Concern" survey, seven main stakeholder categories were targeted, and representative samples were collected. For the "Operational Impact" assessment, company executives and employees evaluated the influence of each issue on four key factors: revenue growth, customer satisfaction, operational risk, and employee engagement. Regarding "Sustainability Impact," VIS followed the GRI 3 material topics methodology and adopted impact assessment models developed by the Value Balancing Alliance (VBA), the Harvard Business School's Impact-Weighted Accounts initiative, and the London Benchmarking Group (LBG). These models assessed significance based on scope, scale, irremediability, and likelihood of impact. In 2023, VIS incorporated monetization methodologies to quantify externalities, measuring the positive or negative impact of sustainability issues in monetary terms. Based on the analyses, 17 material topics were identified and validated through discussions with the Corporate Sustainability Committee, external experts, and senior executives.

3. Confirmation

The 17 material topics were reported to the Board of Directors and disclosed in accordance with the GRI Standards. During the internal data collection and disclosure process, VIS mapped each material topic's relevance to the Company's value chain and clearly defined the topic's significance, strategy, management approach, and long-term goals. Annual performance is tracked against these goals, with dynamic adjustments made as needed to enhance sustainability management. Additionally, potential emerging sustainability issues are also disclosed annually, along with progress and implementation results.

Step 3: Methodology: Survey

Survey 1: Stakeholder Concerns

Through an online questionnaire, important stakeholders' concerns regarding various sustainability issues were investigated. A total of 705 valid responses were received, including employees (524), investors (25), suppliers/contractors (115), customers (11), government representatives (3), media personnel (9), community members (18).

705 Valid Questionnaires

Survey 2: Operational Impact Analysis

The impact of sustainability issues on group operations was assessed based on four major factors: revenue growth, customer satisfaction, operational risks, and employee morale. A total of 33 colleagues and managers from the sustainability team participated in the evaluation.

33 Executives

Survey 3: Sustainability Impact Analysis

According to international standards set by the Value Balancing Alliance (VBA), Harvard Business School's Impact-Weighted Accounts initiative, and the London Benchmarking Group (LBG), 13 positive and 8 negative impacts are defined. These impacts are evaluated based on scope, scale, remediability, probability of occurrence, and their relevance to VIS' external sustainability impacts.

21 Impacts

Step 4: Identify Material Issues

VIS assesses stakeholder concerns, operational impacts, and sustainability impacts, while also referencing major issues and long-term goals from the previous year, 2022. This is combined with the Impact Measurement and Valuation (IMV) methodology, quantifying impacts exceeding 50 million in monetary value. Materiality criteria consider stakeholder attention, impact severity, identification, and management in 2022, and the irremediability of negative impacts. These criteria are validated through reviews by the internal sustainability team, external experts, and senior executives, leading to the identification of 17 material topics.

17 Material Sustainability Issues

Step 5: Review the Disclosure Content

The 17 identified material sustainability issues correspond to 24 specific topics within the GRI Standards (21 GRI topics and 3 VIS-specific topics). This serves as the basis for the disclosure boundaries of VIS' value chain (including supply chain management, operations, products, and society).

24 GRI Topics

Step 6: Develop Long-Term Sustainability Goals

To ensure that VIS' corporate sustainability initiatives meet stakeholder expectations and serve as an internal performance review metric, we have formulated 59 long-term sustainability goals based on these material issues.

59 Long-term Sustainability Goals

Stage II · Operational Impact Questionnaire Survey[Note]

Based on the 17 material topics identified in 2023, VIS invited 36 individuals — including executives, members of the Corporate Sustainability Committee, and relevant business unit personnel — to complete the Operational Impact Questionnaire in 2024. This questionnaire, developed from a financial materiality perspective, applied four key evaluation factors — revenue growth, customer satisfaction, operational risk, and employee engagement — to comprehensively assess the impact of each sustainability issue on the Company's operations and financial performance.

Step
Questionnaire Collection

The survey results showed the top five material topics for each factor as follows:

- Evenue Growth: Customer Relationship Management, Economic Performance, Innovation and R&D, Product Quality and Safety, and Corporate Governance.
- Customer Satisfaction: Customer Relationship Management, Product Quality and Safety, Innovation and R&D, Integrity Management, and Information Security and Privacy Protection.
- Operational Risk: Corporate Governance, Risk Control, Information Security and Privacy Protection, Energy Management, and Integrity Management.
- Employee Engagement: Talent Attraction and Retention, Labor Relations, Employee Development, Economic Performance, and Human Rights.

Based on this analysis, VIS re-prioritized its material topics to better define strategic directions and allocate resources accordingly, thereby enhancing its sustainability management strategy.

36 Executives and sustainability team members participated

Note: The 2024 version of the questionnaire focused on evaluating the significance of sustainability topics in terms of their operational and financial impact, and the results were used to reprioritize the 2023 material topics.

Stage III · Review of Prioritization Factors

In response to evolving global sustainability trends, VIS adopted a more holistic perspective in reprioritizing its material topics. In 2024, the Company established six core principles to guide the materiality ranking framework, structured around two key dimensions: financial materiality and impact materiality. This dual-pronged approach enabled a comprehensive analysis of how each topic affects company operations across multiple dimensions, thereby allowing VIS to identify priorities with greater precision and develop forward-looking strategic plans. The objective was to ensure optimal allocation of resources and define clear improvement paths and performance indicators for each material topic.

Step
Review of Prioritization Factors

Financial Materiality:

- Principle 1: Based on the results of the 2024 Operational Impact Questionnaire.
- Principle 2: Alignment with compensation indicators for the President and senior executives.
- Principle 3: Alignment with VIS' core sustainability strategy and 2030 long-term goals.

Impact Materiality:

- Principle 4: Based on the 2023 Stakeholder Concern Questionnaire.
- Principle 5: Non-monetized impacts identified through the Sustainability Impact analysis.
- Principle 6: Monetary valuation of impacts using the IMV methodology, focusing on issues with external impact exceeding NT$50 million.

Six prioritization principles were applied to redefine the order of the 17 material topics.

6 Prioritization principles were applied

VIS 2024 Material Topics Ranking

Economic · Environmental · Society · Product

ESG Material Topics	Ranking [Note 7]	Prioritization Factors						Total Stars
		Financial Materiality			Impact Materiality			
		Prioritization Principle 1	Prioritization Principle 2	Prioritization Principle 3	Prioritization Principle 4	Prioritization Principle 5	Prioritization Principle 6	
		Operational Impact [Note 1]	Senior Executive Compensation [Note 2]	2030 Long-term Goals [Note 3]	Stakeholder Concerns [Note 4]	Sustainability Impact [Note 5]	Impact Measurement and Valuation [Note 6]	
Talent Attraction and Retention	1	*	***	***	**	*	***	13
Customer Relationship Management	2	**	**	**	**	*	***	12
Innovation and R&D	3	**		***	***	**	**	12
Economic Performance	3	**		***	**	**	***	12
Supplier Sustainability Management	3		*	***	**	***	***	12
Energy Management	6	*	*	***	*	***	**	11
Integrity Management	7	**	***	**	***	*		11
Risk Control	8	*	***	*	**	***		10
Product Quality and Safety	8	**	**	***	**	*		10
Climate Change	8		*	***	*	***	**	10
Corporate Governance	10	**	**	**	*	**		9
Employee Development	10	*	***	***	*		*	9
Waste Management	13		*	***	*	**		7
Occupational Safety and Health	13		*	***	**	*		7
Water Resource Management	15			***	**	**		7
Regulatory Compliance	16			*	***	**		6
Information Security and Privacy Protection	16	**		*	***			6

Note 1: "**" indicates the issue impacts two or more operational impact factors; "*" indicates the issue impacts only one operational impact factor.

Note 2: "***" indicates the topic is a compensation indicator for both the President and senior executives; "**" applies only to the President; "*" applies only to senior executives.

Note 3: "***" indicates the topic has a 2030 long-term goal with two or more quantitative targets; "**" has a 2030 long-term goal with at least one quantitative target; "*" has a 2030 long-term goal without quantitative targets.

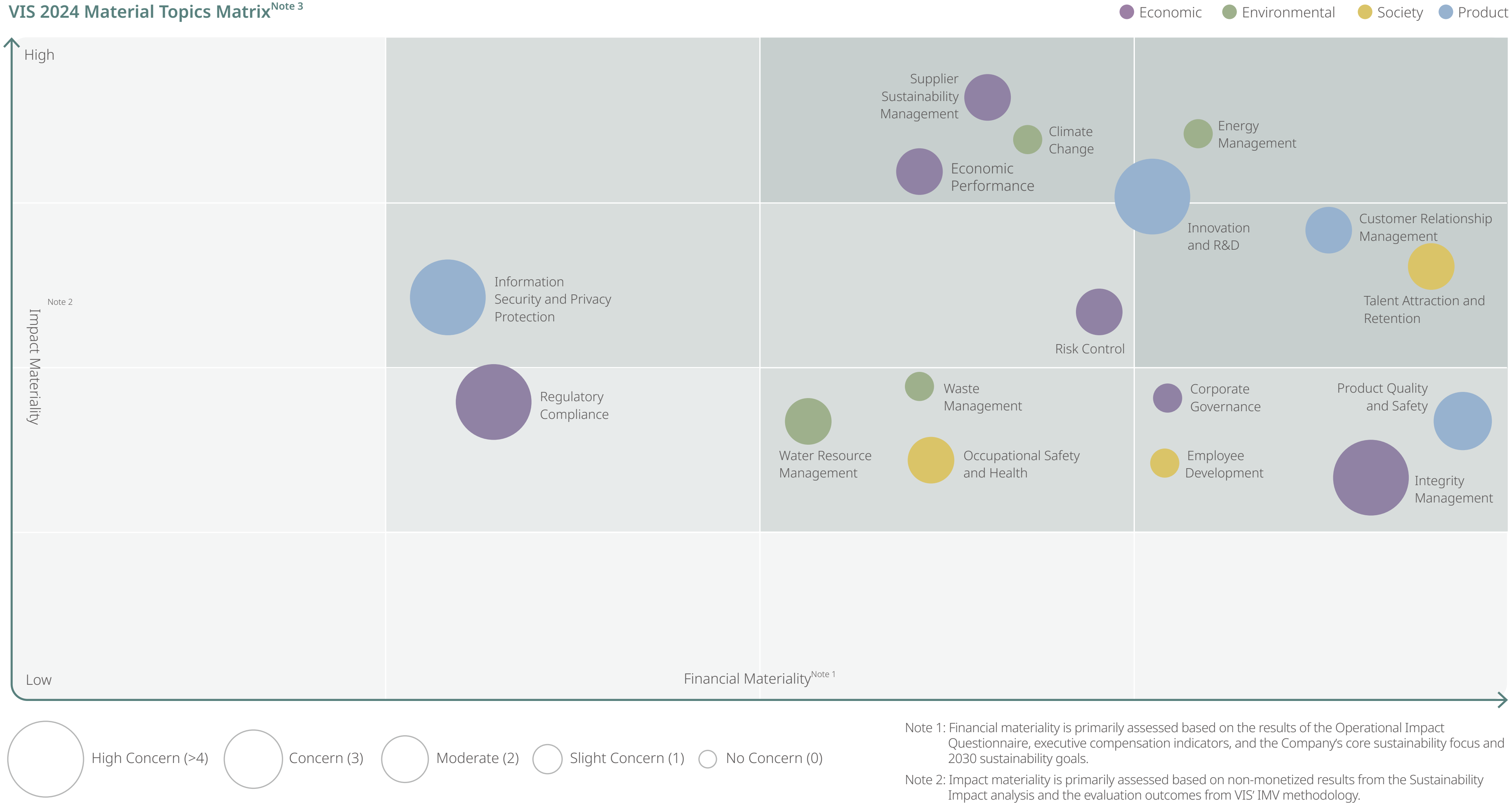
Note 4: "***" indicates the topic ranks among the top five concerns for stakeholders in 3–5 categories; "**" in 2 categories; "*" in only 1 category.

Note 5: "***" indicates the topic impacts 5–6 sustainability impact items; "**" impacts 2–3 items; "*" impacts only 1 item.

Note 6: "***" indicates the monetized value of a single topic's external impact exceeds NT$10 billion; "**" falls between NT$1 billion and NT$10 billion; "*" falls between NT$50 million and NT$100 million.

Note 7: The ranking of material topics is determined based on the total number of stars. In case of a tie, the topic that affects more prioritization factors ranks higher. For example, both "Customer Relationship Management" and "Innovation and R&D" have 12 stars, but the former influences all six prioritization principles, while the latter impacts only five. Therefore, "Customer Relationship Management" is ranked higher. If both the number of stars and the number of influencing factors are the same, the topics are ranked equally — e.g., "Innovation and R&D," "Economic Performance," and "Supplier Sustainability Management."

VIS 2024 Material Topics Matrix[Note 3]



Note 1: Financial materiality is primarily assessed based on the results of the Operational Impact Questionnaire, executive compensation indicators, and the Company's core sustainability focus and 2030 sustainability goals.

Note 2: Impact materiality is primarily assessed based on non-monetized results from the Sustainability Impact analysis and the evaluation outcomes from VIS' IMV methodology.

Note 3: Compared to the 2023 matrix, the X and Y axes were redefined in 2024, resulting in significant changes in the ranking of material topics.

VIS Material Topics and Value Chain

△ Cause ○ Promote ● Directly related

Aspect	Material Topics	"GRI Standard" Topics	Supply Chain	Operations	Product	Social	Responding Section
Economic	Economic Performance	GRI 201: Economic Performance 2016		△	●		1.2 Financial Performance 1.3 Tax Policy 4.1 Climate Change and Energy Management 6.1 Talent Attraction and Retention
	Regulatory Compliance	GRI 2-27: Compliance		△	●		3.3 Ethics and Transparency
	Risk Control	VIS Topic - Specific	●	△			3.2 Risk Management
	Corporate Governance	VIS Topic - Specific		△			3.1 Corporate Governance
	Supplier Sustainability Management	GRI 204: Procurement Practices 2016, GRI 308: Supplier Environmental Assessment 2016, GRI 414: Supplier Social Assessment 2016	●	△			5.2 Sustainable Supply Chain Management Strategies
	Integrity Management	GRI 206: Anti-Competitive Behavior 2016		△			3.3 Ethics and Transparency
Environmental	Climate Change	GRI 305: Emissions 2016		△	●	○	4.1 Climate Change and Energy Management 4.4 Air Pollution Control
	Energy Management	GRI 302: Energy 2016	●	△	●	○	4.1 Climate Change and Energy Management
	Waste Management	GRI 306: Waste 2020		△	●	○	4.3 Waste Management
	Water Resource Management	GRI 303: Water and Effluents 2018		△			4.2 Water Resource Management
Society	Talent Recruitment and Retention	GRI 401: Employment 2016		△		○	6.1 Talent Attraction and Retention
	Occupational Safety and Health	GRI 403: Occupational Health and Safety 2018		△			6.4 Workplace Health Management 6.5 Occupational Safety and Health
	Talent Development	GRI 404: Training and Education 2016 GRI 405: Diversity and Equal Opportunity 2016		△			6.2 Talent Development
Product	Product Quality and Safety	VIS Topic - Specific		△	●		3.5 Quality and Customer Service
	Innovation and R&D	VIS Topic - Specific		△	●		3.4 Innovation Management
	Information Security and Privacy Protection	GRI 418: Customer Privacy 2016		△			3.2 Risk Management 3.3 Ethics and Transparency
	Customer Relationship Management	VIS Topic - Specific		△	●		3.5 Quality and Customer Service

Probability of Occurrence: ○ over 10 years; ◎ within 1-10 years; ● within 1 year

Risk Trend: ↗ Increased; — Remained unchanged; ↘ Decreased

Risk Severity Levelv: 1: Negligible; 2: Secondary; 3: Material; 4: Critical; 5: Extreme

Major Topics and Enterprise Risk Management (ERM)

Material Topics	Possible Risks	Risk Migration and Response	Probability of Occurrence	Risk Trend	Risk Severity Level
Economic Performance	• Foreign exchange/ derivative losses • Impact of carbon trading system on company finances • Inability to immediately adjust product pricing to reflect green energy and carbon tax costs	• Regular review of financial market conditions, company exposure positions, formulation of hedging strategies, and periodic evaluation of gains and losses from derivative financial products.	●	—	2: Secondary
		• Continuously monitor domestic carbon fee regulations, establish dedicated personnel to collect accounting bulletins and tax-related regulations, and study the "Guidelines for Accounting Treatment of Corporate Holding of Carbon Assets".	●	—	2: Secondary
		• Continuously monitor the incorporation of carbon taxes (fees), green energy investments, and green energy costs into product cost estimates. Actively grasp customer demand for products using renewable energy and promptly and effectively reflect it in product pricing.	●	—	3: Material
Risk Control	• Carbon fees • Introduction of low-carbon products carries GaN risks • Environmental regulations	• Completion of low-carbon transformation and financial impact analysis.	●	↗	4: Critical
		• Introduction of new processes requires planned control measures.	●	↗	2: Secondary
		• Establish internal Policies, procedures, and execution plans, and provide channels for whistle-blowing through regulatory tracking, educational training, and advocacy.	○	—	3: Material
Supplier Sustainability Management	• Natural disasters and accidents lead to supply chain disruptions • Supplier violations of RBA regulations	• Establish alternative suppliers, provide material demand to suppliers, establish optimal inventory, and establish global transportation alternative routes.	◎	↘	2: Secondary
		• Establish the "Supplier Code of Conduct", require supplier sign-off, and conduct RBA SAQ and audits for suppliers.	◎	↘	2: Secondary
Regulatory Compliance	• Employee violation of confidential data protection procedures resulting in data leaks • Violation of antitrust laws and export control regulations • Unauthorized signing of legal documents containing significant liability clauses	• Strengthen internal systems and procedures, and utilize educational training and awareness campaigns to mitigate or reduce the risk of employees violating confidential information protection policies, thereby preventing data leaks that could result in significant harm to the Company.	◎	—	2: Secondary
		• Regularly review relevant laws and regulations that may have a significant impact on the Company's operations, business, or finances, and establish comprehensive internal systems, procedures, and implementation plans. These include regulatory tracking, employee training, awareness promotion, and grievance mechanisms, aimed at avoiding or mitigating operational risks and penalties associated with non-compliance.	◎	—	2: Secondary
		• Enhance internal systems, procedures, employee training, awareness programs, and implement system-based controls over electronic approval processes to prevent or reduce operational risks arising from the unauthorized signing of legal documents containing significant liability clauses.	◎	—	2: Secondary

Probability of Occurrence: ○ over 10 years; ◎ within 1-10 years; ● within 1 year

Risk Trend: ↗ Increased; — Remained unchanged; ↘ Decreased

Risk Severity Levelv: 1: Negligible; 2: Secondary; 3: Material; 4: Critical; 5: Extreme

Material Topics	Possible Risks	Risk Migration and Response	Probability of Occurrence	Risk Trend	Risk Severity Level
Corporate Governance	• Inability to sustain business operations • Shareholder equity damage	• Enhance the independence of directors, appoint third-party organizations to conduct board effectiveness assessments, appoint auditors to audit financial reports, and provide professional advice.	○	↘	3: Material
		• Enhance information transparency, safeguard shareholders' rights, and prohibit insider trading.	○	↘	3: Material
Integrity Management	• Not complied to regulations • Violating integrity management principles	• Policy Education, Training, and Advocacy Build-Up Reporting System.	◎	—	2: Secondary
		• Directors and executives sign the integrity management code, conduct surveys on the degree of adherence to the business philosophy, and organize integrity management education and training.	◎	—	2: Secondary
Climate Change	• The Taiwanese government levies carbon fees • Flooding due to heavy rainfalls • Water shortage, drought	• Replace process gases, install greenhouse gas treatment equipment, implement energy-saving engineering improvements, and procure green energy.	●	↗	4: Critical
		• Plan to install floodgates based on flood scenarios and plan to purchase insurance.	○	↗	3: Material
		• Evaluate the impact on factory operations and financial losses under water scarcity/water restriction conditions, and utilize water trucks during severe water restrictions.	◎	↗	3: Material
Energy Management	• Electricity savings rate • Install solar photovoltaic systems	• Implement additional energy-saving measures annually to improve energy efficiency.	◎	↗	3: Material
		• The solar green energy company Taiwan Speed Power's Changhua Fangyuan factory has completed negotiations and signed a CPPA (Corporate Power Purchase Agreement).	◎	↗	3: Material
Waste Management	• Waste disposal contractors fail to comply with legal requirements • Obstruction in waste disposal leads to waste accumulation	• Evaluation of waste disposal contractors, on-site audits of disposal facilities, and submission of necessary documentation for proper disposal are required.	◎	—	2: Secondary
		• Regular waste disposal contracts are signed with two contractors simultaneously, and hazardous waste is cleared at least once a year.	◎	↘	2: Secondary
Water Resource Management	• Water saving rate • Introduction of a recycled water supply system	• New water-saving measures are implemented annually to enhance water efficiency.	◎	↗	3: Material
		• Introduction of a recycled water supply system to replace some of the tap water supply.	◎	↗	3: Material

Probability of Occurrence	Risk Trend	Risk Severity Levelv
○ over 10 years	↗ Increased	● 1: Negligible
◎ within 1-10 years	— Remained unchanged	● 2: Secondary
● within 1 year	↘ Decreased	● 3: Material
		● 4: Critical
		● 5: Extreme

Material Topics	Possible Risks	Risk Migration and Response	Probability of Occurrence	Risk Trend	Risk Severity Level
Talent Attraction and Retention	• Inability to attract a sufficient number of talented individuals • Inability to retain a sufficient number of talented individuals	• Establishing diversified recruitment channels: enhancing recruitment efficiency and broadening talent acquisition through social media, campus events, and training institutions.	◎	—	●
		• Providing a benefits system and leave management policies that exceed regulatory requirements and meet employee needs.	◎	—	●
Employee Development	• Insufficient provision of training in professional and management fields • Inadequate talent development training at all levels	• Develop individual development plans and recommend diverse and abundant learning resources, including courses in engineering technology, professional skills, management, and general education.	◎	—	●
		• Build up educational tracking index, calculate return on human resources capital investment.	◎	—	●
Occupational Safety and Health	• Improper staffing of occupational safety and health personnel • Regulatory violations identified, resulting in fines • Emerging infectious diseases • Colleagues' physical and mental well-being	• Ensure that the deployment of occupational safety, environmental protection, and fire protection personnel meets regulatory standards.	◎	—	●
		• Identify regulations related to the Company's occupational safety and health, and establish internal systems, procedures, and implementation plans. Through regulatory tracking, training, and awareness initiatives, the company aims to prevent or reduce the risk of penalties due to non-compliance.	◎	—	●
		• Establish an epidemic prevention committee, provide employee care, and promote vaccination.	◎	↘	●
		• Optimize the Company's health management app, conduct specialized operation examinations, host health seminars, and establish healthcare projects.	◎	—	●
Product Quality and Safety	• Process leaks and poor quality • Raw material quality abnormal	• Continuously optimize manufacturing capabilities, reduce product defects, and enhance process control by applying statistical methods and quality tools to establish real-time defense systems for early detection of anomalies.	●	↗	●
		• Strengthen raw material quality management mechanisms and support suppliers in implementing quality improvements.	●	↘	●

Probability of Occurrence: ○ over 10 years; ◎ within 1-10 years; ● within 1 year

Risk Trend: ↗ Increased; — Remained unchanged; ↘ Decreased

Risk Severity Levelv: ● 1: Negligible; ● 2: Secondary; ● 3: Material; ● 4: Critical; ● 5: Extreme

Material Topics	Possible Risks	Risk Migration and Response	Probability of Occurrence	Risk Trend	Risk Severity Level
Innovation and R&D	• Incorrect technical blueprint planning • Delay in technical development schedule • Patents • Failure to protect the Company's intellectual property rights • Infringement of others' intellectual property rights	• Business development and technology Grow Management department: review the planning and strategy of the Company's long-term technical blueprint on a monthly basis, competitiveness analysis, target market research.	●	—	● 3: Material
		• Planning Management Department and Technology Grow Management Department: Weekly meetings on new technology development and progress tracking, adjustment of project priorities, and resource optimization.	●	—	● 3: Material
		• Patent meetings, patent analysis, and consultation on patent regulations.	◎	—	● 3: Material
		• Establish internal mechanisms, implement management procedures, and employ educational training and advocacy to mitigate or reduce the risk of employee failure to properly protect the intelligent property of the Company.	◎	—	● 2: Secondary
		• Establish internal systems, implement management procedures, and utilize education and advocacy to mitigate or reduce the risk of employees infringing upon others' intellectual property rights, leading to significant damage to business operations or reputation, or necessitating substantial compensation.	◎	—	● 2: Secondary
Information Security and Privacy Protection	• Hackers infiltrating and stealing confidential information • Damage to data centers • Changes in external IT environments	• Implement hacker intrusion protection measures, external audits, and enhance colleagues' awareness of information security.	◎	↗	● 2: Secondary
		• Enhance cross-building backup mechanisms, strengthen cabinet earthquake resistance, and ensure data center power supply.	●	—	● 2: Secondary
		• Maintain application system backups and recovery mechanisms, system online operation control mechanisms, upgrade application systems, and manage end-of-support (EOS) software and hardware.	●	—	● 1: Negligible
Customer Relationship Management	• Failure to meet customer demands • Level of customer satisfaction drops	• Periodically hold customer meetings to understand needs.	●	↘	● 2: Secondary
		• Periodically hold customer meetings to understand needs.	●	↘	● 2: Secondary

Material Topics Long-term target, Achieving Progress and Strategy

To effectively track and manage actions and outcomes related to material topics, ensuring that the Company's sustainable development projects meet stakeholder expectations, VIS has developed 59 long-term sustainability goals based on material topics. These goals are regularly supervised by the Corporate Sustainability Committee to oversee the execution effectiveness of significant thematic projects and track the results of action plans. If project performance falls short, improvements and dynamic adjustments are made through regular meetings, drawing upon experiences to enhance sustainable management practices.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Economic Performance	• Return on equity: ≧ 25% average over the last five years • Compound annual growth rate of operating revenue: Between 7% and 12% over the last five years	• Achieved: ≧ 25% average return on equity over the last five years • Achieved: Compound annual growth rate of operating revenue between 7% to 12% over the last five years	• Long-term average return on equity: ≧ 20% [Note 1] • Compound annual growth rate of operating revenue: Between 2% and 4% over the last five years	• Long-term average return on equity: ≧ 20% • Compound annual growth rate of operating revenue: Between 5% and 15% over the last five years [Note 2]	• Link financial goals with performance indicators of each unit, assess potential risks to formulate countermeasures, and regularly review and adjust action plans and dynamically modify financial goals based on market changes and actual implementation
Regulatory Compliance	• Regularly announce information on new/amended regulations • The relevant units shall regularly review the laws and regulations pertaining to their respective business areas, and make compliance reports in response to any changes. Conduct self-inspection audits, track improvements, and enhance performance • Complete educational training and advocacy according to business needs • No significant violations [Note 3]	• Achieved: Monthly announcements from the Legal Department regarding new/amended laws and regulations enabling relevant units to regularly review and take corresponding measures • Achieved: All relevant units regularly reviewed the laws and regulations pertaining to their respective business areas, and made compliance reports in response to any changes. Conducted self-inspection audits, tracked improvements, and enhanced performance as designated by the Legal Department according to business needs • Achieved: Completion of educational training for all relevant units, designated by the Legal Department according to business needs • Achieved: Zero litigation related to anti-competitive behaviors, antitrust, and monopoly laws and regulations • Achieved: No significant violations in 2024	• Regularly announce information on new/amended regulations • The relevant units shall regularly review the laws and regulations pertaining to their respective business areas, and make compliance reports in response to any changes. Conduct self-inspection audits, track improvements, and enhance performance • Complete educational training and advocacy according to business needs • No significant violations	• Regularly announce information on new/amended regulations • The relevant units shall regularly review the laws and regulations pertaining to their respective business areas, and make compliance reports in response to any changes. Conduct self-inspection audits, track improvements, and enhance performance • Complete educational training and advocacy according to business needs • No significant violations	• By regularly announcing new/amended laws and regulations, we ensure that colleagues have the right understanding of regulatory compliance as they abide by relevant statutes and orders • Regularly review possible laws and regulations that may have a significant impact on various operations, businesses, or financial matters of the Company to avoid significant impacts • Complete internal systems, procedures, and execution plans, including regulatory tracking, educational training, and advocacy, as well as providing channels for whistleblowing, etc.

Note 1: In response to the construction of the Singapore 12-inch fab, changes in the industry, and the Company's sustainability strategy, the target from 2025 onward will be adjusted to maintain a long-term average return on equity of at least 20%. This reflects VIS' commitment to balancing steady growth with value creation while safeguarding shareholder interests.

Note 2: The long-term target is adjusted to a 5-percentage-point range.

Note 3: "Significant Violation" refers to a situation where the accumulative amount of administrative fines for a single incident reaches NT$1 million or more.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Risk Control	• Annual companywide risk review (once per year): Review the implementation outcomes of risk control measures for each region in the current year, identify new risk items and control measures for each region in the upcoming year, conduct thorough reviews, and establish new companywide risk items for the next year • Annual risk management outcomes report to the Board of Directors (once per year): Summarize the outcomes of risk management execution and confirm new companywide risk items for the upcoming year • Risk assessment: Conduct risk assessments in six major categories annually, with 19 risk items identified as managed risks in 2024 • Risk management stress testing: Conduct BCP drills and implement stress tests every year	• Achieved: Completed companywide risk review for the year • Achieved: Presented the annual risk management achievements to the Board of Directors • Achieved: Completed six major categories risk assessments for the year • Achieved: Completed BCP drills and implement risk management stress tests for the year	• Conduct annual companywide risk review • Conduct annual board reports on the results of risk management achievements • Execute six major categories risk assessments annually • Conduct BCP drills and implement risk management stress tests every year	• Conduct annual companywide risk review • Conduct annual board reports on the results of risk management achievements • Execute six major categories risk assessments annually • Conduct BCP drills and implement risk management stress tests every year	• Promote risk management procedures according to the VIS Risk Management Committee Policy and Procedures document, regularly execute risk execution reports, and undergo supervision from committee members, audit committees, and the Board of Directors, as well as audits from internal and external audit units • Conduct annual reviews of business continuity plans to address the latest operational risks, and based on the identification of operational risks, plan annual business continuity plan exercises, conduct management organization and procedural stress tests, and disaster recovery procedure training
Corporate Governance	• Ranked among the top 5% in corporate governance evaluation	• Achieved: Ranked among the top 5% of uncategorized TPEx-listed companies in corporate governance evaluation	• Ranked among the top 5% in corporate governance evaluation	• Ranked among the top 5% in corporate governance evaluation	• Continually review the evaluation metrics that have not been achieved • Keep abreast of changes in evaluation rules and metrics • Regularly track changes in relevant regulatory

Supplier Sustainability Management

Goals 2024

- All suppliers sign the "VIS Supplier Code of Conduct" and implement internal education and training, with a completion rate of 100%
- Tier 1 suppliers [Note 1] sign the "VIS Supplier Code of Conduct" and complete the annual "Supplier Sustainability Assessment Questionnaire", with a completion rate of 100%
- Tier 1 significant suppliers [Note 2] are to implement ESG sustainability audit, achieving 100% completion during the three-year project planning periods from 2022 to 2024 (with an annual completion rate of 33.3%)
- Conduct ESG sustainability audit for Non-Tier 1 significant suppliers [Note 3], ensuring the annual completion count exceeds 10% of the total number of suppliers
- Complete the ESG sustainability audit for high sustainability risk suppliers [Note 4], with a 100% completion rate
- Conduct responsible minerals due diligence on suppliers to ensure VIS achieves a 100% compliance rate for responsible minerals
- Using 2020 as the base year, collaborate with suppliers to enhance processes, improve quality, and reduce resource consumption to achieve a cumulative total of ≧ 45 improvements

Achievements 2024

- Achieved: All suppliers signed the "VIS Supplier Code of Conduct" and implemented internal education and training with a completion rate of 100% (a total of 1,176 suppliers)
- Achieved: Tier 1 suppliers signed the "VIS Supplier Code of Conduct" and completed the annual "Supplier Sustainability Assessment Questionnaire", with a completion rate of 100% (a total of 488 suppliers)
- Achieved: Tier 1 significant suppliers completed the implementation of ESG sustainability audit, achieving a 100% completion rate during the three-year project planning periods from 2022 to 2024 (a total of 141 suppliers)
- Achieved: Non-Tier 1 significant suppliers completed the implementation of ESG sustainability audit, with the annual completion count comprising over 10% of the total number of suppliers (a total of 15 suppliers)
- Achieved: High sustainability risk suppliers completed the implementation of ESG Sustainability Audit, achieving a 100% completion rate (a total of 6 suppliers)
- Achieved: Responsible minerals due diligence was completed on suppliers, and VIS achieved a 100% compliance rate for responsible minerals
- Achieved: Using 2020 as the base year, collaborated with suppliers to improve processes and quality, reduce resource consumption, and achieved a cumulative total 45 improvements

Goals 2025

- All suppliers sign the "VIS Supplier Code of Conduct" and implement internal education and training, with a completion rate of 100%
- Tier 1 suppliers sign the "VIS Supplier Code of Conduct" and complete the annual "Supplier Sustainability Assessment Questionnaire", with a completion rate of 100%
- Tier 1 significant suppliers are to implement ESG sustainability audit, achieving 100% completion during the three-year project planning periods from 2025 to 2027 (with an annual completion rate of 33.3%)
- Conduct ESG sustainability audit for Non-Tier 1 significant suppliers, ensuring the annual completion count exceeds 13% of the total number of suppliers
- Complete the ESG sustainability audit for high sustainability risk suppliers, with a 100% completion rate
- Conduct responsible minerals due diligence on suppliers to ensure VIS achieves a 100% compliance rate for responsible minerals
- Using 2020 as the base year, collaborate with suppliers to enhance processes, improve quality, and reduce resource consumption to achieve a cumulative total of ≧ 54 improvements

Goals 2030

- All suppliers sign the "VIS Supplier Code of Conduct" and implement internal education and training, with a completion rate of 100%
- Tier 1 suppliers sign the "VIS Supplier Code of Conduct" and complete the annual "Supplier Sustainability Assessment Questionnaire", with a completion rate of 100%
- Tier 1 significant suppliers are to implement ESG sustainability audit, achieving 100% completion during the three-year project planning periods from 2028 to 2030 (with an annual completion rate of 33.3%)
- Conduct ESG sustainability audit for Non-Tier 1 significant suppliers, ensuring the annual completion count exceeds 30% of the total number of suppliers
- Complete the ESG sustainability audit for high sustainability risk suppliers, with a 100% completion rate
- Conduct responsible minerals due diligence on suppliers to ensure VIS achieves a 100% compliance rate for responsible minerals
- Using 2020 as the base year, collaborate with suppliers to enhance processes, improve quality, and reduce resource consumption to achieve a cumulative total of ≧ 90 improvements

Long-term Goals Strategies for Achieving

- All suppliers sign the "VIS Supplier Code of Conduct" and implement internal education and training as a mandatory condition
- Conduct a Sustainability Assessment Questionnaire and ESG sustainability audit, requiring suppliers to demonstrate continuous improvement in ESG management
- Expand the scope of VIS and suppliers' impact on supply chain sustainability, driving sustainable development throughout the supply chain
- Continuously monitor the latest information on responsible minerals released by international advocacy organizations following the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas, ensuring a 100% compliance rate for responsible mineral usage
- Collaborate with suppliers to enhance processes, improve quality, and reduce resource consumption

Note 1: Tier 1 suppliers: Suppliers engaged in non-single-use transactions with an annual transaction amount exceeding NT$2 million.

Note 2: Tier 1 Significant suppliers: This includes the top 85% of Tier 1 suppliers by procurement amount and suppliers with unique, irreplaceable supply sources.

Note 3: Non-Tier 1 Significant suppliers: Significant suppliers of Tier 1 Significant suppliers or those higher up the supply chain.

Note 4: High sustainability risk suppliers: Suppliers identified with high sustainability risks among both Tier 1 and non-Tier 1 suppliers through detection and assessment.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Integrity Management	• Complete training and advocacy according to business attributes • 100% coverage rate of the "Code of Ethics and Integrity in Business" course	• Achieved: Completed training and advocacy according to business attributes • Achieved: 100% coverage rate of the "Code of Ethics and Integrity in Business" course	• Complete training and advocacy according to business attributes • 100% coverage rate of the "Code of Ethics and Integrity in Business" course	• Complete training and advocacy according to business attributes • 100% coverage rate of the "Code of Ethics and Integrity in Business" course	• In accordance with company regulations, training and advocacy are implemented annually
Climate Change	• Reduce carbon emissions by 39,700 tons (CO_2-equivalent), about 4.2% of the total Scope 1 and Scope 2 emissions in 2021 • 0 days of production interruptions caused by climate disasters	• Achieved: A reduction of approximately 44,300 tons of carbon emissions (CO_2-equivalent), equivalent to about 4.68% of the total Scope 1 and Scope 2 emissions in 2021 • Less than 1 day of production interruptions caused by climate disasters [Note]	• Reduce carbon emissions by 39,700 tons (CO_2-equivalent), about 4.2% of the total Scope 1 and Scope 2 emissions in 2021 • 0 days of production interruptions caused by climate disasters	• Continuing toward the goal of net-zero carbon emissions by 2050. Based on the 2021 baseline, achieve an absolute reduction of 45% in Scope 1 and Scope 2 emissions and a 50% reduction in carbon intensity by 2030 • 0 days of production interruptions caused by climate disasters	• With the existing five 8-inch fabs, target a 70% reduction in carbon emissions (Scope 1 + Scope 2 + Scope 3) by 2040 compared to 2021, to progress toward the net-zero emissions goal by 2050 • The net-zero emission path focuses on energy conservation, emission reduction, and carbon reduction, supplemented by the use of green electricity and negative emissions technologies; it will also continue to promote and guide the low-carbon transition of the supply chain. Through the implementation of a low-carbon transition path, VIS continues to strengthen various green actions • Implement responsive measures to address climate change risks, such as heavy rainfall, flooding, and drought

Note: During the 7.2 magnitude earthquake that struck Hualien County at 7:58 AM on April 3, 2024, and its aftershocks: VIS evacuated employees according to its emergency response procedures, with no injuries reported. More than 80% of the affected equipment resumed operation within one day.

Energy Management

Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
• Cumulative electricity savings rate reaches 18.2% • Cumulative install renewable energy power generation equipment capacity reaches 722kW • Purchase 11,000,000 kWh of renewable energy	• Attained a cumulative energy savings rate of 18% Note 1 • Achieved: Cumulative installation of renewable energy power generation equipment reached a capacity of 741kW, with a total power generation of 541,207kWh in 2024 • Achieved: Procurement of 11,634,012 kWh of renewable energy	• Cumulative electricity savings rate reaches 19.5% • Cumulative install renewable energy power generation equipment capacity reaches 741kW • Purchase 11,000,000 kWh of renewable energy	• Cumulative energy saving rate of new energy-saving measures from 2016 to 2030 reaches 24% • Cumulative install renewable energy power generation equipment capacity reaches 2,950kW • Purchase 400,000,000 kWh of renewable energy	• Continuously propose energy-saving projects for improvement and enhance energy efficiency • VIS became a new member of RE100 in December 2022, committing to 100% renewable energy use by 2040

Waste Management

Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
• Waste recycling rate reaches ≧ 93% • Waste reduction improvement projects ≧ 50 improvements/year • Waste landfill rate < 0.6 % • Waste treatment companies audited and guided: 100% • The rate of waste treatment companies obtaining ISO 14001 and other international environmental, safety, and health management certifications ≧ 60% • 0 violations of environmental protection regulations	• Achieved: Waste recycling rate of 96.27% • Waste reduction improvement projects: 13 improvements/year Note 2 • Achieved: Waste landfill rate of 0.06% • Achieved: Waste treatment companies audited and guided 100% • Achieved: The rate of waste treatment companies obtaining ISO 14001 and other international environment, safety, and health management certifications is 70.4% • Achieved: Completed 0 violations of environmental protection regulations	• Waste recycling rate reaches ≧ 93% • Waste landfill rate < 0.6% • Waste treatment companies audited and guided: 100% • The rate of waste treatment companies obtaining ISO 14001 and other international environmental, safety, and health management certifications ≧ 60% • 0 violations of environmental protection regulations	• Waste recycling rate reaches ≧ 94% • Waste landfill rate < 0.5% • Waste treatment companies audited and guided: 100% • The rate of waste treatment companies obtaining ISO 14001 and other international environmental, safety, and health management certifications ≧ 70% • 0 violations of environmental protection regulations	• The waste managers from the Facilities Engineering Department at each fab shall propose reduction plans (resin reuse/sludge reuse) • The Technical Board reviews key performance indicators monthly

Note 1: VIS will continue to optimize equipment operations and energy management, actively promoting energy-saving measures to achieve long-term carbon reduction goals and improve energy efficiency.

Note 2: Feasible waste reduction measures have been progressively implemented at all fabs, limiting the introduction of new initiatives. Given that the waste landfill rate in 2024 has exceeded expectations and the potential for further reduction has largely been realized, this target will no longer be set for 2025. VIS will continue to focus on overall waste recycling and landfill rates as key performance indicators advancing toward a circular economy.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Water Resource Management	• Cumulative water saving rate reaches 12% • Taiwan Taoyuan plant (Fab 3) introduce recycled water supply to replace tap water, with water intake reaching 365,000 tons/year • The process water recovery rate is > 85% for Fab 1, Fab 2 and Fab 5 • The process water recovery rate is > 77% for Fab 3 • The process water recovery rate is > 73% for the fab in Singapore • Ammonia nitrogen & TMAH concentration in discharged wastewater < 30ppm for all the fabs in Taiwan	• Achieved: Cumulative water savings rate of 12.5% • Taiwan Taoyuan plant's recycled water intake project was completed in November 2024 [Note 1] • Achieved: The process water recovery rate reached 85.4% for Fab 1; 85.2% for Fab 2; and 85.8% for Fab 5 • Achieved: The process water recovery rate reached 77.1% for Fab 3 • The process water recovery rate reached 70.2% for the fab in Singapore [Note 2] • Achieved: The concentration of ammonia nitrogen is controlled at 7.3-23.8ppm, and TMAH at 0.5-19.7ppm for all the fabs in Taiwan	• Cumulative water saving rate reaches 13.5% • Taiwan Taoyuan plant's recycled water intake reaches 365,000 tons/year • The process water recovery rate is > 85% for Fab 1, Fab 2 and Fab 5 • The process water recovery rate is > 77% for Fab 3 • The process water recovery rate is > 73% for the fab in Singapore • Ammonia nitrogen & TMAH concentration in discharged wastewater < 30ppm for all the fabs in Taiwan	• Cumulative water saving rate of new water-saving measures from 2016 to 2030 reaches 17% • Taiwan Taoyuan plant's recycled water intake reaches 730,000 tons/year • The process water recovery rate is > 85% for all the fabs in Taiwan • The process water recovery rate is > 80% for the fab in Singapore • Ammonia nitrogen & TMAH concentration in discharged wastewater < 30ppm for all the fabs in Taiwan	• Continuously propose water-saving projects for improving and enhancing water resource utilization efficiency • Continuously evaluate and set up water recycling systems • The concentration of all discharged wastewater (including ammonia nitrogen and TMAH) complies with environmental regulations
Talent Attraction and Retention	• Meeting and communication completion rate: 100% • Employee feedback rate: 100% • Turnover rate 5% to 10% • Key talents retention rate ≧ 97% • Female supervisor ratio ≧ 19%	• Achieved: Meeting and communication completion rate: 100% • Achieved: Employee feedback rate: 100% • Turnover rate: 4.7% [Note 3] • Key talents retention rate: 96.6% [Note 4] • Achieved: Female supervisor ratio: 19.5%	• Meeting and communication completion 100% • Employee feedback rate: 100% • Turnover rate ≤ 10% • Key talents retention rate ≧ 97% • Female supervisor ratio ≧ 19%	• Meeting and communication completion 100% • Employee feedback rate: 100% • Turnover rate ≤ 10% • Key talents retention rate ≧ 97% • Female supervisor ratio ≧ 19%	• Implement the Company's 10 Business Philosophy, including creating a dynamic, enjoyable work environment and open management practices • Hold regular communication meetings to gain in-depth insights into employee feedback and enhance the overall employee experience

Note 1: The benefits of the recycled water project are expected to emerge in 2025 and gradually improve year by year.

Note 2: The benefits of suspended solids removal (SSR) and related water purification projects are expected to emerge in 2025 and will increase year by year.

Note 3: In 2024, job market conditions and effective retention measures led to a lower turnover rate; from 2025 onward, the target turnover rate is set at no more than 10%.

Note 4: VIS will continue to enhance retention mechanisms to improve key talent retention.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Occupational Safety and Health	• 0 major occupational disasters and ≦ 10 minor incidents in the entire company • 0 cases of occupational diseases due to chemical exposure • Disabling injury frequency rate ≦ 0.47 (in one million working hours) • Disabling injury severity index ≦ 3.2 • Special task health check completion rate: 100% • Voluntary participation rate in health programs: 51%	• Achieved: 0 major occupational disasters and 7 minor incidents in the entire company • Achieved: 0 cases of occupational diseases due to chemical exposure • Disabling injury frequency rate: 0.51 (in one million working hours) [Note] • Achieved: Disabling injury severity index: 3 • Achieved: Special task health check completion rate: 100% • Achieved: Voluntary participation rate in health programs: 51%	• 0 major occupational disasters and ≦ 10 minor incidents in the entire company • 0 cases of occupational diseases due to chemical exposure • Disabling injury frequency rate ≦ 0.5 (in one million working hours) • Disabling injury severity index ≦ 4 • Special task health check completion rate: 100% • Voluntary participation rate in health programs: 51%	• 0 major occupational disasters and ≦ 8 minor incidents in the entire company • 0 cases of occupational diseases due to chemical exposure • Disabling injury frequency rate ≦ 0.5 (in one million working hours) • Disabling injury severity index ≦ 4 • Special task health check completion rate: 100% • Voluntary participation rate in health programs: 52%	• Establish a clear safety and health policy • Regularly assess and mitigate workplace risks • Provide basic and advanced safety and health training for employees • Establish a system to encourage employee participation in safety culture • Regularly track the completion rate of special task health check • Track the voluntary participation rate of health programs
Employee Development	• The ratio of supervisor positions filled through internal promotion ≧ 75% • The annual training plan achievement rate: 95% • The average annual learning hours per employee: 20 hours	• Achieved: The ratio of supervisor positions filled through internal promotion 85% • Achieved: Annual training plan achievement rate 97.9% • Achieved: The average annual learning hours per employee of 24 hours	• The ratio of supervisor positions filled through internal promotion ≧ 75% • The annual training plan achievement rate: 95% • The average annual learning hours per employee: 20 hours	• The ratio of supervisor positions filled through internal promotion ≧ 75% • The annual training plan achievement rate: 95% • The average annual learning hours per employee: 25 hours	• Implement the Vanguard Management Development Program (VMDP) for cultivating management talent • Establish a Learning Management System (LMS) and encourage employees to devise personalized learning strategies through individual development passports

Note: The 2024 performance improved by approximately 17.7% compared to 2023. VIS will continue to enhance safety management and improve the work environment.

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Product Quality and Safety	• Pass a third-party audit of the quality management system ISO 9001/IATF 16949 and hazardous substance process management system IECQ QC 080000 • The annual continuous improvement activities resulted an efficiency benefit of NT$1.104 billion • Products 100% in compliance with the laws and regulations related to zero harmful substances and customer specifications	• Achieved: Passed a third-party audit of the quality management system ISO 9001/IATF 16949 and hazardous substance process management system IECQ QC 080000 • Achieved: The annual continuous improvement activities resulted an efficiency benefit of over NT$1.344 billion • Achieved: Products 100% in compliance with the laws and regulations related to zero harmful substances and customer specifications	• Pass a third-party audit of the quality management system ISO 9001/IATF 16949 and hazardous substance process management system IECQ QC 080000 • The annual continuous improvement activities resulted an efficiency benefit of NT$1.178 billion • Products 100% in compliance with the laws and regulations related to zero harmful substances and customer specifications	• Pass a third-party audit of the quality management system ISO 9001/IATF 16949 and hazardous substance process management system IECQ QC 080000 • The annual continuous improvement activities resulted an efficiency of NT$1.3 billion • Products 100% in compliance with the laws and regulations related to zero harmful substances and customer specifications	• Strengthen quality culture • Improve quality capacities • Manage hazardous substances in products • Achieve quality applications
Innovation and R&D	• Mass production of wafers with competitive low Ron and low FOM BCD technology • The cumulative number of global patent applications > 3,400 • The cumulative number of trade secret registrations > 5,600	• Achieved: Mass production of wafers with competitive low Ron and low FOM BCD technology • Achieved: The cumulative number of global patent applications has reached 3,430 • Achieved: The cumulative number of trade secret registrations has reached 6,409	• Mass production of wafers with competitive low Ron and low FOM BCD technology, targeting wafer shipment > 1.2 million wafers/year • The cumulative number of global patent applications > 3,500 • The cumulative number of trade secret registrations > 8,000	• Maintain a leading-edge and specialized technologies, consistently providing low-power, high-efficiency technologies to enhance product performance • The cumulative number of global patent applications > 4,000 • The cumulative number of trade secret registrations > 15,000	• Business Development Division and Technology Development Division: Review the planning and strategy of the Company's long-term technology roadmap on a monthly basis • Project Management Department and Technology Development Division: Weekly meetings on tracking the development progress of new technologies • Protect colleagues' research and development innovations through patent applications and incentivization measures, thereby sustaining the Company's competitive advantage, profitability, and reputation • Advance an innovative culture and safeguard company trade secrets by promoting a system for registering trade secrets, thereby enhancing the Company's competitive edge

	Goals 2024	Achievements 2024	Goals 2025	Goals 2030	Long-term Goals Strategies for Achieving
Information Security and Privacy Protection	• Maintain zero occurrence of information security incidents • Maintain continuous ISO 27001 certification and complete the conversion to the new version	• Achieved: Zero occurrence of information security incidents • Achieved: Continuous ISO 27001 certification and completed the conversion to ISO 27001:2002	• Maintain zero occurrence of information security incidents • Maintain continuous ISO 27001 certification	• Maintain zero occurrence of information security incidents • Maintain continuous ISO 27001 certification	• Conduct regular high-level executive information security management meetings • Ensure continuous ISO 27001 certification
Customer Relationship Management	• Customer satisfaction > 90%	• Achieved: Customer satisfaction 97.2%	• Customer satisfaction > 90%	• Customer satisfaction > 90%	• VIS-Online service platform provides customers with complete and real-time supply chain information and Customer Service Satisfaction (CSS) online system

Material Topics Management Policy

Material Topics	Importance Commitment	Strategy	Tracking Mechanism	Responsible Unit
Economic Performance	Ensuring sustainable business goals via strong financial performance and create long-term value for stakeholders.	The executive team continues to optimize operational efficiency and profitability structure to enhance overall business performance and financial results, thereby creating long-term and stable value for the Company. The Board of Directors regularly monitors management performance and provides guidance and recommendations. Relevant management mechanisms are implemented in accordance with internal procedures for handling material information, asset acquisition or disposal, "Tax Governance Policy", procedures for lending funds to others, derivative transactions, and endorsement and guarantee operations, in order to strengthen information transparency and the quality of financial disclosures.	• Board of Directors meetings are held quarterly to ensure the management strategies • Senior management convenes regular business review meetings to track economic performance indicators • Examine product diversification • Disclose Financial Performance to the public	• Finance Division • Accounting Division • Corporate Governance Department
Regulatory Compliance	Through regular evaluation/ confirmation, confirm relevant laws and regulations that may have a significant impact on VIS' operations, business, or finances, to establish internal policies, procedures, and implementation plans on time, and through regulatory tracking, educational training, and advocacy, provide reporting channel etc., to avoid or reduce the operational risk as well as penalties of non-compliance with laws and regulations.	Implementing integrity in business operations is the paramount core value of enterprises. Therefore, VIS has established adhering to laws and regulations, important information protection measures, antitrust laws and regulations, and codes of conduct to avoid illegal risks, in order to achieve stable growth and sustainable operation.	• Each department identifies business-related regulations and regularly reviews and responds to changes • Periodic regulatory tracking, education, training and promotion, provide reporting channels, self-review and auditing • Whether regularly announcing information on new/amended regulations • Whether each department regularly reviews the laws and regulations related to their businesses, responds to changes, and makes compliance reports • Have education and awareness programs been conducted according to the nature of the business? These may include introductions to the AEO Excellent Enterprise Supply Chain Security Management System, information security, corporate social responsibility, prevention of sexual harassment, environmental protection, internal control systems, personal data protection laws, Proprietary Information Protection Policy (PIP Policy), antitrust laws, concepts of intellectual property rights for employees, protection of trade secrets, as well as relevant online and awareness courses on insider trading and short-term trading. • Provide training to specific departments for antitrust education training (business, customer service, and procurement departments)	• Legal Department • Department and Corresponding Responsible Units to Legal Affairs Units Responsible for Corresponding with Legal Related Regulations (e.g., Risk and Environmental Safety Department, Accounting Division, Internal Auditing, Corporate Governance Department, and Procurement Department).
Risk Control	In order to ensure the effective implementation of VIS' business strategies to achieve our operational objectives, VIS has formulated risk management policies and strengthened the organizational culture of risk management, implemented corporate governance, and established overall risk management systems, procedures, and methods, in order to obtain qualitative and quantitative management results as a basis for reference in the formulation of business strategies.	VIS actively performs risk prevention and loss control through domestic and international risk assessment expertise and concepts. Through effective insurance engineering techniques and risk management mechanisms, all employees are undergo regular training and continuous improvement. Risk management measures are integrated into daily internal control operations, and each unit is required to regularly review its own risk control situation, and the board of directors and senior management review the effectiveness of risk control implementation, so that the Company's risks can be effectively controlled within acceptable limits. In order to further implement risk management policies, the Company builds up the Risk Management Committee and reports to the Audit Committee and the Board of Directors on, matters regarding risk management policies and procedures.	• The operating procedures of the Risk Management Committee include drafting and planning risk projects, mid-year reviews, regional risk reviews, company annual risk review meetings, and annual reports to the Audit Committee/Board of Directors	• Audit Committee • Risk Management Committee • Internal Audit Division • Fab or Division/ Subsidiary Executive Committee Member

Material Topics	Importance Commitment	Strategy	Tracking Mechanism	Responsible Unit
Corporate Governance	The Board of Directors and management aim to maximize the interests of the Company and all shareholders, assisting in managing company operations and providing effective oversight mechanisms, encouraging efficient resource utilization, enhancing efficiency, and thereby improving competitiveness.	VIS establishes a sound corporate governance framework through the implementation of internal company bylaws, corporate governance best practices, rules of proceedings for board meetings, director election procedures, organizational regulations of functional committees, methods for evaluating board performance, and procedures for handling internal material information.	• Set up Corporate Governance Department • Diversity for Board Members • Matters concerning the appointment of directors • Continuing education of board members • Performance measurement of third-party directors • Transparency in external communication of corporate governance information • Domestic and international evaluation results	• Corporate Governance Department (assist directors in exercising their duties and responsibilities, board operations)
Supplier Sustainability Management	In the event of an epidemic, war, or even geopolitical influences leading to disruptions in the supply chain and causing company shutdowns, significant impacts will be felt by the Company and its customers.	Commitment to promoting a sustainable supply chain cycle, including establishing supplier sustainability standards, identifying supplier sustainability risks, conducting supplier ESG sustainability audits, and establishing guidance mechanisms and capacity building.	• Procurement practices • Materials management • Close cooperation with importers, exporters, and suppliers • Inventory management • Stability of Supplier Delivery Times	• Procurement Unit (Supplier Management) • Management of material units (providing material requirements to suppliers, inventory management) • Import and export units (management of goods transportation)
Integrity Management	By identifying relevant laws and regulations that may have a significant impact on VIS' operations, business, or finances, VIS establishes internal policies, procedures, and implementation plans to avoid or reduce the negative economic impact of non-compliance with laws and regulations that may affect customer and investor confidence in VIS' sound operations as well as penalties, through regulatory tracking, educational training and advocacy, and provision of reporting channels.	Through adherence to ethical norms, integrity in business operations, and guidelines for reporting and handling violations of integrity, VIS establishes norms for integrity in business operations.	• External regulations • "Ethics and Business Conduct" advocacy result • Provide training to specific departments for antitrust education training (business, customer service, and procurement departments) • Cases through the complaint channel	• Corporate Governance Department (assist directors in exercising their duties and responsibilities, board operations) • Legal Department • Department and Corresponding Responsible Units to Legal Affairs Units Responsible for Corresponding with Legal Related Regulations (e.g., Risk and Environmental Safety Department, Accounting Division, Internal Auditing, Corporate Governance Department, and Procurement Department). • Human Resources Unit

Material Topics	Importance Commitment	Strategy	Tracking Mechanism	Responsible Unit
Climate Change	Responding promptly and appropriately to international trends and issues, while also maintaining and enhancing stakeholder satisfaction, contributes to the Company's competitiveness and potential for benefits.	VIS' net-zero emission path focuses on energy conservation, emission reduction, and carbon reduction, supplemented by the use of green electricity and negative emissions technologies; it will also continue to promote and guide the low-carbon transition of the supply chain. Through the implementation of a low-carbon transition path, we continue to strengthen various green actions.	• Carbon asset management • Energy saving and carbon reduction • Supply chain management • The factory manager serves as the overall coordinator, regularly reporting results to the management team • Corporate Sustainability Committee	• Corporate Sustainability Committee • Enterprise Risk Management Committee • Energy and Carbon Reduction Committee
Energy Management	Effective energy management can achieve positive impacts on the economy and the environment through energy conservation and sustainability. In the future, the continuous increase in industrial demand may lead to energy shortages, and the Company's response strategies may directly result in significant increases in energy costs, with negative impacts on both economic and environmental aspects.	VIS achieves sustainable energy management by adhering to energy regulations, efficiently utilizing energy, implementing energy management objectives, continuously improving performance, supporting green procurement, and establishing internal and external communication channels among six dimensions.	• Establish an energy management program (1D1-0021 Energy Resource Management Manual) • Comply with Energy Management System Standards ISO 50001 • Devise energy improvement objectives	• Facilities Engineering Department (Draft Policies) • The executives of each factory (for policy implementation approval) • Factory Technical Committee (for performance management and enhancement) • Factory Engineering Department (energy scheme management and monitoring) • All Facilities Engineering (Responsible Unit)
Waste Management	Good waste management can reduce waste generation and disposal costs, and recyclable waste can be reused to improve efficiency, which has a positive impact on the economic and environmental aspects.	The VIS improves fab management practices through ISO 14001 management system operation and third-party audit verification; improves facility management practices; continuously prepares to improve and reach the annual target.	Establish Waste Management Procedures: • 1A1-0091 Waste Disposal Control Procedures • 1T2-0027 VIS Waste Reporting Operation Management Procedures • 1D1-0006 VIS fab area and each laboratory business waste removal management measures	• Factory Engineering Department / Corporate Security and Employee Services Department / Warehouse Management Department (temporary storage and clearance management of waste) • Risk and Environmental Safety Management Department (information on waste consolidation and auditing)

Material Topics	Importance Commitment	Strategy	Tracking Mechanism	Responsible Unit
Water Resource Management	Implement water-saving measures, achieving the standard for water recycling rates as announced, or utilizing recycled water, desalinated water, developing water resources, or investing in water-saving equipment to enjoy preferential rates or offset water consumption fees. Water scarcity and rising costs will become concerns for business operations. Through water resource management, companies can mitigate negative impacts on both economic and environmental fronts.	VIS divides water resource management into: water resource efficiency and water pollution prevention. By adopting the ISO 46001 water resource efficiency management system, identify significant water use activities, establish water resource performance indicators and baselines, set management objectives and promote improvement schemes, regularly review and audit relevant management mechanisms, and continuously optimize water resource management performance. For a wastewater discharge quality that is better or in compliance with government regulations the prevention and control of water pollution is divided into the reduction in pollutants used in the production process, and water recovery and water pollutant treatment through high-efficiency equipment.	• Establish Water Management System • Comply with ISO 46001 Water Management Systems	• Facilities Engineering Department (Draft Policies) • The executives of each factory (for policy implementation approval) • Factory Technical Committee (for performance management and enhancement) • Engineering departments of each factory (for establishing corrective and preventive measures)
Talent Recruitment and Retention	Talented individuals will affect technological development and productivity, and VIS' business may be affected, resulting in a negative economic impact.	VIS regularly reviews two key aspects: compensation structure and talent development system, to ensure attraction and retention of talent.	• Complete Holiday and Leave System • Company Survey of Employee Opinion Business Philosophy	• The Supervisor Responsible for Each Organizational Unit • Human Resources Unit
Occupational Safety and Health	Effective occupational health and safety management contributes to reducing the risk of personnel injury and subsequently enhancing work efficiency. Furthermore, efficient safety and health measures can mitigate losses resulting from abnormal incidents, including medical expenses and production losses.	VIS employs the ISO 45001 management system, third-party audits, risk management mechanisms, and establishes appropriate safety protection equipment. It actively cultivates safety and health awareness among operational personnel, safeguarding the safety and well-being of workers.	• Regularly assess the risks of workplace • Employees' Safety Education and Training • Enhanced protective equipment	• Risk and environmental safety management department (education and training, operational control, risk assessment tools, safety audits, etc.) • Department heads (assessing potential risks, equipment inspections)
Talent Development	Outstanding talent serves as the Company's competitive advantage and driving force for growth.	VIS, through providing employee education and training, prepares reserve employees for future capabilities, unleashes potential for innovation, and demonstrates the advantage of talent development.	• Employee self-directed learning outcomes • Talent pipeline	• The Supervisor Responsible for Each Organizational Unit • Human Resources Unit

Material Topics	Importance Commitment	Strategy	Tracking Mechanism	Responsible Unit
Product Quality and Safety	Maintaining excellent and reliable product quality enhances the competitiveness of both the Company and its customers. Ensuring products are free from harmful substances is crucial to understanding the potential environmental impact of the products.	To ensure the satisfaction of customers, we are concerned about the quality of our products, and we take a proactive approach to problems and deficiencies, promoting effective preventive measures to ensure that our customers receive the highest quality products and the best services.	• Quality anomaly defense system • Hazardous substance management system • Product mass recall incidents • Third-party audit results	• Quality and reliability organization (defense system, early anomaly detection)
Innovation and R&D	Continuous innovation and research and development can create new markets and generate more revenue for VIS, thereby maintaining its competitive advantage, increasing profits, and earning reputation.	VIS continues to enhance its innovation and R&D capabilities by offering competitive technologies and services. Internal management is implemented through four key approaches: the Intellectual Property Management Manual, Patent Application and Incentive Rule, Trade Secret Registration and Incentive Rule, and Trademark Management Rule.	• Patent portfolio (quality and quantity of patents) • Trade secret management	• R&D department (development, intellectual property proposals) • Intellectual property department (application, maintenance, and management)
Information Security and Privacy Protection	To prevent information security incidents from causing operational disruptions and affecting customer production, ensuring the proper protection of information assets is essential to maintaining the Company's competitive advantage.	VIS establishes four major aspects in its information security policy: emphasizing information security, establishing information security norms, information authorization classification, and enhancing employee awareness to reduce information security risks.	• The Chief Information Security Officer compiles information security performance reports for presentation to the Board of Directors. • Chief Information Security Officer Hold up Information Security Management Meeting • Information Security Management System	• Chief Information Security Officer • Integrated Information Security Management Unit • The Information and E-commerce Department, Computer Integrated Manufacturing Department, Design Service Department, and Document Control Center continue to enhance the ISO 27001 management system.
Customer Relationship Management	Responding promptly and appropriately to customer needs, while maintaining and enhancing customer satisfaction, contributes to the Company's future revenue growth and potential benefits.	VIS is committed to ensuring that our customers' opinions are understood and properly addressed in order to provide them with the best possible products and services.	• Level of Customer Satisfaction Survey	• Customer Engineering Services Department (customer communication and liaison) • Quality System Management Department (Customer satisfaction survey)

2.3.2 Stakeholder Communication

Customers

100%
Coverage rates for the customer satisfaction survey

97.2%
Overall customer satisfaction

What it Means for VIS

Customers are our partners, and we place the utmost importance on our customers and continue to implement the concept of "customers are partners". We regard our customers' competitiveness as the Company's competitiveness, and our customers' success is also our success. This positioning is the key to our future growth.

Communication Method/Frequency

- Annual Customer Satisfaction Survey/Annually
- Quarterly Business Review/Quarterly
- Customer Visits/Non-periodic
- VIS-Online Customer Communication System/Non-periodic

Topics of Concern

- Innovation and R&D
- Risk Control
- Integrity Management
- Product Quality and Safety
- Information Security and Privacy Protection

Content of Concern

- Domestic and foreign political and economic developments and regulatory developments
- VIS' technology development schedule and plans
- Company capacity planning and production information
- Intelligent manufacturing and intelligent management capabilities

VIS Response

- In 2024, the Customer Satisfaction Survey achieved a 100% response coverage rate, with an overall satisfaction score of 97.2%, successfully surpassing the target threshold of 90%.
- Introducing tools including software robots (RPA), Big Data Intelligence, and Artificial Intelligence to build a highly automated decision-making environment for semiconductor Product Manufacturing, fully optimizing speed, productivity, and Quality in manufacturing.

Nexperia Certificate of Supplier Appreciation 2024

In recognition of Vanguard's commitment to outstanding supply chain performance, customer centric collaboration and its continuous contributions as a key supplier to Nexperia.

Ingo Zurlo
VP Global Supply Chain Management
Nexperia B.V.

Employees

TCSA Outstanding Performance

TCSA Outstanding Performance in Sustainable Practices: Gender Equality Leadership Award, Talent Development Leadership Award, Workplace Wellbeing Leadership Award

HR ASIA

HR Asia: Best Companies to Work for In Asia

What it Means for VIS	The 8th of the Company's top 10 operational concepts, "Creating a challenging and interesting friendly Workplace," indicates for the majority of colleagues, a challenging and continuous learning, yet interesting work environment is even more important than mere monetary rewards. VIS must always shape and maintain such an environment to attract and retain like-minded and best-in-class talent.	
Communication Method/Frequency	• Professional Ethics Training/Annually • Labor-Management Meeting/Quarterly • Chairman's Communication Meeting/At least twice a year	• Executive Communication Meetings at All Levels/Quarterly • Staff Feedback Channels/Non-periodic
Topics of Concern	• Information Security and Privacy Protection • Customer Relationship Management • Product Quality and Safety	• Occupational Safety and Health • Innovation and R&D
Content of Concern	• Smooth and effective communication channels between employee and employer • Talent attraction, development and retention • Fully Compliant working environment and healthy workplace	
VIS Response	• Using diverse communication platforms as a bridge, VIS deepens two-way interactions, fosters consensus among employees on corporate strategy and vision, and stimulates participation and shared growth through real-time feedback. • Technical development collaborations with the International College of Semiconductor Technology at National Yang Ming Chiao Tung University and the College of Semiconductor Research at National Tsing Hua University; courses offered in partnership with National Taiwan University of Science and Technology and National Taipei University of Technology to cultivate future talent. • Promoting workplace equality, VIS received the "Outstanding Award" in both 2023 and 2024 from Taiwan's Ministry of Science and Technology for excellence in workplace equity. • Starting with safeguarding employee well-being, VIS has expanded efforts to establish an inclusive and diverse workplace, strengthening its position as a top employer brand. • Achieving outstanding results in employment security/talent cultivation, diversity & inclusion/women's empowerment, social impact/environmental commitments, and workplace wellness/health promotion, VIS won the "Best Companies to Work for in Asia"by HR Asia, and "Diversity for Better Tomorrow Award: Silver Award" by Womany upon its first participation. • Awarded the "Health Care Award" by Taiwan's Ministry of Health and Welfare, Health Promotion Administration, in recognition of VIS' proactive efforts in establishing comprehensive psychological support systems and promoting employee mental health.	

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Leaving one's hometown can be a daunting experience, but the desire for growth pushed me to move forward bravely. I am incredibly honored to receive the 2024 Foreign Worker Role Model Award from the Hsinchu City Government. After nearly eight years in Taiwan, being nominated by VIS and receiving this recognition fills me with immense gratitude and excitement. With so many hardworking individuals here, being selected among them is truly humbling.

Jovy Vilarama
Fab 5 Manufacturing Department
Recipient of the Foreign Worker Role Model Award, Hsinchu City Government, 2024

I am approaching my 17th year at VIS, and this year, I am honored to once again receive the Outstanding Employee Award. I sincerely appreciate the recognition from my supervisors! When I took on the role of Lithography Super Leader in 2013, I was a newcomer without prior experience with production line equipment. The initial challenges and pressure were immense, but with perseverance and the support of my team, I successfully led my team to secure first place in District 16 and received my first Outstanding Employee Award.

At the end of last year, I stepped out of my comfort zone once again and joined Fab 5 as a Line Leader. This new journey has been a learning experience, and I am privileged to receive my second Outstanding Employee Award. VIS feels like my second home, and I am grateful to the Company for providing opportunities to challenge myself and grow. I also want to thank my colleagues for their support. Together, we will continue striving for excellence!

Hui-Chi Chen
Fab 5 Manufacturing Department
Recipient of the Outstanding Employee Award, Hsinchu Science Park, 2024

Suppliers / Partners

100%
"The Supplier Code of Conduct", has been signed by all 100% of suppliers

100%
The usage rate for Responsible Mines reached 100%

What it Means for VIS	Suppliers are important upstream partners in our operations. We work with suppliers for continually improving areas including new process technology development, Quality enhancement, environmental protection, Human Rights, safety and health regulations, code of conduct, stable supply, and net-zero carbon emissions targets. By deepening our cooperation, we together drive realizing a sustainable supply chain.
Communication Method/ Frequency	• Corporate Sustainability Policy Advocacy/Annually • Supplier Self-Assessment Questionnaire/Annually • Audit and Guidance/Annually
Topics of Concern	• Customer Relationship Management • Regulatory Compliance • Information Security and Privacy Protection • Supplier Sustainability Management • Integrity Management
Content of Concern	• Focus on international standards and trends • Implementing Sustainable Supply Chain Management and Continuous Improvement • Value quality requirements for raw materials and ensuring a steady supply • Compliance with Hazardous Substance Free Policy and Risk Management • Establish an effective responsible mineral management mechanism
VIS Response	• Suppliers are required to comply with and sign the "Supplier Code of Conduct", with a completion rate of 100%. • Suppliers signed the non-hazardous substances Commitment Guarantee and provided Hazardous Substance Risk Assessment reports, with a 100% Completion rate. • According to the international organization RMI Guidelines, due diligence management implementation ensures a full 100% utilization rate for responsible minerals.

Technology originates from the environment; life nurtures technology. We remain committed to fostering environmental friendliness and sustainable development. Taking from nature, applying to life — we are poised to grow boundlessly and lead a new era of green energy

Looking ahead to 2024, in addition to meeting the demand for high-precision silicon wafers for high-performance devices and expanding our product lineup to address geopolitical challenges, the most critical management policy will be establishing a business structure capable of adapting to rapidly evolving market dynamics. Our entire company is united in our ongoing efforts to fulfill our responsibilities as a semiconductor supplier.

At the same time, we will continue to strengthen close cooperation with VIS, jointly promoting various corporate social responsibility initiatives. In response to the global trend toward a circular economy, we will advance ESG activities through our supply chain system, continuing to implement measures such as water conservation, energy saving, and reduction of supply chain waste.

Kazuya Takahashi
President of Formosa SUMCO Technology Corporation

Entegris' mission is to help our customers improve their productivity, performance, and technology by providing enhancing materials and process solutions for the most advanced manufacturing environments

Sustainability is one of the four pillars of our Corporate Social Responsibility Framework. We are committed to integrating environmental sustainability and responsible resource management into every aspect of our operations, from product design to delivery. We are focused on optimizing the use of energy, water, and raw materials in our manufacturing facilities and processes, while reducing GHG emissions and minimizing waste to limit the environmental burden of our global operations.

Mr. Alvin Hsieh
Country President of Entegris

Investors / Shareholders

200
Over 200 investor meetings

21 Years
Providing positive returns to investors for 21 consecutive years

What it Means for VIS	While actively developing, we are also mindful of the interests of our shareholders. By providing investors with transparent information on VIS' management strategy and financial policies, we aim to increase the value of their investments.
Communication Method/Frequency	• Shareholders' Meeting/Annually • Board of Directors' Meetings and Investor Conference/Quarterly • Release of Operating Income/Monthly • Market Observation Post System/Live updates • Company Website/Live updates
Topics of Concern	• Economic Performance • Innovation and R&D • Product Quality and Safety • Corporate Governance • Information Security and Privacy Protection
Content of Concern	• Impact of political and economic conditions on operating results • Market competition conditions and changes • Financial performance • Future profitability of VIS • Dividend stabilization growth strategy
VIS Response	• 4 Earnings Conferences. • More than 200 investor meetings were held, actively communicating with investors. • Providing positive returns to investors for 21 consecutive years.

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As a pioneer in responsible investment, Cathay Life Insurance places great emphasis on the sustainability practices of its investee companies. We have maintained proactive and efficient communication and interaction with VIS on ESG issues over the long term. We commend VIS for the high level of information transparency demonstrated in its communications with investors. During each engagement meeting, VIS clearly articulates its responses and long-term plans regarding ESG-related issues, including the Company's ongoing efforts in climate change adaptation, enhancing water resource management, and strengthening corporate governance. This mode of communication not only establishes a robust and trustworthy communication mechanism with investors but also deepens investors' confidence in the Company's future development and sustainable operations. We look forward to the Company continuing to fulfill its sustainability commitments through concrete actions, thereby enhancing corporate value and creating long-term growth momentum for shareholders' interests.

Cathay Life Insurance
Responsible Investment Team

Media

16
Issuing 16 financial report-related press releases

18
Releasing 18 non-financial related press releases and newsletters

What it Means for VIS	The media is the primary channel through which VIS discloses VIS' performance and actions to the public. VIS has a dedicated spokesperson system for external communications and messaging to ensure that information is accurate and consistent, and that the disclosure process is open and transparent.
Communication Method/Frequency	• Press Release/At least once per month • E-newsletter/Quarterly • Investors Conference/Quarterly • Media Correspondents Networking/At least once per year • Company Annual Report, Sustainability Report/Annually • Press Conference/At least twice a year • Telephone and Email Responses to Media Inquiries/Non-periodic • Clarification of Media Misrepresentation and Reporting at Market Observation Post System/ Non-periodic
Topics of Concern	• Economic Performance • Risk Control • Human Capital Attraction and Retention • Regulatory Compliance • Innovation and R&D
Content of Concern	• Company Performance and Future Outlook • Company's Technological Innovation and R&D Achievements • Industry-related issues, policy perspectives • Company's Concrete Outcomes and Plans for Corporate Sustainability/ESG
VIS Response	• Held 2 press conferences, releasing 16 financial news releases and 18 non-financial news releases. • The 4 conference calls will discuss the Company's recent performance and future outlook. • Descriptions of the Company's corporate sustainability/ESG related actions.

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VIS demonstrates openness and transparency in external communications, fostering long-term, stable trust with stakeholders such as the media. While deepening its core business operations, the Company actively promotes ESG initiatives, enhancing corporate resilience and influence, and continuously creating positive impacts for the semiconductor industry.

Grace Hung
Deputy Convener of the Financial News Center of Liberty Times

Government Agencies / Public Associations

25
Participating in 25 public association groups

4.70 million
The investment exceeded NT$4.70 million

What it Means for VIS	The Company maintains open and effective Communication Channels with government units and public industry associations, tracks government policies and regulations. Through the associations, we raise suggestions to the government in a timely manner, exchange experiences with representatives from relevant industries, all in an effort for contributing to creating an environment conducive to developing the semiconductor industry.
Communication Method/ Frequency	• Responding to the financial and operations information requested by the supervising authorities in official documents or emails/ irregularly • Participate in communication meetings/forums/seminars or public hearings organized by government entities/Non-periodic • Provide industry expertise and advice through industry-related associations in response to current and draft regulations from the government/Non-periodic • Provide financial reports or information in accordance with the requirements and regulations of the competent authorities at each level/Monthly
Topics of Concern	• Climate Change • Waste Management • Air Pollution Control • Water Resource Management • Regulatory Compliance
Content of Concern	• The impact of tax policies and industry-related policies on the business environment • The impact of the international political and economic situation on the business environment and the countermeasures • Response and advice on environmental regulations and the supply of water and electricity in the semiconductor industry competitiveness of Taiwan's semiconductor industry
VIS Response	• Participated in meetings and seminars with government agencies and public associations. • Provided or responded to relevant financial and operational information on a regular basis in accordance with the requirements of laws and regulations. • Participated in the Taiwan Semiconductor Industry Association and the Allied Association for Science Park Industries to communicate with the Ministry of Environment and engage in policy deliberations on environmental regulations relevant to the semiconductor industry. Topics included: Hydrofluorocarbon Management Measures, Carbon Fee Collection Measures, Management Guidelines for Voluntary Emission Reduction Programs, Designated Greenhouse Gas Reduction Targets for Entities Subject to Carbon Fees, Draft Greenhouse Gas Emission Coefficients, Recycled Water Usage and Multiple Water Management Measures, deliberation of draft ordinances for water consumption fees, and the draft ordinance for the subscription of Hsinchu seawater desalination, among other legislative developments.

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The High-Tech Facility Association of Taiwan (HTFA) is dedicated to advancing the development and innovation of high-tech facility infrastructure, promoting smart manufacturing, sustainable operations, and industrial upgrading.

As a key member of the association, VIS serves as both a standing supervisor and board director. The Company actively participates in industry-wide discussions on technological advancement, working hand in hand with partners to drive progress in critical technologies, intelligent facility management, and green construction for high-tech plants.

Through the HTFA platform, VIS shares practical experience and fosters cross-industry collaboration, contributing to the global competitiveness of Taiwan’s high-tech industry.

Shang-Hsien Hsieh
Secretary General of High-Tech Facility Association of Taiwan

Society/ Community

4,000
The year-end charity donations involved over 4,000 employee participations

30 million
The total social engagement value is approximately NT$30 million

What it Means for VIS	As a corporate citizen, VIS firmly believes that sustainable business operations can only be achieved by advancing the common good of society as a whole. Under the periodic review and supervision of the Corporate Sustainability Committee, VIS promotes the Common Good initiative, focusing on five key pillars of public welfare: Caring for Disadvantaged Groups, Supporting Elderly Citizens Living Alone, Empowering Diverse Communities, Environmental Conservation, and Sustainability Advocacy. VIS actively responds to the United Nations' Sustainable Development Goals and continuously evaluates the impact of its operations on local communities, specifically in Hsinchu, Taoyuan, and Singapore. Through donations, volunteer services, and resource contributions, the Company drives various social welfare programs, promotes environmental education, and fosters community development, strengthening both local identity and awareness of environmental sustainability.
Communication Method/Frequency	• Organize Donation Campaigns/Annually • Conduct Volunteer Service Activities/Non-periodic • Organize Community Building or Environmental Education Activities/Non-periodic • Invite Community Residents and Social Welfare Groups to Participate in Corporate Events/ Non-periodic
Topics of Concern	• Social Engagement • Employee Development • Occupational Safety and Health • Water Resource Management • Ecological Conservation and Biodiversity
Content of Concern	• Level of Impact on Society/Community Investment • Environmental Education and Community Building Results • Engaging the supply chain to participate in corporate sustainability activities and rehabilitated fireflies

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We sincerely thank VIS for supporting 144 sessions of professional art therapy courses, creating employment opportunities for 37 individuals with intellectual disabilities. Through art therapy, participants are guided to express their emotions, feelings, and passion for life through painting. Their artwork has been transformed into Merry Young Happy Socks — eco-friendly products made from recycled PET bottle yarns. Every purchase helps us continue caring for the underprivileged and protecting the environment. We are deeply grateful to all VIS employees for helping us create a cycle of kindness — supporting individuals with intellectual disabilities in developing their potential and live with dignity.

Mia Chen
CEO of Maria Social Welfare Foundation

Thank you, VIS. Thank you, parent volunteers

“Corporate Social Responsibility” is no longer just a textbook concept — it has become a meaningful real-life experience! With the support of our dedicated parents, VIS was introduced to our school to lead courses on semiconductors and ecological sustainability. Nearly 100 students in the middle grades learned how businesses can treat wastewater to a level clean enough to restore firefly habitats — demonstrating real corporate responsibility. At the same time, they explored stories about fireflies across cultures and eras, and learned to distinguish butterflies and moths of the Lepidoptera order — developing an appreciation for biodiversity and the importance of ecological conservation.

Li-Yun Chen
Principal of Neihu Elementary School, Hsinchu City

Society/ Community

Continue on the previous page

VIS Response

In 2024, VIS invested approximately NT$30.18 million in social engagement initiatives. Key highlights include:

- Allocated NT$1.2 million in donations to six long-term partner charitable organizations.
- Launched the Year-End Charity Donation Campaign, raising over NT$4.6 million for six charitable groups, with participation from over 4,000 employees.
- Hosted a year-end charity banquet, inviting approximately 300 care recipients from charitable organizations, including elderly individuals, people with disabilities, and senior residents from Baoshan Village and Kehuli Neighborhood in Hsinchu.
- Organized a charity sale of 30th anniversary "My Deer" merchandise, donating NT$1 million in total to six long-term partner charitable groups.
- Held a Christmas market event, inviting two charitable organizations to set up booths, raising over NT$500,000 in sales.
- Conducted the "Sending Love Home in Winter!" donation drive, collecting 30 boxes of essential goods for homeless individuals and seniors living alone in northern Taiwan.
- VIS Singapore subsidiary (VS1) participated in the Boys' Brigade Share-a-Gift campaign for the fourth consecutive year, donating 160 care packages to disadvantaged youth and 400 care kits to residents in a local elderly home.
- Delivered science and career talks on semiconductors at Zhaodong Elementary School and Fuxing Elementary School in rural Hsinchu County, and Neihu Elementary School in Hsinchu City, benefiting over 170 students.
- Collaborated for the second year with IC Broadcasting on the "Learning-Application Link" project, involving 157 high schools and vocational schools across Taiwan, with over 66,000 student viewers and a total outreach of over 140,000 individuals in 2024.
- Sponsored the radio program "Focus Taiwan: Jennifer Shen's talk" with NT$2 million, producing 52 episodes annually focusing on sustainability trends and key cultural topics, reaching an audience of over 970,000.
- Donated NT$500,000 to support the Ukrainian Student Scholarship Program at National Yang Ming Chiao Tung University, assisting two Ukrainian students in continuing their education in Taiwan.
- Contributed NT$300,000 to the "Sunrise Program" at National Tsing Hua University, providing scholarships and female mentorship to support three underprivileged female students.
- Continuously maintaining and monitoring the restoration status of restorative plants within Fab 1: including Bamboo Orchid (NCR), Shower of Gold Climber (NEN), Wulai Azalea (EW), and Matsu Oil Chrysanthemum (native plants).
- Adopted Hsinchu City's largest Quality Air Purification Zone, and collaborated with National Taiwan University on a research project titled "Enhancing Soil Carbon Sinks through Resource Recycling".
- Adopted Hsinchu's Cherry Blossom Park to create a multifunctional urban space where residents can enjoy water features by day, cherry blossoms in spring, and fireflies at night.

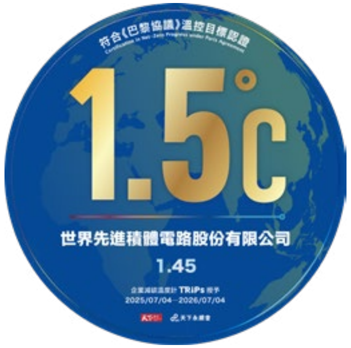
2.3.3 Domestic and International Public Association

VIS adheres to the mission of sustainable operations including Implementing Corporate Governance, Promoting Environmental Sustainability, Establishing a Friendly Workplace, and Contributing to Social Engagement. We aim to enhance our capabilities and contribute to the common good. The Company also actively participates in domestic and international industry associations and relevant non-profit organizations to advocate for its positions, share perspectives, and engage in dialogue. Through collaboration and exchange with other members — often by serving as board supervisors or directors — VIS is committed to advancing both its industry and society.

To ensure responsible engagement in lobbying and public affairs, VIS has established the "VIS Public Affairs Participation Policy", which applies to all global operational sites. Under this policy, VIS commits to participating in public affairs that align with its core business development and shareholder interests. The Company joins industry associations to discuss and help shape relevant policy initiatives. In 2024, VIS did not engage in any direct lobbying activities related to public policy. The organizations supported by VIS primarily include: Associations that contribute to the development of VIS' core business; Organizations that share VIS' stance and perspectives on corporate sustainability issues; Platforms that facilitate discussions on public policy and advocate for shared business interests. VIS reviews and updates its industry association memberships annually. All membership statuses and participation details are submitted to the Chairman for approval to ensure alignment between the association's policy positions — particularly regarding key issues such as climate change — and those of VIS.

In 2024, VIS participated in 25 domestic and international industry associations and organizations. Together with efforts related to public policy advocacy, the total contribution exceeded NT$4.7 million. The topics of focus included: industrial development, technological innovation, talent cultivation, corporate governance, environmental sustainability, human rights, and supply chain management. In both Taiwan and Singapore — where VIS' facilities are located — the Company collaborated with peers in the semiconductor industry to actively engage in public affairs and contribute to public policies that support sustainable industrial and social development.

All of these activities were carried out in accordance with the principles outlined in the "VIS Public Affairs Participation Policy" and the "Ethical Corporate Management Best Practice Principles", which emphasize political neutrality. VIS does not make political donations in the name of the Company. Resources are allocated solely for public affairs and the promotion of public policies that benefit the industry and society.



VIS has declared its "Climate Change Statement", recognizing climate change as one of the most pressing challenges facing both businesses and society today. The Company supports the goals of the Paris Agreement, policies related to climate mitigation and low-carbon transition, and remains committed to maintaining global temperature rise below 1.5 ° C. VIS also maintains neutrality regarding associations with differing views on climate-related topics, and encourages all partner associations to support climate risk mitigation goals aligned with the Company's sustainability goals.

VIS Participation in Public Affairs and Related Expenditures

Unit: NT$ thousand

Category	2021	2022	2023	2024
Lobbying expenditures	0	0	0	0
Contributions to local, regional, or national political campaigns, parties, or candidates	0	0	0	0
Expenditures on participation in chambers of commerce, think tanks, and other non-profit organizations	5,286	4,477	4,540	4,736
Expenditures related to elections or referenda	0	0	0	0
Total contributions/expenditures related to public affairs	5,286	4,477	4,540	4,736
Data coverage	100%	100%	100%	100%

Furthermore, VIS supports the "Taiwan 2050 Net-Zero Emissions target" and the policy direction outlined in the "Climate Change Response Act", which align with the core values of the Paris Agreement. These policies serve as key guidelines for VIS' climate action strategies, guiding its transition to a low-carbon future. VIS also engages in advocacy efforts through industry associations to contribute to achieving a net-zero future.

In 2022, VIS became the first semiconductor company in Taiwan to join the global renewable energy initiative RE100, committing to using 100% renewable energy across all global operations by 2040. The Company has also set a formal net-zero roadmap to reach carbon neutrality by 2050.

In 2023, VIS and other members of the Taiwan Semiconductor Industry Association (TSIA) jointly announced their net-zero commitment during the Semiconductor Industry Net-Zero Launch and Carbon Reduction Technology Seminar. The collective goal is to achieve a 10% absolute reduction in greenhouse gas emissions by 2030 (using 2020 as the base year), and attain net-zero emissions by 2050. A cooperation letter of intent was signed by the TSIA Chairman and a Vice President from ITRI (Industrial Technology Research Institute), marking Taiwan's first industry–research collaboration on net-zero as a pilot initiative. (Related information can be found in: "First Net-Zero Emissions Commitment Among WSC Members Sets Benchmark for the Semiconductor Industry.")

If VIS finds that an association it participates in holds perspectives that diverge from the Company's stance on climate change, it will actively communicate and clearly articulate its position, providing constructive feedback. If such efforts prove ineffective, VIS will publicly express its differing views, distance itself from the association, reevaluate its membership and choose to withdraw during the annual review process.

List of VIS' Participation in Public Associations and Organizations

Type	Name of Organization
Category Name of Organization	International Semiconductor Industry Association (SEMI)*
	Global Semiconductor Alliance (GSA)*
	Taiwan Semiconductor Industry Association*
	The Allied Association for Science Park Industries*
	Taiwan Mergers & Acquisitions and Private Equity Council**
	Taiwan High Tech Facility Association*
	Taiwan IC Industry & Academia Research Alliance**
	Chinese Society for Management of Technology*
	Taiwan Electrical and Electronic Manufacturers' Association*
	Chinese National Association of Industry and Commerce*
	Responsible Business Alliance (RBA)*
	Global Renewable Energy Advocacy Organization (RE100)*
	Singapore Institute of Directors*
	Singapore Semiconductor Industry Association*
	Singapore Business Federation**
	Singapore National Employers Federation**

Type	Name of Organization
Social	Business Council for Sustainable Development-Taiwan*
	CommonWealth Sustainability Association*
	The Second Special Police Corps Friends of the Police Association**
	The Institute of Internal Auditors of the Republic of China**
Professional	Hsinchu City Nurses Association**
	Hsinchu County Nurses Association**
	Taoyuan City Nurses Association**
	Hsinchu City Human Resources Management Association**
	Taiwan Association of Occupational Health Nurses**

Note 1: * Indicates that the association's position on climate change aligns with that of VIS.
VIS evaluates alignment based on whether associations publicly support for the goals of the Paris Agreement or relevant policy positions, or has conducted internal discussions or deliberations on climate change and low-carbon transition policies.

Note 2: ** Indicates that the association, due to its founding purpose focusing on specific subject areas, has not expressed a position on this issue and is therefore not applicable for this assessment criterion.

In 2024, VIS was actively participating in or serving as a supervisor and director of influential public associations. Details are as follows:

Taiwan Semiconductor Industry Association (TSIA)

VIS is a founding member of the Taiwan Semiconductor Industry Association and has been participating in the association since 1996, promoting various industry policies with other member companies in the industry; since 1996, VIS has been serving on the council as a director and supervisor.

In 2024, VIS has been engaging in discussing public policies and promoting them, via participation in associations, including:

- Participated in Ministry of Environment meetings on the amendment of the "Hydrofluorocarbon Management Measures."
- Participated in Ministry of Environment meetings on the "Carbon Fee Collection Measures."
- Participated in Ministry of Environment meetings on the "Voluntary Emission Reduction Program Management Guidelines."
- Participated in Ministry of Environment meetings on the "Greenhouse Gas Reduction Targets for Carbon Fee-Regulated Entities."
- Participated in Ministry of Environment meetings on the "Draft Greenhouse Gas Emission Coefficients."
- Participated in Industrial Development Bureau meetings on the "Recognition Method for the Use of Hydrofluorocarbons as Raw Materials."

Investment Amount

NT$929,000

The Allied Association for Science Park Industries

VIS has been participating in the Hsinchu Science Park Industry Association since 1996, at times serving as the Convenor and Vice Convenor in various functional committees under the Association. VIS promotes the formulation of various industry standards within the park and exchanges experiences among member companies. In 2024, VIS, besides serving as Vice Convenor of the Import and Export Bonded Operations Committee and the Public Relations Committee, also joined 17 committees including Finance and Accounting, Environmental Protection, Utilities Supply, and Intellectual Property and Legal Affairs, providing industry suggestions.

In 2024, VIS has been engaging in discussing public policies and promoting them, via participation in associations, including:

- Participated in water conservation counseling, water conservation observation tour and other environmental related activities.
- Participated in discussions on recycled water utilization and strategies for diversified water resource management.
- Participated in deliberations on draft ordinances regarding water consumption fees and the subscription mechanism for the Hsinchu seawater desalination project.
- Participated in meetings concerning amendments to the "Regulations Governing the Bonded Operations in Science Parks" and relevant seminars.
- Participated in discussions on the development of chemical protective suits tailored to Taiwanese and Asian anthropometric data.
- Participated in policy consultations on hydrofluorocarbon consumption management practices.
- Participated in joint audits of waste disposal vendors organized by the science park association.

Investment Amount

NT$319,000

Taiwan IC Industry & Academia Research Alliance

VIS is a member of the Taiwan IC Industry and Academia Research Alliance (TIARA), supporting this alliance in promoting new models of industry-academia collaborations, developing the leading-edge technologies needed by the industry, focusing on cultivation among high-end human capital in the semiconductor field, and maintaining the strengths in Taiwan's semiconductor technology development and industrial growth.

In 2024, VIS supports TIARA in continuously promoting projects including:

- Supporting developing high school micro-courses teaching materials on semiconductors, aiming for understanding semiconductor technology knowledge and industry information from students' perspectives.
- Supporting the TIARA Semiconductor Youth Research Forum (the "Youth Research Forum") to encourage more young students to pursue scientific research and careers in the technology industry, and to inspire them to understand and apply technology effectively.

Investment Amount

NT$100,000

International Semiconductor Industry Association (SEMI)

VIS is a member of the International Semiconductor Industry Association (SEMI) and serves on committees including the Power and Compound Semiconductor Committee, the Smart Manufacturing Committee, the Semiconductor Cybersecurity Committee, the MEMS & Sensors Committee, and as a member of the Global Automotive Electronics Advisory Committee (GAAC). In addition to participating in the technical forums associated with the annual conference, VIS also works with other members to promote industry policy development and voice our concerns to the government. To assist in communication between industry and government, SEMI Taiwan regularly hosts "Meet the Leader" elite luncheons, setting regular industry topics and inviting government unit chiefs to communicate with industry senior executives.

The communication targets and topics in 2024 include:

Communication Unit	Communication Target
Executive Yuan	• Advancing the development of renewable energy to ensure energy independence • Expanding technology diplomacy and strengthening international cooperation
National Development Council	• Taiwan's 2050 Net-Zero initiative • Promoting the development of Taiwan's advanced semiconductor technology
National Science and Technology Council	• Connecting international startup teams with Taiwan's industries • Strengthening the cultivation of technological talent
Ministry of Foreign Affairs	• Expanding international cooperation in Taiwan's semiconductor industry • Shaping a positive international discourse on Taiwan's industrial chain
Ministry of Economic Affairs	• Green energy supply and grid resilience • Accelerating adoption and increasing the share of low-carbon energy • Promoting the development of Taiwan's advanced semiconductor technology • Supporting the global strategic layout of Taiwan's semiconductor supply chain
Ministry of Environment	• Advancing Taiwan towards net-zero emissions and circular economy • Promoting industrial sustainability in response to climate change

Communication Unit	Communication Target
Ministry of Education	• Strengthening semiconductor talent cultivation
Ministry of Labor	• Promoting employee training and skill enhancement in industries
American Institute in Taiwan	• Taiwan-U.S. mutually beneficial semiconductor cooperation • Assisting industries in understanding U.S. export control regulations and implementation
European Economic and Trade Office and European Embassies in Taiwan	• Development of semiconductor cooperation between Taiwan and European nations
Others: Embassies and Trade Offices from the Asia-Pacific region, including South Korea, the Philippines, Malaysia, etc.	• Cross-regional semiconductor cooperation

Investment Amount

NT$469,800

Taiwan High Tech Facilities Association

VIS is one of the founding members of the Taiwan High Tech Facility Association and serves as a standing supervisor and director in the association. VIS is actively participating in relevant seminars and technical exchange activities, assisting in integrating domestic and international high-tech facility-related resources, and enhancing the development of key technologies in high-tech facilities, for protecting and promoting Taiwan's high-tech industry and its fab equipment industry. VIS aspires to collaborate with association members to promote linkages between upstream and downstream industries in high-tech plants, assisting in cultivation of plant facility human capital, and enhancing formulation of plant facility standards.

In 2024, VIS has been engaging in discussing public policies and promoting them, via participation in associations, including:

- Participating in technical seminars: Workshop of Net-Zero Solutions for High-Tech Facility, Workshop of Smart Plant Transformation and Application for High-Tech Facilities and other activities.
- Participation in international forums: "Accelerating Innovation, Empowering Smart Plant and Sustainable Development", sharing innovative technologies and actual experiences.
- Sharing sustainable technology applications and practices in high-tech facilities.

Investment Amount

NT$11,000

2.4 Implementing the United Nations Sustainable Development Goals

VIS is implementing the United Nations Sustainable Development Goals (SDGs) through Concrete Actions, and its Sustainability Actions in 2024 align with all 16 SDGs.

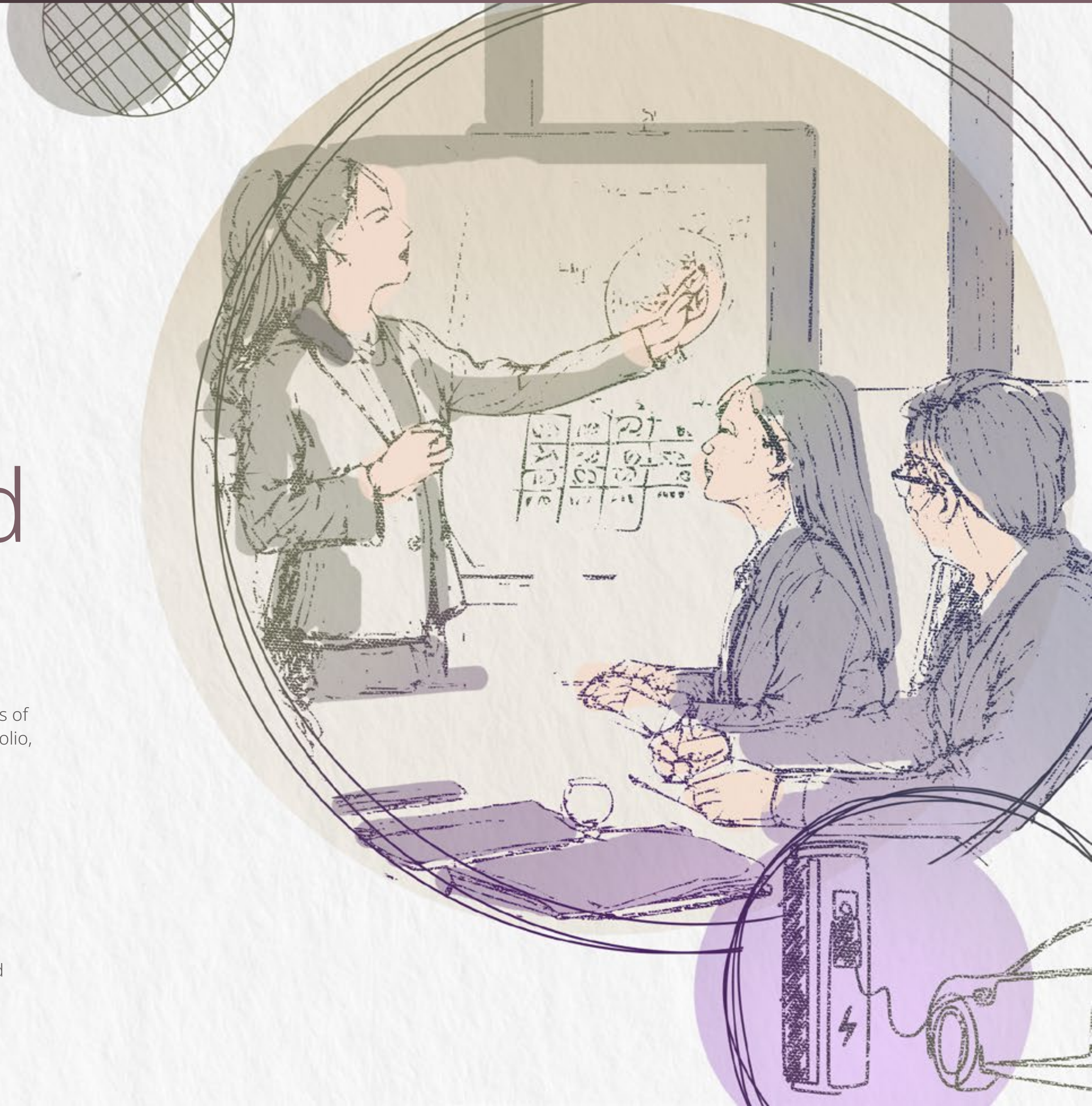
SDGs	Specific Actions in 2024
No Poverty	• Allocated NT$1.2 million in donations to 6 long-term welfare organizations for their operational projects. • Held year-end charity donation campaigns with themes "Overcome High Walls, Open the Door to the World" and "Spending the New Year with the Elderly", inviting employees, clients, and suppliers to contribute. Raised NT$4.6 million for six social welfare organizations, with participation from over 4,000 employees. • Organized the "Sending Love Home in Winter!" material collection campaign, gathering 30 boxes of daily necessities for the homeless and elderly living alone. • Hosted a Christmas market, inviting two charitable groups to sell their goods within the Company. Employees were encouraged to purchase from charity stalls through subsidy vouchers, resulting in 5,400 transactions and over NT$500,000 in sales. • Organized the 30th Anniversary My Deer merchandise charity sale event, through which six charitable organizations received a total donation of NT$1 million. • Conducted the "Order Instead of Donations, Warm Holidays for Social Welfare Groups" campaign, encouraging employees to purchase gift boxes from social enterprises or sheltered workshops. • For four consecutive years, participated in Singapore's Boys' Brigade Share-a-Gift program, donating over 100 gifts to elderly care homes. • For the first time, employees and their children were invited to Brighthill Evergreen Old Age Home in Singapore to organize recreational activities and donate 400 sets of essential supplies.
Zero Hunger	• Organized regular communal meals for the elderly through the volunteer club. • Hosted a year-end charity banquet, inviting six welfare organizations and three local communities, with nearly 300 elders and disabled individuals attending.

SDGs	Specific Actions in 2024
Good Health and Well-being	• Provided annual health check-ups for all employees, with 5,128 participants in Taiwan in 2024, achieving a 97% screening rate. Arranged clinic visits for employees with abnormal results, offering individualized health consultations and enhanced medical assistance and follow-up for those with moderate to high health risks, totaling 1,057 visits throughout the year. • Conducted annual flu vaccination campaigns in conjunction with health check-ups, subsidizing NT$500 per vaccine. In 2024, 1,764 employees received vaccinations, with total subsidies amounting to NT$882,000. • A total of 95 maternal health protection consultations were completed, with tracking and care carried out according to the classification management assessed by physicians, and the continuous promotion of the Maternal Protection 2.0 plan through regular advocacy to strengthen protection concepts. • Organized three sessions of women's cancer screenings, including Pap smears and mammograms, with a total of 265 participants. • Held four seminars on metabolic syndrome and one seminar on kinesiology taping, inviting professional physical therapists to guide participants in the use of kinesiology tape and teach taping techniques. • Organized the "VIS Forest Travel - Online Walking and Weight Loss Competition," encouraging employees to walk and exercise for weight loss. A total of 1,473 participants joined, with 256 employees participating in the weight loss challenge, collectively losing 630.5 kg, averaging about 2.5 kg per person. • "Prenatal checkup leave" and "Paternity leave" have been increased from the statutory 7 days to 10 days; "Maternity Leave" has been increased from the statutory 56 days to 98 days. • Awarded the Taiwan Corporate Sustainability Award (TCSA) for "Workplace Wellbeing Leadership Award," the "Outstanding Healthy Workplace- Health Care Award" by the Ministry of Health and Welfare and the Gold Award for "Epidemic Prevention Vanguard" from the Corporate Epidemic Prevention Alliance.

SDGs	Specific Actions in 2024
Quality Education	• Achieved a total of 158,005 hours of internal training throughout the year, with 140,286 participants, averaging about 24.21 hours of training per employee, with total training expenses exceeding NT$26 million. • Collaborated with IC Broadcasting on the "Bridging Education and Application" project, reaching over 140,000 people. This included career guidance for more than 66,000 high school students from vocational schools; the film was screened across high schools in the Taoyuan, Hsinchu, and Miaoli regions and made available for application by high schools across Taiwan. Additionally, physical seminars were held at Experimental High School and Hukou High School, facilitating face-to-face interactions between high school students and university professors and HR managers. • Partnered with the Taoyuan City Government Education Bureau and National Yang-Ming Chiao Tung University to promote the "University and High School Co-Creation Online Learning Program," helping to design, produce, and promote courses on "Semiconductor Principles and Manufacturing Overview." Signed a tripartite memorandum of cooperation to launch digital courses on "Semiconductor Principles and Manufacturing Overview." • Sponsored the "Sunrise Program" at National Tsing Hua University (NT$300,000) and the "Ukraine Project" at National Yang-Ming Chiao Tung University (NT$500,000), supporting disadvantaged students both domestically and internationally. • Held the first "Junior Engineers" one-day winter camp and two-day summer camp, each with one session, combining innovative courses on semiconductors, environmental education, arts and crafts, scientific experiments, and safety education. • Donated 170 copies of the book "Holding Hands and Never Letting Go: Together We Traverse the Quicksand of Depression," benefiting 17 high schools and vocational schools in the Taoyuan, Hsinchu, and Miaoli regions. • Conducted 'Semiconductor Science Popularization and Career Lectures' at Zhaodong Elementary School and Fuxing Elementary School in Hsinchu County, as well as Neihu Elementary School in Hsinchu City; organized beetle and ecological education courses at Neihu Elementary School. • Awarded with the Taiwan Corporate Sustainability Award (TCSA) for "Talent Development Leadership Award", the "Best Companies to Work for in Asia Award" by HR Asia, and "Diversity for Better Tomorrow Award: Silver Award" by Womany.
Gender Equality	• Increased the proportion of female supervisors to 19.5%. • Adhered to the principle of equal pay for equal work, maintaining a nearly 1:1 pay ratio between male and female employees at the grassroots level. • Established the first Employee Resource Group, Women V, organizing a series of empowerment activities, including two DEI (Diversity, Equity, and Inclusion) forums and two focus group discussions, fostering an inclusive work environment that meets diverse needs and creating a diverse and inclusive workplace culture. • Formulated a Sexual Harassment Prevention and Management Policy, upholding zero tolerance for discrimination; established a sexual harassment complaint mailbox overseen by the Chief Legal Officer; included sexual harassment prevention in the mandatory annual training courses. • Awarded the Taiwan Corporate Sustainability Award (TCSA) for "Gender Equality Leadership Award", the "Best Companies to Work for in Asia Award" by HR Asia, and "Diversity for Better Tomorrow Award: Silver Award" by Womany.
Clean Water and Sanitation	• All fab areas are not classified as high water risk areas, with water usage in these regions being less than 2%. • Since 2015, accumulated process water recycling has exceeded 10 million metric tons. • Effluent TMAH concentration ranges from 1.24 to 6.65 ppm, and ammonia nitrogen concentration ranges from 5.8 to 16.5 ppm. • Achieved an A- rating in the Carbon Disclosure Project (CDP) water security questionnaire. • Maintained certification for ISO 14046 product water footprint and ISO 46001 water efficiency management system. • Conducted green water conservation work along the Kezihu near the plant area and at the detention pond in Hsinchu Science Park.
Affordable and Clean Energy	• Saved 9,374 MWh of electricity throughout the year, estimated economic benefits of NT$34.94 million; 2024 electricity savings rate was 0.95%, with a cumulative energy saving rate of 18.13% since 2016. • Installed renewable energy generation equipment with a capacity of 272 kW at Fab 2, achieving a total annual power generation of 296,434 kWh. • In July 2024, the installation of the solar photo-voltaic system in the Singapore wafer fab of VIS was completed, with a capacity of 469 kW and an actual power generation capacity of 244,773 kWh. • Procured 11,634,012 kWh of renewable energy. • Maintained ISO 50001 energy management system certification.
Decent Work and Economic Growth	• Achieved consolidated annual revenue of NT$44.05 billion; net profit after tax of NT$7.05 billion; earnings per share after tax of NT$4.16; average gross margin of 27%; and a return on equity of approximately 12.8%. • Implemented a mid-to-elderly workforce suitability program, conducting risk assessments and consultations for employees over 45 years old, and providing tailored job placements to ensure safety and health in compliance with occupational safety and health laws. • The number of employees with disabilities exceeds regulatory requirements. Collaboration with employment centers enables the design and provision of job coaching, assisting them in adapting to employment and actively creating high-quality and diverse job opportunities. • Conducted environmental and occupational safety and health regulatory surveys for 48 raw material suppliers and 3 component suppliers, confirming full compliance with requirements. • Established the Employee Assistance Program (EAP) 2.0, offering employees expert counseling and medical services in areas such as psychology, law, finance, health, and management. All consultation content is protected by privacy and confidentiality policies. • Awarded as one of the top 10% outstanding enterprises for the disclosure of occupational health and safety performance indicators in corporate sustainability reports by the Ministry of Labor, and ranked 12th in the large manufacturing enterprises for the Corporate Social Responsibility Award by CommonWealth Magazine.

SDGs	Specific Actions in 2024
Industry, Innovation, and Infrastructure	• Allocated 5% of annual revenue to research and development. • Accumulated 3,430 global patent applications and 6,409 registered trade secrets. • As a member of the Semiconductor Equipment and Materials International (SEMI), participated in the Power and Compound Semiconductor Committee, Smart. • Manufacturing Committee, Semiconductor Cybersecurity Committee, MEMS & Sensors Committee, and the Global Automotive Advisory Council (GAAC), engaging in annual semiconductor technology exchanges and policy communications. • As a member of the Taiwan Industry-Academia Research Alliance (TIARA), supported initiatives for new types of industry-academia cooperation and the joint development of pre-competitive leading technologies needed by the industry. • Founding member of the Taiwan High-Tech Facility Association, serving as an executive supervisor and director, integrating resources related to high-tech facilities domestically and internationally, and promoting the development of key technologies for high-tech facilities.
Reduce Inequalities	• Ensured 100% zero recruitment fees for foreign employees, rigorously verifying intermediary company data, and safeguarding supply chain human rights with no complaints of violations in 2024. • Foreign employees enjoy the same benefits as domestic employees, with no discrimination based on nationality. • Employees in same-sex marriages can apply for parental leave without pay when adopting their spouse's children. • Awarded the Excellence Award for promoting workplace equality by the Hsinchu Science Park , and the Best Companies to Work for in Asia Award by HR Asia, "Diversity for Better Tomorrow Award: Silver Award" by Womany.
Sustainable Cities and Communities	• Adopted Cherry Blossom Park in Hsinchu City, creating a "enjoy proximity to water, appreciate cherry blossoms during the day, and view fireflies at night." • Adopted Qianjia Air Quality Purification Zone, the largest air quality purification zone in Hsinchu City, and was recognized for five consecutive years as an "Outstanding Adoption Unit" by the Environmental Protection Administration.
Responsible Consumption and Production	• Achieved an average removal rate of 96.62% for volatile organic compounds (VOCs) in Taiwan plants, surpassing the environmental impact assessment's best practicable control technology of 92%. • Attained a 96.27% waste recycling rate and a 0.06% landfill rate. • Conducted N-Methyl-2-pyrrolidone (NMP) substitution operations, achieving a 33% reduction in 2024, with a target of 60% reduction by 2025. • Conducted sustainable supply chain education and training courses in the procurement department, totaling 108 hours of training for the year. • Organized public environmental education activities such as tree planting and firefly watching, with over 2,529 employee volunteer hours and over 3,527 public participants. • Awarded the "National Enterprise Environmental Protection Award" from the Ministry of Environment, and the Silver Tower Award and Bronze Tower Award in the "Taiwan Continuous Improvement Competition." • Maintained certification for the QC 080000 hazardous substance management system.

SDGs	Specific Actions in 2024
Climate Action	• Collaborated with National Taiwan University to advance the "Enhancing Soil Carbon Sinks through Resource Recycling" research project, becoming the first semiconductor company in Taiwan to utilize resource recycling concepts for carbon sequestration technology, with on-site experiments at Qianjia Air Quality Purification Zone. • Implemented the "Task Force on Climate-Related Financial Disclosures (TCFD)" and the "Taskforce on Nature-related Financial Disclosures (TNFD)" management frameworks. • Established an electronic carbon management platform to reduce the execution time for annual greenhouse gas inventories. • Reduced carbon emissions by approximately 44,300 tons of CO_2 equivalent for the year, accounting for 4.68% of the total carbon emissions in Scopes 1 and 2 for 2021. • Achieved an A rating on the Carbon Disclosure Project (CDP) Climate Change Questionnaire. • Maintained ISO 14064-1 verification for greenhouse gas inventories and ISO 14067 verification for product carbon footprints.
Life on Land	• Promoted "Biodiversity in Factories", completing the planting of four types of rehabilitated plants at Fab 1, including Bamboo Orchid (*Arundina graminifolia*) (Nationally Critically Endangered, NCR), Shower of Gold Climber (*Tristellateia australasia*) (Nationally Endangered, NEN), Wulai Azalea (*Rhododendron kanehirai*) (Extinct in the Wild, EW), and Matsu Oil Chrysanthemum(*Chrysanthemum morifolium*) (native plant), becoming the first Taiwanese company to invest in the rehabilitation of Bamboo Orchid. • Implemented a four-year firefly restoration project in the green areas surrounding the factory, releasing a total of 8,000 fireflies larvae, successfully establishing a sustainable firefly ecosystem.
Peace, Justice and Strong Institutions	• Formulated and implemented the "Human Rights Policy" based on international human rights conventions and policies, regularly assessing human rights risks, and setting mitigation measures. • Held at least four chairman communication meetings annually, including meetings for management and open forums for all employees. In 2024, five meetings were held where the chairman shared company operations and future outlooks, addressing employee questions to ensure effective two-way communication. • Established a public whistleblowing mailbox for all stakeholders, with employees also able to file complaints through employee opinion channels and ombudsman system. In 2024, a total of 364 employee complaints were received, with a resolution rate of 100%.
Partnerships for the Goals	• Incorporated biodiversity and zero-deforestation commitments into the "Supplier Code of Conduct," with 1,176 suppliers fully signed. • To ensure sustainable supply chain management, an educational platform for suppliers was established, with training materials designed and educational training conducted, achieving 100% training completion for 1,121 suppliers. • Collaborated with suppliers to improve processes, increase yield, and reduce resource consumption, with a cumulative total of 45 projects since 2020. • Sponsored the "Focus Taiwan: Jennifer Shen's Talk" radio program (NT$2 million), sharing sustainability trends and knowledge on air, producing 52 episodes in 2024, with an impact reaching over 970,000 people.



Governance and Innovation

Technological innovation and manufacturing capability innovation are the two main pillars of the Company's innovation strategy. These are further supported by a robust patent portfolio, ensuring that innovation outcomes are adequately protected and achieve their rightful commercial value.

5%

Ranked among the top 5% of "non-categorized TPEx-listed companies" in the Corporate Governance Evaluation for 11 consecutive years

97.2%

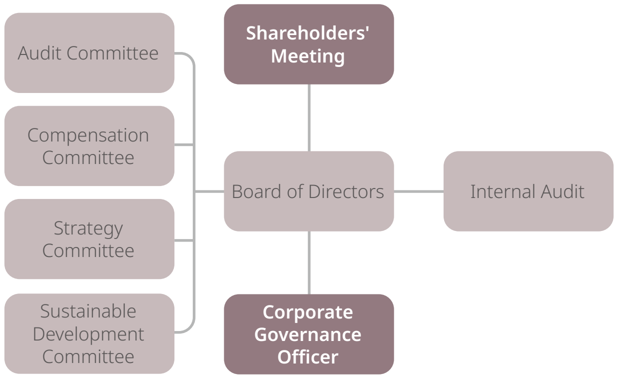
The annual customer satisfaction rate reached 97.2%

3.1 Corporate Governance

3.1.1 Corporate Governance Structure

The highest governance unit of Vanguard International Semiconductor Corporation (VIS) is the Board of Directors, which guides VIS' strategies and supervises management. To implement corporate governance and strengthen the Board of Directors' management, the Audit Committee, Compensation Committee, and Strategy Committee were established under the Board of Directors to assist in performing its supervisory duties. In addition, in order to strengthen corporate sustainable governance, the Board of Directors approved the establishment of the Sustainable Development Committee on February 24, 2025. On April 29, 2019, the Board of Directors resolved to appoint a Corporate Governance Officer to assist the directors in executing their duties and provide them with necessary information.

VIS has highly implemented corporate governance, earning multiple recognitions from external parties. This includes being honored for eleven consecutive years in the Corporate Governance Evaluation organized by the Taiwan Stock Exchange and Taipei Exchange, ranking in the top 5% among non-categorized TPEx listed companies. Additionally, we have been selected for four consecutive years as a component of the Dow Jones Sustainability Index (DJSI) World Index and have been included in the Emerging Markets Index for three consecutive years.



Continuously improving corporate governance, VIS regularly tracks announcements from supervisory authorities and relevant regulatory information, conducts impact assessments, and formulates corresponding measures. VIS also continues to conduct review and improvement for metrics in important evaluations both domestically and internationally that have not yet been met, and keeps abreast of changing evaluation methods and metrics. In this way, we aim to keep up with developing trends in international corporate governance systems and continue exemplary performance in various evaluations for the future.

3.1.2 Composition of the Highest Governance Structure

VIS insists on operational transparency, prioritizes shareholder equity, and believes that a sound and efficient Board of Directors is the foundation of good corporate governance.

Organization of the Board of Directors

According to "Article of Incorporation", VIS adopts a nomination system to elect Directors and Independent Directors, and has promulgated "Rules Governing the Election of Directors". Nominations are allowed by shareholders who hold more than one percent of the total issued shares or the Board of Directors. The Board of Directors then considers the professional knowledge, academic background, and work experience of the nominees, and takes into account the diversity and independence required for composition of the Board of Directors, then presents a list of candidates for election at the shareholders' meeting according to their assessment of qualifications. The term of office for Directors is three years. At the 2024 Annual Shareholders' Meeting, the 11th Board of Directors was elected, including a total of nine directors (including five independent directors). The five independent directors are Mr. Kenneth Kin, former Senior Vice President of Taiwan Semiconductor Manufacturing Company Limited (TSMC), Mr. Chintay Shih, former Chairman of the Institute for Information Industry, Mr. Liang-Gee Chen, former Minister, Ministry of Science and Technology, Republic of China, Mr. Chung S. Hsu, former President of VIS, and Ms. Chan Jane Lin, former Professor of Accounting Department at National Taiwan University. Among the other four directors, one is a corporate representative: Mr. Ming-Hsin Kung, representing the National Development Fund, Executive Yuan; and there are three individual directors: Mr. Leuh Fang, former President of VIS (Chairman of VIS), Mr. F.C. Tseng, former Vice Chairman of Taiwan Semiconductor Manufacturing Company Limited (Vice Chairman of VIS), and Mr. Jong-Chin Shen, former Vice Premier of the Executive Yuan.

Operational Status of the Board of Directors

The Board of Directors is the highest governance unit and the major business decision-making center of VIS. Its functions and responsibilities include appointing and guiding VIS' management, overseeing business performance, making resolutions on important issues, preventing conflicts of interest, and ensuring that VIS exercises its duties and responsibilities in compliance with various laws, the "Article of Incorporation", or resolutions of the shareholders' meeting. The Board of Directors holds meetings at least once every quarter and at least five times a year, during which it listens to reports from the management team and evaluates development strategies and various proposals presented by the management team.

In accordance with the provisions of the Company Act, amendments to a company's Articles of Incorporation shall be resolved at the shareholders' meeting. Where any resolution adopted by the Board of Directors contravenes laws, the Articles of Incorporation, or resolutions adopted at the shareholders' meeting, thereby resulting in loss or damage to the Company, all directors taking part in the adoption of such resolution shall be liable to compensate the Company for such loss or damage. According to Article 38 of "Corporate Governance Practice Principles", the Company is advised to take out liability insure for directors with respect to liabilities resulting from exercising their duties during their terms of office, so as to reduce and spread the risk of significant damage to the Company and shareholders arising from the wrongdoings or negligence of a director. Accordingly, we have obtained directors' liability insurance and will adjust the coverage amount in a timely manner based on the Company's operational scale and the responsibilities undertaken by the directors, providing financial protection for the directors.

In 2024, VIS underwent a director election with a term of three years. To conform to the international trends in corporate governance development, in the second half of 2023, the Board began to plan for the organization of the next slate of the Board of Directors and suitable candidates, to achieve diversity, professionalism, and independence in the composition of the Board. Before the election, VIS had multiple discussions with major shareholders and directors about the nomination plan, and began to approach suitable candidates. In April 2024, the Corporate Governance Department reviewed and evaluated the professionalism and suitability qualifications of the directors, and independence qualifications of the independent directors, then considering the diversity and balance of the overall composition of the Board, the list of nominated candidates for the 11th Board of Directors was proposed by the Board of Directors. This list not only meets the Company's requirements for director professionalism but also addresses goals for gender diversity and enhanced independence. An additional independent director seat was established, and the composition of independent directors was adjusted, ensuring that a majority of independent director candidates have served less than three terms as independent directors at VIS, and included a female independent director candidate. Following the shareholders' vote at the 2024 Annual Shareholders' Meeting, all the above candidates were successfully elected. They officially became members of the 11th Board of Directors of VIS starting from June 14, 2024.

VIS provides directors with various meeting plans and information through the Corporate Governance Department to facilitate the grasp of proprietary information of VIS in real time by directors. In addition to Board meetings, the Corporate Governance Department also arranges multiple meetings to swiftly update directors on changes in operational outlook, business market planning, research and development directions, so that directors can provide guidance and recommendations to the management team. This process aids in formulating favorable development directions and strategies. Furthermore, to assist new directors in understanding the Company's development, the Corporate Governance Department held orientation sessions for the new Board members in June and August 2024. These sessions explained the Company's organizational structure, operational activities and development, financial status, as well as the responsibilities of directors and independent directors. Through the arrangements mentioned above, VIS has established a comprehensive support system for its Board of Directors.

Operation of the Board of Directors in 2024

According to Article 30 of "Corporate Governance Practice Principles," each director's attendance of Board meetings shall be at least 80% annually. In 2024, the Board of Directors held a total of 10 meetings, with the 10th Board holding 4 meetings and the 11th Board holding 6 meetings. The attendance of directors is as follows:

Title	Name	Actual Attendance (times)	Attendance by Proxy	Actual Attendance Rate (%)
Chairman	Taiwan Semiconductor Manufacturing Company Limited (TSMC) Representative: Leuh Fang[Note]	4	0	100%
	Leuh Fang[Note]	6	0	100%
Vice Chairman	Taiwan Semiconductor Manufacturing Company Limited (TSMC) Representative: F.C. Tseng[Note]	4	0	100%
	F.C. Tseng[Note]	6	0	100%
Director	National Development Fund, Executive Yuan Representative: Lai-Shou Su[Note]	4	0	100%
	National Development Fund, Executive Yuan Representative: Ming-Hsin Kung[Note]	5	1	83%
Director	Edward Y. Way[Note]	4	0	100%
Director	Jong-Chin Shen[Note]	6	0	100%
Independent Director	Chintay Shih	10	0	100%
Independent Director	Kenneth Kin	10	0	100%
Independent Director	Liang-Gee Chen	10	0	100%
Independent Director	Chung S. Hsu[Note]	6	0	100%
Independent Director	Chan-Jane Lin[Note]	6	0	100%
Independent Director	Benson W.C. Liu[Note]	4	0	100%
Average Attendance Rate				99%

Note: At the shareholders' meeting on June 14, 2024, VIS elected the 11th Board of Directors. Mr. Leuh Fang and Mr. F.C. Tseng, who were originally representatives of Taiwan Semiconductor Manufacturing Company Limited (TSMC), were elected as directors in their personal capacity. National Development Fund, Executive Yuan was re-elected as a director, with Mr. Lai-Shou Su being replaced by Mr. Ming-Hsin Kung as the representative. Mr. Edward Y. Way and Mr. Benson W.C. Liu stepped down after the shareholders' meeting. Mr. Jong-Chin Shen, Mr. Chung S. Hsu, and Ms. Chan-Jane Lin were elected as new directors.

Diversity, Professionalism, and Independence of Board Members

VIS stipulates in the "Corporate Governance Practice Principles" that the composition of the Board of Directors should evince diversity. According to this policy, the number of Directors concomitantly holding managerial positions in the Company should not exceed one-third of the total number of Board seats. Moreover, members of the Board should encompass individuals from different nationality, race, gender, professional backgrounds or fields of work and should possess the requisite knowledge, skills, and cultivation for the execution of their duties. In addition, the "Corporate Governance Practice Principles" also set up the stipulation that the ratio of female directors are advisable to reach one-third of the seats of the Board of Directors, and the provision that the number of independent directors shall not be less than one-third of the Board seats, to enhance Board diversification and independence.

In 2024, to enhance the dedication and contribution of directors to the Board and improve their qualifications, the "Corporate Governance Practice Principles" further stipulate that it is not advisable for a director concomitantly serves as a director (including independent director) or supervisor for more than 5 TWSE/TPEx listed companies. In 2024, the average number of other TWSE/TPEx listed companies for which all directors concomitantly serve as directors or supervisors was 2.

In order to achieve the ideal goal of corporate governance, the capabilities and experience that the overall Board of Directors shall have include leadership, strategic decision-making, business management, global market perspective, industry insight, financial management and analysis, operating judgments, risk/crisis management, and sustainability governance.

At the same time, to enhance the diversity of Board members, VIS also determined Specific Management Goals for the current stage. In 2024, the Company re-elected all directors. The Board of Directors proposed a female independent director candidate who was subsequently elected at the Annual Shareholders' Meeting, thereby achieving the Specific Management Goal of having at least one female director.

Diversified Specific Management Goals

1. VIS places emphasis on Gender Equality in the composition of its Board, with a goal of having at least one Female Director or a ratio over 10%.
2. Gradually increasing the number of Board of Directors members with professional backgrounds in Corporate Governance, Environmental Sustainability, Corporate Social Responsibility, and legal aspects, to better supervise and guide VIS in responsiveness to international ESG development trends.

The 11th Board of Directors of VIS meets the goals and requirements of diversity. Among the directors, Chairman Mr. Leuh Fang, Vice Chairman Mr. F.C. Tseng, and independent directors Mr. Kenneth Kin, Mr. Chintay Shih, Mr. Liang-Gee Chen, and Mr. Chung S. Hsu bring relevant experience in the Information Technology industry. The independent director Ms. Chan-Jane Lin has experience in accounting and corporate governance (Financials), and the directors, Mr. Jong-Chin Shen and Mr. Ming-Hsin Kung, have relevant experience in finance (Financials).

The directors' professional qualifications and experience cover the dimensions of semiconductor expertise and technology, business operations and management, sales and marketing, financial accounting, corporate governance, and finance. In general, they possess the necessary knowledge, skills, and literacy required to effectively fulfill their duties.

As for independence, the 11th Board of Directors comprises of nine members, including five independent directors (representing 56% of the Board). The Corporate Governance Department annually reviews the qualifications and suitability of incumbent Independent Directors to confirm that the qualifications of independent directors continue to comply with the requirements of relevant laws and regulations. In addition, no directors are subject to relationships specified in Paragraphs 3 and 4 of Article 26-3 of the Securities Exchange Act, i.e., they do not have a relationship of spouse or relatives within the second degree of kinship. Mr. Leuh Fang, the current Chairman, joined the VIS Management Team in 2009 as the President and acted officers in key management positions in subsidiaries. In 2015, he was elected to join the Board of Directors at the shareholders' meeting and took up the position of Chairman. He has spared no effort in contributing to the Company's direction and strategy and in guiding and communicating with all management levels. He is a successful example for VIS Board members' succession plan. In 2023, the Chairman switched from holding the dual role of President to the position of Chief Strategy Officer, providing the Company's overall strategic development planning.

According to the corporate governance structure of VIS, the Company's strategic decision-making is jointly decided by all directors, including the five independent directors. VIS' "Article of Incorporation" prescribe the authorization, duties and responsibilities of the Chairman and President, and stipulate the organization of functional committees specifying their functions and responsibilities. Thus, the President has to report to the Board of Directors on VIS' operation, business and financial status every quarter, and accept supervision and guidance of other Board members; therefore, there is sufficient independence between the Board of Directors and the management.

Overall, except for Chairman Mr. Leuh Fang who also serves as the Chief Strategy Officer, none of the other directors hold positions within the Company. At the same time, more than half of the directors are independent directors who can impartially supervise the Management Team, demonstrating substantial independence. The Board of Directors and the Management Team each fulfill their responsibilities for supervision of decision making and operational management to ensure the maximization of long-term shareholder interests.

Professional Competence and Independence of the 11th Board of Directors (Tenure from June 14, 2024 to June 13, 2027)

Title	Name	Continuous Term of Office Note 2	Gender	Age (years old)	Independence Note 3	Professional Competence and Experience									Global Industry Classification Standard (GICS) Note 4
						Leadership	Strategic Decision-making	Business Management	Global Market Perspective	Industry Insight	Financial Management and Analysis	Operating Judgments	Risk/Crisis Management	Sustainability Governance	
Chairman	Leuh Fang Note 1	10 years	Male	71-80		V	V	V	V	V	V	V	V	V	Information technology industry
Vice Chairman	F.C. Tseng	12 years	Male	81-90	V	V	V	V	V	V		V	V	V	Information technology industry
Director	National Development Fund, Executive Yuan Representative: Ming-Hsin Kung	1 year	Male	61-70	V	V	V	V	V		V	V	V	V	Financial industry
Director	Jong-Chin Shen	1 year	Male	71-80	V	V	V	V	V		V	V	V	V	Financial industry
Independent Director	Kenneth Kin	13 years	Male	71-80	V	V	V	V	V	V		V	V	V	Information technology industry
Independent Director	Chintay Shih	13 years	Male	71-80	V	V	V	V	V	V		V	V	V	Information technology industry
Independent Director	Liang-Gee Chen	3 years	Male	61-70	V	V	V	V	V	V		V	V	V	Information technology industry
Independent Director	Chung S. Hsu	1 year	Male	81-90	V	V	V	V	V	V	V	V	V	V	Information technology industry
Independent Director	Chan-Jane Lin	1 year	Female	61-70	V	V	V	V	V		V		V	V	Financial industry

Note 1: Mr. Leuh Fang, the Chairman, also serves as the Chief Strategy Officer. The semiconductor industry is a rapidly changing and highly competitive industry. Mr. Leuh Fang has extensive experience in the semiconductor industry, so VIS hires him as the Chief Strategy Officer. Decisions at VIS are made collectively by the Board of Directors, and more than half of the Board members are independent directors. Except for Chairman Mr. Leuh Fang, none of the other directors hold positions within the Company. Therefore, the Board maintains substantial independence, with the Board and the management team each fulfilling their respective responsibilities in supervision of decision-making and operational management.

Note 2: The average tenure of the 11th Board of Directors is 6.1 years. Reasons for independent directors serving more than three consecutive terms:

1. Dr. Chintay Shih has rich experience and professional skills in the semiconductor industry, and has forward-looking insights on industrial development. VIS needs its expertise to improve the quality of Board of Directors' strategic decision-making and latency of operational decisions.
2. Dr. Kenneth Kin has extensive experience in semiconductor marketing, global operations, and brand management. VIS needs his insights and industry experience to guide the future development direction of the Company and provide strategic guidance for product development.

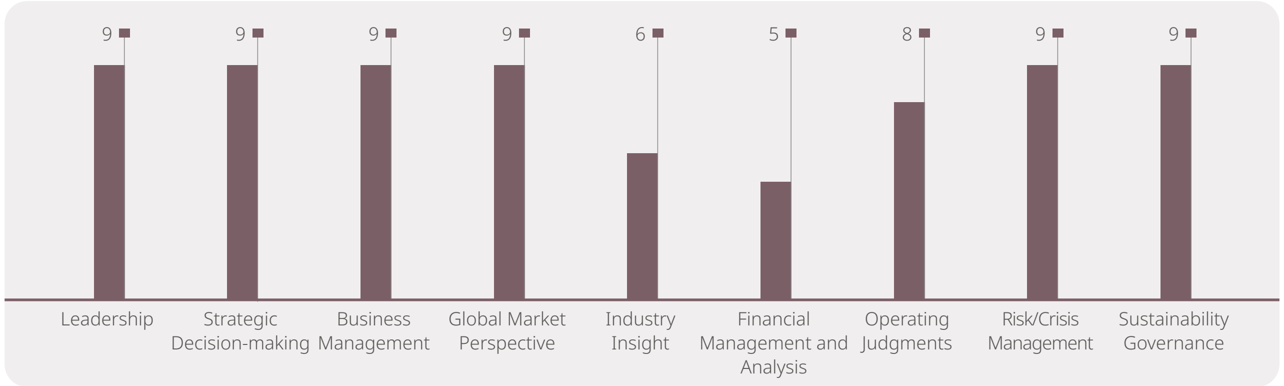
Note 3: According to the standards of DJSI to judge the independence of Directors, except for the chairman, the remaining Directors all meet at least 4 of the following 9 metrics, with at least 2 fulfilled among the first 3 metrics:

1. The director must not have been employed by the Company in an executive capacity within the last year.
2. The director must not accept or have a "Family Member who accepts any payments from the company or any parent or subsidiary of the company in excess of $60,000 during the current fiscal year", other than those permitted by SEC Rule 4200 Definitions.
3. The director must not be a "Family Member of an individual who is [...] employed by the company or by any parent or subsidiary of the company as an executive officer."
4. The director must not be (and must not be affiliated with a company that is) an adviser or consultant to the company or a member of the company's senior management.
5. The director must not be affiliated with a significant customer or supplier of the company.
6. The director must have no personal services contract(s) with the company or a member of the company's senior management.
7. The director must not be affiliated with a not-for-profit entity that receives significant contributions from the company.
8. The director must not have been a partner or employee of the company's outside auditor during the past year.
9. The director must not have any other conflict of interest that the board itself determines to mean they cannot be considered independent.

Note 4: The Global Industry Classification Standard (GICS) includes 11 major industries: Energy, Materials, Industrials, Consumer Discretionary, Consumer Staples, Healthcare, Financials, Information Technology, Communication Services, Utilities, and Real Estate. For the relevant work experiences of each director in various industries, please see the "Disclosure of Professional Qualifications of Directors and Independence of Independent Directors" in the VIS 2024 Annual Report or website.

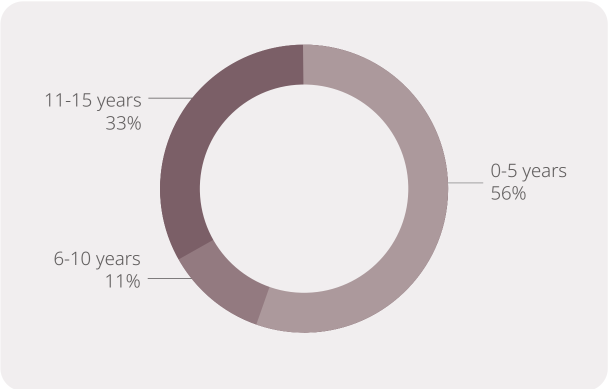
Note 5: The 11th Board of Directors consists of 9 members, including 8 males and 1 female, all aged 60 or above. For details about their educational backgrounds and concurrent job titles at other companies, please refer to the VIS 2024 Annual Report or website.

The 11th Board of Directors' Professional Competence and Experience



Unit: People

Distribution of Tenure for the 11th Board of Directors



Diversified Continuing Education for Board Members

VIS actively implements corporate governance, places a strong emphasis on the diverse training plans for its directors, and follows the "Guidelines for Implementing Continuing Education for Directors of TWSE/TPEx Listed Companies", which stipulates that directors are encouraged to engage in a minimum of 6 hours of continuing education annually. Based on the Company's operational requirements and the professional knowledge necessary for directors to fulfill their duties, as well as address the challenges of risk management, VIS proactively provide relevant information about continuing education courses to directors on a monthly basis. In 2024, the courses recommended by VIS to directors covered various topics such as corporate governance, legal compliance, information security governance, low-carbon transformation, sustainable development, and artificial intelligence. These courses aim to continuously enhance the professional competence of directors throughout their tenure.

According to Article 39 of "Corporate Governance Practice Principles," the Company shall conduct risk management education to Directors annually. Therefore, VIS holds the course "VIS' Enterprise Risk Management Procedures - Identification, Measurement, and Response" every year to explain the core principles and management procedures of risk management to all directors. In addition, VIS selects a risk topic each year to conduct director training courses, inviting professional lecturers to teach all directors. This initiative aims to continuously enhance directors' risk awareness and supervisory capabilities, fostering a culture of risk management from the top down. In 2024, a professional lecturer was invited to conduct a director training course on "High-Tech Cyber Risk Management." The course content not only enhanced directors' understanding of information security risks but also, through practical case studies, helped directors comprehend the cybersecurity challenges faced by enterprises and the measures to be taken, thereby improving the Board's ability to guide and supervise the Company's information security risk management.

The nine directors of VIS all completed 6 hours of training in 2024, with a total of 82 hours of training, thereby achieving the annual training target.

Procedures for Communicating Critical Concerns

In addition to reporting the Company's operations and business status to the Board of Directors every quarter, as well as current quarter and future financial forecasts, VIS management executives also communicate on major asset transactions, lending of funds, endorsement or guarantee, and other matters to be submitted to the Board of Directors for resolutions in accordance with laws, regulations, the "Article of Incorporation", or requirements of the competent authority, through the discussions and resolutions of the Audit Committee, Strategy Committee, and Board of Directors. Furthermore, in the event of special circumstances in the Company's daily operations that may impact the Company's management, the President will contact Directors by telephone or email as needed to provide explanations and obtain their opinions and views. When there are important strategic decisions or matters that significantly affect shareholders' equity that need approval by the Board of Directors, VIS will also convene the extraordinary Board meetings at any time for discussion and communication.

VIS has formulated the "Procedures for Handling Material Inside Information", and the handling of material information and related operating procedures are also applicable to members of the Board of Directors. In addition, when a major accident occurs that affects the normal production of the fab or product delivery, VIS also has the Operation Continuity Management Guidelines and the Business Continuity Plan Management Guidelines in place, according to which the crisis team is to be formed by the management, assigning task forces divided according to powers and responsibilities, launching company-wide corresponding plans, procedures and activities, and reporting such to the counterparty according to the definition of disaster notification, and finally the President will report such to the directors depending on the impact status. When there is any material information to be released to the public in accordance with the Taipei Exchange Procedures for Verification and Disclosure of Material Information of Companies with TPEx Listed Securities, VIS will also notify the directors by email simultaneously.

For the nature and total number of key significant events in 2024, please refer to the material information released by VIS at the Market Observation Post System.

Organization and Operation of Functional Committees

To effectively exercise Board functions, in addition to establishing the Audit Committee and the Compensation Committee as required by law, VIS also established the Strategy Committee on August 13, 2021. The composition, meeting frequency, purpose, and 2024 operational status of the functional committees under the 10th and 11th Board of Directors are as follows:

	Audit Committee	Compensation Committee	Strategy Committee	Sustainable Development Committe[eNote]
Composition under the 10th Board (Term until June 13, 2024)	Mr. Benson W.C. Liu (Independent Director, Convener), Mr. Kenneth Kin (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director)	Mr. Kenneth Kin (Independent Director, Convener), Mr. Benson W.C. Liu (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director)	Mr. Leuh Fang (Chairman, Convener), Mr. F.C. Tseng (Vice Chairman), Mr. Kenneth Kin (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director)	Not yet established
Composition under the 11th Board (Term starting from June 14, 2024)	Ms. Chan-Jane Lin (Independent Director, Convener), Mr. Kenneth Kin (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director), Mr. Chung S. Hsu (Independent Director)	Mr. Kenneth Kin (Independent Director, Convener), Ms. Chan-Jane Lin (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director), Mr. Chung S. Hsu (Independent Director)	Mr. Leuh Fang (Chairman, Convener), Mr. F.C. Tseng (Vice Chairman), Mr. Kenneth Kin (Independent Director), Mr. Chintay Shih (Independent Director), Mr. Liang-Gee Chen (Independent Director), Mr. Chung S. Hsu (Independent Director)	Mr. Leuh Fang (Chairman, Convener), Ms. Chan-Jane Lin (Independent Director), Mr. Chintay Shih (Independent Director)
Meeting Frequency	At least one meeting is held every quarter.	At least four meetings are held each year.	At least one meeting is held annually.	At least two meetings is are held annually.
Purpose	Strengthen the supervisory functions of the Board of Directors, as responsible for overseeing fair presentation of VIS' financial statements, selection (or discharge), suitability, independence and performance of the certified public accountant(s), effective implementation of internal controls, VIS' compliance with relevant laws and regulations, as well as control of existing or potential risks of the Company.	Assist the Board of Directors in formulating VIS' overall remuneration policy and structure so as to attract, motivate, reward and retain outstanding talents.	Guide and plan VIS' major growth strategies and issues.	Strengthen corporate sustainability governance and actively realize the Company's vision of cultivating the values of sustainability and creating the common good of society.
Operational Status in 2024				
Number of Meetings	8 times	6 times	3 times	none
Average Attendance Rate	100%	100%	100%	none

Note: The Sustainable Development Committee was established on April 23, 2025.

Compensation Committee

The Compensation Committee was established with the objective of enhancing corporate governance and assisting the Board of Directors in developing the Company's overall compensation policy and framework in order to attract, motivate, reward, and retain outstanding talent. According to the "Organizational Regulations of the Compensation Committee", its duties include: formulation of the Company's overall compensation policies and architectures, framework formulation of the remuneration and payment forms for directors (including Chairman), formulation of the remuneration and payment forms for managers, proposal of the rewards and long-term incentives for managers, planning and execution of performance evaluations for directors (including Chairman), planning and execution of performance evaluations for managers, and other matters specified or authorized by the Board of Directors. The policy of remuneration for President and Vice President must be formulated to be competitive among competitors in order to attract and retain outstanding managers, and encourage managers to create optimal long-term and short-term performance under the affordable risks. The procedures for remuneration determination shall follow the Company's "Policies, Systems, Standards, and Structure of the Performance Assessment and Remuneration of Directors" and "Policies, Systems, Standards, and Structure of the Performance Assessment and Remuneration of Managers". It is stipulated in the policy that regular reviews and adjustments are conducted annually.

Performance Evaluation of the Board of Directors and Functional Committees

VIS has established the "Board of Directors Performance Assessment Policy", and conducts internal assessments at least once a year and an external assessment once every three years. In the fourth quarter of each year, VIS determines performance assessment items for the next year, conducts an assessment at the end of the year, and integrates it with the remuneration of the directors. In addition, when the Board of Directors of VIS selects or nominates a director, the results of the individual Director Performance Evaluation will serve as a reference for the selection.

The scope of the Directors performance evaluation includes: individual director, the overall Board of Directors, and various functional committees. Assessment methods adopt either internal evaluation, external evaluation, or both simultaneously. The internal evaluation method includes: self-evaluation by Board members, internal self-evaluation by the Board of Directors, internal self-evaluation by functional committees, re-evaluation by the Compensation Committee, and resolutions of the Board of Directors; while the external evaluation is conducted by appointing external professional institutions, experts or other appropriate methods.

The evaluation method of individual directors and functional committees is carried out by means of the internal evaluation, while the performance evaluation of the overall Board of Directors is carried out by means of the combined use of the internal evaluation and external evaluation.

In addition, in order to link directors' performance with the Company's sustainability development goals, since 2022 VIS has included ESG performance in the assessment items of the Compensation Committee's reassessments. In the fourth quarter of each year, the Compensation Committee shall prepare the performance evaluation items and evaluation forms for the following year based on the duties and responsibilities of individual directors and incorporating ESG performance. The performance evaluation of individual directors conducted in the first quarter after the end of the following year. The compensation and remuneration structure and standard of directors are regularly reviewed and adjusted every year. After evaluating performance in the first quarter of each year, the Compensation Committee proposes a recommendation on the amount of fixed remuneration and submits it to the Board of Directors for approval.

Performance Evaluation Criteria for Individual Directors	Performance Evaluation Criteria for Overall Board of Directors	Performance Evaluation Criteria for Functional Committees
1. Alignment of the goals and mission of the Company 2. Awareness of the duties of a director 3. Degree of participation in the operation of the Company 4. Management of internal relationships and communication 5. Professionalism and continuing education of directors 6. Internal controls	1. Degree of participation in the operation of the Company 2. Improvement in the quality of decision making of the board 3. Composition and structure of the Board 4. Election/appointment and continuing education of directors 5. Internal controls	1. Degree of participation in the operation of the Company 2. Awareness of the duties of the functional committee 3. Improvement in the quality of decision making by the functional committee 4. Composition of the functional committee and election/appointment of committee members 5. Internal controls

2024 Results of the Board Performance Self-evaluation and Improvement Actions

Evaluation Period	January 1, 2024 to December 31, 2024
Results of the Internal Performance Evaluation of Individual Directors	The performance of directors is in line with expectations
Results of the Internal Performance Evaluation of the Overall Board of Directors	The performance of the overall Board of Directors is in line with expectations
Internal Performance Evaluation Results of Functional Committees	The performance of the Audit Committee, Compensation Committee, and Strategy Committee is in line with expectations
Results of the Board Performance Evaluation	Approved by the Board of Directors on February 24, 2025.

On August 10, 2022, VIS appointed the Taiwan Corporate Governance Association (TCGA) to conduct an external performance assessment of the Board of Directors. Except assisting in conducting director training every year, TCGA had no other business transactions with VIS, so it was thus independent. TCGA evaluated eight major dimensions, including composition, guidance, authorization, supervision, communication and self-discipline of the Board of Directors, as well as internal controls, risk management and other items, through questionnaires and on-site visits, and provides results of the performance evaluation and suggestions for improvement. VIS reported the performance assessment results to the Board of Directors on February 20, 2023, and proposed specific improvement actions in response to the suggestions.

The evaluation report also put forward recommendations on the diversity of the Board composition as well as the mechanism for the Compensation Committee to regularly review the development plan and implementation status of senior managers as a reference for VIS to improve the operational efficiency of the Board of Directors. VIS has proposed specific improvement plans to the Board of Directors on February 20, 2023, in accordance with its recommendations, including (1) actively seeking and nominating suitable female director candidates at the shareholders' meeting when re-electing directors in 2024, (2) incorporate the duty of regularly reporting on the training plan and implementation for executives at the Compensation Committee into the "Organizational Regulations of the Compensation Committee" with the aim of enhancing the efficiency of functional committees assisting the Board of Directors supervision. The aforementioned improvement plans were completed in 2024 and 2023 respectively.

Results and Recommendations of the External Evaluation of Board Effectiveness

Evaluation Period	From October 1, 2021 to September 30, 2022
Results and Recommend-ations of the Overall Evaluation	The assessment report indicates that the composition of the Board of Directors of VIS balances independence and professionalism, all functional committees fully exert their functions, and the management team fully supports the exercise of director's authority. VIS has a clear succession plan for senior executives, and the performance assessment items for each senior executive include ESG indicators, demonstrating the Company's active promotion and importance placed on ESG. Being selected as a constituent of the Dow Jones Sustainability Index (DJSI) World Index highlights the effectiveness of the Board of Directors' supervision in sustainability management.

VIS plans to reappoint an external professional institution to conduct the Board performance evaluation again in the second half of 2025.

VIS 2024 internal assessment and 2022 external assessment results are disclosed on the Company's website.

The Link Between Directors' Performance and Remuneration

According to Article 29 of VIS' "Article of Incorporation", VIS distributes director remuneration at not more than 1% of the profit for the current year as well as employee remuneration at not lower than 10% of the profit for the current year. The remuneration of directors is based on VIS' "Policies, Systems, Standards, and Structure of the Performance Assessment and Remuneration of Directors", and reasonable remuneration is given according to VIS' operating results as well as the level of participation and contribution value of individual directors. Thus, remuneration is closely related to operating performance. The performance evaluation and remuneration are regularly reviewed and adjusted by the Compensation Committee and the Board of Directors every year.

The Link Between President and Managers' Performance and Remuneration

VIS has established the "Policies, Systems, Standards, and Structure of the Performance Assessment and Remuneration of Managers", which stipulates regular annual reviews and adjustments.

The overall compensation for managers is disclosed annually in the Company's annual report. Compensation for president, vice president, and associate vice president is linked to individual and corporate performance based on factors such as job responsibilities and governance scope. In addition to considering industry competitiveness, compensation calculations are based on the Company's operational performance, financial indicators, strategic indicators, management, other sustainable indicators, and the individual's contribution to the Company's performance.

Each year in the fourth quarter, the Chairman and President of VIS establish the performance evaluation items and evaluation forms for managers for the following year, incorporating ESG performance. This is done according to their respective responsibilities and is discussed and approved by the Compensation Committee and the Board of Directors. The assessment is conducted in the first quarter after the end of the following year. Relevant performance evaluations and compensation are reviewed by the Compensation Committee and the Board of Directors. In addition to the regular annual review and adjustment of individual manager performance, it also includes the development of a sustainable environment, linking major issues and their long-term goals as elements of reward evaluation. By integrating climate change governance with the interests of the management team, corporate sustainability becomes a common goal for VIS.

Corporate Officer Shareholding Policy

Vanguard International Semiconductor Corporation (VIS) provides customers with the most competitively comprehensive solutions and high value-added services, which are the core of VIS' long-range development and the foundation for our sustainability. In the pursuit of long-term and stable profits, while taking into account the interests of shareholders, VIS has been growing together with stakeholders such as employees, suppliers, communities and society, and following the conviction of sustainability to coexist and prosper with the environment and society. In the practice of ESG, the ESG has been listed as one of the Corporate Officer's performance evaluation items; and part of their annual reward has been based on each of their execution results in terms of corporate governance, environmental protection, corporate commitment and social engagement.

President Performance Measurement Indicators

Fixed Remuneration	
Based on job responsibilities and governance scope	
Variable Remuneration	
Type of Metric	**Metric Items**
Financial Metrics	Return on Equity, Average Selling Price, Net Profit Margin, and Earnings Per Share
Strategy Metrics	Adjust the Company's medium- and long-term strategies in response to changes in the global business environment, including investments, mergers and acquisitions, and global expansion.
Management Metrics	Link the management performance of material topics of concern to the Company's stakeholders, including: Integrity Management, Risk Control, Product Quality and Safety, Supplier Sustainability Management, Customer Relationship Management, Employee Development , Talent Attraction and Retention, etc
Sustainability Metrics (10% proportion)	Corporate Governance, Environmental Sustainability, Friendly Workplace, Social Engagement, and Climate Change Response (including Energy Use and Greenhouse Gas Reduction)

Manager Performance Measurement Indicators

Fixed Remuneration	
Based on job responsibilities and governance scope	
Variable Remuneration	
Type of Metric	**Metric Items**
Financial Metrics	Return on Equity, Average Selling Price, Net Profit Margin, Gross Profit Margin, Earnings Per Share, and Cost Control
Management Metrics	Linking management performance on material topics of concern to company stakeholders, including: Integrity Management, Risk Control, Product Quality and Safety, Supplier Sustainability Management, Regulatory Compliance, Employee Development , Talent Attraction and Retention, etc
Sustainability Metrics (5-10% proportion)	Climate Change and Energy Management (waste reduction/electricity/water and carbon emissions, occupational safety and health, green energy procurement), Corporate Governance, Friendly Workplace, Social Engagement, etc.

Note: Managers include the Vice President of Finance/ Chief Financial Officer, Vice President of Worldwide Sales & Planning, Vice President of Human Resources, Senior Vice President of Supply Chain Management, and other executive management team members.

To further implement the corporate governance, the policy was approved by the Board of Directors and the Compensation Committee in May 2022. The Corporate Officer's bonus at the Vice-President level (and above) shall be linked with the long-term shareholders' interests of the Company, which not only motivates their performance but also protects the rights and interests of all shareholders. Therefore, VIS formulated a "Corporate Officer Shareholding Policy" to encourage the related corporate officers to hold long-term ownership of the Company's stock shares. Within three years from the date of appointment, the President, Chief Operating Officers, and Vice-President should hold the equity value of the Company's stock respectively 10 times, 6 times, and 5 times their annual fixed salary, of which the number of shares can include oneself, spouse and minor children. During their entire employment period, the shareholding value required by the Company should be well maintained.

3.1.3 Internal Audit

Purpose and Organization of Internal Audit

Internal audit is mainly to assist the Board of Directors and management in inspecting and re-reviewing the deficiencies of the internal control system as well as weighing the effectiveness and efficiency of operations, and to provide timely improvement recommendations so as to ensure the continuous and effective implementation of the internal control system and to promote the sound operation of VIS.

The Internal Audit unit of VIS is under the Board of Directors and is currently staffed with an audit director and three dedicated internal auditors. As stipulated by the "Corporate Governance Practice Principles," the appointment, evaluation, and base pay of the Company's internal audit staff should be reported to the Board of Directors, or approved by the Chairman after being signed off by the audit director. The appointment, removal and performance evaluation of the internal audit supervisor shall be approved by the Audit Committee and submitted to the Board of Directors for a resolution, and the remuneration shall be approved by the Compensation Committee and submitted to the Board of Directors for a resolution; and the appointment, removal, evaluation, and compensation of internal auditors shall be signed and submitted by the audit supervisor to the Chairman for approval. The performance evaluation is conducted at least once a year.

Operation of Internal Audit

The internal auditors uphold the spirit of impartiality and independence, and perform their duties from an objective and fair standpoint. In addition to making a report regularly at the Board of Directors meeting, they also make a report to the Chairman and the Audit Committee quarterly or when necessary.

The audit work is mainly carried out in accordance with the annual audit plan approved by the Board of Directors. The annual audit plan is drawn up based on the results of the risk assessment, and project audits are carried out as needed. The deficiencies and abnormalities in the internal control system found in the audit are all tracked and regularly made in the report to ensure that units have taken appropriate improvement measures immediately.

The internal audit supervises and guides each unit and subsidiary to evaluate the implementation of the internal control system on a regular basis, and re-reviews the self-evaluation report. The self-evaluation report, together with the improvement status of the internal control deficiencies and abnormalities found by the audit unit, serves as the main basis for the Board of Directors and the President to evaluate the effectiveness of the overall internal control system as well as the issuance of the statement of the internal control system.

3.1.4 The Norms and Avoidance of Conflict of Interest

VIS has formulated the "Ethics and Business Conduct", the "Code of Ethics for Directors" and the "Ethical Corporate Management Best Practice Principles" in order to promote the self-discipline of the Board of Directors and all employees of VIS and compliance with the business ethics norms.

VIS has clear Director conflict of interest avoidance provisions stipulated in the "Rules of Procedure of Board of Directors Meetings", "Audit Committee Charter", and "Organizational Regulations of the Compensation Committee", and applies multiple procedures to avoid any conflicts of interest. For any agenda item in which a director (or his/her spouse, relations of the second degree, or any company with control/subordinate relationship to the director) or the juridical person represented by a director carries a potential conflict of interest that may harm the interest of VIS, the director must abstain from the discussion and voting, by recusing therefrom. When a director or executive acts on behalf of themselves or others in a capacity within the business scope of VIS, they must obtain prior approval from the shareholders' meeting or the Board of Directors; any related party transactions must be duly disclosed.

In addition, VIS has established Independent Directors with transcendent impartiality, who uphold an objective and impartial stance. When deciding the Company's strategy, the Independent Director(s) utilizes his/her professionalism and experience to provide suggestions, which are recorded in the meeting minutes. Meanwhile, he/she abides by the principle of recusal of conflict of interest, effectively protecting the Company's interests.

VIS discloses in its annual report the situations where the Board members hold positions in other companies, including but not limited to serving as Directors or Independent Directors of other companies, holding more than 5% of the outstanding shares of VIS, or being on the list of the top 10 shareholders in terms of shareholding percentage, the top 10 shareholders' cross-holding conditions and none of the Board of Directors members has cross-holdings with major suppliers. For details, please refer to the VIS 2024 Annual Report.

To enhance corporate governance and prevent insider trading, VIS has added a clause to the "Corporate Governance Practice Principles" and "Procedures for Handling Material Inside Information". The clause stipulates that "insiders of the Company, upon learning the financial reports or related performance contents of VIS, shall adhere to stock trading prohibition measures, including (but not limited to) prohibition of trading VIS' shares during the 30-day period prior to announcement of annual financial reports, and 15-day period prior to the announcement of quarterly financial reports". VIS also sends reminders via email to directors, managers, and shareholders who hold more than 10% of the total shares, 15 days prior to the announcement of the Q1, Q2, Q3 financial reports, and 30 days prior to the announcement of annual financial reports, to avoid violations of the aforesaid regulations.

3.1.5 Shareholder Equity

VIS values the rights and interests of every shareholder and treats all shareholders equally. All shareholders have the power of one vote per share in accordance with the law and may exercise voting rights at the shareholders' meeting to participate in VIS' decision making. In addition, the election of directors adopts a cumulative voting system that is favorable to minority shareholders in accordance with Company Act. All ratification, discussion and election motions at the shareholders' meeting are put to the vote on a case-by-case basis; electronic voting is listed as one of the means of exercising voting rights, and the voting results are publicly disclosed at the shareholders' meeting in real time. In addition, VIS has the Investor Relations Department in place to be in charge of communicating with shareholders and responding to various recommendations, and has commissioned the professional stock affairs agency to provide shareholder services. The contact information is disclosed on VIS' website for shareholders to look it up.

3.2 Risk Management

3.2.1 Risk Management System

The VIS has established a comprehensive risk management system, which actively executes risk identification and loss (impact) prevention and control, integrating risk management measures into daily Internal controls operations. Each unit is required to regularly self-inspect and participate in education and training, and the effectiveness thereof is then evaluated by the Board of Directors and senior executives, ensuring risks are effectively controlled within an acceptable range.

In the risk management system of the VIS, the highest level of risk management is the Board of Directors, and the Audit Committee, composed of 100% independent directors, is responsible for overseeing and guiding the operation of the Risk Management Committee following the Enterprise Risk Management (ERM) system, corporate governance, and internal audit procedures, and reviewing the results of the risk management process in the "Risk Management Committee Operational Results" Project Report regularly each year. The results of the final risk management review will be reported to the Board of Directors.

1. Committee Chairman: served by the President, who may also appoint a secretary to assist him in the operation.

2. Area Committee Member: composed of the top executives of all areas and presidents of subsidiaries, and the chairman of the committee appoints an area committee member to serve as the general coordinator. ("Region" refers to units within the Company's organizational structure, including department-level divisions such as Operation and Environmental Safety, Finance, Worldwide Sales & Planning, Research & Development and Product Engineering, Supply Chain Management, Business Operation Planning, Information Technology Development and Operations, and Human Resources).

3. Fab/ Division Executive Representatives: Composed of the top executive of each fab/ division.

4. Risk Management Task Force Project: composed of area representatives, who are appointed by the Area Committee Member from among the executives at or above the division level, and the general coordinator appoints an executive at or above the division level to serve as the secretary-general.

Risk Manage Organizational Structure

Board of Directors Risk Management Procedures

Board of Directors Level: Following the Enterprise Risk Management (ERM) system, corporate governance, and internal audit procedures, and regularly reviewing the risk management results and residual risk tolerance in the "Risk Management Committee Operational Results" Project Report each year, making decisions accordingly.

Risk Management Committee Duties and Responsibilities

1. Formulate risk management policies and procedures to be submitted to the Board of Directors for approval and implementation.

2. Report on a regular basis every year to the Audit Committee and Board of Directors on the operational status of risk management.

3. Formulate the risk management guidelines.

4. Identify and approve risk control priorities.

5. Plan, review, and execute results of Risk Identification and control measures.

6. Supervise and guide the improvement of risk management.

Note: The operation of the Risk Management Committee is supervised and advised by the Board of Directors and Audit Committee, and the Internal Audit Division incorporates risk management factors in every year's audit procedure of the effectiveness of the internal control system, to audit organizational operations and risk management.

External Audit of Enterprise Risk Management

In June 2024, SGS Taiwan Ltd. completed an external audit of the "2023 Enterprise Risk Management Operations" based on the ISO 31000:2018 standard. This audit procedure is conducted biennially.

Three-Stage Risk Management Framework

(1) First Stage: Operational Level Risk Management Procedures (First Line of Defense)

- Risk Management Procedures at the Operational Level: Operational level risk management procedures: VIS has implemented a number of measures, including zero defect policy, Proprietary Information Protection Policy (PIP Policy), information security policy, real-time monitoring system for process parameters, 5S (through the five steps of sorting, setting in order, cleaning, standardizing and sustaining)to create a clean and orderly working environment, improve work efficiency and quality, and epidemic prevention measures, and establish a grassroots reporting proposal system to reduce the risk of human error that may occur at the operational level, and ensure that abnormalities can be detected and reported in real time to prevent abnormalities from expanding. Example of promotion: Annual education and training on risk control measures, such as: (1) Quality Risk Management of Automotive Products (Zero Defect Concept and Automotive Quality Awareness), Number of Trainees in 2024: 6,655. (2) PIP Policy Method promotion - Important Information Protection Notice, Number of Trainees in 2024: 6,871; to ensure that operators understand the requirements of control measures.

- First-line Management: VIS has established a comprehensive full-cycle quality management system (Plan-Do-Check-Act, PDCA) in each region/field, introducing international standards to ensure the effective operation of the management mechanism through third-party audits and management system certification. For example, in terms of the environmental safety and health management system, the Plant Safety, Health, and Environmental Committee conducts monthly reviews of abnormal events in the factory area to assess the safety and environmental performance indicators and achievement rates, to ensure that all management systems are in compliance with the regulations and are actually implemented. In addition, the Company-wide Safety, Health, and Environmental Committee is convened quarterly, and the relevant units reports to senior management on the execution outcomes of the management system, covering aspects such as risk management results, EHS management system (ISO 14001/ ISO 45001) audits, emergency response drills, food safety management, and health management, etc.

(2) Second Stage: Senior Management Risk Management Procedures (Second Line of Defense)

- The senior management level: Establish the VIS Enterprise Risk Management Committee, implement enterprise risk management (ERM), and corporate governance. Twice a year, we complete risk item reviews, covering: (1) the effectiveness of risk control measures, risk monitoring, and response mechanisms, (2) adjustments to risk items or control measures based on operational changes, and (3) the review results and revisions of risk items and control measures. In addition, we report the status of risk management operations to the Audit Committee and the Board of Directors, receiving supervision and guidance from the Board and the Audit Committee annually.

(3) Third: Internal Audit Risk Management Procedures (Third Line of Defense)

- The internal audit department of VIS, which is under the Board of Directors and independent of business lines, is in charge of supervising each unit and subsidiary in regularly assessing the implementation of internal control systems. During the annual internal control effectiveness audit, risk management factors are incorporated, conducting audits of organizational operations and risk management.

Risk Management Committee Operations (Conduct risk project reviews twice a year)

Procedure	Content
Risk Factor Formulation and Control Measures Planning	• By carrying out risk identification and risk measurement to confirm risk factors • Formulate risk control measures so to effectively monitor and respond to risk factors
Annual Review First Risk Item (Mid-year review)	The “mid-year risk control review of the subordinate units” is conducted by the Area Committee Member: • Implementation effectiveness of risk factor control measures, risk monitoring, and response mechanism • Adjust risk factors or control measures based on operational changes and security risk operations. • Review results and revisions of risk factors and control measures.
Annual Review Second Risk Item (Annual area risks review)	The Area Committee Member conducts the “annual area risks review of the subordinate units”: • Risk management implementation outcomes and continuous improvement measures of each unit in the current year • Risk factors as well as control measures to be continued or newly added in the upcoming year
Company-wide Annual Risk Review Meeting	The Risk Management Committee meeting held the "Company-wide Annual Risk Review Meeting" • Review each area's annual implementation outcomes of risk factor control • Review each area's risk factors and control measures for the upcoming year • Review and formulate the Company-wide risk factors for the upcoming year
Audit Committee, Board of Directors	The Risk Management Committee reports to the Audit Committee and the Board of Directors once annually on the results of risk management and the risk map (risk incidence/severity and tolerance).

Operational status

The First Quarter: On January 18, 2024, the President convenes each area management to complete the review of the 2023 execution outcomes of company-wide risk factors and establish the 2024 factors and control measures.

The Second Quarter: On April 29, 2024, the general coordinator of the Risk Management Committee reported the implementation outcome of risk management, as well as the risk control measures adopted by VIS and the operational status of risk management in terms of the risk environment faced by VIS, risk management priorities, risk assessment result, and response measures to the Audit Committee and the Board of Directors at the meeting. The Board of Directors also approved the setting of 19 company-wide controlled risk factors for 2024.

The Third Quarter: The execution representative of the Fab (division) or the supervisor of the area directly subordinate department, reports mid-year risk control progress to the Area Committee Member, with a 100% risk review report completed, including:

(1) Effectiveness of risk factor control measures implementation, Risk Monitoring, and response mechanisms.

(2) Adjust risk factors or control measures based on operational changes and security risk operations.

(3) Review results and revisions of risk factors and control measures.

The Fourth Quarter: The Area Committee Member conducts the Annual Area Risk Review, with a 100% completion of the Area Risk Review report, including:

(1) The implementation outcome of risk management and continuous improvement measures of the area unit directly thereunder of the current years.

(2) The risk factors and control measures to be continued or newly added for the upcoming year.

3.2.2 Risk Identification

The risk identification of VIS includes risk management categories and risk management procedures.

Risk Management Scope

Strategic Risks: Refers to, but is not limited to, the risk of significant impact on the Company from factors such as domestic and international economic, social, or policy factors, technological and industrial changes, market demand and competition, climate and natural transformation, and geopolitical risks.

Operational Risks: Refers to, but is not limited to, the risk of loss to the Company due to inappropriate internal operations, systems, or personnel, such as production, research, and development, quality control, information security, and recruitment of personnel, or due to over-concentration of sales and purchases.

Financial Risks: It refers to the risks including but not limited to the risks of material impact on the Company due to inadequate safeguards for financial assets and transactions, improper presentation of financial statements, failure to respond promptly to changes in interest rates and foreign exchange rates, improper financing or investment activities, and failure of customers and suppliers to fulfill their contracts.

Hazard Risks: These include, but are not limited to, the risk of significant loss to the Company due to environmental, climatic, and natural disasters, infectious diseases, war, interruption of water, electricity, and gas supply, fire or chemical leakage, and other risks due to insufficient precautionary measures. (In response to the low-carbon transition risks of climate change, a climate change governance and management framework has been established in VIS, with the 'Board of Directors', 'Management Team', and 'Executive Committee' as three levels of top-down management mechanisms.) The Executive Committee", including the existing "Corporate Sustainability Committee", "Energy and Carbon Reduction Committee", and "Enterprise Risk Management Committee", manages the climate change issues and, on the topic of "Climate Change Governance and Risk Response Strategy and goals", reports annually to the Audit Committee and Board of Directors, and is subject to their supervision and recommendations.)

Compliance Risks: Refers to, but is not limited to, the risk of harming the Company's reputation or causing significant losses to the Company due to non-compliance with relevant laws and regulations, failure to timely respond to changes in laws and regulations or improper signing and execution of legal documents.

Other Risks: Risks not belonging to the aforesaid categories, as identified by the Risk Management Committee, that may cause severe losses to the Company.

Risk Management Procedures

Procedure	Description
Risk Identification	Risk identification is the first step of risk management. All units shall identify and classify the risks according to the risk management categories, based on the scope of business and cross-organizational operations process, through discussion, analysis, compilation of past experience, and prediction of possible future risks as a reference for further measurement, monitoring, and management of risks. When identifying risks, the following shall be considered: 1. Each unit's own business scope and changes, historical experience, as well as internal and external resource requirements. 2. The business impact and changes of future trends in response to VIS' medium and long-term business plan. 3. Internal control, regulatory amendments, and compliance. 4. Peer industry experience and risk case studies.
Risk Measurement	Risk measurement is to judge the possibility and impact of risks under the existing control measures. During the analysis process, the risk map) may be used to quantify the frequency of the risk factor occurrence and the severity of the impact on VIS' operations. Different types of risks can be measured by formulating other feasible quantification methods.
Risk Response	Draw up the control priority and risk management mechanism according to the risk assessment results and based on the risk tolerance and cost-effectiveness, so that the Company's risks can be effectively controlled within the acceptable range. The control measures include: avoidance (elimination of occurrence conditions: replacement or no implementation), reduction (lowering the probability and loss of occurrence), sharing (risk transfer: insurance, contract signing), and tolerance (tolerating the remaining risks after lowering and transferring part of the risk). Each fab lost approximately NT$25 million per day due to production interruptions. (Based on "Calculation of 2024 Revenue: NT$44,054 million," five 8-inch wafer fabs calculated as daily average.)
Risk Monitoring	Various monitoring and control activities are conducted regarding risks' development and changes.
Risk Report	VIS shall complete the risk report on a regular basis to be submitted to the appropriate management level and filed for future reference.

3.2.3 Risk Items and Response Measures

Upon review by the Risk Management Committee, VIS has identified a total of 19 risk items in 2024, with categories of risks including Market (1 item), Hazard (1 item), Cybersecurity (1 item), Finance (2 items), Strategy (2 items), R&D (3 items), Operations (3 items), Management (3 items), and Compliance (3 items). The major risks include: Development (technology)/Operation (quality)/Hazard (climate change). Control measures have been put in place for all of the listed risks to effectively carry out risk monitoring and response, mitigating the impact of risks. Additionally, for the listed risk items, emerging risks and two categories of risks (Operations, Compliance) among the 19 risks are disclosed in summary, explaining their risk analysis results, risk mitigation measures, risk appetite, and the results of sensitivity analysis, as indicated below:

1

Emerging Risks

(1) The initiation of the Section 301 investigation by the United States into "unfair trade practices" and the impact of the U.S. tariff barrier policies on a global scale

The Section 301 investigation initiated by the United States into China's unfair trade practices may trigger a series of economic changes, including the imposition of additional tariffs and the strengthening of technology export controls. This investigation primarily focuses on China's unfair practices in trade and its countermeasures. If the U.S. imposes additional tariffs on semiconductor-related products from China, it will lead to an increase in overall supply chain costs and potentially reshape supply chain layouts. In this scenario, VIS will face additional market operation challenges and the risk of losing customers. The Company will continue to develop new customers in response to supply chain changes. Currently, the investigation has not reached a final conclusion, and VIS is closely monitoring its developments, formulating appropriate strategies in a timely manner to mitigate the impact of potential operational risks.

(2) AI hallucinations and related risks associated with the implementation of AI systems

In response to the advancement of digital transformation, VIS has implemented artificial intelligence (AI) systems to enhance operational efficiency and competitiveness. However, this process is accompanied by the risk of "AI hallucinations," where AI systems generate inaccurate or false information due to insufficient data or improper application. This may lead to erroneous judgments by the Company, affecting business operations and reputation. Additionally, if the issue of AI hallucinations is severe and errors are frequent, employees may lose trust in the AI systems and resist using them, thereby impacting the Company's digital transformation progress. Falling behind in the application of AI technology compared to industry peers may result in a loss of long-term competitiveness. Therefore, it is crucial to address the issue of AI hallucinations carefully, ensuring the accuracy and reliability of AI systems to fully realize their value and enhance the Company's future competitiveness.

To mitigate these risks, VIS will take the following measures:

- Data Quality Management: Ensure that the data referenced by AI when using Retrieval-Augmented Generation (RAG) technology is of high quality, and conduct regular data cleaning and updates to reduce bias and errors.
- Source Verification: Require AI systems to provide the sources of decision-making information for review and verification by relevant personnel to ensure the reliability of decisions.
- Employee Training: Provide training on AI-related knowledge and skills to employees, enabling them to correctly use and manage AI systems and identify and address potential risks.
- Human-Machine Collaboration: Combine the review of human experts with AI system recommendations in important decisions to ensure comprehensiveness and accuracy.

Through the above measures, VIS will effectively minimize the risks in the process of AI application, ensure steady progress in the digital transformation, and enhance its competitiveness and market position.

2

Operational Risk: Earthquake

Earthquake Risk Analysis and Mitigation Measures: Simulated level 5 earthquake (ground acceleration 130 cm / sec^2)

	Item	Content	Expense Cost (NT$)	Total Cost (NT$)
Earthquake loss Risk Assessment	Tool recovery of damage	Tool clean/ PM	About 150 million	About 190 million
	Power generator diesel	Power generator diesel	About 10 million	
	IT/ Autosystem	IT/ Autosystem re-installation	About 30 million	
	Product loss: Based on the status of the 921 Earthquake, it is estimated that the number of scrapped pieces exceeds 10,000.			
Prioritization of Identified Risks	Risk analysis factors include: Business relatedness (wafer fabrication), geographic location (Taiwan), risk likelihood and severity description, and the estimated risk level is medium risk (the product of likelihood of occurrence and severity of loss is scored out of 10, and a score of 4 to 12 is considered to be medium risk). (Risk-hazard analyses were conducted at the regional level, and the risks associated with the fabs in Taiwan and the Singapore were taken into consideration.) ● Possibility of Occurrence: Occurred in the past 10 years, Score: 2 points ● Severity loss amount (recovery cost + product loss + operations interruption loss) exceeding NT$300 million, Score: 5 points			
Risk Mitigation Measures Mitigating Actions: Worst case Wafer Fab total loss (Earthquake damage) (1) Production Transfer Plan: VIS has a total of 5 wafer fabs (4 in Taiwan, 1 in Singapore). In accordance with the product production recertification procedure, the estimated time for line transfer and resumption of production is about 3 months. (2) Wafer Fab Reconstruction: VIS has procured property insurance, which can be activated to claim insurance in the event of earthquake damage, reducing property loss. (3) VIS' disaster recovery procedure is conducted according to the VIS "Business Continue Plan, BCP" provisions.				
Risk Appetite for Operational Interruption	**Risk Appetite for Operational Interruption:** 3 months (single fab, general production machines), scale of loss 6.2% of annual revenue (NT$2.7 billion) (Decision on risk appetite: Based on the definition of "VIS Operations Ongoing Management Program", which is implemented after approval by the senior management of the operation.) To maintain continuous production of wafer products, in the worst-case scenario, VIS has established a production line transfer plan that will, within three months (normal production machines), transfer products to a normally operating wafer fab for production.			
Business interruption Sensitivity Analysis Result	**Business interruption Sensitivity Analysis Result:** Calculations are based on VIS' 2024 annual revenue of NT$44.054 billion. In 2024, there will be four wafer fabs in actual production operation, and Fab 5 has not yet been included in the full capacity of the wafer fabs. Based on the 365 days of the four fabs, each fab lost 0.07% (NT$30 million) of its annual revenue for one day of production interruption, and under different conditions, the Business Interruption Sensitivity Analysis results are as follows: (1) When a single wafer fab production is interrupted for 30 days (1 month), the annual revenue loss is 2.1% (NT$900 million). (2) When a single wafer fab production is interrupted for 60 days (2 months), the annual revenue loss is 4.1% (NT$1.8 billion). (3) When a single wafer fab production is interrupted for 90 days (3 months), the annual revenue loss is 6.2% (NT$2.7 billion).			

3

Regulatory and Compliance Risk: Risk of Changes in Environmental Regulations

Item	Description of Loss Scenario	Loss
Compliance Risk Failure to comply with relevant regulations that have a significant impact on various operations, business or financial matters of the Company, leading to corporate penalties, corporate compensation liability, or criminal responsibility of the staff	Descriptions of severe loss conditions, including: illegal emissions of wastewater into natural bodies of water, leading to operations suspensions ordered by the environmental protection competent authorities.	More than NT$30 million (One-day production interruption at a single wafer fab results in a production loss of NT$30 million, calculated based on 2024 revenue)
Prioritization of Identified Risks	Risk analysis factors include: business relevance (compliance of wafer manufacturing with local applicable regulations), likelihood of occurrence, and severity description, and the risk level is estimated to be low risk (the product of likelihood of occurrence and severity of loss is scored out of 3, with a score of 1 to 3 being low risk). ● Possibility of Occurrence: has not occurred in the past 10 years, Score: 1 point ● Severity Impact Scale: between NT$30 million and NT$150 million, Score: 3 points	
Risk Control Measures: Establish internal policies, procedures, and execution plans, through regulatory tracking, education, training and advocacy, and providing whistleblowing channels, to avoid or reduce the risk of production interruptions caused by non-compliance with regulations.		
Risk Appetite for Compliance Risk	**Risk Appetite for Compliance Risk:** Less than one day (Determination of Risk Appetite: VIS always follow the requirements of regulations to ensure that production operations comply with the relevant norms. Therefore, the senior management of the Company's operation is not allowed to be penalized by the competent authority and suspended from work due to the violation of the regulations.)	
Compliance Risk Sensitivity Analysis Results	**Compliance Risk Sensitivity Analysis Results are as follows:** Calculations are based on VIS' 2024 annual revenue of NT$44.054 billion. Under different conditions, Business interruption Sensitivity analysis results (1) Due to the incidence of non-compliance incidents (e.g., illegal discharge of wastewater), customers transfer orders, affecting receipt of orders: 0.5%, representing an approximate loss of 0.5% (NT$220 million) of annual revenue. (2) Due to the occurrence of non-compliance incidents (e.g. illegal discharge of wastewater), affecting the receipt of orders: 1%, approximately a loss of 1% of annual revenue (NT$440 million). (3) Due to the occurrence of non-compliance incidents (e.g. illegal wastewater discharge), affecting receipt of orders: 2%, approximately a loss of 2% in annual revenue (NT$880 million).	

Building a Risk Management Culture

VIS Hierarchy of Risk Management

Operational Level

Implement the production zero defect policy, confidential information protection policy, cybersecurity policy, manufacturing process parameter real-time monitoring system, and pandemic prevention measures, and establish a grassroots reporting and proposal system to ensure that the risk of personnel errors is reduced at the operational level, and abnormalities can be found and reported at the earliest possible time so as to prevent the expansion of abnormalities.

First-Line Management Level

Establish a sound Plan-Do-Check-Act (PDCA) cycle for the quality management system in each area/field, introduce international standards, and pass a third-party audit and certification to confirm the effectiveness of the management system.

Senior Executive Level

Establish a comprehensive Enterprise Risk Management (ERM) system, Corporate Governance, and Internal Audit procedures to ensure the effectiveness of Corporate Governance.

Board Level

According to the ERM Management System, Corporate Governance, and Internal Audit Procedures, regularly review the outcomes of Risk Management.

As a wafer foundry, Vanguard International Semiconductor Corporation (VIS) primarily provides wafer IC manufacturing services and has fully implemented risk management throughout the manufacturing process. This includes key areas such as product quality management, manufacturing safety control, and information security. In the development of new processes and products, VIS conducts risk assessments and establishes control mechanisms in accordance with its "Engineering Change Risk Management Guidelines."

To ensure high quality standards, the Company adopts a tiered management model and has obtained multiple international certifications, including ISO 9001, IATF 16949, ISO 27001, ISO 14001, ISO 45001, ISO 50001, and QC 080000, thereby establishing a comprehensive quality management system. Upholding the principles of integrity and high professional ethics, VIS remains focused on wafer manufacturing and refrains from engaging in high-risk or highly leveraged financial investments. The Company is committed to enhancing overall competitiveness and fostering a risk-aware culture that supports sustainable business operations.

VIS also strives to embed quality awareness into all business processes to ensure excellence in its products and services. Through continuous quality improvement and strict adherence to standards, the Company enhances customer satisfaction and strengthens its competitive edge. Employees are encouraged to actively participate in quality management, and relevant training is provided to instill quality awareness in daily operations — ensuring that VIS maintains its leadership in a rapidly evolving market environment.

Risk Culture Promotion Activities

1. Automotive Product Quality Risk Management: Zero Defect. Promotion Posters: Advocate the Zero Defect policy and concept among employees.
2. PIP Risk Advocacy and Promotion Activities: Through advocacy posters and questionnaires, enhance employees' understanding of PIP, achieving confidential control goals and preventing the risk of confidential information leakage.
3. Operational Risk Advocacy and Promotion Activities:
   3-1. Promoting a 100% success rate in equipment PM activities, reduces the risk of product quality anomalies caused by equipment maintenance (PM).
   3-2. Promote smart factory transformation to improve production efficiency and quality monitoring, addressing and reducing quality anomaly risks in advance.
4. Through EHS KPI competitions, raise safety awareness in all departments, promote safety improvement activities, and reduce factory hazard risks.
5. By presenting CIT improvement cases, enhance product quality and thereby reduce operational risks.

Risk Management Improvement Incentives

The scope of awards for VIS covers various risk improvement measures, including technology development and production quality improvement, climate change risk improvement (energy saving and carbon reduction/natural disaster improvement), safety hazard risk improvement in industrial safety and environmental protection, and environmental protection projects such as pollution reduction, to comprehensively enhance corporate risk management capabilities. Below is a detailed explanation of the incentive measures at the operational level for the main risk project, "Risk Improvement in Technical Development and Production Quality":

(1) Continuous Quality Improvement Projects - CIT

To promote the culture of continuous improvement in VIS and to guide the Continual Improvement Team (CIT) to implement continuous improvement projects on quality, cost (price), service (time, delivery), productivity, STOP & FIX, environmental protection, energy saving and carbon reduction, we are launching the CIT award program and case study presentations. After reviewing the effectiveness of the proposal by the Department of Industrial Engineering, the proposal can be applied for an efficiency bonus.

For details of quality improvement projects, please refer to "Section 3.5.1 Strengthen Quality Culture".

(2) Incentives for Technology Development and Risk Improvement - Trade Secret Proposal Reward Program:

In order to enhance competitive advantages, promote a culture of innovation, and implement the vision of sustainable management, VIS has established a trade secret registration and reward program to encourage technical or commercial trade secrets with special contributions or value. The program covers areas such as technology/process/program/design, and is based on the operation of the Trade Secret Registration Review Committee, with each organization's functional division selecting "high-quality trade secret registration cases" every year. The selected candidates will receive incentive bonuses and individual certificates to publicly recognize their contributions and serve as a reference for performance appraisal and promotion.

For details of the Trade Secret Proposal Incentive Program, please refer to "Section 3.4.3 Intellectual Property Management".

Crisis Handling Procedures

VIS has a complete operating process for business continuity plans (BCP) to determine the impacts and losses brought by crises and has a dedicated unit which communicates with stakeholders to reduce potential harm caused by incorrect information.

Educational Training

Through well-planned education and training, VIS is committed to enabling each employee to master and apply advanced management knowledge and skills to enhance overall competitiveness. Education and training is not only an important means of enhancing individual capabilities, but also a key driving force behind the Company's continuous progress and development. Among these, the "Quality Management Overview" training provided to all employees covers the Company's core concepts in planning and managing its quality management system, including the consideration of internal and external issues and stakeholder needs. The training aims to identify potential risks and opportunities and to formulate effective measures to respond to risks, enhance opportunities, and prevent or reduce unintended impacts to ensure excellence in products and services. In addition, the Company provides annual risk management education to all employees to deepen risk awareness and enhance organizational resilience and responsiveness.

2024 Execution Outcomes of Risk-related Education and Training, Total Number of Risk Management-Related Training Courses and Number of Participants

Risk Category	Content of Implementation	Session	Number of Trainees
Abnormal Quality Risk Control Procedure	Quality Management Overview	E-learning	Target audience: All Operational Sites Frequency: Once a year 2024 Number of Trainees: 6,592
	Quality Risk Management of Automotive Products (Zero Defect Concept and Automotive Quality Awareness)	E-learning	Target audience: All Operational Sites Frequency: Once a year 2024 Number of Trainees: 6,655
Confidentiality Breach Risk Control	PIP Policy Advocacy -- Must Know for Proprietary Information Protection (Information Safety Education)	E-learning	Target audience: All Operational Sites Frequency: Once a year 2024 Number of trainees: 6,871
Regulatory and Compliance Risk Control	"Ethics and Business Conduct" and "Ethical Corporate Management Best Practice Principles" (Compliance Risk Advocacy Education, Training)	E-learning	Target audience: All Operational Sites Frequency: Once a year 2024 Number of trainees: 6,713
Supply Chain Risk Control Procedure	Introduction to AEO (Safety Certified Quality Corporate) Quality Corporate Supply Chain Security (Preventive Risk Management for Supply Chain Threats)	E-learning	Target audience: Taiwan Sites Frequency: Once a year 2024 Number of Trainees: 6,260
Environmental, Health, and Safety (EHS) Risk Management Control Procedures	Introduction to ISO 14000 Series Standards for Environmental Management Systems	E-learning	Target audience: New engineers (Taiwan Sites) Frequency: One-time 2024 Number of trainees: 262
	Occupational Safety and Health Management Systems: Introduction to Occupational Safety and Health Management Systems (ISO 45001)	E-learning	Target audience: New engineers (Taiwan Sites) Frequency: One-time 2024 Number of Trainees: 263
	Factory firefighting training (Firefighting practical training)	6 sessions	Target Audience: Indirect Staff (Taiwan Sites) Frequency: Once a year 2024 Number of trainees: 3,351

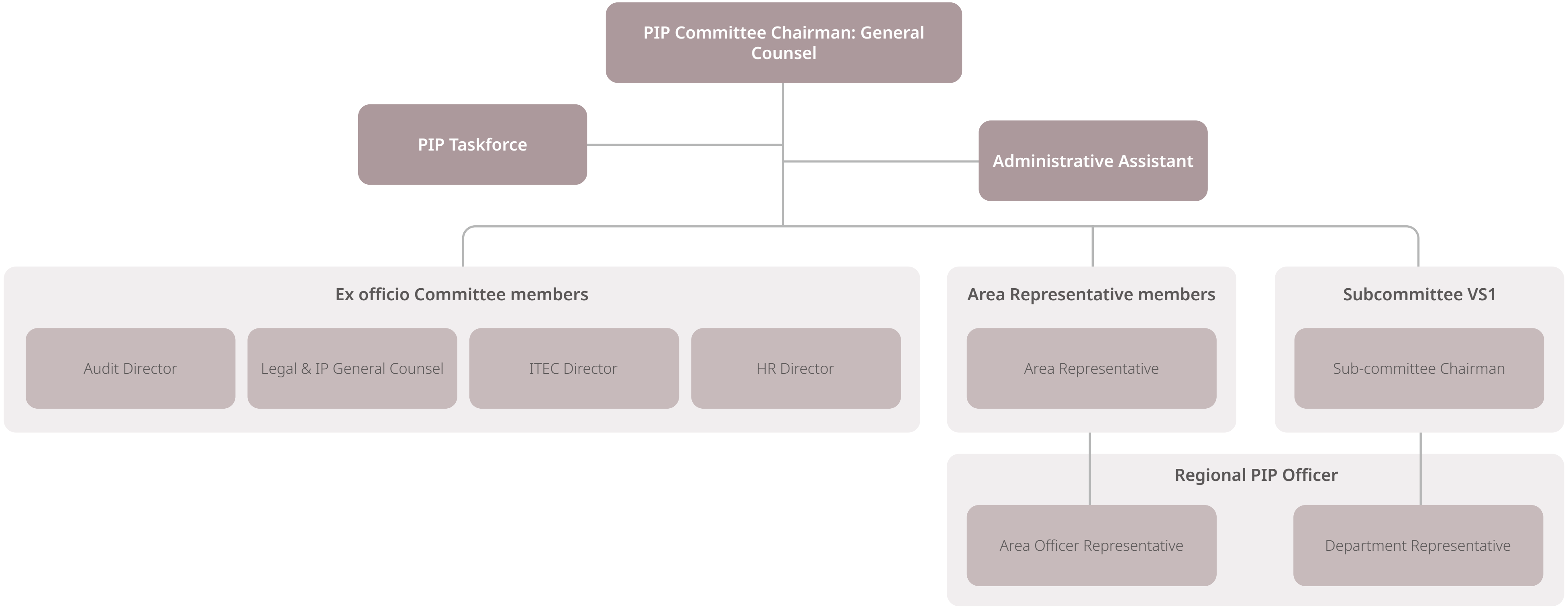
Risk Category	Content of Implementation	Session	Number of Trainees
Environmental, Health, and Safety (EHS) Risk Management Control Procedures	On-the-Job Education and Training (Refresher Training) for Organic Solvent Operation Supervisors	1 session	Target audience: One person needs to be trained for each shift (Taiwan Sites) Frequency: Once every three years 2024 Number of Trainees: 29
	Training (Refresher Training) for On-the-job Supervisors of Specific Chemical Operations	1 session	Target audience: One person needs to be trained for each shift (Taiwan Sites) Frequency: Once every three years 2024 Number of Trainees: 24
	Commander and ERT (Emergency Response Team) Training	6 sessions	Target Audience: In-factory Management Staff (Taiwan Sites) Frequency: Once a year 2024 Number of Trainees: 279
	ERT (Emergency Respond Team) Basic Training	4 hours	Target Audience: New engineers (Taiwan Sites) Frequency: One-time 2024 Number of Trainees: 71
	Evacuation drill for production direct operators	1 hour	Target audience: Direct production personnel (All Operational Sites) Frequency: Once every six months 2024 Number of Trainees: 4,844
	Each unit's ERT (Emergency Response Team) drill	0.5 hours	Target Audience: Overall Drill Personnel in the Factory Area (Taiwan Sites) Frequency: Once a year 2024 Number of Trainees: 530
	Post-earthquake building assessment drill	1 hour	Target Audience: Facilities and Equipment Personnel (Taiwan Sites) Frequency: Once a year 2024 Number of Trainees: 92
	Assembly drills without early warning	0.5 hours	Target audience: Factory and equipment personnel (Taiwan Sites) Frequency: Without warning 2024 Number of Trainees: 267

3.2.4 Cybersecurity

Cybersecurity Governance System, Objectives and Strategies

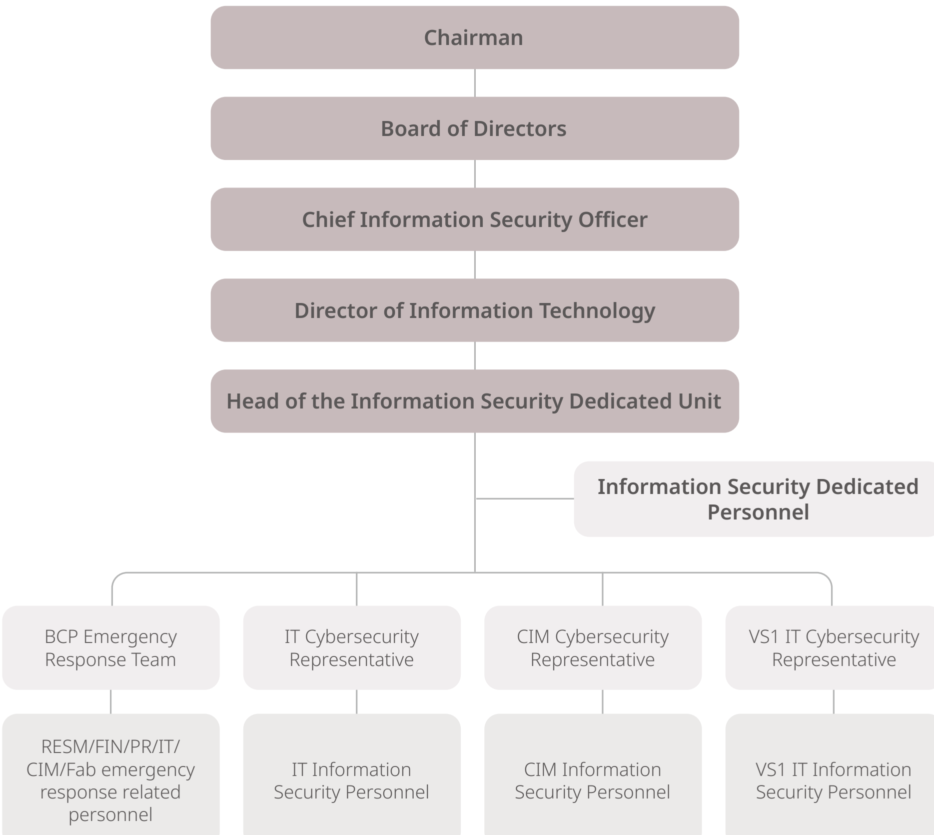
VIS is committed to maintaining the security of the information environment. In 2003, VIS established the "Proprietary Information Protection Committee" and formulated the "Proprietary Information Protection Measures", and in 2013, VIS further promulgated the "VIS Information Security Policy" to implement the implementation of information security protection. The Proprietary Information Protection Committee reviews VIS' cybersecurity and information protection status on a quarterly basis, reviewing information security and information protection-related issues and countermeasures, clearly declaring and implementing information security and information protection, and requiring all employees to abide by the rules so as to maintain VIS' competitive advantage.

Proprietary Information Protection Committee Organizational Chart



To implement cybersecurity governance, the Board of Directors approved the establishment of the position of Chief Information Security Officer at the beginning of 2022, which was reassigned in April 2024 to the current Vice President, Information Technology & Business Operation Planning.

Cyber Security Organizational Structure Chart



Cybersecurity Management Mechanism

VIS obtained the Cybersecurity Management System (ISMS) ISO/IEC 270012013 accreditation in December 2015. In 2022, the accreditation scope was expanded to include the VIS Singapore and Fab 5, with a 100% accreditation coverage rate, and in December 2024, VIS will successfully complete the three-year certificate re-examination and replacement and comply with the requirements of the latest version of the ISO international standard. The current version of the certificate is "ISO/IEC 27001:2022", which is externally audited and issued by a third-party certification organization, BSI. ISO internal audits are conducted once a year in VIS, with colleagues auditing each other in each unit, and then being reviewed by the internal auditor, with the audit report being submitted to the ISO Management Review Board for review. At the same time, since 2019, the Company has insured Cybersecurity Risk Management to reduce the risk of business interruption. The coverage extends worldwide to ensure that Customers get the best protection in the use of information services and customer data.

Information Services Continuity of Operation Plan

VIS has formulated "Business continuity planning (BCP)" to ensure that correct response measures can be taken to restore continuous operation in the shortest time when information services are hit by major disasters, thereby reducing adverse impacts. Every year, disaster recovery drills for information systems are conducted, including at least two recovery drills specifically targeted at cybersecurity attacks. The robust ability to respond is enhanced through such regular drills. The two drill results in 2024 met all requirements.

Cybersecurity Protection and Detection

In response to changing external attack channels, VIS has adopted a corresponding multi-layer defense architecture for distributed denial of service (DDoS), advanced persistent attack (APT) and social engineering attacks, and regularly conducts vulnerability scanning, social engineering drills, commissioning external third-party assessment units to conduct website penetration testing, system effectiveness checks, and other related detection to ensure the effectiveness of information security management and control.

In 2024, the head of the cybersecurity unit of VIS joined the SEMI (Semiconductor Industry Association) Semiconductor Cybersecurity Committee and became a new member. The committee members are composed of representatives from the international semiconductor industry, cybersecurity industry, government, and academia. They are committed to formulating and promoting international semiconductor cybersecurity standards such as SEMI-E187, and seek to improve the overall security of upstream and downstream supply chain cybersecurity. Our company has used the semiconductor cybersecurity risk rating service promoted by SEMI, and the third-party cybersecurity risk assessment result is 98 points, which is better than the semiconductor industry average.

Cybersecurity Advocacy, Education, and Training

In order to ensure all employees, agree with actions relating to Confidential Information Protection policies, the Company conducts advocacy every month and sends PIP prize quizzes all employees. This was implemented once in 2024, with the participation of 3,699 questionnaires, and the correct answer rate for all questionnaire topics was 96%. In terms of training, all employees at VIS are required to complete the education and training courses and pass the tests, with a training completion rate of 100%. also, there are internal and external professional cybersecurity courses participated in by colleagues from the information units, with a total of 145 hours of such training in 2024.

Information Grading System

VIS' information is classified and controlled according to sensitivity and value. The controls include the means of information transmission, reception, use and storage. The disclosure of information adheres to the Need-to-Know principle. Information is categorized as shown in the diagram on the right.

Notification and Handling of Cybersecurity Incidents

VIS has clearly established an Information Security Incident notification and handling process. Once a Cybersecurity incident occurs, it will be reported according to the isolated impact scope, with concomitant establishment of a command center, and the commander will assign tasks to organize and perform System recovery operations, and after the incident has been handled, 8D problem solving (Eight Disciplines Problem Solving) will be conducted for analyzing and adopting correction measures to avoid recurrence of the incident.

In 2024, there were no major information and communications security incidents at VIS, also has no loss of customers or related information.

Information Grading System

Extremely Confidential Information | Confidential Information | Other Confidential Information | Public Information

Information Security Notification and Processing Flowchart

An Information Security Incident Occurred → Isolate and Assess Scope of Impact → Notify the Relevant Units to establish a Command Center → Operation Implementation and System Recover → Record Keeping and Preservation

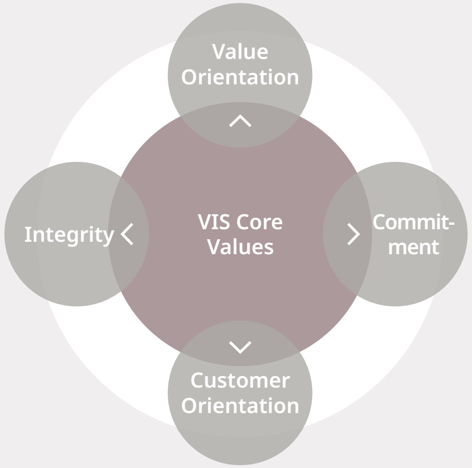
- Level 3 Availability Incident: The incident should be handled immediately and reported to the Division Supervisor. The handler should keep a record of the incident and subsequently notify the highest level of the relevant Information Department Supervisor.
- Level 2 Availability Incident: Immediate notification should be made to the supervisor of the relevant information department, and then to the highest-level supervisor of the relevant information division. A Level 1 Availability Event shall be immediately reported to the appropriate department head and the highest level of the Information Related Division.
- Level 1 Confidentiality or Integrity Incident: Reporting to the PIP Committee is required.
- Major information security incidents should retain evidence of their occurrence, and if necessary, be reported to the responsible supervisor, and at the same time, apply for digital forensics from the police investigation unit.

3.3 Ethics and Transparency

Ethical Corporate Management Best Practice Principles

The VIS Core Values are: Integrity, Customer Orientation, Value Orientation, and Commitment. The first article of the Company's business philosophy is "Upholding Ethical Business Practices ", clearly indicating VIS' emphasis on integrity.

Based on this, to establish a corporate culture of integrity in management and a good business operation model, VIS has established the "Ethical Corporate Management Best Practice Principles". These principles are promoted through the Company's website, internal employee training materials, electronic bulletins, bulletin boards, and promotional videos, aiming to actively create an honest, straightforward, pragmatic, and cooperative working environment.



Ten Articles of VIS Business Philosophy

1. Upholding Ethical Business Practices
2. Focusing on Core Business
3. Internationalized Operation with View on Global Market
4. Focusing on Long-term Business Strategies, Striving to Be a Perpetual Enterprise
5. Treating Customers as Partners
6. Building Quality into All Aspects of Our Business
7. Constant Innovation and Entrepreneurial Vitality
8. Creating a Dynamic and Enjoyable Working Environment
9. Establishing an Open Management Style
10. Being a Good Corporate Citizen by Contributing and Caring for both Shareholders and Employees

3.3.1 Ethics and Business Conduct and Ethical Corporate Management Best Practice Principles

The very first rule of VIS' business philosophy is "Upholding Ethical Business Practices", which spells out the practice in the "Ethics and Business Conduct", requiring all employees to clearly understand and abide by the "Ethics and Business Conduct" and personal integrity. Meanwhile, the "Code of Ethics for Directors" also stipulates that directors shall uphold the principle of good faith and abide by professional standards of conduct when performing their duties. In order to establish a corporate culture of ethical corporate management and a good business operation model, the "Ethical Corporate Management Best Practice Principles" have been formulated in accordance with the Ethical Corporate Management Best Practice Principles for TWSE/GTSM Listed Companies and have been properly implemented in accordance with regulations.

The Company has established plans to prevent dishonest behavior in the "Ethics and Business Conduct," and clearly stipulates the procedure, behavior guidelines, penalties for violations, and grievance systems in each plan. Since 2020, directors and managers have signed the declaration to comply with the "Ethics and Business Conduct." Furthermore, employees are given education and training during the annual conflict of interest declaration to implement various regulations.

VIS conducted the "Survey of Employee Recognition of Business Philosophy " in 2023. The results show that the first article, " Upholding Ethical Business Practices," received an acceptance score of 4.66 out of 5 from all employees. Compared to the 4.59 in 2020, it increased by 0.07, indicating that employees have a high level of recognition of the Company's integrity in management. This result has remained consistent over the years, reflecting the Company's efforts and achievements. The implementation status of integrity in management is also reported to the Board of Directors at least once a year.

In order to implement the management of VIS' ethical corporate management, the human resources division is responsible for formulating and executing policies, requiring directors, managers, employees, appointees, and substantial controllers to abide by laws and regulations when performing business. They must conduct business activities based on the principle of ethical corporate management in a fair and transparent manner. The Company prohibits bribery and accepting bribes, illegal political contributions, improper charitable donations or sponsorships, unreasonable gifts, hospitality, or other improper benefits, infringement of intellectual property rights, engaging in unfair competition, and improper behavior that may harm stakeholders related to products or services. The Company regularly evaluates compliance with relevant business processes, submits findings to the audit committee, and reports to the board of directors in the third quarter of each year. Additionally, the Company regularly conducts education, training, and awareness programs for directors, managers, employees, appointees, and substantial controllers. It integrates integrity policies with employee performance evaluations and human resources policies, establishes clear and effective reporting and disciplinary systems. The system includes the following:

- Establish and announce an internal independent reporting mailbox for use by internal and external personnel.
  Audit Committee mailbox (audit_committee@vis.com.tw)
  Chairman's mailbox (vis_chairman@vis.com.tw)
  President's mailbox (vis_president@vis.com.tw)
- Assign the dedicated personnel or unit to accept reports.
- After the investigation of the report is completed, report it to the competent authority or transfer the report to the judicial authority for investigation if necessary.
- Keep records of and preserve the acceptance, investigation process, investigation results and related document production regarding the report.
- Keep the identity of the whistleblower and the content of the report confidential.
- Measures to protect whistleblowers from being improperly dealt with due to whistleblowing.
- If the whistleblowing report is verified to be true and the handling of the report will bring good benefits to VIS, the whistleblower can be rewarded appropriately.

When the Audit Committee receives a reported, suspected violation of the "Ethical Corporate Management Best Practice Principles", it may entrust appropriate internal or external personnel to form an investigation team, upholding the principles of impartiality and nondisclosure, and make a concluding report after understanding the facts to be submitted to the Audit Committee.

In 2024, the Audit Committee mailbox, Chairman's mailbox, and President's mailbox received a total of 1 reported case related to business ethics (0 cases related to corruption or bribery, 0 cases related to discrimination or harassment, 0 cases related to customer privacy, 0 cases related to violation of conflicts of interest, 0 cases related to money laundering or insider trading, 1 other case). The case has been properly handled based on the investigation results, and outreach was strengthened. The amount fined for corruption or bribery cases was NT$0.

Ethics and Business Conduct

VIS' "Ethics and Business Conduct" clearly stipulate that employees should avoid causing any conflict or possible impact between personal interests and company interests. Employees should actively report any of the following situations: the employee or their close relatives have an employment relationship with any supplier, customer, or competitor; the employee directly competes with the Company's business in activities outside of the Company; using company resources to engage in activities outside the Company; or, having close relatives working in the Company. After VIS receives the reporting, the human resources division will discuss with senior executives to jointly work out the handling principles and report the matter to the President for approval.

Education, Training and Advocacy of Ethics and Business Conduct and Ethical Corporate Management Best Practice Principles

VIS relies on various promotional channels and forms to advocate the Ethics and Business Conduct and Ethical Corporate Management Best Practices' Principles to our colleagues. We offer an online course on "Ethics and Business Conduct and Ethical Corporate Management Best Practices' Principles" (including the usage of reporting channels) as a compulsory annual course for all employees in Taiwan and Singapore to ensure that they clearly understand the content of the guidelines, the usage of reporting channels, and the execution method after case acceptance. In 2024, the coverage rate of digital course training on "Ethics and Business Conduct and Ethical Corporate Management Best Practices' Principles" reached 100%, and the target training coverage rate for 2025 is also 100%.

3.3.2 Regulatory Compliance

VIS firmly believes that integrity is the core value of the enterprise, and that sustainable development relies not only on good economic performance but also on valuing customer opinions, meeting customer needs, and protecting customer privacy to gain customer recognition and long-term support. To implement high standards of professional ethics, VIS has established the "Ethics and Business Conduct " to guide employees and managers at all levels in their daily business conduct. VIS also has a dedicated Legal and Intellectual Property Division. Each department continuously monitors changes in policies and regulations that may significantly impact the Company's operations, business, or finances. Additionally, through the formulation of related policies and guidelines, education and training, tracking and outreach for laws and regulations, providing reporting channels, conducting self-inspections and audits, VIS actively implements its principles of corporate governance, strengthens business ethics, and ensures regulatory compliance.

Regulatory Compliance Implementation and Execution

VIS has established relevant policies and measures for the policies and regulatory statutes for various business fields, requiring employees to carry out business according to these policies and measures, including: supply chain security, information security, ESG, anti-sexual harassment, environmental protection, internal controls, financial reporting compilation, document control and destruction, procurement of non-conflict minerals, "Ethics and Business Conduct", Protection of Personal Data, and Proprietary Information Protection Policy (PIP Policy).

To reinforce implementing regulatory compliance and ensuring the Company's compliance of relevant policies and legal requirements, VIS is gradually converting existing internal working principles of the Company into specific policies and rules. VIS also makes the regulatory compliance system as a key item for implementing legal compliance. Through regulatory checking, regulatory updates to compliance reviews, timely amendments to internal regulations, providing education and training and announcements, employees are able to understand and comply with relevant laws, ensuring effective implementation for enforcing continuous compliance.

Regulatory Compliance, Education and Training

Education and training is an indispensable part of the regulatory compliance plan. To ensure employees can access regulatory compliance training at all times, VIS has established a "Proprietary Information Protection (PIP) Area" at the internal website entrance, providing employees with timely access to relevant regulations, advocacy, and training materials. Additionally, the Company offers various online and advocacy courses, including "Introduction to AEO High-Quality Enterprise Supply Chain Security Management System," "Sexual Harassment Prevention," "Anti-Trust Law," "Protection of Personal Data Act," "Employees' Intellectual Property Concepts," "Trade Secret Protection," "Patent Search and Infringement Litigation," "Insider Trading and Short-Term Trading," among others. Different completion regulations have been set according to the employee's job duties, with concomitant testing after courses to evaluate employees' understanding and implementation of laws, regulations, policies, and methods. During the testing process, if there are any incorrect answers, the system will mark and remind the correct answers after completion, enhancing employees' cognition and risk awareness, thereby effectively reducing operational risk and enhancing market competitiveness.

Regulatory Tracking and Policy Advocacy

In order to ensure the legality of the implementation of VIS' main business as well as to track the actual implementation of laws and regulations, the Legal Department of VIS posts advocacy announcements and posters regarding VIS' policies and regulations on the internal website and physical bulletin boards, regularly reviews the changes in laws and regulations and announces the latest regulatory amendments on the internal website. This allows each department to evaluate the possible risks and impacts of such regulatory changes on VIS and to revise or add new corresponding internal norms accordingly. Additionally, VIS conducts regular self-inspection management of regulatory compliance and accepts audits by the internal audit department, thereby reducing the impact and risks on VIS' business.

Reporting Violations

To prevent illegal activities from harming the rights and interests of customers, VIS, and employees, VIS provides internal and external whistleblowing channels for employees and outsiders to report possible illegal activities to VIS. Whistleblowers can report in their own name or anonymously, providing specific factual content, relevant information, and any documentation. Unless otherwise provided by law, VIS keeps confidential the identities of employees and external individuals as well as the content of the reporting in accordance with regulations, and takes appropriate measures in accordance with the law to protect the individuals' personal data and privacy, to ensure VIS' compliance with domestic and foreign policies as well as legal requirements.

VIS had no litigation related to anti-competitive behaviors, antitrust, or monopoly regulations violations, as well as no significant violations of the law in 2024. In 2025, VIS will also aim for this and will continue to deeply implant the culture of regulatory compliance.

Note: "Significant violation" refers to any single incident with a cumulative fine amount of over NTD $1 million.

3.3.3 Implementing Proprietary Information Protection

Proprietary information such as confidential information and trade secrets are important assets of VIS and customers and are closely related to VIS' competitiveness. If VIS' manufacturing process formula, manufacturing process flow, machine parameters, product yield rate, information relating to customer products, financial information, etc. are leaked or used improperly, it will have a severe impact on VIS or its customers. Thus, VIS continues to strengthen its confidential information protection mechanisms to ensure the security of confidential information and safeguard the long-term interests of the Company and its customers.

VIS is committed to the secure management of confidential information and trade secrets to maintain the competitive advantage of the Company and become a trusted partner of our customers, VIS has formulated the Proprietary Information Protection Policy (PIP Policy) since 2003, which clearly stipulates the classification of confidential information and the reception, transmission, storage, and use of such confidential information.

To strengthen information security, VIS has also established an Enterprise Information Security Management System. In 2015, it obtained ISO 27001 certification for its Information Security Management System (ISMS), demonstrating effective implementation of cybersecurity policies and management procedures, and striving for the perfection of protective mechanisms. When transmitting customer design-related data, it is protected with B2B secure encrypted connection. Customer's technical documents are all encrypted and stored in the document management system. The access rights are managed by the document management system with a record log of all access. In addition, VIS commits that the aforementioned information will only be used for its original purposes and not for secondary purposes.

To strengthen the adherence to the protection of proprietary information, VIS has established a PIP Area for proprietary information protection on the internal website. This Area provides employees with timely access to mandatory annual online courses for each employee, various outreach and activities (such as homepage e-posters on the internal website, poster selections, and prize quizzes), and in-person courses, enhanced employees' understanding and compliance with the Company's trade secrets and confidential information protection, thereby strengthening the protection of trade secrets and confidential information. In 2024, all employees completed the "PIP Advocacy - Proprietary Information Protection Policy" online course.

For dynamic execution, ensuring the normal operation of proprietary information protection mechanisms and correcting violations in a timely manner, a cross-organizational PIP committee has also been established with representatives from Legal, Human Resources, Information Technology, Internal Audit, R&D, Quality Reliability Assurance, Finance, Accounting, Worldwide Sales & Planning, and Operations. Quarterly meetings are held regularly to review past violations and system flaws in the past quarter to continuously improve mechanisms for protecting proprietary information. If necessary, ad hoc meetings are held to timely discuss incidents and issues, with the aim of continuously improving effective protection. In the event of an abnormal occurrence, the investigation team (composed of Legal, Human Resources, Information Technology, and Internal Audit units) will immediately investigate the cause of the case and conduct disposition. Afterward, any inadequacies or omissions in policies and mechanisms will be reviewed for improvements and strengthened.

In 2024, VIS received a complaint involving the leakage of vendor privacy. An internal investigation was immediately launched. The investigation results indicated no violation of relevant regulations; however, the Company still places high importance on privacy protection and immediately took measures to enhance employee advocacy to raise awareness of privacy protection, preventing any potential privacy infringement behaviors and avoiding similar complaints in the future.

3.4 Innovation Management

3.4.1 Green Innovation

As climate change and energy shortages become more and more serious, various countries have introduced energy-saving policies one after another to achieve the goal of zero-carbon emissions and low-carbon sustainable homes. Consumers are also paying more attention to the power-saving functions of end products. VIS is committed to green manufacturing and environmental sustainability, and the research and development of manufacturing process technology continues to move towards low power consumption and high performance, so that customers' terminal application products, such as computers, communications, consumer, industrial, and automotive products, can all meet the specifications of high energy efficiency and power saving; meanwhile, we continuously innovate and develop the green, innovative components.

VIS' process technology includes: High Voltage, Ultra High Voltage, BCD (Bipolar CMOS DMOS) process, SOI (Silicon on Insulator), Discrete power component process, Logic process, Mixed-Signal process, Analog signal process, HPA (High Precision Analog) process, Embedded Memory technology, MEMS & Sensor technology, and GaN process. These process platforms can effectively enhance the green innovation competitiveness of customers' products, ensuring they maintain a leading edge in the global market.

2024 Outcomes:

- **Power Management ICs:** In order to make end products more efficient, energy-saving, and lightweight, the current 0.15um BCD manufacturing process of VIS provides customers for the design of high-efficiency power management ICs by reducing switch resistance and parasitic capacitance. Among these, the 3.3V gate BCD, capable of supporting high-performance computing and servers' high current demands, underwent small-scale trial production in 2022. Products tailored for 48V server applications have begun to gradually ramp up. It is estimated that the future revenue ratio will steadily increase.
- **Microcontroller IC:** VIS' 0.18um 1.8V embedded memory (e-Flash) offers customers a design for low system power microcontrollers, reducing the energy consumption of the end system products. The customer new product design and validation were completed in 2024. In 2025, customers will conduct small-scale trial production and promote new product business. By 2026, it is expected to contribute to the Company's revenue.
- **Display Driver ICs:** Due to increasing demands for power savings from laptop manufacturers, in addition to assisting customers in mass producing the 0.15um and 0.11um high-voltage process, VIS has also developed the more power-efficient next-generation 0.11um high-voltage process. This provides an average power savings effect of 6 to 12%, satisfying the energy savings and carbon reduction requirements in the display driver IC market for customers.
- **Discrete Power Components:** Current 0.35um to 0.13um Split Gate Trench MOSFET (SGT MOSFET) manufacturing process technology has assisted customers in developing more energy-saving products, which can be used for data centers, efficient cloud computing, 5G communication, and DC motor drive applications.
- **Sensor and MEMS Manufacturing Process Technologies:** VIS' Micro MEMS and light sensor technologies ranging from 0.11 to 0.25um have assisted customers in developing various smart sensors on electronic devices including smartphones, tablets, and wireless earbuds. These sensors allow the power of electronic devices to be adjusted according to surrounding light sources, temperature, infrared, and movement status of the electronic devices, hence contributing to energy saving in system devices and equipment.
- **Type III Compound Gallium Nitride GaN High-pressure Semiconductor:** With the rise of the green energy electric vehicle market, VIS has developed a 650V, low-loss, high-temperature resistant, and high-voltage resistant Type III compound gallium nitride GaN high-voltage semiconductors, which have been produced in small quantities and applied to energy-saving power supplies.

VIS conducted an assessment of its low-carbon products in alignment with the EU Taxonomy, identifying those that meet the criteria for sustainable economic activities. In 2024, VIS' low-carbon products accounted for approximately 67% of total revenue, reaching NT$29.514 billion. These products are expected to save around 6.74 billion kWh of electricity annually, resulting in an estimated reduction of 3,192,000 metric tons of carbon emissions.

Unit: NT$hundred million

EU Sustainable Taxonomy Standards	Low-carbon products	Description of low-carbon products	2021	2022	2023	2024
CCM3.4, CCM3.20, CCM4.9, CCM7.4, CCM7.5, CCM7.6, CCM8.1, CCA3.4, CCA4.9, CCA7.3, CCA7.4, CCA7.5, CEY1.2, CEY4.1	PMS power management chips and discrete component products	The adoption of PMIC BCD/UHV/SOI processes improves On-resistance and Parasitic Capacitance, reducing system power consumption and enhancing energy efficiency.	248.45	331.68	238.12	276.94
CCM3.4, CCM4.9, CCM7.4, CCM7.5, CCM7.6, CCM8.1, CCA4.9, CCA7.5, CEY1.2, CEY4.1	Display driver chips, sensors, eFlash, and GaN products	The adoption of DDIC, sensor, eFlash, and GaN process technologies optimizes terminal electronic systems, reduces power consumption, and enhances energy efficiency.	23.65	22.22	17.18	18.20
Low-Carbon product revenue			272.10	353.90	255.30	295.14
Total annual revenue			439.51	516.94	382.73	440.55
Proportion of Low-Carbon product revenue to total annual revenue			62%	68%	67%	67%

Future Development Plans

- **Power Management ICs:** VIS' 0.11um 1.5,5V/5-55V BCD has been developed, providing solutions for power management chips with high digital content. The next generation 3.3V gate BCD, focusing on performance optimization (on-resistance and quality factor), is currently under development and is expected to provide customers with complete high-current Smart Power Stage solutions for 5Vin, 12Vin, and 19Vin systems by 2026. Additionally, VIS is preparing to explore the fourth-generation BCD process, which will offer customers highly integrated, high-performance, and differentiated chip design solutions in the future.

- **Microcontroller IC:** VIS continuously develops ultra-low power (ULP) embedded flash memory (eFlash Memory) 0.18um 1.8V e-Flash process technology. Through the ultra-low power consumption eFlash process technology, customers can design microcontrollers with ultra-low system power consumption in the future, thereby extending the system battery life and reducing charging time.

- **Display Drivers:** VIS will continue to develop more energy-saving high-voltage process technology in the market for various types of display panels with lower power consumption, including OLED and e-books display applications.

- **Discrete Power Components:** VIS' MOSFET manufacturing process technology from 0.13um to 0.11um is currently undergoing certification procedures or is still in development. In the future, customers will be able to design more energy-saving power components. In addition, VIS has also laid out plans for high power applications in the industrial and automotive markets, joint development with customers for the latest generation of Field Stop Trench Insulated Gate Bipolar Transistor (Field Stop Trench IGBT), and will gradually enter mass production to assist customers for their applications in industrial, electric vehicle, and hybrid vehicle motor drive modules.

- **Sensor and MEMS Manufacturing Process Technologies:** VIS collaborates with customers to develop 0.11um 1.5/3.3V technology and applies it to sensors used in mobile phones to detect the Specific Absorption Rate (SAR) of electromagnetic waves, adjusting the power consumption of electronic device's radio wave transmission under different conditions. This contributes to energy savings and carbon reduction in electronic devices. Currently, it has been produced in small quantities. The next step is to jointly develop 0.11um 1.5/3.3V optical sensors with customers, applied to mobile phones and consumer electronics, to adjust screen brightness under different light sources, facilitating energy savings in electronic devices.

- **Type III Compound Gallium Nitride GaN High-pressure Semiconductor:** VIS is currently developing high-frequency, high-power gallium nitride (GaN) 1200V components, aiming at market development for electric vehicles and charging piles. Additionally, the development of high-voltage, high-power silicon carbide (SiC) 650V and 1200V components has been initiated, targeting industrial and automotive market applications.

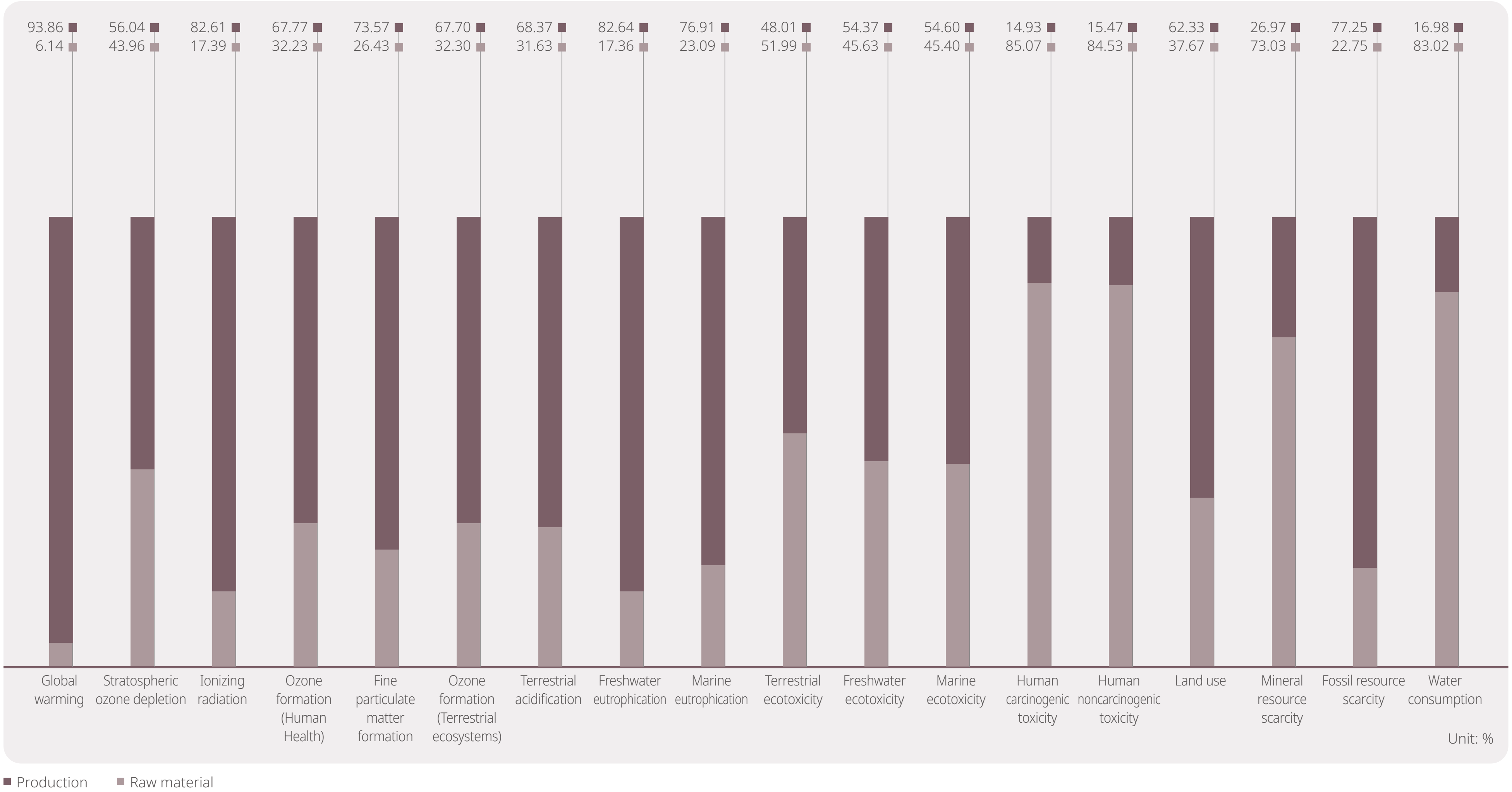
Product Life Cycle and Management Action

Adhering to the concept of sustainable management, VIS is committed to the development of environmentally friendly products, and has formulated supporting measures for the stages of procurement, production and manufacturing, transportation and logistics, and disposal and recycling, with the goal of reducing resource consumption, energy saving and carbon reduction, and continuously improving the environment benefit. VIS conducts a comprehensive Full Life Cycle Assessment every two years, ensuring that 100% of product categories undergo a complete evaluation. This process helps identify the characteristics of various environmental impacts and pinpoint key areas for enhancing environmental performance.

Environmental Considerations	Life Cycle Stage				
	Procurement Stage	Product Manufacturing	Transportation Logistics	Use of Products	Disposal and Recycling
Hazardous Substance	V				
Energy Efficiency		V		V	
Material Reduction		V			
Recycled Material Texture		V			V
Saving Water Resources		V		V	
Reduce Carbon Emissions		V	V		

Life Cycle Stage	Implementation Direction	2024 Implementation Practices
Procurement Stage	Work with suppliers to jointly cooperate in environmental laws and regulations, so as to maintain and reduce the impact on the ecological environment and system	Established the IECQ QC 080000 product hazardous substance management system to continuously ensure that the produced wafers and outsourced back-end manufacturing process products comply with the requirements of international regulations and EU REACH
Product Manufacturing	Promote energy-saving solutions to improve product energy efficiency	The power savings rate in 2024 was 0.95% and the cumulative power savings rate from 2016 to 2024 was 18.13%
	Adjust machine operating conditions	Saved 14.72 metric tons/ chemical consumption per year
	Recycle and reuse materials such as exhaust pipes, gas pipes, and chemical pipes	Reduced waste by about 77.71 metric tons/year
	Manufacturing process water is fully reused to reduce wastewater discharge, and to reduce tap water replenishment and save water resources simultaneously	From 2015 to 2024, VIS accumulated more than 92.48 million tons in process water recovery. In the year 2024 Total Process Water Recovery Volume reached 12.28 million tons
Transportation Logistics	Plan shared distribution routes to replace frequent and small-scale transportation modes based on trade terms, delivery date, volume of goods, and delivery location	Continuously optimizing procurement strategies, by improving machine delivery schedules and replacing air transportation with sea freight, it is estimated internally that transportation carbon emissions can be reduced by approximately 267000 metric tons
Disposal and Recycling	Reuse raw packaging materials and some used product packaging materials to reduce the volume of packaging materials and waste generation	Used 1,220.2 kg of recycled packaging materials
	Recycle the empty wafer boxes after the raw materials are put into wafers and the semi-finished product packaging boxes are sent to outsourcing companies to reuse for the packaging of (finished) products for shipment	The recovery rate reached 96%

Environmental Footprints of 18 Products in Raw Materials and Manufacturing Stages



3.4.2 Innovation Management Structure

The continuous innovation of integrated circuit (IC) manufacturing technology is a crucial factor in enhancing the Company's core competitiveness. Since 2019, VIS has been actively promoting advanced intelligent manufacturing and intelligent management centered on Industry 4.0 (VIM²–VIS Intelligent Manufacturing & Intelligent Management), focusing on dimensions including quality, cost, cycle time, people productivity, OEE (Overall Equipment Effectiveness), and customer satisfaction, etc. Through Data-Driven, System-Centric approaches, and achieving high "Auto-Decision", innovative production operations and management are achieved, comprehensively driving the intelligence of VIS Operations.

VIM² has been horizontally implemented within the organization from top to bottom since 2019, introducing suitable solutions to accelerate digital transformation; externally, the Company refers to external practices and leverages the research prowess of academia to resolve the Company's pain points.

VIS coordinates and operates various innovative technologies through integrating automated production technology, Robotic Process Automation (RPA), big data analysis, artificial intelligence, and No/Low code AI tools, to achieve the intelligent production goal of automatic decision-making. We are actively shaping a digital transformation culture where everyone is responsible. To accelerate the achievement of this goal, we continue education and training as well as internal sharing and competitions to enhance the skills of the personnel in intelligent manufacturing and management in the future; meanwhile, through the synergy out of the combination of industry, government, and academia, as well as integrated use of research and development capacity, we achieve the win-win benefits from mutual cooperation.

VIS provides various learning channels to cultivate employees' digital transformation capabilities, including establishing a quarterly information column to deliver related information and knowledge to colleagues; co-organizing education and training with the Company's Learning and Development Committee, and encouraging employees to participate in external training and obtain certifications. In addition, starting in 2020, we have also begun to reward colleagues for their digital transformation outcomes by awarding awards.

In 2020, the first VIM² Award encouraged teams to attempt intelligent upgrades, to promote the concretization of the VIM² concept, attracting a total of 17 teams to participate. In 2021, the second VIM² Award emphasized digital popularization, encouraging all organizations to take the initiative to use tools for digital transformation, with a total of 31 teams registered to participate. In 2022, the third VIM² Award emphasized implementing digital technology, encouraging teams to effectively apply digital tools, and integrating them with daily operations to enhance operational performance. In 2023, employees from all units became more actively involved in digital transformation, continuously bringing more efficient and quality work environments through innovative digital systems, digital leadership capabilities, and the completion of everyday digital operations decision-making systems. Therefore, the fourth VIM² Award focuses on rewarding project teams that are actively involved in digital transformation, have a significant impact on manufacturing/management, and bring real value benefits. In 2024, the fifth VIM² Award will specifically reward projects that successfully implement AI technology to enhance product quality, operational efficiency, or innovation capabilities, or digital transformation projects that have a significant impact within the organization.

VIS regularly holds the VIM² Award to reward colleagues for their digital transformation achievements.

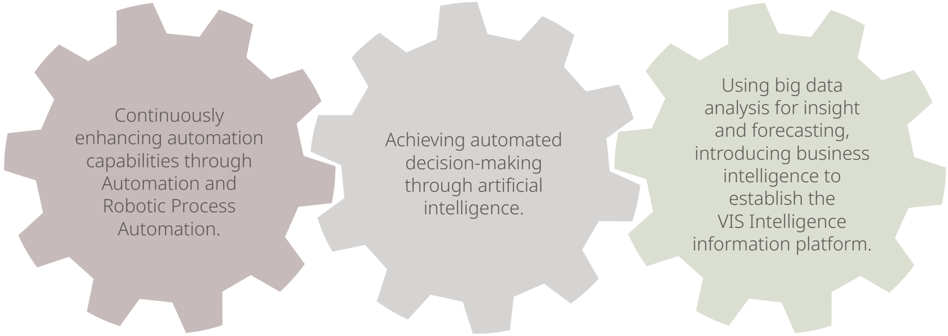
The outcomes from 2021 to 2024 include:

Smart Manufacturing

- Through the method of production procedure innovation, the cost reductions from 2021 to 2024 are approximately NT$330 million, of which savings on electricity/materials/maintenance costs account for approximately 0.15%, 0.28%, and 0.28% of the cost of goods sold, respectively.
- In 2024, VIS officially applied AI prediction models to Advanced Process Control (APC) , resulting in a 20% reduction in quality abnormality rates and a 15% improvement in process capability.
- By integrating AI-based wafer defect detection technology into the production process, we have reduced the output of defective products and shortened the response time from defect identification to process adjustment by 45%.
- Big data analysis technology improved the efficiency of lithography equipment, saving approximately NT$1.8 million annually.
- AI detection was used to assess the health of facility pumps, enabling early identification and replacement of abnormal pump components, extending the lifespan of normal pump components, and saving approximately NT$2.53 million annually.
- An AI-powered image detection system has been implemented for safety and audit purposes, helping to reduce accidents and minimize human errors that could impact product quality.
- Big data quickly identifies machine bottleneck differences, enhances equipment productivity, and effectively increases production capacity.
- A new algorithm was adopted to calculate the maximum remaining production capacity, thereby enhancing overall business performance.
- In 2023, we introduced a genetic algorithm to establish an intelligent dispatch system, solving complex production scheduling problems through multi-objective optimization, enhancing the operational efficiency of bottleneck machines, and improving production cycles. At the same time, through process reengineering and system construction, we improved the efficiency of the product pricing process.

Smart Management

- From 2021 to 2024, the "Vanguard Intelligence Dashboard" was established, centered on semiconductor performance management through business intelligence (BI) tools. This initiative standardized the Company's definitions and management approaches for performance indicators, integrating data-driven analysis and management from various departments into a virtual expert system. Approximately 1,991 BI modules were developed, significantly enhancing analytical and managerial efficiency.
- From 2020 to 2023, in collaboration with National Yang Ming Chiao Tung University, mathematical programming methods and heuristic algorithms were applied to improve the efficiency and accuracy of short-term wafer planning and master production scheduling.
- In 2021, in response to the pandemic, a remote work platform was established by integrating VPN, Net Meeting, and instant messaging tools. This initiative enhanced communication efficiency and quality for remote employees, ensuring uninterrupted operational performance.
- In 2021, a cloud-based human resource management system was implemented at the Taiwan facilities to establish a global talent platform, enabling agile responses to evolving labor regulations across multiple countries.
- During the pandemic, to meet both epidemic prevention and auditor requirements, internal personnel wore smart glasses to transmit real-time visuals to remote auditors' computer screens, achieving the purpose of remote real-time auditing.
- To strengthen employees' knowledge and practical capabilities in artificial intelligence, AI and Big Data workshops were conducted. Through structured training and the adoption of no-code and low-code AI tools, non-IT personnel were empowered to independently perform data analysis and address work-related challenges.
- In 2024, in response to the trend of generative AI, VIS also introduced MS ChatGPT technology, integrating company data to improve employee work efficiency.
- In 2024, GitHub Copilot technology was introduced to enhance software development efficiency. By leveraging intelligent code completion and suggestion features, the tool supports faster coding and improves team collaboration and overall productivity.



3.4.3 Intellectual Property Management

VIS' intellectual property management is based on the policies of "Protecting R&D outcomes and promoting innovation", "Utilizing intellectual property to strengthen competitiveness," and "Implementing regulatory compliance for sustainable operations" to establish management objectives and related systems to ensure alignment with the VIS' operational strategies. Each year, the execution status and management results of the intellectual property management plan are reported to the board of directors.

VIS continues investing in innovative research and development and patent portfolio, strengthening intellectual property capabilities, and cooperating with R&D Strategy to carry out global patent portfolio ensuring comprehensive protection of R&D outcomes. Since its establishment, VIS has acquired over 2,600 patents from various countries, with the number of granted patents steadily increasing in recent years. This growth not only solidifies VIS' leading position in unique technologies, enhancing its competitive advantage but also provides enhanced protection for VIS and its customers' rights and interests. VIS' process technology R&D is also continuously advancing towards low power consumption and high performance, ensuring that customers' end-use products, such as computers, communications, consumer, industrial, and automotive products, meet high energy efficiency and power-saving specifications. Simultaneously, the Company is constantly innovating and developing green innovative components, actively assisting customers in achieving energy-saving and carbon reduction goals, and has accumulated hundreds of green-related patents.

Recognizing that the protection of patents and trade secrets is a crucial link in modern business strategy, VIS offers online courses in "Employee Intellectual Property Concept & Protection of Trade Secrets" and "Patent Search & Infringement Litigation" for employees to strengthen their understanding of patents and trade secrets. This initiative effectively reduces operational risk and enhances VIS' competitiveness.

Enhancing VIS' competitive advantage and pursuing an innovative culture, a trade secrets registration system was implemented in 2022, and it has been continuously promoted with encouragement to register trade secrets. Every year, we reward the high-quality trade secret registration instances through a selection system to stimulate contribution of trade secret innovation and promoting protection of VIS' trade secrets. As of now, there are over 6,000 trade secret registrations.

To protect trade secrets and other critical company information, VIS established a cross-organizational PIP (Proprietary Information Protection) Committee in 2003 based on the PIP Policy. This committee holds regular meetings to review violations, improve system deficiencies, and discuss timely cases and issues to ensure comprehensive implementation of protection measures. Additionally, the Company enhances awareness of trade secret and important information protection through mandatory annual PIP online courses and irregular case promotions.

VIS is committed to intellectual property management and corporate sustainable development, continuously strengthening related mechanisms to enhance competitiveness and technological innovation. In 2023, VIS passed the "Taiwan Intellectual Property Management System (TIPS)" Level AA verification by the Industrial Development Bureau of the Ministry of Economic Affairs, valid until December 31, 2025.

VIS will use this as a foundation to improve the Intellectual Property Management Mechanism continuously in order to implement corporate governance regulatory compliance, and provide competitive technology and services through patent and trade secret deployment. Based on the core technology, VIS also develops products for special applications, realizes the concept of green products manufacturing, and implement sustainable development.

VIS enhanced the Intellectual Property Management System to strengthen R&D process management and reduce operation risk, and leverage patent portfolio advantages for patent cross-licensing with major international manufacturers, thereby enhancing VIS value and competitive advantage. At the same time, VIS assists customers in developing more efficient products, creating energy-saving and carbon reduction benefits for customers, and enhancing the overall industry technology level.

VIS actively promotes industry-academia collaboration, and partners with universities to conduct research. Through the R&D, production management, and process teams, research topics are set, and industry-academia research is jointly carried out with academia, not only strengthening students' practical experience but also increasing their understanding of VIS. Furthermore, VIS has further established semiconductor and semiconductor manufacturing-related courses in universities to help students fully understand the semiconductor industry and job content, laying a foundation for future career development.

At the same time, VIS is also committed to practicing corporate social responsibility, popularizing semiconductor knowledge to high school, junior high, and elementary school students through supporting online learning courses, holding semiconductor career seminars, and collaborating with external units to promote the "Learning and Application Connection" plan, allowing more students to establish career planning concepts and gain a deeper understanding of the semiconductor industry before facing academic choices.

Looking forward to the future, VIS will focus on its major business, continue to innovate, provide power management, energy saving and power saving, green energy and environmental protection and other related manufacturing process technologies and services, transform innovation achievements into intellectual property rights, ensure technological advantages, and simultaneously reduce intellectual property rights risks, demonstrating corporate governance performance and implementing sustainable operation vision.

3.4.4 Innovation Case

VIS has been dedicated for many years to developing process platforms with energy efficiency and innovative energy-saving technologies, including high-voltage technology, power analog BCD (Bipolar-CMOS-DMOS), ultrahigh voltage technology, and gallium nitride. Through these technology platforms, VIS focuses on producing drive chips, power management chips, and gallium nitride high-power components, continuously advancing towards the development of technologies that enhance energy efficiency and reduce power consumption. Among these, the revenue from high-voltage and power management chips is gradually increasing in the Company's product portfolio, with the revenue proportion of power management-related chips growing from 49% in 2017 to 66% in 2024.

In the field of Power Management chips, the energy-saving effect of the ultrahigh voltage (UHV) process platform is particularly significant in LED lighting. Calculated per device, each unit can save about 5 watts (W) of energy consumption. According to the number of 8-inch wafers produced by the Company in 2024, approximately 1.7 billion kWh of electricity can be saved annually, demonstrating VIS' contribution to energy savings and carbon reduction in the lighting industry while promoting the UHV process. Additionally, 50% of global end-use electricity is used for motor equipment, and motor electricity accounts for 70% of domestic industrial electricity. Through improved motor design, energy losses can be effectively reduced, and VIS continues to provide more solutions on the UHV process platform to enhance energy use efficiency. In recent years, the application of power management chips has been trending towards high voltage, such as automotive and server power increasing from 12V to 48V, and communication equipment widely adopting 48V power, with USB Power Delivery increasing from 20V to 48V. Under the same power, reducing current can decrease line loss, thereby improving efficiency and achieving energy-saving goals. VIS provides 6V to 120V BCD process solutions, enabling customers to design high-voltage power management chips to enhance product performance and energy use efficiency. For example, with server products, it is estimated that approximately 1.6 billion kWh of electricity can be saved annually. In the future, as servers become more prevalent and the number of VIS products increases, the amount of electricity saved globally each year will be considerable.

In the field of display driver chips, VIS provides a variety of high-voltage display driver chip manufacturing process technologies to meet the needs of various low-power display products. In developing TV display driver chips, the system energy-savings design of customers can be optimized by shrinking manufacturing process linewidth and cooperating with system input voltage from 1.8V to 1.2V. Additionally, in the case of notebook display driver chips, the component voltage is adjusted through the miniaturization of process linewidth, reducing the system voltage from 1.8V to 1.5V. It is estimated that the display module of each notebook can save approximately 0.2 watts (W). Based on the number of 8-inch wafers produced by the Company, this translates to a reduction of approximately 2,100 tons of carbon emissions annually.

In the field of discrete power components, VIS collaborates closely with customers to jointly develop high-efficiency Field-Effect Transistor products, enhancing the DC power conversion efficiency for main processor chips (such as CPUs and GPUs). By improving quality factors, it is expected that each 1% increase in conversion efficiency will save about 2.5 watts (W) of energy for each processor in the server. When calculated based on the production of 8-inch wafers, approximately 2.1 billion kWh of electricity can be saved annually. In addition to high-performance computing products, VIS' power device products are also used in home appliances, automobiles, industrial control, communications, and other fields, contributing to energy conservation, carbon reduction, and sustainable development.

In the sensor field, VIS' MEMS process is widely used in the production of inertial sensors, which are applied in various portable electronic devices such as mobile phones, tablets, and wireless headsets. When the sensor detects that the electronic device has been idle for a period of time, the product automatically enters power-saving mode. Additionally, VIS collaborates with customers to produce proximity light sensors for use in mobile phone products. Overall, the sensors produced by VIS are estimated to save 240,000 kWh of electricity annually.

In the field of microcontroller components, VIS collaborates with customers to develop ultra-low system power consumption microcontroller products, primarily used in home appliances, automobiles, and industrial control. These products can reduce energy consumption and extend product lifespan. For example, when applied to low-power tire pressure detectors and fire smoke detectors, it is estimated that energy consumption can be reduced by more than 50%. For product systems that use batteries and do not have external power sources, this technology can significantly extend product life and reduce the frequency of battery replacement, equivalent to saving approximately 1.25 million kWh of electricity annually.

Under the global trend of energy saving and carbon reduction, various countries have launched initiatives and policies to support electric vehicles in recent years, with gallium nitride (GaN) semiconductor technology playing a key role in the electric vehicle industry. GaN semiconductors have extremely low internal resistance, and compared to similar silicon components, they can increase efficiency by about 70% while reducing component volume and weight by 60%. During power conversion processes in electric vehicle engines, this technology not only enhances endurance but also significantly reduces the volume and weight of the battery management system. VIS has successfully developed the 650V GaN process and component technology, which is now being mass-produced and widely applied in energy-saving power supply units. In the future, VIS will continue to develop the 1200V high-frequency and high-power GaN process and component technology to provide customers with high-frequency and high-power components required for electric vehicles and charging pile applications. It is estimated that approximately 720,000 kWh of electricity can be saved annually, thus implementing energy savings and carbon reduction goals.

3.5 Quality and Customer Service

3.5.1 Strengthen Quality Culture

VIS is committed to providing excellent service quality, becoming the preferred choice for global customers in wafer manufacturing. All employees uphold the goal of continuously improving quality and exceeding customer needs, promoting various improvement activities, and extending them to the supply chain to assist suppliers in optimizing their operational quality for sustainable development. Additionally, the Company actively introduces innovative technologies and management methods to enhance quality capabilities and ensure product quality stability.

Quality management is not only the core of VIS' operations but also a shared responsibility and service principle for every employee. By strengthening the quality management system, the Company effectively improves product quality and further enhances customer satisfaction. VIS' Quality and Reliability organization has established an internal quality audit team to formulate an annual quality audit plan and adopts a process-oriented audit approach to conduct annual internal quality management system audits. Furthermore, through customer audits and third-party verification audits, the Company continuously promotes quality improvement. VIS' quality management system is annually verified by the third-party audit certification body, LRQA, for ISO 9001 and IATF 16949, ensuring compliance with international quality standards.

To strengthen the Company's quality culture, VIS conducts quality culture training courses such as "Quality Management Overview" and "Zero Defect Concept" for all new employees and annually for all current employees. In 2024, a total of 6,592 people participated in the "Quality Management Overview " training course, and 6,655 people were trained in the "Zero Defect Concept and Automotive Quality Awareness" course to establish and enhance employees' awareness of quality. The Company has fully implemented the "Suggestion System (SS)"NOTE 1 and "Continual Improvement Team (CIT)"NOTE 2 activities across all factories and held the "VIS Annual VQE Conference" to present improvement cases. Through incentives such as bonuses and public recognition, VIS aims to encourage colleagues to strive for excellence, promote interdepartmental learning through observation, enhance problem-solving and innovation capabilities, maintain the Company's competitive advantage, and achieve the win-win goal of customer satisfaction.

In 2024, VIS executed a total of 2,331 grassroots improvement proposals and 639 Continuous Improvement Team activities, with total improvement benefits exceeding NT$13.45 billion (including those registered from 2010 to 2024 and closed in 2024). Among the 419 closed Continuous Improvement Team activities, approximately 47% (198 instances) were related to quality enhancement measures. Since 2018, the Company has presented the Continuous Improvement Team Best Innovation Award, Teamwork Award, and Best Presentation Award, and further introduced the Best Newcomer Award in 2022 to encourage employees to actively propose innovative improvement concepts. VIS encourages employees to propose more low-carbon and sustainable-related ideas, making quality culture and low-carbon sustainability part of the work DNA. In 2023, awards were given for excellent cases in "Environmental Protection" and "Energy Conservation and Carbon Reduction," and in 2024, a new "Low Carbon Sustainability Award" was established to encourage all employees to actively propose low-carbon sustainability-related ideas, with innovation, effectiveness, and impact as core indicators. Among them, effectiveness focuses on the actual results of energy conservation, emission reduction, and greenhouse gas reduction, ensuring that proposals can truly achieve green transformation. Ultimately, a champion and two finalists will be selected based on these criteria. Winners will receive public recognition and cash rewards to acknowledge their innovative spirit and contribution to the Company's sustainable development, further promoting low-carbon transformation.

In 2024, VIS participated in the "Taiwan Continuous Improvement Awards, TCIA" promoting local industry development through the sharing of cross-industry improvement methods and practical experiences. VIS won a Silver Award and a Bronze Award, demonstrating the Company's outstanding performance and profound impact in continuous improvement and quality innovation.

Note 1: Employees proactively uncover opportunities for improvement in daily operations, propose strategies or ideas to their supervisors, and implement them to achieve problem resolution or improvements. The scope of suggested improvements includes quality, cost, delivery, production process, customer service for internal and external customers, industrial safety environmental protection, factory affairs, equipment, and other activities.

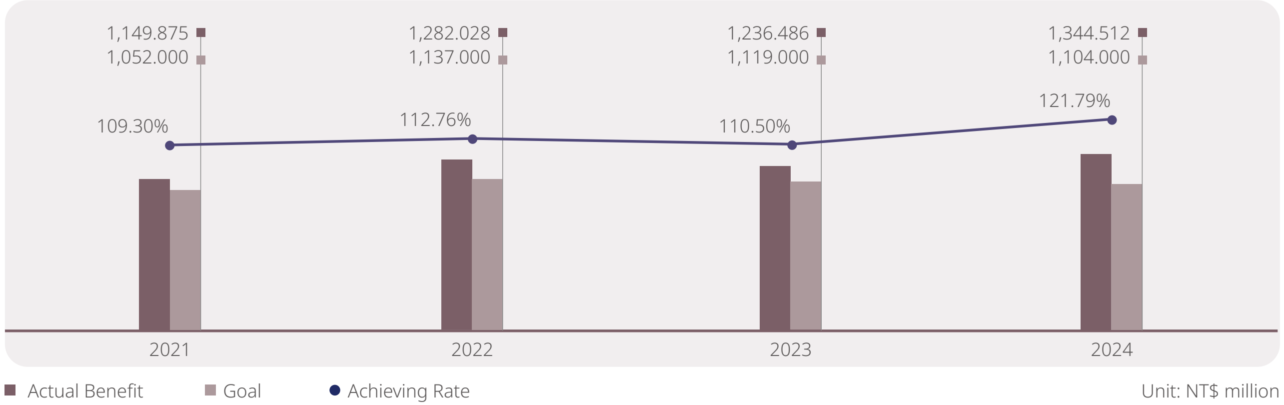
Note 2: The "Continuous Improvement Team" usually consists of three to ten or more members. Team members are generally composed of staff from different units who need to solve common problems. The improvement goals cover quality, cost, delivery, service, productivity, process technology, industrial safety environmental protection, and safety and health.

Improve Quality Capacities

VIS has continued to optimize manufacturing capabilities, reduced product defects, and improved manufacturing process control. The Company actively trains employees related to the quality management system to enhance product quality. The quality and reliability organization cooperates with the operations organization to apply advanced statistical methods and quality tools to build a real-time defense system through quality control plans during the manufacturing process to monitor product quality and inspect each batch before shipment, so as to detect abnormalities early and ensure customers receive high-quality products, reducing recall risks.

In addition to meeting customer needs, pursuing customer satisfaction and creating customer value, product quality also needs to take into account environmental sustainability to ensure environmental ecological stability and sustainable development. To comply with EU regulations and customers' green product requirements, VIS has introduced the IECQ QC 080000 Hazardous Substance Process Management System developed by the International Electrotechnical Commission Electronic Components Quality Certification System. It has been integrated with the ISO 9001 Quality Management System to establish hazardous substance management requirements in process design development, material sourcing, supply chain management, and process control operations. IECQ QC 080000 has also passed third-party audit certification by DQS-UL Group to ensure that the Hazardous Substance Process Management System and Quality Management System meet the requirements of IECQ QC 080000 and ISO 9001. On the other hand, the products produced by VIS have also been sampled and tested by third-party external laboratories, and continue to comply with EU regulations and customer requirements.

Continuous Improvement Task Force Improvement Benefit Goals and Achievement Rate




LRQA
Certificate of Approval
This is to certify that the Management System of:
Vanguard International Semiconductor Corporation (FAB1)
No.123, Park Ave-3rd, Hsinchu Science Park, Hsinchu 300096, Taiwan
has been approved by LRQA to the following standards:
ISO 9001:2015
The scope of this approval is applicable to:
Manufacture of Foundry Process for Semiconductors.
Davis Guan
Regional Director

ISO 9001 Quality Management System Certification.


LRQA
Certificate of Approval
This is to certify that the Management System of:
Vanguard International Semiconductor Corporation (FAB1)
No.123, Park Ave-3rd, Hsinchu Science Park, Hsinchu 300096, Taiwan
IATF USI: P3KPET
has been approved by LRQA to the following standards:
IATF 16949:2016 (excluding product design)
The scope of this approval is applicable to:
Manufacture of Foundry Process for Semiconductors.
Davis Guan
Regional Director

IATF 16949 Quality Management System Certification.


IEC QUALITY ASSESSMENT SYSTEM (IECQ)
IECQ Certificate of Conformity
Hazardous Substance Process Management
Vanguard International Semiconductor Corporation
IECQ QC 080000:2017 - Hazardous Substance Process Management System Requirements
This Certificate is applicable for the following scope of activity:
Manufacture of Foundry Process for Semiconductors.
Issued by the Certification Body: DQS Group - DQS Taiwan Inc.
Authorized person:
Bob CHEN
dqs

IECQ QC 080000 Hazardous Substance Process Management Certification.

Customer Rights Protection and Complaint Mechanism

VIS has established our Customer Complaint Handling Measures to provide customers with transparent, effective channels for complaints about VIS products and services. These channels help ensure that we can handle customer complaints fairly and quickly, thus ensuring customers' rights and interests. In the process, we comply with relevant regulations, respect customer privacy, and protect customer data to safeguard customer rights. In 2024, all customers' complaints were handled in accordance with Customer Complaint Handling Measures. Corrective and preventive measures were proposed in accordance with the required schedules, and we replied with the results to customers.

We have also established a product recall management mechanism to notify customers of recalled products that have been proven to have abnormalities. This is to ensure end customers do not receive defective products produced by VIS. Product recalls are also handled in accordance with the correction and prevention mechanisms. Improvement measures are tracked and confirmed to make sure they are complete and effective. Continuous improvement through our quality system, daily monitoring, detection, and preventive measures means that we can detect abnormalities early and reduce customer impacts from quality issues. There were no product recall incidents from 2021 to 2024.

Manage Hazardous Substances in Products

VIS has established an IECQ QC 080000 Product Hazardous Substance Management System in accordance with international regulations governing hazardous substance requirements for products. Through the identification of hazardous substance risks for new materials and new suppliers, green procurement operations, green design operations, green production operations, and product hazardous substance monitoring, we continue ensuring that the wafers and back-end manufacturing products produced by VIS are in compliance with international regulations and customer-related hazardous substance requirements, including:

- European Union and China’s Restriction of Hazardous Substances Directive (EU & China RoHS): All products of VIS can meet the requirements of these regulations.
- Perfluorooctane Sulfonate (PFOS) Control: VIS has completely discontinued the use of PFOS-containing materials in its manufacturing processes since 2010, and all its products are free from this substance.
- Regulation of Perfluorooctanoic Acid (PFOA) and its related substances: VIS has completed 100% substitution of Perfluorooctanoic Acid (PFOA) and its related substances in 2021.
- Product halogen-free requirements: All products of VIS meet the halogen-free requirements.
- EU Regulation on Registration, Evaluation, Authorization and Restriction of Chemicals (EU REACH): In response to the hazardous substances and Substances of Very High Concern (SVHC) announced successively by the EU REACH, products of VIS all comply with the requirements of these regulations.
- IEC 62474 Material Declaration List substances: The Percent of revenue from products containing IEC 62474 substances at VIS is 0%, and all of the Company's products fully comply with the requirements of international regulations listed in the IEC 62474 Material Declaration List.

Progress of Product Hazardous Substance Reduction Over the Years:

VIS is committed to promoting the "Environmental, Safety and Health Policy." We continuously collaborate with suppliers to substitute raw materials that pose risks to personnel safety, health, and environmental pollution. Currently, we are conducting reduction and substitution operations for N-Methyl-2-pyrrolidone (NMP) materials.

In addition to complying with current international laws and customer requirements, VIS also continuously monitors potential future regulatory requirements and prepares in advance to address them.

Hazardous Substance Management Process	VIS Reduction Status
Perfluorooctane Sulfonate (PFOS)	2010: Complete elimination of PFOS-containing raw materials in processes
Perfluorooctanoic Acid (PFOA) and its Related Substances	2021: Achieved 100% substitution of PFOA and related substances
N-Methylpyrrolidone (NMP)	Goal: 60% reduction by 2025
	Status: 33% reduction achieved by 2024

VIS Products Hazardous Substance Management Process

VIS Hazardous Substance Management Policy

Audit

For the hazardous substance management system management review, the following aspects are to be annually reviewed:

- Goal achievement status
- Preventive measures for improvement of nonconformities
- Changes and compliance status of regulations and customer requirements
- Continuous improvement opportunities

Plan

- Identify regulations and customer requirements
- Formulate VIS' green procurement norms and list of hazardous substances
- Formulate hazardous substance management goals and plans
- Identify hazardous substances used in the manufacturing process, and formulate management plans

Execution

- Use low-hazardous raw materials at the research and development stage
- Green procurement of new materials from new suppliers and review of environmental protection, safety and health
- Hazardous substance management training for personnel in the fab
- Implementation of Hazardous Substance Substitution Plan

Review

- Internal audit of the hazardous substance management system
- The electronic receipt certificate of incoming materials confirmed that it conforms with the regulations on the management of hazardous substances
- Commission an external third party impartial laboratory to test products for harmful substances
- Supplier hazardous substance management audit

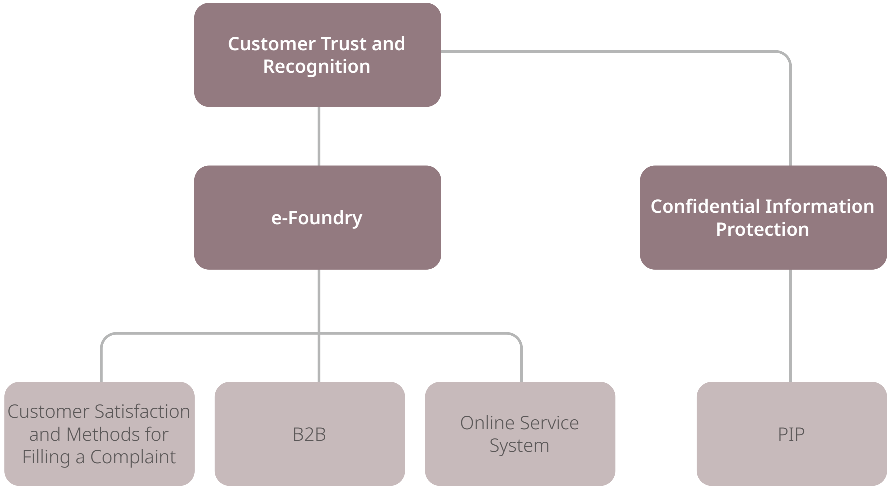
Achieve Quality Applications

To ensure excellent and dependable product quality, assist customers in seizing market opportunities, ensure consumer safety and product applicability, and mitigate the risk of mass product recalls, the Quality and Reliability Organization collaborated with customers to integrate reliability requirements into product design during the technology development and design phases. Additionally, automotive quality improvement projects were implemented to meet the low Defect Parts Per Million (DPPM) requirements of automotive product customers.

3.5.2 Accurately Respond to Customer Needs

Comprehensive Customer Service Strategy

VIS strives to establish comprehensive customer service to meet customer needs, and win customer trust and recognition, achieving its goal of sustainable operation. Based on such belief, the customer service team has always done its best as a window of communication and coordination, and protected customers' confidential information adhering to the highest standards, supporting customers' needs in design, mask production, and wafer manufacturing; at the same time, VIS helps customers with backend packaging and testing, so they can successfully achieve their product certification.



e-Foundry

VIS has established the VIS-Online service platform to provide customers comprehensive and real-time supply chain information, including design support, engineering integration, and logistics service integration. Through VIS-Online, customers can check their production order status, delivery schedule, and product quality data and status at all times; customers can also generate customized reports based on their own management needs, ensuring they can immediately learn and manage their production information from VIS. In 2014, VIS built a vertically integrated online tape out system (i-tapeout) to help customers compile tape out information more easily, significantly reducing cycle time and enhancing production efficiency.

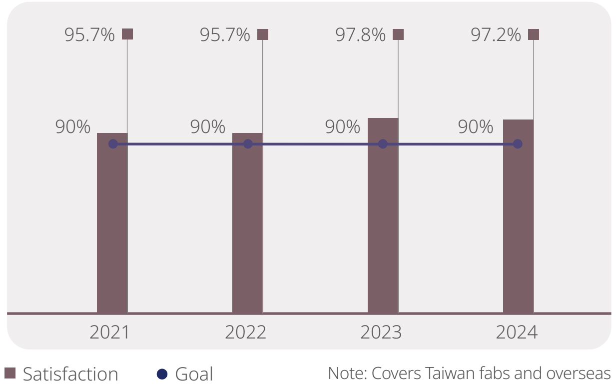
To timely learn customer satisfaction, VIS has developed the Customer Service Satisfaction (CSS) online system, where customers can propose their needs, opinions, and suggestions for products or services any time they want. Designated personnel are responsible for dispatching, handling, and responding to customer needs, and customers can inquire about progress online anytime. To VIS, this helps us to understand customer needs and convert them into real actions, constantly enhancing service quality and competitiveness for better customer satisfaction. In 2024, all customers were satisfied with VIS' handling of their requirements.

Customer Satisfaction

VIS regularly commissions a neutral third-party consulting firm to conduct the Annual Customer Satisfaction Survey, to understand the level of customer satisfaction with various aspects of VIS, including technology, quality, delivery, and services, ensuring customers' opinions are heard and properly addressed, providing customers with the best products and services. In 2024, the coverage rate of the survey was 100%, and the overall levels of customer satisfaction percentage were 97.2%, achieving the goal of satisfaction percentiles exceeding 90%.

In addition to the annual customer satisfaction survey, VIS also conducts Quarterly Business Reviews for important customers. Through face-to-face communication between customers and VIS' senior executives, we can further understand customers' needs and level of satisfaction. Our sales and service teams also maintain in-depth interaction with customers, to closely meet customers' needs and improve service quality.

Annual Customer Satisfaction Percentage



Note: Covers Taiwan fabs and overseas subsidiaries.

VIS-Online	Business Collaboration	Design Service	Engineering Service	Logistics Integration	After-Sales Service
	VIS Technical Platform Foundry Service	IC Design Information and Silicon IP Service, Help Customers Solve Design Problems, and Reduce R&D Cycle Time	Introduction of New Products, Mask Service, turnkey & BGBM service, Product Information Integration	Integration of Logistics Information, Real-time Information of Order, Wafer Production, and Delivery	Improve Yield, Complaint Solutions, Customer Satisfaction

Green Manufacturing

VIS aims to maximize energy consumption and efficient use of resources, actively reducing waste and preventing pollution, while continuously investing in the R&D of environmentally friendly technologies.

9.4 million kilowatt-hours

The energy-saving measures resulted in a reduction of approximately 9.4 million kilowatt-hours in electricity consumption

346 million

Total investment in environmental protection has reached approximately NT$346 million

4.1 Climate Change and Energy Management

4.1.1 Climate Change

Climate change is currently one of the most important environmental issues for the United Nations, governments, society in general, and the business sector. Since 2019, VIS has adopted the Task Force on Climate-related Financial Disclosures (TCFD) framework developed by the Financial Stability Board. In accordance with this framework, VIS discloses relevant information, identifies climate-related risks and opportunities, and sets corresponding metrics and targets. Based on these findings, the Company formulates and implements risk management measures to effectively reduce the financial impact of climate risks on existing and future operational sites. This practice also aligns with Taiwan's adoption of IFRS S2 "Climate-related Disclosures" in June 2023, as announced by the Financial Supervisory Commission, thereby enhancing the quality and transparency of sustainability reporting. Additionally, VIS has proactively responded to the growing international focus on biodiversity by initiating the adoption of the Task Force on Nature-related Financial Disclosures (TNFD) recommendations starting in 2024. Related governance frameworks and management mechanisms are currently being adjusted and refined.

TCFD and TNFD Disclosure Framework and Management Practices

VIS has established a three-tier climate change governance and management framework covering the "Board of Directors, Audit Committee, and Sustainable Development Committee" at the upper tier, the "Management Team" and "Executive Committee" at the middle tier, and the "Corporate Sustainability Committee", "Corporate Risk Management Committee" and "Energy and Carbon Reduction Committee" at the Executive Committee tier.

In particular, the Energy and Carbon Reduction Committee is responsible for promoting energy-saving and carbon-reduction improvement projects and holds regular monthly and quarterly management meetings to track and review improvement plans and targets. At the same time, the Corporate Sustainability Committee discloses the Company's internal energy saving and carbon reduction performance and arranges annual meetings to report regularly to the Audit Committee and the Sustainable Development Committee, the functional committees under the Board of Directors, on the "Climate Change Governance and Risk Management Strategies and Targets". The relevant operations are supervised and advised by the Audit Committee, the Sustainable Development Committee and the Board of Directors to ensure the effective implementation and promotion of the sustainability strategy. Meanwhile, related risks are incorporated by the Enterprise Risk Management Committee for risk identification and risk control, to reduce operational risks and enhance corporate competitiveness, and ensure that the Company maintains a leading edge in a sustainable development and competitive market environment.

Board of Directors, Audit Committee, and Sustainable Development Committee Note

- Oversee VIS' overall climate and natural management practices
- Review the linkage between the management team's compensation and ESG performance

Executive Management Team

(Chairperson: Chairman & Chief Strategy Officer, President)

- Grasping climate and natural risks and opportunities; illustrating the organization's business/strategy/research and development direction and financial planning.
- Formulate mid- to long-term goals and development strategies for climate change, nature cleanup positive, and renewable energy.
- Quarterly reviewing the Company's ESG related strategies and objectives.

Energy and Carbon Reduction Committee

Chairperson: Assistant Vice President of Operation and Environmental Safety

- Manage actions for risks and opportunities related to physical and transitional risks and opportunities in terms of climate change and nature-based topics.

Corporate Sustainability Committee

Chairperson: Chairman & Chief Strategy Officer

Deputy chair: Vice President & CFO

- Interdepartmental communication platform for climate and natural governance, and management strategies issues. Participated by representatives from functional committees for economic, environmental, social and governance performance.
- Cover topics such as carbon asset management, supply chain management, energy saving and carbon reduction.

Enterprise Risk Management Committee

Chairperson: President

- Identify and execute climate change and natural-related risks.
- Manage and execute risk control plans.

Note: The Audit Committee and the Sustainableility Development Committee are 100% composed of board members.

In order to effectively communicate on climate change, VIS chose the Corporate Sustainability Committee to act as an interdepartmental communication platform, covering three major topics: Carbon asset management, energy savings and carbon reduction; and supply chain management, with the plant managers and supervisors serving as the general convenors for each topic.

Interdepartmental Communication Platform for Climate Change Issues

Corporate Sustainability Committee

Carbon Asset Management

- Carbon offsetting
- Carbon capture and storage
- Funding the development of negative-carbon technologies
- Purchase of certified carbon credits

Energy Saving and Carbon Reduction

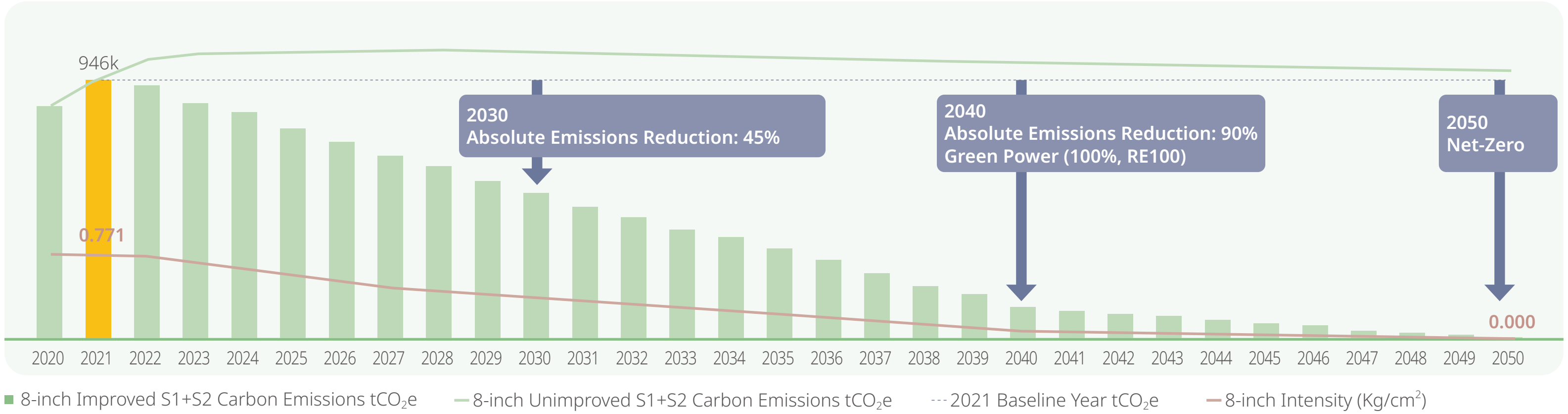
- GHG emission reductions in the manufacturing process
- Improvement of energy efficiency
- Use of renewable energy

Low-carbon Supply Chain

- Promotion and management of energy conservation and carbon reduction
- Low-carbon energy
- Zero Waste Center: waste reprocessing and low carbon

Level	VIS TCFD Approach
Governance	• The Sustainable Development Committee is a functional committee under the Board of Directors and is the highest governance body on climate change issues, other than the Board of Directors, and is composed of 100% directors. The Committee aims to strengthen corporate sustainable governance and actively realize the sustainable vision of cultivating the value of sustainability and creating social common good, covering the core issues of climate change management, environmental protection and social responsibility. The highest level of management under the Board is the Corporate Sustainability Committee, whose chairperson is the Chief Strategy Officer. • The Corporate Risk Management Committee conducts risk identification and regularly reports to the Audit Committee and the Sustainable Development Committee. Members of the Audit Committee and the Sustainable Development Committee review the effectiveness of risk control implementation, providing decision-making and guidance. • The management team formulates policies and improvement goals based on the Audit Committee's and the Sustainable Development Committee's discussions and assigns them to various executive committees for implementation. • As described in the Corporate Risk Management organizational structure section, the management committee is responsible for corporate risk management, including climate risks. Additionally, the management team addresses climate change issues by: – Identify climate and natural risks and opportunities; explaining the organization's business, strategy, research and development direction, and financial planning. – Formulate mid- to long-term goals and development strategies for climate change, nature cleanup positive, and renewable energy. – Quarterly reviewing the Company's ESG related strategies and objectives.
Strategy	• **Physical Risks:** Risks caused by extreme climates, including floods and droughts. • **Response Strategy:** Simulation exercises, education and training are conducted responding to physical risks posed by climate change to company assets, establishing broad and rigorous preventive measures and emergency response plans; when a crisis or disaster occurs, the most appropriate response and recovery plans are immediately considered to minimize to the largest extent possible both uncertainty and possible disaster impacts. • **Transition Risks:** Climate Change - Low-carbon Transition Risks. • **Response Strategy:** As for transition risks, following the energy savings technology and energy diversification trends, each Department has started planning for GHG reduction/ GHG emissions eliminating/ Energy savings technology and low-energy consuming equipment adoption/ Carbon capture technologies (Carbon Capture Usage and Storage) assessment/ Supply chain low-carbon and environmental sustainability transitioning, gradually reducing carbon emissions, gradually reducing carbon emissions of the VIS. VIS has incorporated climate risk assessments, considering short-, medium-, and long-term impacts while regularly reviewing extreme weather events, policy changes, and market trends. Its decision-making processes encompass business operations, strategic planning, and financial adjustments to ensure stability and competitiveness. The Company also conducts climate scenario analyses, including worst-case scenarios, to enhance operational resilience and drive sustainable development.
Risk Management	• Based on the TCFD framework, we refer to the reports of international organizations, analytical data of the same industry, and relevant laws and regulations to screen the climate risk issues and consider the major indicators: current regulation, emerging regulation, technology risk, legal risk, market risk, reputational risk, acute physical risk, and chronic physical risk. • Determine the risk value based on the total value of financial or strategic impact level and frequency of occurrence, and rank the importance of risk issues. The short-, medium-, and long-term risks of climate change upstream, in-house operations, and downstream are integrated into various operational risk management systems, and the Enterprise Risk Management Committee regularly conducts risk management according to the following risk management procedures, including: Risk identification / Risk measurement / Risk response / Mitigation Sharing / Bearing / Risk monitoring / Risk reporting In response to climate change low-carbon transition risks (e.g., topics such as carbon taxes, carbon fees, renewable energy procurement, and green energy-saving product development) and other natural or anthropogenic disasters, such as typhoons, earthquakes, floods, water shortages, power outages, Taiwan Power Company voltage drops, fires, and gas/chemical leaks, our company not only conducts regular simulation drills and educational training but also establishes extensive and complete preventive measures and response plans, allowing VIS to promptly propose the most appropriate response actions and reconstruction plans in the event of a crisis or disaster, so as to minimize the uncertainties in business operations and the possible impact of disasters. All of these measures help maintain the normal operation of VIS and, in doing so, fully protect the overall rights and interests of shareholders, customers, and employees. In 2024, climate disasters caused fewer than days of production disruption [Note].

Note: The 7.2 Richter scale earthquake and its aftershock that occurred in Hualien County at 7:58 p.m. on April 3, 2024: VIS evacuated its employees following the emergency procedures without any injuries; more than 80% of the affected equipment was recovered within one day.

Level	VIS TCFD Approach
Indicators and Targets	• The climate-related risk and opportunity assessment management targets such as GHG emission reductions and fluorinated gas emission reductions have been established by VIS. • Conducting a climate-related risk review biannually and reporting implementation outcomes for risk management measures to the Board of Directors once annually. • Carbon Reduction Goals : A 70% carbon emissions by comparing 2040 to 2021, and achieving net-zero emissions by 2050. • Renewable Energy Deployment: VIS joined RE100 and committed in December 2022 to achieving 100% renewable energy use by 2040. • Scope 1 (direct carbon emissions) and Scope 2 (indirect carbon emissions from electricity, etc.) Net-Zero Carbon Reduction Pathways and Strategic Planning (five 8-inch wafer fabs): Net-Zero Carbon Reduction Pathways: **1. Net-Zero Carbon Reduction Path** A. Absolute Reduction Target: Compared with the base year 2021 carbon emissions of 946 kt CO_2e (kilotonnes of carbon dioxide equivalent), the planning proximity target for 2030 is an absolute reduction of 45% of carbon emissions, with a reduction of 425.7 kt CO_2e; and the long-term target for 2040 is an absolute reduction of 90%, with a reduction of 851.4 kt CO_2e, and reaching a net-zero by 2050. B. Carbon Emission Intensity Reduction Target (at Full Load): Compared with the carbon emission intensity of 0.771 kg-CO_2/cm^2 in the base year of 2021, reduce it by 50% and 473 kt CO_2e in 2030 in the near term; reduce it by 90% and 851.4 kt CO_2e in 2040 in the long term; and reduce it to 0 kg-CO_2/cm^2 in 2050. **2. Scopes 1 and 2 Carbon Reduction Strategies** A. Autonomous Carbon Reduction: Achieve over 90% carbon reduction through the installation of greenhouse gas removal equipment, conversion of high-carbon potential gases to low-carbon potential gases, implementation of energy-saving improvement projects, and procurement of green electricity to meet autonomous carbon reduction targets. Carbon Credits/ Negative Carbon and Natural Carbon Sink Technologies: B. Carbon Credits/ Negative Carbon and Natural Carbon Sink Technologies: For the remaining less than 10% of carbon emissions, from 2041 to 2050, the strategy includes offsetting through the purchase of external carbon credits, negative carbon technologies, and natural carbon sink technologies.  • The relevant emission information references are to ISO/CNS 14064-1 and "EPA Greenhouse Gas Inspection Guidelines", "Greenhouse Gas Emissions Inventory Registration Operational Guidelines" and the requirements of the "WBCSD/ WRI Greenhouse Gas Inventory Protocol", were reviewed and approved by SGS third-party external verification. • Scope 3 Low Carbon Transition Risk: If suppliers do not make a low carbon transition, there is a risk that the supply of raw materials may lead to higher raw material prices due to high carbon emissions and the imposition of carbon fees/taxes. To minimize these risks, VIS continues to encourage suppliers to make a low-carbon transition to reduce the financial impact of "Scope 3 Low Carbon Transition".

Climate Change Risk and Opportunity Identification

VIS conducts Climate Change Risk and Opportunity Project Discussions, inviting appropriate departments in the Company to conduct Assessments on Climate Change Risks and Opportunities based on their respective businesses, covering 100% of existing plants and value chains, and developing plant-specific adaptation plans and mitigation strategies over five years.

VIS TCFD Analysis Procedures

Collection

We researched global trends and cases of climate change, as well as domestic and international research reports and risk assessments from industry benchmark companies. We also invited relevant company units to participate in the "Climate Change Risks and Opportunity Workshop", in which various TCFD tasks were explained, and ultimately, according to the degree of applicability to the industry, screened out risks and opportunities that are significant to the Company.

Evaluate

Conduct a questionnaire survey based on the selected risk and opportunity issues, and invite the authority concerned to complete it, in order to determine the level of impact and frequency of each risk and opportunity event on the respective department.

Assessment

Based on the results filled out by the authority concerned, we calculate the average score of the level of impact and frequency of risk and opportunity events.

Rank

The final risk and opportunity scores are derived by aggregating the aforementioned two-dimensional values. Risks and opportunities are subsequently prioritized based on these scores. A climate change risk and opportunity matrix has been generated.

Financial Impact Analysis on Climate Change Risks and Opportunities and Countermeasures

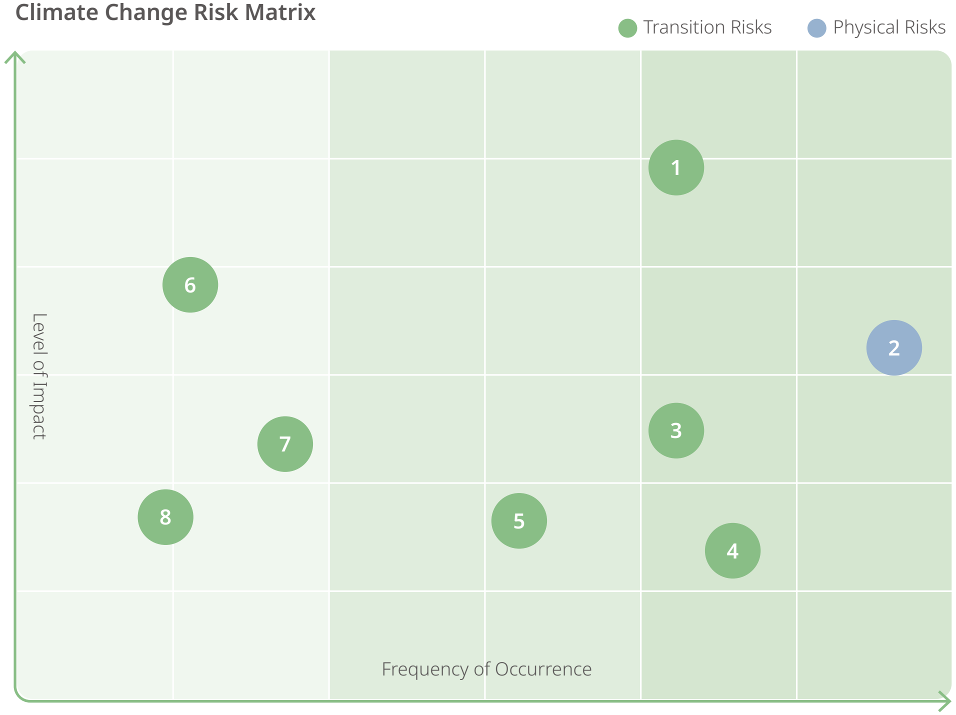
VIS identified eight risk issues. The implications and financial impact caused by each risk are explained, and the measures and actions taken to address the opportunities arising from each risk are disclosed.

Rank	Climate Risk	Impact Description	Financial Impact	Opportunities Arising from Each Risk and the Countermeasures	Corresponding Report Section
1	Supply Chain Disruption	Sudden climatic disasters cause disruptions or shortages of raw materials supply and delays in product delivery date Payment of damages to customers, resulting in increased operating expenses	Payment of damages to customers, resulting in increased operating expenses	**Enhance supply chain stability** • Implement a supplier assessment mechanism to strengthen supplier quality and environmental management capabilities. • Require suppliers to propose post-disaster impact and recovery plans to reduce the risk of supply disruption.	5. Responsible Supply Chain
2	Increased Extreme Weather Events	Long-term physical risks, such as drought and sea level rise, etc. may lead to factory shutdowns	Climate change is leading to more severe water shortages. VIS has completed the analysis of the impact of plant operations and the financial impact under different water restriction levels	**Enhancing resilience at withstanding natural disasters** • To reduce water scarcity, VIS is committed to implementing water conservation measures and improving the efficiency of water usage. • Implement in-plant water recycling to reduce dependence on external water resources. • The "VIS Drought Period Water Truck Transport Response Plan" has been formulated, ensuring activating relevant response mechanisms depending on the water situation, thus reducing drought water shortages' impacts on production capacity. • Continuously discussing possibilities for using "seawater desalination/ plant/ reclaimed water" as a water source.	4.2 Water Resource Management
		Short-term physical risks, such as heavy rainfall, floods, may affect fab equipment and operations	A flooding event caused by heavy rainfall may result in production disruptions and further reduce revenue	**Enhancing resilience at withstanding natural disasters** • Potential flooding analysis based on the 500-year return rainfall was carried out at production sites, and 138 anti-flood gates were accordingly installed within the factories based on simulation results. The "Guidelines for Implementing Flood Disaster Prevention and Rescue" were deployed to manage flooding risks within the factories. • Crisis management procedures are established and disaster prevention and response systems are built, including flood prevention drills for employees, anti-typhoon measures, river water level monitoring systems, and water proof gate installation.	

Rank	Climate Risk	Impact Description	Financial Impact	Opportunities Arising from Each Risk and the Countermeasures	Corresponding Report Section
3	Changes in Consumer Behavior	Brand customers demand low carbon processes and products, and consumers' preference and interest in green low-carbon products have increased	Consumers are less willing to spend, resulting in reduced revenue	**Promote low-carbon green products** • Develop low-carbon design products to improve product Energy efficiency in order to respond to market demands.	3.4 Innovation Management
4	Impact on Corporate Image	Negative response or poor performance on issues such as climate change, energy saving, and carbon reduction leads to failure in meeting stakeholders' expectations, resulting in a negative impact on the Company's reputation or image	Stakeholders' willingness to invest is reduced	**Enhancing corporate reputation** • Satisfy stakeholders' demand for energy-saving products and invest in green product design. • We are actively obtaining certifications, including ISO 50001 Energy Management System, ISO 14001 Environmental Management, ISO 14064-1 Greenhouse Gas (GHG) Inventory, and ISO 46001 Water Resource Efficiency Management System, strengthening green management in our systems and processes.	4.1 Climate Change and Energy Management
5	Increased Concern of Stakeholders on Low-carbon Products and Services	Stakeholders demand disclosure of environmental data during production processes and demand that companies declare reductions in these aspects	Increased costs due to the development of low-carbon products and services	**Promote low-carbon technologies and production processes** • Enhance product efficiency and develop low-carbon design products in response to market demand. VIS assessed its low-carbon products under the EU Taxonomy, identifying those aligned with sustainable economic activities. In 2024, these products made up 67% of revenue (NT$29.514 billion), saving an estimated 6.74 billion kWh of electricity and reducing carbon emissions by about 3,192,000 metric tons. • Currently, our main areas of investment include power management ICs, micro controller ICs, display driver ICs, discrete power components, sensors and micro-electromechanical process technologies, and GaN high-voltage semiconductors.	3.4 Innovation Management
6	Increased Global Fuel Prices	Global fuel price increases lead to higher production and transportation costs	Increase in production and operating costs due to higher fuel prices	**Participate in renewable energy projects** • Introduce renewable energy, plan the installation of renewable energy generation equipment, such as solar power systems, and purchase Renewable Energy Certificates. • In 2024, VIS procured a renewable energy capacity of 11,634,012 kWh. The capacity of the solar photo-voltaic system in Fab 2 is 272 kW, and the actual power generation in 2024 was 296,434 kWh. In July 2024, the installation of the solar photo-voltaic system in the Singapore wafer fab of VIS was completed, with a capacity of 469 kW and an actual power generation capacity of 244,773 kWh. • Joined RE100 in December 2022 and committed to using 100% renewable energy by 2040.	4.1 Climate Change and Energy Management
7	Costs of Production of Innovative Technologies	Technology development, equipment introduction and process innovation	Increased cost of production of innovative technologies	**Technology innovation opportunities** • Continuing increasing investment in product and process research and Process research and developing technologies relating to BCD processes and ultra-high voltage processes for power control.	3.4 Innovation Management
8	Policy and Regulatory Requirement	Follow the regulations, including the "Greenhouse Gas (GHG) Reduction and Management Act" and the "Renewable Energy Development Act", corresponding fees and taxes are increasing. Failure to comply with these regulations can lead to increased penalties and litigation	If the "total emissions control and carbon penalty" or "carbon tax" mechanism is implemented in Taiwan, financial expenses may increase Higher operating costs due to the installation of renewable energy generation equipment	**Participate in renewable energy projects and carbon trading market** • Adopting the ISO 50001 Energy Management System, reviewing plant-wide energy savings, and actively implementing various GHG Emissions management measures. • Introduce renewable energy and plan for the construction of renewable energy generation facilities.	4.1 Climate Change and Energy Management

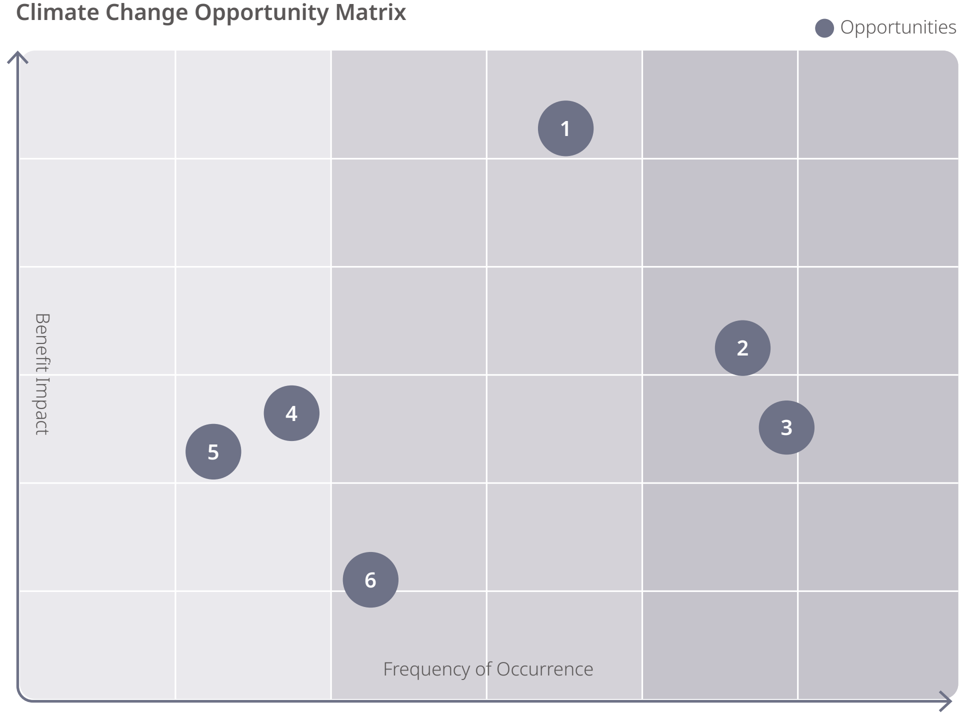
Climate Change Risk and Opportunity Matrix

Climate Change Risk Matrix



1. Supply Chain Disruption
2. Increased Extreme Weather Events
3. Changes in Consumer Behavior
4. Impact on Corporate Image
5. Increased Concern of Stakeholders on Low-carbon Products and Services
6. Increased Global Fuel Prices
7. Costs of Production of Innovative Technologies
8. Policy and Regulatory Requirement

Climate Change Opportunity Matrix



1. Enhancing resilience at withstanding natural disasters
2. Enhancing Corporate Reputation
3. Participate in renewable energy projects and carbon trading market
4. Technology innovation opportunities
5. Supply chain stability
6. Promote low-carbon green production

Scenario Analysis of Physical Risks and Financial Impact

Taiwan is prone to seasonal and regional water shortages due to high topography, steep slopes and uneven rainfall distribution. In recent years, climate change has intensified extreme weather events such as torrential rains, floods, and droughts. To address the impacts of inundation and water shortages, VIS has completed a comprehensive risk factor identification process and has planned contingency mechanisms and related measures in advance to minimize operational risks. The following analysis covers 100% of the existing plants and the specific adaptation plans for the plants within five years. In addition, relevant analysis and risk adaptation measures planning have been completed for new plants.

Risks item
Risk of Flooding Due to Heavy Rainfalls Note

Risks description	**Short term** (within 3 years)	**Under the Global Warming Mitigation Scenarios (RCP2.6)** According to the current potential flood analysis based on a 500-year return rainfall.
	Medium term (within 10 years)	**Under the Worst Case Scenario (SSP5-8.5)**, heavy rainfall intensity is projected to increase by about 15% in 2035. Compared to the potential flooding analysis results based on rainfall amounts of the 500-year return period, flooding heights will increase by 15%.
	Long term (> 10 years)	**Under the Worst Case Scenario (SSP5-8.5)**, heavy rainfall intensity is projected to increase by about 20% in 2050. Compared to the potential flooding analysis results based on rainfall amounts of the 500-year return period, flooding heights will increase by 20%.
Opportunities		Establish a flood prevention management and response mechanism and install hardware to improve the ability of fabs to prevent flooding and reduce the risk of production disruption due to flooding.
Organization impact	**Businesses**	The production disruption due to flooding may result in about NT$25 million/ day loss per fab (based on 2024 revenue estimates from five 8-inch wafer fabs).
	Strategy	Adaptation Plan: Based on the results of the flooding potential analysis, we plan to install waterproof gates and conduct regular annual training for our staff on flood control and typhoon preparedness in order to prevent flooding; in addition, the remaining risks are also planned for risk transfer through insurance. The floodgates heights are set to be higher than the potential flood analysis results to avoid flooding in the factory under the worst-case scenario(Worst case).
	Financial planning	**Risk control cost planning (assessment scope includes all production wafer fabs):** **The results of the financial impact analysis include:** (1) The hardware investment for the installation of waterproof gates was completed at a cost of NT$9.34 million. Annual system maintenance and insurance costs: NT$30 million to NT$40 million, including: (a) Training of personnel for flood control contingency and preparation for flood and typhoon prevention (approximately NT$300,000), (b) Monitoring and controlling the collapse of retaining walls in the plant area (approximately NT$50,000 to NT$100,000 thousand); (c) Flood and typhoon insurance expenses of approximately NT$30 million to NT$40 million.
Worst case scenario	**Worst case scenario**	Under the worst scenario (SSP5-8.5): The average annual maximum daily rainfall intensity in Taiwan will increase by about 41.3% by the end of the 21st century. When the above "worst scenario" occurs, the estimated flood height will increase by 42% compared with the potential analysis results of flooding based on the 500-year return rainfall.
	Resilience of strategy	Floodgate installation height has been increased by over 42%. For example, in Fab 3, the floodgate design height has been increased from 53 cm to 120 cm, resulting in an increase of installation height by 126%.

Note: The VS1 and the newly built Singapore 12-inch wafer fab are not located in a flood-prone area (according to the hazard risk assessment map by Swiss Re Ltd.). Additionally, VS1 is higher than the surrounding roads, thus the flooding risk is low. Therefore, the above risk analysis only explains the flood risk analysis results, response strategies, and financial planning for the Taiwan Fab.

Risks item

Climate Change Leading to Drought, Water Shortage Note

Risks description	Short term (within 3 years)	**Under the Global Warming Mitigation Scenarios (RCP2.6)** Water restrictions are on tap with less than 20% supply.
	Medium term (within 10 years)	**Under the Worst Case Scenario (SSP5-8.5)** The maximum number of consecutive days without rainfall in 2035 tends to increase in all regions, with an average increase of about 4%. Modeling of a 20% water supply restriction from the tap.
	Long term (> 10 years)	**Under the Worst Case Scenario (SSP5-8.5)** The maximum number of consecutive days without rainfall in 2050 tends to increase in all regions, with an average increase of about 5.5%. Model a 30% restricted water supply from the tap.
Opportunities		To establish an emergency water supply mechanism so that production can be sustained during drought to maintain the competitiveness of the enterprise.
Organization impact	Businesses	The production disruption due to drought or water shortage may result in about NT$25 million/ day loss per fab (based on 2024 revenue estimates from five 8-inch wafer fabs).
	Strategy	Adaptation Plan: Completed the analysis of the operational impact and financial impact of the plant under various stages of water restriction, with the following strategies: (1) Implement water conservation measures to enhance the efficiency of water resources use during normal times; (2) Use water trucks to make up for the shortage of production water during severe water restriction.
	Financial planning	For a 10% water restriction, the additional cost is approximately NT$500,000 per day; for a 20% water restriction, the additional cost is approximately NT$1 million per day; and for a 30% water restriction, the additional cost is approximately NT$2 million per day. (Annual water supply contract for water trucks has been signed)
Worst case scenario	Worst case scenario	Worst Case Scenario (SSP5-8.5): The average increase in the maximum number of consecutive days without rainfall in 2100 is about 12.4%. When the above “Worst Case Scenario” occurs, it is estimated that the tap water restriction will reach 100%, that is, the tap water supply will stop.
	Resilience of strategy	In order to maintain production, there are about 520 water trucks to supply the production needs of each factory at a cost of about NT$10 million per day.

Note: The Singapore government has established a comprehensive water supply system, including local catchment water, highly-purified reclaimed water (also known as NEWater), desalinated water, and imported water. Therefore, the risk of water shortage is low. The above outlines the water shortage risk analysis results, response strategies, and financial planning for the Taiwan plant area.

The climate change transition risk and financial impact analysis of VIS is based on the Global Energy Sector of IEA Net-Zero Emissions by 2050 (IEA NZE 2050) and the Sustainable Development Scenario (SDS), which predict a gradual shift from fossil fuels to renewable energy and the realization of a 100% renewable energy supply by 2040. It predicts a gradual shift from fossil fuels to renewable energy and the realization of a 100% renewable energy supply by 2040. It also makes reference to the Bloomberg New Energy Finance (BNEF) Net-Zero Climate Scenario, which covers three core net-zero technologies, including clean energy, hydrogen, and carbon-negative technologies (e.g., carbon capture and sequestration). Finally, Taiwan’s 2050 Net-Zero Stated Policies Scenario (STEPS) is included.

Analysis and Financial Impact of Transition Risks due to Climate Change

1 Scope

Risks item
(Scope 1) Direct GHG Emissions, Low-carbon Transition Risks and Carbon Tax (Carbon Fee) Regulatory Risks

Risks description	**Short term** (within 3 years)	Imposing carbon fees/ taxes, risks of increased operating costs. Carbon Fee/Carbon Tax Payment Rate: Taiwan: Starting rate of NT$300/tonne in 2025; enterprises that propose their own reduction plans and achieve the reduction targets specified in the regulations may apply a preferential rate of NT$100/tonne of CO_2e; Singapore: SGD 25/tonne in 2024 (approximately NT$600). Assuming that the carbon emissions of the fabs in Taiwan in 2025 are about 200,000 tons of CO_2e, after deducting the free emissions and using the "Executive Yuan Environmental Protection Administration Greenhouse Gas Advance Project" to deduct 10% of the emissions, using the preferential rate, it will be estimated that approximately NT$15.43 million in carbon fees will be required; if the annual carbon emissions of the fabs in Singapore exceed the collection standard of 25,000 tons of CO_2e, it will have to pay at least NT$15 million in carbon tax.
	Medium term (within 10 years)	Imposing carbon fees/ taxes, risks of increased operating costs. Carbon Fee/Carbon Tax Payment Rate: With the policy adjustments and market changes, it is expected that the unit price of carbon fee/tax in both Taiwan and Singapore will increase. During this period, Taiwan may face a new carbon fee ranging from NT$500 to NT$1,000 per ton, while the new unit price of Singapore's carbon tax is estimated to be between S$25 and S$50 (approximately NT$600 to NT$1,200). If the fabs in Taiwan are projected to have a carbon emission of 200,000 tons of CO_2e, the total carbon fee may reach NT$100 million to NT$200 million; if the fabs in Singapore are projected to have a carbon emission of 25,000 tons of CO_2e, the total carbon tax to be paid will be about NT$15 million to NT$30 million.
	Long term (> 10 years)	Imposing carbon fees/ taxes, risks of increased operating costs. Carbon Fee/Carbon Tax Payment Rate: As environmental policies become increasingly stringent, countries will continue to raise the tax standards for carbon dioxide emissions. It is predicted that the unit price of carbon fee in Taiwan may reach NT$1,000 to NT$1,600 per ton by that time, while the unit price of carbon tax in Singapore may be in the range of SG$ 50 to SG$ 80 (approximately NT$1,200 to NT$1,920). If the fabs in Taiwan is projected to have carbon emissions of 200,000 tons of CO_2e, the amount of carbon fee to be paid will range from NT$200 million to NT$320 million; if the fabs in Singapore is projected to have carbon emissions of 25,000 tons of CO_2e, it may also face a carbon tax burden of NT$30 million to NT$48 million.
Opportunities		Implement (Scope 1) of "Carbon Emission Reduction Improvement Project" to reduce carbon taxes and fees and enhance corporate competitiveness.
Organization impact	**Businesses**	1. If the "Carbon Emission Reduction Improvement Plan" is not implemented, introduction of carbon fees/ taxes will result in an increase of operating costs. 2. Implementing the (Scope 1) carbon emission reduction improvement plan will entail the generation of following impacts: (1) Equipment Installation Handling: Adding equipment to maintain fab space adjustment and adding equipment installation construction management. (2) Conversion of Gases: Certification of gases to replace the assessment.
	Strategy	The implementation (Scope 1) of "Carbon Emission Reduction Improvement Project" includes: 1. Replacing High Emission Factor Greenhouse Gases: Using low emission factor greenhouse gases. 2. Installing Greenhouse Gas Emission Treatment Equipment: Completing greenhouse gas removal before emission. 3. For greenhouse gas emissions that cannot be removed, offsetting will be done using negative carbon technologies. It is estimated that the implementation of the above improvement measures (1) (2) can reduce the carbon fee/ tax payment by 75%. The remaining portion will be offset through the purchase of external carbon credits, negative emissions technologies, and natural carbon sink solutions.
	Financial planning	1. Investment Cost Planning: Installation of greenhouse gas emission treatment equipment: Installation rate 100%, total amount: NT$1.649 billion. 2. For greenhouse gas emissions that cannot be removed, approximately 111,911 tons of CO_2e, the offsetting cost is estimated at NT$2,000 per ton. The annual offsetting cost is approximately NT$224 million.
Worst case scenario	**Worst case scenario**	Within 10 years, carbon fees in Taiwan/ carbon taxes in Singapore are rapidly increasing. Taiwan: NT$3,000/ton; Singapore: NT$3,100/ton. Based on the 2023 (Scope 1) emission estimates, the carbon fee for Taiwan is approximately NT$540 million. The carbon tax for Singapore is approximately NT$93 million.
	Resilience of strategy	Accelerating carbon emission reduction improvement plan: GHG conversion / GHG treatment equipment installation.

Scope 2

Risks item
(Scope 2) Indirect GHG Emissions, Low-carbon Transition Risks, and Carbon Fee Regulatory Risks

Risks description	**Short term** (within 3 years)	Imposing carbon fees/ taxes, risks of increased operating costs. In Taiwan, a carbon fee has been levied since 2025, with a fee of NT$300 per ton of carbon; enterprises that propose their own reduction plans and achieve the reduction targets specified in the regulations may apply a preferential rate of NT$100/tonne of CO_2e. If the Scope II emissions in 2025 are 500,000 tons of CO_2e, after deducting the free emissions and using the "Executive Yuan Environmental Protection Administration Greenhouse Gas Advance Project" to deduct 10% of the emissions, it is estimated that a carbon fee of about NT$38.57 million will be charged by applying the preferential rate.
	Medium term (within 10 years)	Imposing carbon fees/ taxes, risks of increased operating costs. If Taiwan's carbon fee payment rate is raised to NT$1,000 per metric ton of CO_2e in 2031, based on an estimated 500,000 metric tons of CO_2e emissions, the total amount of carbon fee per year will be raised to approximately NT$500 million.
	Long term (> 10 years)	Imposing carbon fees/ taxes, risks of increased operating costs. If Taiwan's carbon fee payment rate is raised to NT$1,500 per metric ton of CO_2e in 2050, based on an estimated 500,000 metric tons of CO_2e emissions, the total amount of carbon fee per year will be raised to NT$750 million.
Opportunities		Implement (Scope 2) "Power Saving Improvement and Renewable Energy Use Project" to reduce carbon emissions, lower carbon fee payments, lower operating costs, and enhance corporate competitiveness.
Organization impact	**Businesses**	1. To align with international net-zero emission initiatives, renewable energy must be adopted to reduce Scope 2 carbon emissions to zero. If the Power Saving Improvement and Renewable Energy Use Project is not implemented, the imposition of the carbon fee in Taiwan will increase operational costs. 2. The implementation of (Scope 2) "Power Saving Improvement and Renewable Energy Use Project" entails the following impacts: Improper construction of power saving improvement projects will cause personal injury and property loss; therefore, construction safety management and control measures must be undertaken, including reviewing construction processes and management measures, and implementing controls for hazardous and high-risk operations to ensure construction safety. Installation of renewable energy equipment: Install such equipment in low-risk areas and establish new fire protection systems for monitoring and protection works.
	Strategy	The implementation of (Scope 2) "Power Saving Improvement and Renewable Energy Use Project" includes: 1. The goal is to save 40% on electricity by 2050. The plan contents provide for: introducing LED lighting/ energy-saving facilities and chilled water equipment, installing a smart meter Energy Management System, energy-saving rotating equipment and continuous power supply system (UPS), and further energy-saving technology and equipment introduction. 2. Achieving 100% reliance on renewable energy by 2040: Joined RE100 in December 2022 and committing 100% using renewable energy by 2040.
	Financial planning	The financial planning of (Scope 2) "Power Saving Improvement and Renewable Energy Use Project Programs": 1. Achieving a 40% reduction in electricity consumption by 2050 is estimated to cost approximately NT$12 billion. 2. Achieving 100% reliance on renewable energy by 2040: Expected purchase of green electricity: 770 million kWh/ year, additional cost: NT$1.54 billion per year (based on the price difference between green electricity and Taipower, calculated at NT$2 per kWh). Taiwan: An estimated annual purchase of 629 million kilowatt-hours (M kWh) of renewable energy. Singapore: An estimated annual purchase of 141 million kilowatt-hours (M kWh) of renewable energy.
Worst case scenario	**Worst case scenario**	Within ten years, Taiwan's carbon fee rate will rise rapidly, reaching a unit price of NT$3,000/tonne-$CO_2e$ in 2030. Based on the 2023 (Scope 2) emission estimates (approximately 475,000 tons of CO_2e), the annual total carbon fee payment for Taiwan is estimated to be NT$1.425 billion.
	Resilience of strategy	Accelerate the progress of electricity saving improvement project and renewable energy procurement to reduce carbon emissions and lower operation costs.

Opportunity item
Opportunities and Risk of Changes in Customer Product Trends

Risks description	**Short term** (within 3 years)	Increase and enhance components in newly developed or existing power management technology platforms to achieve a 3% increase in revenue from high-efficiency power conversion products; otherwise, VIS may gradually lose market competitiveness.
	Medium term (within 10 years)	Increase and enhance components in newly developed or existing power management technology platforms to achieve a 10% increase in revenue from high-efficiency power conversion products; otherwise, VIS may gradually lose market competitiveness.
	Long term (> 10 years)	Increase and enhance components in newly developed or existing power management technology platforms to achieve a 15% increase in revenue from high-efficiency power conversion products; otherwise, VIS may gradually lose market competitiveness.
Opportunities		Increase and enhance components in newly developed or existing power management technology platforms to grow revenue from high-efficiency power conversion products.
Organization impact	**Businesses**	If high-performance, low-power process technologies are not improved or expanded, downstream customers may lose market competitiveness.
	Strategy	Enhance training and marketing efforts for high-performance, low-power process technologies.
	Financial planning	Allocate capital expenditures for equipment to support the development of high-performance, low-power process technologies.
Worst case scenario	**Resilience of strategy**	Invest resources to obtain external licenses for key technologies.

VIS Taskforce on Nature-related Financial Disclosures (TNFD)

VIS is committed to sustainable development, continually promoting the concept of green manufacturing over the long term, and fulfilling corporate sustainability and social responsibility. In response to the adoption of the Kunming-Montreal Global Biodiversity Framework at the 15th Conference of the Parties to the United Nations Convention on Biological Diversity, VIS regards nature and biodiversity as crucial capital for its operations. This year, VIS has implemented the version 1.0 of the Nature-related Financial Disclosures Framework (Taskforce on Nature-related Financial Disclosures, TNFD), released in September 2023, to evaluate and disclose the risks and opportunities related to nature-related issues. Following the TNFD disclosure recommendations, VIS' nature-related financial disclosures are composed of four sections: "Governance," "Strategy," "Risk Management," and "Indicators and Targets."

	VIS TNFD Approach
Governance	• The Board of Directors and senior management review nature-related impacts, dependencies, risks, and opportunities, providing decision-making and guidance. • The management team then formulates policies and improvement targets based on the results of the Board's discussions, which are then executed by various committees. • Under the governance framework, three committees have been established: The "Corporate Sustainability Committee" formulates strategies and facilitates cross-platform communication on nature-related issues; the "Enterprise Risk Management Committee" identifies and manages nature-related risks; the "Energy and Carbon Reduction Committee" manages targets and actions related to nature-related issues. • Regarding potential human rights risks arising from nature-related issues, VIS has established the "Human Rights Policy" which includes regular human rights risk assessments, due diligence, and risk mitigation measures. The Company also provides diverse and accessible channels for feedback.

	VIS TNFD Approach
Strategy	• VIS has established the "Biodiversity and Zero Deforestation Commitment" as a guiding principle for corporate operations, value chains, and stakeholder engagement concerning biodiversity. • When conducting operations in critical biodiversity areas, the Company will implement impact mitigation measures to avoid, minimize, restore, and offset operational impacts sequentially. • VIS regularly assesses nature-related risks associated with its operations and key value chains, identifying priority nature-related issues and priority locations for focused attention. • This year's evaluation identified priority nature-related issues and locations:

		Priority Issues of Concern	Priority Locations for Focused Attention of Concern
Related to Corporate Operations	Impact	Pollutants, Waste	Fab 1, Fab 3
	Dependency	Water Resource Utilization	Fab 2, Fab 3
Related to Value Chain	Impact	Pollutants, Waste	Upstream Supply Chain (Wafers, Gases)
	Dependency	Water Resource Utilization	Upstream Supply Chain (Target Materials)

- Evaluate physical and transition risks for identified priority nature-related issues and locations.
- Develop corresponding corporate response strategies and value chain engagement actions for nature-related risk factors.

	VIS TNFD Approach
Risk Management	• VIS has established nature-related assessment and management objectives, including pollutant and waste management and reduction, as well as water use management and reduction, integrating these into the internal corporate risk management mechanism. • Conducting a nature-related risk review biannually and reporting implementation outcomes for risk management measures to the Board of Directors once annually. • Using the TNFD's LEAP methodology, VIS evaluates and discloses nature-related impacts and dependencies at its own sites and within key supply chains. • Incorporating nature-related concerns into the "Supplier Code of Conduct", VIS requires responsible identification, management, and disposal of hazardous substances, waste, and pollutants. Suppliers are also required to implement water resource management plans, seek opportunities for water conservation, and monitor wastewater treatment. • Through supplier engagement actions such as questionnaires, audits, and training, VIS promotes biodiversity, forest and natural habitat conservation, and pollution prevention to its suppliers.
Indicators and Targets	• VIS has established a "Biodiversity and Zero Deforestation Commitment" with the goal of achieving a net positive impact on biodiversity by 2050. • For identified priority nature-related issues, VIS has set green manufacturing targets related to "Water Resource Management," "Waste Management," and "Air Pollution Prevention." • VIS continues to invest in enhancing the natural environment within and around its sites, increasing green vegetation areas, restoring ecological environments, and promoting environmental education and biodiversity concepts.

Nature-Related Risk Identification and Assessment Methodology

VIS identifies nature-related risks using the TNFD's LEAP methodology, which involves four sequential steps: Locate, Evaluate, Assess, and Prepare. This approach is applied to analyze nature-related issues at VIS' production and operational sites, as well as key points in the upstream and downstream value chain.

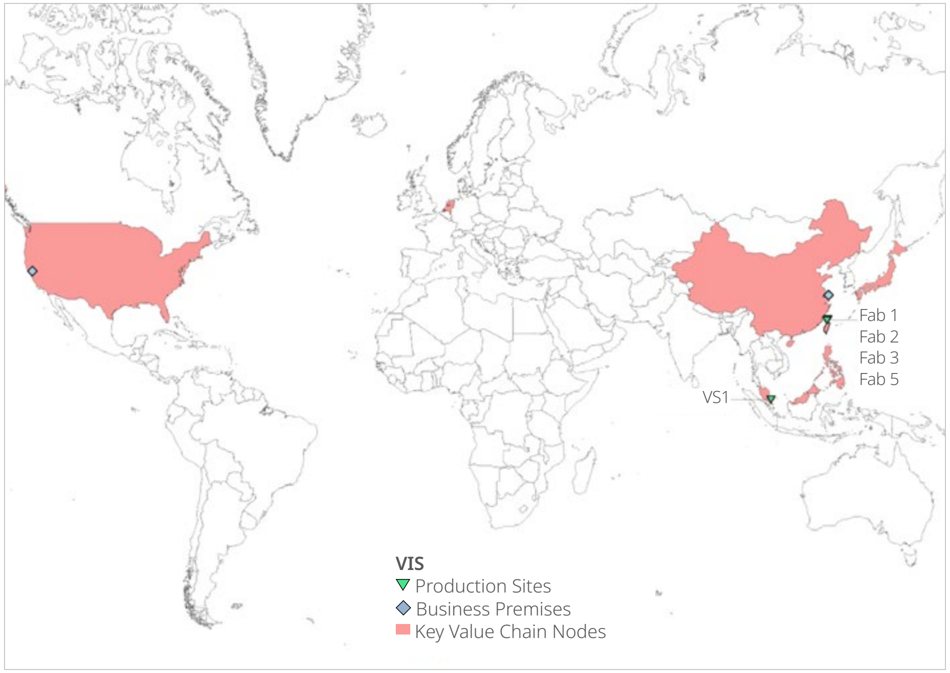
Locate
Locate and identify the interfaces between corporate operations, value chain activities, and nature

Evaluate
Evaluate the natural impacts and dependencies of corporate operations and the value chain

Assess
Assess the financial risks and opportunities related to nature

Prepare
Prepare nature-related actions and targets for the Company

Scope of Nature-Related Risk Assessment and Disclosure by VIS

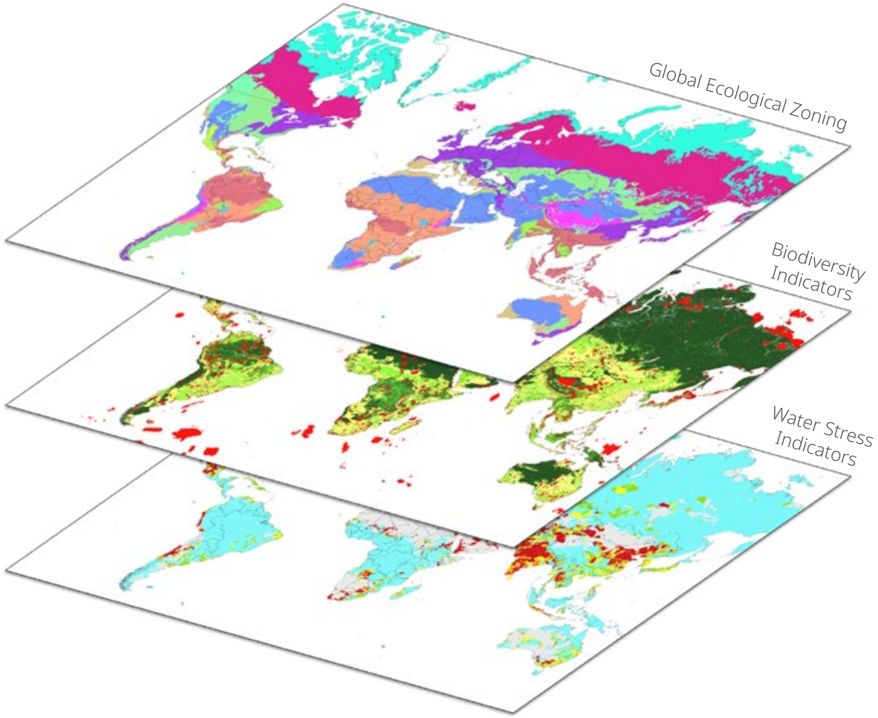


The LEAP methodology emphasizes the priority identification of operational and key value chain nodes with significant potential natural impacts and dependencies. This year, the scope of VIS' nature-related risk assessment and disclosure includes an analysis of its global production and operational sites. The assessment also focuses on the top three suppliers and top three downstream customers in five major procurement categories (wafers, chemicals, gases, target materials, and equipment) as key value chain nodes, ensuring comprehensive coverage in terms of scale and scope.

Locate

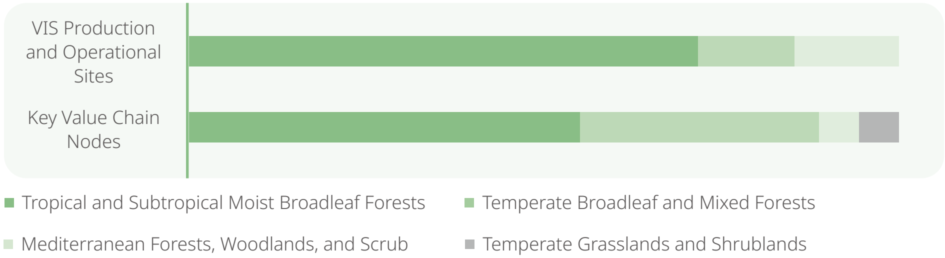
To identify the natural conditions at its own sites and key value chain nodes, VIS uses Geographic Information Systems (GIS) to overlay site locations with global critical data layers, including "Global Ecological Zoning," "Biodiversity Indicators," and "Water Stress Indicators." The biodiversity indicators are further composed of two metrics: ecological importance and ecological integrity.

Nature-Related Issue Data Layers



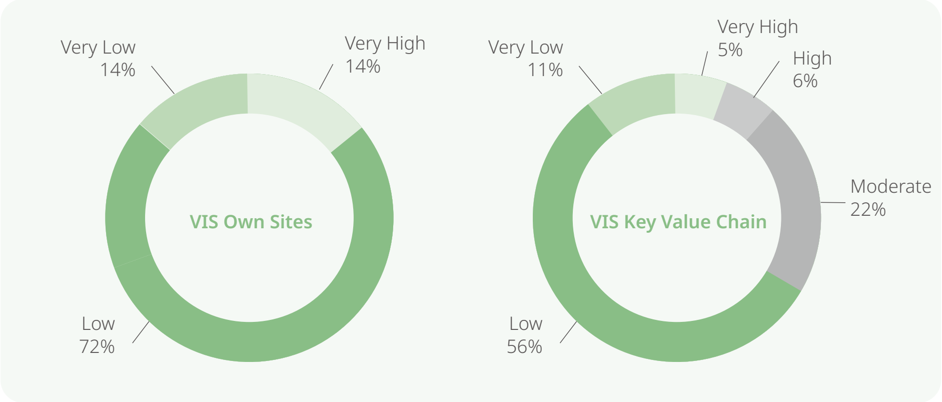
The global ecological zoning used in this analysis is based on the Ecoregions 2017 data layer. The biodiversity importance indicator employs the global Key Biodiversity Areas (KBAs) data layer. The biodiversity integrity indicator is derived from the GLOBIO4 model's Mean Species Abundance (MSA). The water stress indicator utilizes the baseline water stress (BWS) annual and monthly data layers from WRI Aqueduct 4.0, supplemented by historical data from the Water Resources Agency's water condition alerts.

Distribution of VIS Production and Operational Sites and Key Value Chain Nodes in Ecological Zones



Spatial analysis results indicate that the ecological zones of VIS' production and operational sites and key value chain nodes (including upstream and downstream) are primarily located in Tropical and Subtropical Moist Broadleaf Forests and Temperate Broadleaf and Mixed Forests.

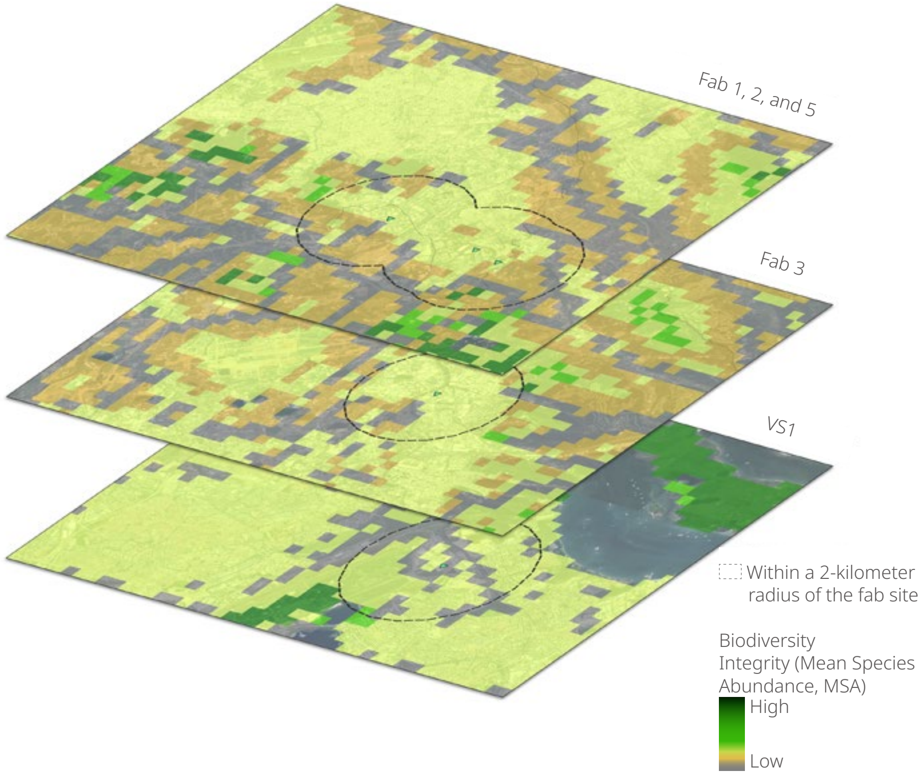
Environmental Water Stress at VIS Production and Operational Sites and Key Value Chain Nodes



Spatial analysis results indicate that the fabs of VIS are mostly located in areas with low or very low baseline water stress according to WRI ,only one operational office located in an area with very high water stress. However, approximately one-third of key value chain nodes(including upstream and downstream) are located in areas with medium, high, or very high baseline water stress.

Note: The WRI model's annual baseline water stress only considers the annual water supply and demand ratio within specific watersheds, without accounting for seasonal variations. Additionally, it is limited by the spatial resolution of the dataset. Therefore, in the subsequent identification and assessment stages, VIS also incorporates the monthly data from the WRI model and historical water condition alerts from Taiwan as supplementary analysis parameters.

Biodiversity Analysis Around Production Sites



Spatial analysis results indicate that within a 2-kilometer radius of VIS' production sites, the surrounding areas are highly urbanized and exhibit low ecological integrity. The only Key Biodiversity Area (KBA) within this range is Singapore's Ubin–Khatib Important Bird Area, located approximately 1.52 kilometers from VIS' Singapore facility. VIS' operations do not directly impact this KBA and are fully compliant with government regulations; therefore, no significant environmental impact on the KBA is anticipated.

Evaluate

According to the TNFD methodology, the goal of the Evaluate step is to identify the priority nature-related impacts and dependencies of corporate operations and value chain activities and to establish measurement standards. VIS identifies nature-related issues through a three-step process: Using the ENCORE database, VIS creates a value chain(including upstream and downstream) nature-related issue hotspot map at the industry sector level to filter out priority impact and dependency issues. Subsequently, for these priority nature-related issues, VIS incorporates relevant production and emission data for each site to perform asset-level tagging and measurement of nature-related issues. Finally, VIS combines the results of asset tagging with the outcomes of the Locate step to establish an impact/dependency matrix. This matrix helps identify nature-related impacts and dependencies at VIS production sites and key upstream supply chain nodes.

1 Nature-Related Issue Hotspot Analysis

Utilize the ENCORE database to identify priority nature-related impact and dependency issues for corporate operations and value chains

2 Asset Tagging

Incorporate actual production and emission data for each site to perform asset-level tagging and measurement of nature-related impacts and dependencies

3 Impact/Dependency Matrix

Combine the results of nature condition location and asset tagging to establish an impact and dependency matrix for production sites and key supply chain nodes, serving as identification indicators

Value Chain Nature-Related Issue Hotspot Map

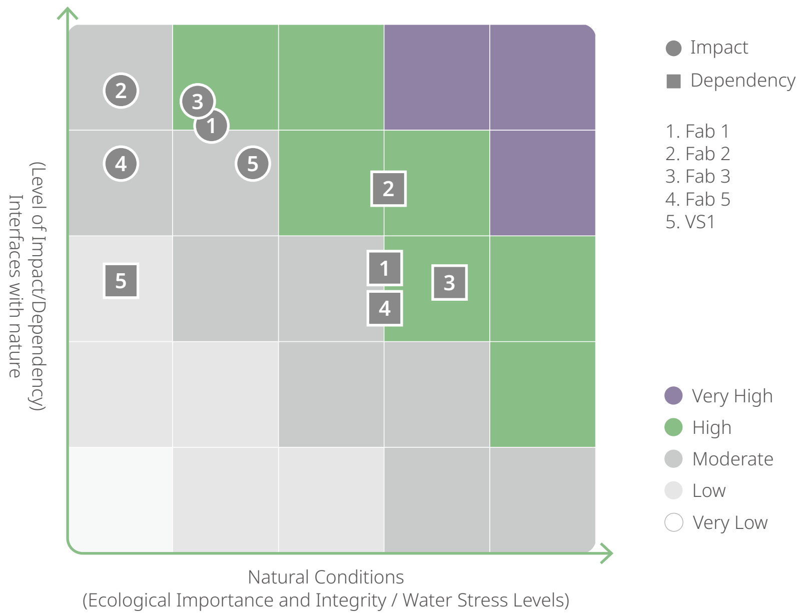
		Nature-Related Impacts						Nature-Related Dependencies	
		Land Use Change	Non-GHG Pollutants	Soil Pollutants	Water Pollutants	Waste	Ecological Disturbances	Water Resource Use	Heavy Rainfall and Flooding
Upstream Value Chain	Wafers	Very Low	Very Low	High	High	High	Very Low	High	Very Low
	Chemicals	High	High	High	High	High	Very Low	High	Very Low
	Gases	High	High	High	High	High	Very Low	High	Moderate
	Target Materials	Very Low	Moderate	Moderate	Moderate	High	Very Low	Moderate	Moderate
	Equipment	Very Low	Very Low	High	High	Very Low	Very Low	Moderate	Moderate
VIS		Very Low	Very Low	High	High	Very Low	Very Low	High	Very Low
Downstream Value Chain	Electronic Parts and Components Manufacturing	Very Low	Very Low	High	High	High	Moderate	Moderate	Very Low

Very High High Moderate Low Very Low

The hotspot map indicates that the priority nature-related impact issue for VIS' value chain is "Pollutants and Waste," while the priority nature-related dependency issue is "Water Resource Use."

Note: ENCORE is a database jointly established and maintained by the United Nations Environment Programme (UNEP) and Global Canopy, among others, that provides information on nature-related impacts and dependencies by industry sector. The ENCORE database offers potential impact and dependency ratings for various industry sectors. These ratings do not consider the specific characteristics of different spatial locations or the actual activities and measures taken by individual companies. Therefore, they can only provide general information for preliminary screening purposes.

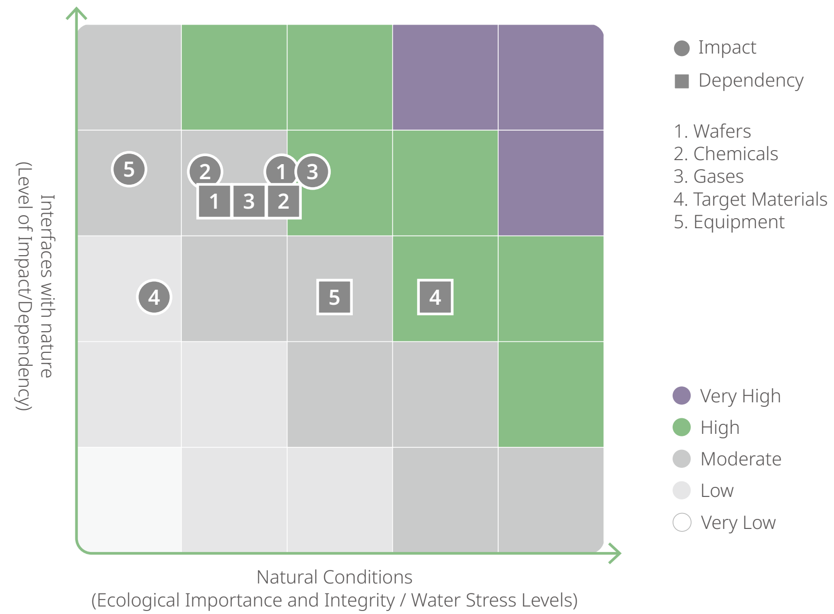
Nature-Related Impact/ Dependencies matrix (Production Sites)



VIS combines ENCORE's hotspot analysis with the coordinates and production-related data of its own production sites to analyze nature-related impacts and dependencies. This analysis is used to establish the corresponding impact and dependency matrix. The analysis results indicate that Fab 1 and Fab 3 have higher potential impacts compared to other sites, while Fab 2 and Fab 3 have higher potential nature dependencies compared to other sites.

Production Sites Analysis Parameters	Natural Conditions	Interfaces with nature
Nature-Related Impacts	Production Site Coordinates; Key Biodiversity Areas (KBAs); Mean Species Abundance (MSA)	ENCORE Database; Production Site Emissions (including VOCs, SO_x, NO_x) and Waste Statistics
Nature-Related Dependencies	Production Site Coordinates; WRI Baseline Water Stress Indicators (Annual/Monthly); Historical Water Condition Alert Data from the Water Resources Agency	ENCORE Database; Production Site Water Withdrawal Statistics

Nature-Related Impact/ Dependencies matrix (Key Supply Chain)



VIS combines ENCORE's hotspot analysis with the coordinates of production sites to analyze nature-related impacts and dependencies in the key supply chain. Using procurement expenditure ratios for weighted analysis, a corresponding impact and dependency matrix is established. The analysis results indicate that within VIS' key supply chain, wafers and chemicals have higher potential nature-related impacts, while target materials are identified as supply chain nodes with higher potential nature-related dependencies.

Key Supply Chain Analysis Parameters	Natural Conditions	Interfaces with nature
Nature-Related Impacts	Suppliers Coordinates; Key Biodiversity Areas (KBAs); Mean Species Abundance (MSA)	ENCORE Database
Nature-Related Dependencies	Suppliers Coordinates; WRI Baseline Water Stress Indicators (Annual)	ENCORE Database

Assess

Based on the results of the Evaluate step, VIS further analyzes the nature-related impact and dependency matrix for its production sites and key supply chain nodes. Considering internal operations and production models as well as the external natural and policy environment, VIS identifies and summarizes the following nature-related risk issues. Each risk is explained in terms of its impacts and financial implications, along with the opportunities arising from these risks and the corresponding response measures and actions taken.

Rank	Nature-Related Risk	Impact Description	Financial Impact	Opportunities Arising from Each Risk and the Countermeasures	Corresponding Report Section
1	**Physical Risks** Drought Events Causing Water Shortages	Drought events lead to production delays at VIS' sites, affecting product manufacturing and delivery schedules.	Increased operational expenses due to water shortage response measures; Decreased revenue due to paying damages to customers for delayed deliveries.	**Enhancing Resilience to Water Shortages** • To mitigate water scarcity, VIS is committed to implementing water-saving measures and improving water use efficiency. • Continued Implement in-plant Recovery recycling to reduce dependence on water resources. • The "VIS Drought Period Water Truck Transport Response Plan" has been formulated, ensuring activating relevant response mechanisms depending on the water situation, thus reducing drought water shortages' impacts on production capacity. • Continuously discussing possibilities for using "seawater desalination/plant/reclaimed water" as a water source.	4.2 Water Resource Management
		Drought events lead to supply chain disruption at VIS' sites, affecting product manufacturing and delivery schedules.	Increased operational expenses due to alternative supply use; Decreased revenue due to paying damages to customers for delayed deliveries.	**Enhance Supply Chain Stability** • The "Supplier Code of Conduct" requires the implementation of water management plans, recording and monitoring water usage. Through engagement mechanisms, suppliers are encouraged to adopt water-saving measures. • Implement a supplier assessment mechanism to strengthen supplier quality and environmental management capabilities. • Require suppliers to propose post-disaster impact and recovery plans to reduce the risk of supply disruption.	5. Sustainable Supply Chain
2	**Market Transition Risk** Change in Customer Demand	Based on the nature-related issue hotspot map, downstream customers in the value chain are placing greater emphasis on environmental concerns, including pollution, waste management, and water resources. This heightened awareness is driving demand for water-saving measures and manufacturing processes with minimal environmental impact.	Reduced customer procurement willingness, leading to decreased revenue.	**Deepening Green Manufacturing Practices** • Continuously deepen green manufacturing and improve process resource efficiency to meet customers and market demands. • We are actively obtaining certifications including ISO 50001 Energy Management System, ISO 14001 Environmental Management, ISO 14064-1 Greenhouse Gas (GHG) Inventory, and ISO 46001 Water Resource Efficiency Management System, strengthening green management in our systems and processes.	3.4 Innovation Management 4. Green Manufacturing

Rank	Nature-Related Risk	Impact Description	Financial Impact	Opportunities Arising from Each Risk and the Countermeasures	Corresponding Report Section
		Brand customers are increasingly focused on nature-related issues, demanding enhanced nature-related supply chain management and responsibility.	Increased costs related to raw material procurement.	**Enhancing Supply Chain Management and Engagement** • Establish nature-related supplier codes of conduct, requiring compliance with relevant standards in pollution, resource efficiency, biodiversity, and forest conservation. • Conduct surveys, audits, and evaluations of new and key suppliers to understand their current status and manage related risks. • Provide improvement recommendations through measures such as questionnaires, on-site audits, or third-party verification audits, and regularly track effectiveness. • Conduct ESG education and training for suppliers and incorporate biodiversity management concepts into the supply chain through the audit process.	5. Sustainable Supply Chain
3	**Market Transition Risk** Change in Stakeholder Preferences	Passive or poor response to nature-related issues may fail to meet stakeholder expectations, negatively affecting the Company's reputation or image.	Reduced stakeholder investment willingness, impacting the Company's valuation.	**Ongoing Investment in Nature-related Actions** • Continuously invest in nature-related public welfare activities, such as ecological restoration and environmental education. • Ongoing ecological conservation at operational and production sites, increasing vegetation coverage and enhancing ecological value. • Regularly assess nature-related issues and risks, engage with stakeholders, and conduct proactive disclosures.	7.2 Environmental Conservation
4	**Policy Transition Risk** Changes in Nature-Related Policies and Regulations	Government increases regulations or policies related to nature, such as water usage fees or requirements for nature-related disclosures and monitoring.	Increased operational costs due to compliance with policy transition measures.	**Enhancing Focus on Nature-related Issues, Measures, and Disclosures** • Continuously deepen green manufacturing capabilities to reduce nature-related impacts and dependencies, and enhance process resilience. • Regularly update, assess, and disclose nature-related issues and risks to stay aligned with policy transition directions.	4. Green Manufacturing
5	**Liability Transition Risks** Changes in Regulations Related to Pollutants and Waste Responsibilities	Changes in regulatory responsibilities related to nature impacts, increasing compliance costs.	Increased operational expenses due to higher costs of compliance with related penalties or regulatory responsibilities.	**Strengthening Pollution Control Equipment and Stability** • In recent years, VIS has continuously installed new wastewater and waste treatment equipment at various plants, ensuring higher removal efficiency and exceeding regulatory requirements. • All fabs are equipped with emergency power supplies and backup systems to ensure that in the event of equipment failure, the backup system can take over, reducing the risk of abnormal pollutant emissions.	4.2 Water Resource Management 4.4 Air Pollution Control

Prepare

VIS sets relevant indicators for the identified priority nature-related impacts and dependencies, and monitors green manufacturing performance through internal process improvements and collaboration mechanisms with upstream and downstream partners across the value chain.

VIS Nature-Related Priority Issues		Quantitative Indicator	Nature-Related Dependencies
Nature-Related Impacts	Air Pollutants	**Air Pollution Control** • Reduction rate of air pollutant emissions per unit wafer area compared to 2015 (%)	4.4 Air Pollution Control
	Water Pollutant	**Water Pollution Control** • Emission Concentration of Tetramethylammonium Hydroxide (TMAH) in Discharged Water (ppm) • Emission Concentration of Ammonia Nitrogen (NH3-N) in Discharged Water (ppm)	4.2 Water Resource Management
	Waste	**Waste Reduction** • Waste Recycling Rate (%) • Number of Waste Reduction Improvement Projects (Items/year) • Waste Landfill Rate (%) **Proper Treatment of Waste** • Auditing and Counseling Rate of Disposal Vendors(%) • Proportion of Waste Treatment Vendors Obtaining ISO 14001 or Similar EHS Management Certifications (%) **Compliance with Environmental Regulations** • Number of Violations of Environmental Regulations (cases)	4.3 Waste Management
	Value Chain-Related Impacts	**Sustainable Raw Materials Program (Upstream)** • Target usage ratio (%) for sustainable raw materials **Metal Raw Material Recycling (Upstream)** • Proportion of recycled materials used in metal sputtering targets (%) **Hazardous Substance Management in Products (Downstream)** • Completion rate (%) of hazardous substance replacement in products	5.4 Responsible Procrurement 3.5 Quality and Customer Service
Nature-Related Dependencies	Water Management	**Water Recovery Rate** • Process Water Recovery Rate at Each Plant (%) **Water Consumption Management** • Production Loss due to Water Restriction (wafer units)	4.2 Water Resource Management
	Value Chain-Related Dependencies	**Supplier ESG Training (Upstream)** • Supplier training completion rate (%) **Customer Satisfaction and Complaint Mechanism (Downstream)** • Annual customer satisfaction percentage (%)	5.3 Promotion of Sustainable Supply Chain Cycle 3.5 Quality and Customer Service

4.1.2 Energy Management

Energy Policy

VIS specializes in the design, research and development, manufacturing, and sales of integrated circuits, where power and water resources are essential to production operations. To ensure the sustainable operation of the enterprise and fulfill good corporate citizenship responsibilities, the Company adheres to the principles of compliance with laws and regulations, energy conservation and carbon reduction, green production and reducing the impact of energy and water resources, and recognizes the human right to water resources and sanitary facilities. All employees actively participate in the energy management system to ensure compliance with laws and regulations, customer requirements and relevant international standards or frameworks, and are committed to improving energy efficiency. To achieve these goals, VIS commits to continuously promoting and improving the following initiatives:

VIS' power savings rate in 2024 was 0.95% and the cumulative power savings rate from 2016 to 2024 was 18.13%. The revenues of VIS in 2024 were NT$44.05 billion, with total energy consumption at 1 billion kWh, and total energy consumption intensity at 0.023 kWh/NT$. VIS continues to save energy in various public facilities, and in line with the government's power-saving policy, it invested NT$44.23 million in 2024 to replace energy-saving equipment, saving 9.37 million kWh of electricity; energy-saving projects are mainly divided into three categories: public equipment, air-conditioning equipment, and updating energy-saving machine ancillary equipment, with a total of 49 energy-saving improvement measures proposed and completed.

In addition, Fab 1, Fab 2, and Fab 3 have introduced ISO 50001:2011 certification since 2017, completed the ISO 50001:2018 certification conversion in 2023, and passed SGS external verification every year. VIS uses the ISO 50001:2018 systematic management process to compare the energy efficiency across factories, and through monthly energy audits and regular meetings of the Energy and Carbon Reduction Committee, we continue to look for opportunities for energy saving and improvement in order to enhance our

1 Compliance
Comply with energy-related laws and regulations and international voluntary requirements.

2 Effective Use of Energy
Treasuring and properly utilizing resources, including electricity, natural gas, and water.

3 Implementation of Goal-based Management
Set up energy and resource goals and performance metrics, and manage them in the PDCA model.

4 Continuous Performance Improvement
Regularly review and continuously improve energy and resource usage efficiency.

5 Support Green Procurement
Support energy-saving and water-saving products and designs to improve energy efficiency and performance.

6 Promote Internal and External Communication
Establish internal and external communication channels to facilitate information transmission.

7 Build Water Safety
Strive to improve environmental and personal water safety and hygiene.

8 Enhance Water Use Awareness
Build awareness of water safety and its impacts on stakeholders.

9 Expand Knowledge and Awareness
Increase public recognition of the rights to water resources and sanitation.

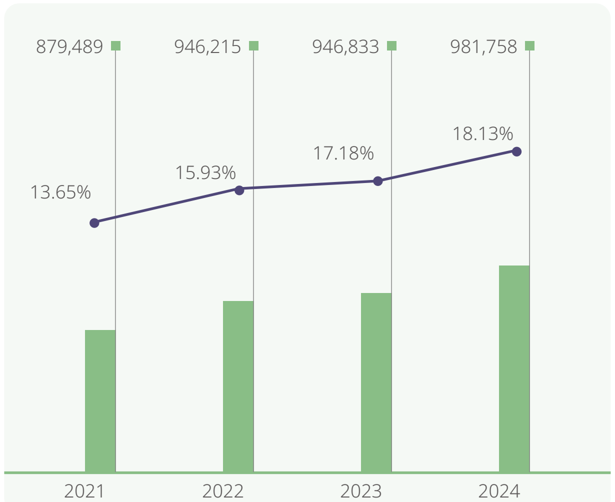
10 Commitment to Environmental Sustainability
Continuously promote the development of sustainable water resources, implement pollution control, reduce toxic chemicals, and build water ecosystems and environmental conservation.

11 Expand Green Value
Sustainable benefits of water resources, and establish a green supply chain together with customers and suppliers.

12 Fulfillment of Environmental Commitments
Provide proper resources for achieving objectives and targets.

energy saving performance. In order to enhance the professional competence and energy-saving awareness of our employees, the Company plans energy management education and training courses every year based on the results of performance analysis, evaluation, and comparison, and hires external instructors to provide professional training to the relevant personnel. Over the past five years, the annual electricity saving rates of VIS are shown in the table on the right.

Statistics on Annual Electricity Consumption



■ Electricity Consumption (kWh) ● Cumulative Power Savings Rate %

Note 1: The total electricity consumption increased in 2022 due to the addition of electricity usage in Fab 5.

Note 2: The conversion unit is one kilowatt-hour equals 3,600 kilojoules.

Years	Annual Electricity Consumption (kWh) (A)	Electricity Saved [Note 1] (kWh) (B)	Electricity Savings Rate [Note 2] (C)
2020	855,037,203	18,171,696	2.1%
2021	879,488,668	18,492,319	2.1%
2022	946,215,380	22,026,410	2.3%
2023	946,832,690	12,050,992	1.3%
2024	981,757,501	9,374,443	0.9%

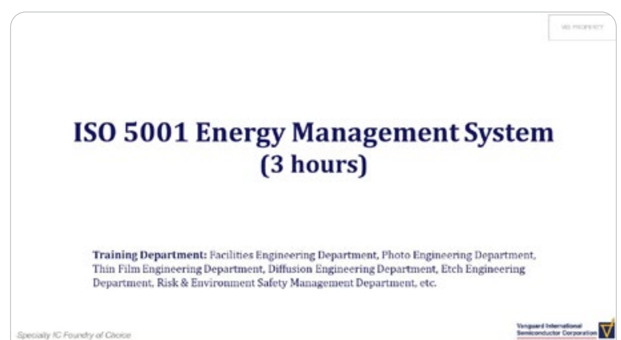
Note 1: The degree of savings is the sum of the energy-savings performance of the energy-savings measures implemented in the current year.

Note 2: The energy savings rate C = B / (A+B) × 100%.

Note 3: The conversion unit is one kilowatt-hour equals 3,600 kilojoules.

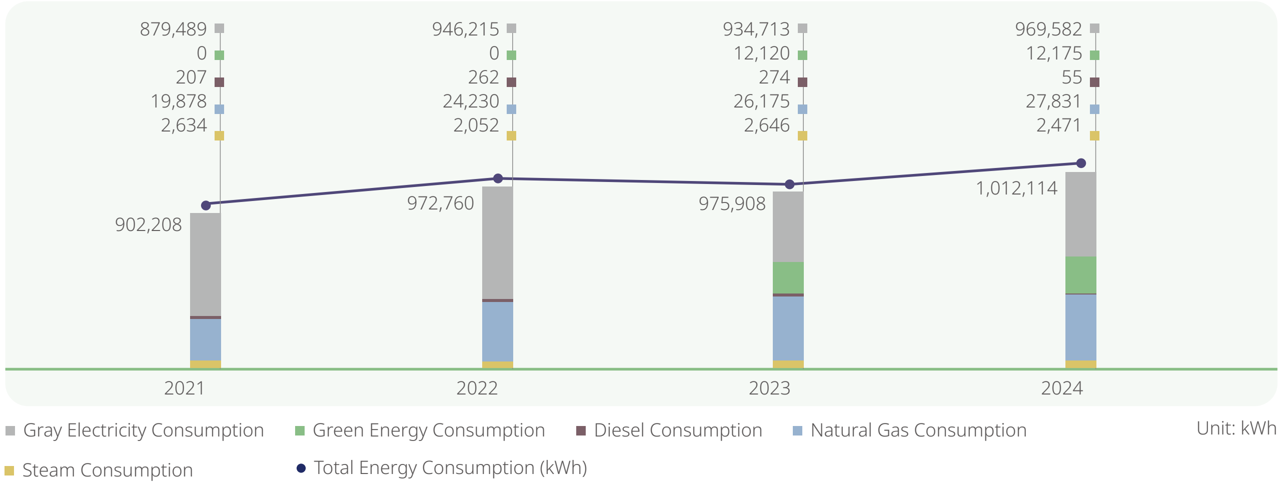
Unit: kWh

Annual	2021	2022	2023	2024	2024 Goal	2025 Goal
Total Renewable Energy	0	0	12,120	12,175	12,120	12,170
Non-renewable Energy	902,208	972,760	963,788	999,939	954,150	984,940

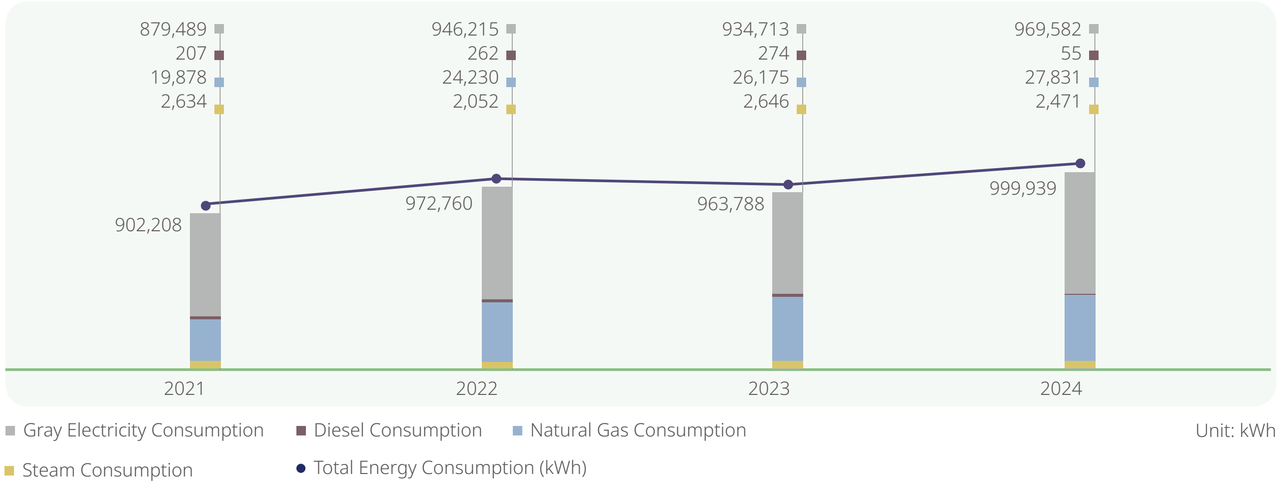


VIS organizes annual training programs on energy management.

Energy Consumption



Non-renewable Energy Consumption



Note 1: The total energy consumption includes natural gas, purchased steam consumption, and diesel.
Note 2: The conversion unit is one cubic meter of natural gas = 10.5 kWh; one liter of diesel = 9.8 kWh; one kWh = 3600 kilojoules.
Note 3: The conversion unit is one ton of steam heat value (660,000-kilcalories) = 767.4 kW of electric energy; one kW of electric energy = (860-kilcalories).
Note 4: The total electricity consumption increased in 2022 due to the addition of electricity usage in Fab 5.
Note 5: Green electricity consumption includes self-generation and external purchase.
Note 6: In 2023, 214 kWh will be self-generated and 11,906 kWh will be purchased externally; in 2024, 541 kWh will be self-generated and 11,634 kWh will be purchased externally.

4.1.3 Renewable Energy

VIS adheres to the government's Renewable Energy Development Act, supporting energy diversification and improving energy structures, deploying environmental sustainability concepts while committing to using clean, pollution-free green energy. In 2022, we announced participation in the Global Corporate Renewable Energy Initiative (RE100), pledging all global operations to use 100% renewable energy by 2040. The amount of renewable energy procured by VIS in 2024 is 11,634,012 kWh, which exceeds the contracted capacity by 10%. VIS, displaying its commitment to self-generation and use, completed the installation of a 272 kW photo-voltaic system at Fab 2 in 2022. Actual solar power generation in 2024 reached 296,434 kWh. In addition, in July 2024, the installation of the solar photo-voltaic system in the Singapore wafer fab of VIS was completed, with a capacity of 469 kW and an actual power generation capacity of 244,773 kWh.

In addition, VIS has received approval from the Taipei Exchange (TPEx) in 2022, tissue NT$7 billion in corporate bonds, including NT$1 billion in green bonds, to be used in the development of projects, including renewable energy. VIS will continue to purchase renewable energy and renewable energy generation equipment.

4.1.4 Greenhouse Gas (GHG)

GHG Inventory, Validation, and Verification

GHG reduction is an important key to mitigate climate change and global warming, and GHG inventories provide a basis for reduction. Reduction targets and priorities for them should then be formulated based on the GHG inventory results. This effectively facilitates the subsequent GHG reduction process. Additionally, the results can also help us ascertain our reduction results.

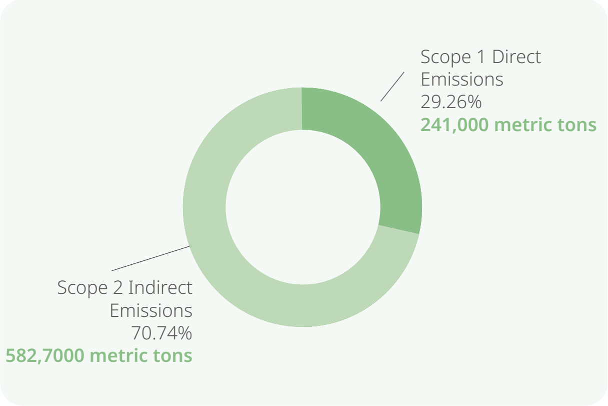
Scope 1, GHG emissions (including carbon dioxide, methane, nitrous oxide, hydrofluorocarbon, perfluorocarbon, sulfur hexafluoride, and nitrogen trifluoride), refers to direct emission sources of VIS fabs, including stationary emission sources, such as diesel and natural gas fuels for generators; and mobile emission sources, such as gasoline and diesel used by official vehicles; in addition, there are fugitive emission sources, such as organic waste gas, fire-fighting equipment, septic tanks, refrigerants, and fluorine-containing gases from process emission sources. Scope 2 is mainly the indirect sources of emission from the purchased electricity.

The GHG validation and verification operation of VIS is based on the requirements specified in the ISO/ CNS 14064- 1 and the greenhouse gas verification guidelines of the GHG Inspection GuidanceNoteand the GHG Emissions Inventory Registration Practice Guidance released by the Environmental Protection Administration, as well as the GHG Protocol released by the WBCSD/ WRI. The organizational boundary is set in a 100% operational control manner.

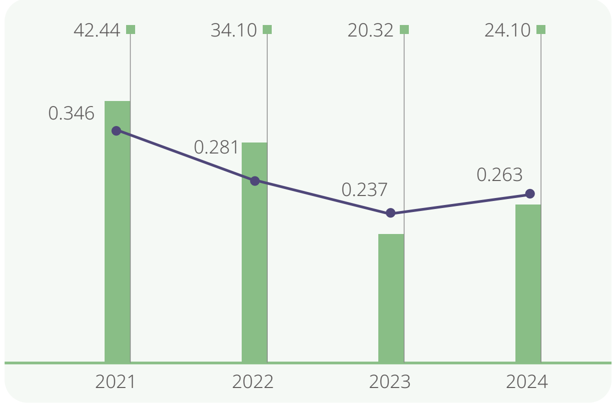
Note: The GHG inventory for 2024 adopts the ISO 14064-1:2018 version, along with the adopts the Fifth Assessment Report of the IPCC (AR5) for GHG emissions calculation.

The past results of the Scopes 1 and 2 GHG emission inventory of VIS are as follows, in which the wafer area shows the statistics validated and verified by the GHG inventory.

The Composition of the VIS GHG Emissions in 2024



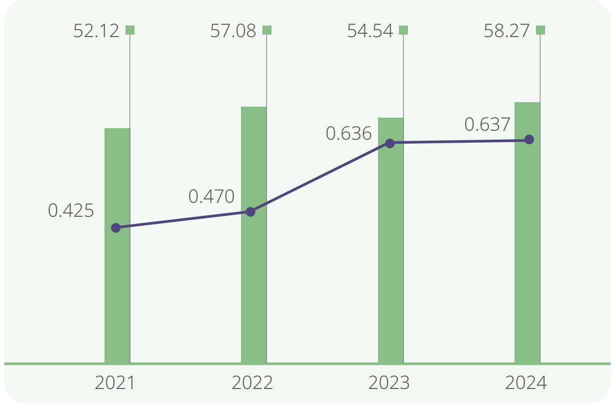
VIS Scope 1 GHG Emissions



■ VIS Scope 1 GHG Emissions (x 10,000 ton CO_2e)

● VIS GHG Emissions per Unit Wafer Area (kg CO_2e/ cm^2 Wafer Area)

VIS Scope 2 GHG Emissions



■ VIS Scope 2 GHG Emissions (x 10,000 ton CO_2e)

● VIS GHG Emissions per Unit Wafer Area (kg CO_2e/ cm^2 Wafer Area)

		2021	2022	2023	2024	2024 Goals
Direct GHG Emissions (Scope 1)						
Total Volume of Direct GHG Emissions	Metric tons of CO_2e	424,442.54	341,018.57	203,200.27	240,951.98	387,000
Direct GHG Emissions (Scope 2)						
Indirect GHG Emissions from Purchased and Consumed Energy	Location-based metric tons of CO_2e	521,171.67	570,769.49	551,391.32	588,536.40	528,000
	Market-based metric tons of CO_2e	521,171.67	570,769.49	545,390.84	582,650.10	520,000
Perfluorocarbon Emissions						
Direct PFC Emissions	kg PFC/ metric tons of products	680.1	550.5	754.7	581.3	800

VIS calculates Scope 3 GHG emissions following ISO 14064-1:2018, which covers all sites and subsidiaries, and identifies indirect GHG emissions not included in Scopes 1 and 2 emissions through the validation and verification by the third-party company SGS.

2024 Scope 3 GHG Emissions Inventory Results

Scope 3 Emission Sources	Scope 3 Emission Sources Descriptions	2024 Scope 3 GHG Emissions (tCO_2e)
Purchased Goods and Services	Carbon emissions are generated from purchasing primary raw materials for the production of 8-inch wafers and auxiliary raw materials used in the manufacturing process, excluding outsourced services.	106,906.792
Fuel and energy-related activities (not included in Scopes 1 and 2)	The fuel and energy used in the fabs are calculated using the life cycle cost (LCC) method, and deducting the results of Scopes 1 and 2 emissions.	90,196.418
Upstream Transportation and Distribution	Carbon emissions generated from the ton-km of transport and distribution (including air, land, and sea transport) of goods (the purchased primary raw materials and auxiliary raw materials required for the production of 8-inch wafers) from the suppliers to the fabs.	1,375.526
Waste Generated in Operations	Carbon emissions generated from waste in the production process, including.	3,148.686
Business Travel	Carbon emissions are generated from employees' domestic and overseas business trips, with the distance of each return trip calculated by setting each Fab 1 as the departure point and the destination of land or air transportation as the endpoint.	72.611
Employee Commuting	Calculated based on passenger km between the district office where the employees' households are registered and each fab.	26,451.707
Downstream Transportation and Distribution	Calculated based on the Tier 1 channel of 8-inch wafer products.	676.989
Total		**228,828.729**

Indirect GHG Emissions (Scope 3)		2021	2022	2023	2024	2024 Goals
Total Indirect GHG	Metric tons of CO_2e	278,141.54	287,264.03	271,586.76	228,828.73	271,000.00

GHG Reduction Target

Scope 1 (Direct carbon emissions) and Scope 2 (Indirect carbon emissions from electricity, etc.) Net-zero carbon reduction path and strategic planning (five 8-inch wafer fabs):

1. **Net-Zero Carbon Reduction Path**
   A. Absolute Reduction Target: Compared with the base year 2021 carbon emissions of 946 kt CO_2e (kilotonnes of carbon dioxide equivalent), the planning proximity target for 2030 is an absolute reduction of 45% of carbon emissions, with a reduction of 425.7 kt CO_2e; and the long-term target for 2040 is an absolute reduction of 90%, with a reduction of 851.4 kt CO_2e, and reaching a net-zero by 2050.

   B. Carbon Emission Intensity Reduction Target (at Full Load): Compared with the carbon emission intensity of 0.771 kg-CO_2/cm^2 in the base year of 2021, reduce it by 50% and 473 kt CO_2e in 2030 in the near term; reduce it by 90% and 851.4 kt CO_2e in 2040 in the long term; and reduce it to 0 kg-CO_2/cm^2 in 2050.

2. **Carbon Reduction Strategies**
   A. Autonomous Carbon Reduction: Achieve over 90% carbon reduction through the installation of greenhouse gas removal equipment, conversion of high-carbon potential gases to low-carbon potential gases, implementation of energy-saving improvement projects, and procurement of green electricity to meet autonomous carbon reduction targets.

   B. Carbon Credits/ Negative Carbon and Natural Carbon Sink Technologies: For the remaining less than 10% of carbon emissions, from 2041 to 2050, the strategy includes offsetting through the purchase of external carbon credits, negative carbon technologies, and natural carbon sink technologies.

Scope 3 (Purchased goods and services and other indirect emissions) Net-zero carbon reduction pathway and strategy planning (five 8-inch wafer fabs):

1. **Net-Zero Carbon Reduction Path**
   A. Absolute Reduction Target: Compared with the base year 2021 carbon emissions of 278 kt CO_2e, the planning proximity target for 2030 is to achieve an absolute carbon reduction of 9.8% covering 100% of the base year emissions, with a reduction of 92.7 kt CO_2e; and the long-term target for 2040 is an absolute reduction of 66.9% of carbon emissions, with a reduction of 632.9 kt CO_2e, and reaching a net-zero by 2050.

2. **Carbon Reduction Strategies**
   A. Facilitate supplier completion of ISO 14064-1 or ISO 14067 verification and validation, and provide guidance to suppliers on carbon reduction initiatives.

   B. Carbon Credits/ Negative Carbon and Natural Carbon Sink Technologies: For the remaining less than 10% of carbon emissions, from 2041 to 2050, the strategy includes offsetting through the purchase of external carbon credits, negative carbon technologies, and natural carbon sink technologies.

Disclosure of GHG Emissions Information

VIS discloses GHG emissions and reduction information to the public through various channels. Through the process of information disclosure, we further review and obtain external suggestions to continuously reduce GHG emissions. The information disclosure channels are as follows:

- Since 2005, VIS has conducted validations and verifications of GHG emissions information every year by a third-party company and reported to the Taiwan Semiconductor Industry Association Environmental Department Climate Change Administration.
- Since 2014, VIS has autonomously responded to the Carbon Disclosure Project (Carbon Disclosure Project, CDP) by annually disclosing information related to climate change management, including GHG emissions and reductions; and reviewing risks and opportunities in all aspects of regulations, natural disasters, finance, and operations for improvement. For more information, please refer to CDP Website.
- Since 2014, VIS has published an ESG Report every year, with the aim of disclosing the sustainability goals and implementation and providing consultation for customers and investors on related issues.

4.1.5 Energy Saving Measures

Main Energy Saving Measures and Effects in 2024

VIS has actively introduced various power-saving measures through real-time control of management equipment to achieve optimal operation under the conditions of maintaining the quality of usage and normal operation of equipment. Meanwhile, they have participated in government-promoted counseling programs and invested in research and development manpower to work with energy-saving specialists in exploring the operation status of the system to find out weaknesses in energy consumption and make improvements to reduce the number of kilowatt hours of power consumed by the equipment; for example, through the adoption of high-efficiency equipment, such as lighting equipment, transformers, motors, air compressors, etc., the installation of energy-consuming equipment with inverters to reduce energy consumption, and the improvement of power factor.

Energy Saving Management Solutions

VIS' energy savings management solution is as shown below, from 2016 to 2024, the cumulative power savings rate achieved 18.13%. The middle-term goals of VIS aim at achieving a 1% power savings rate and preparing long-term goals to reach 24% of the accumulated electricity savings rate, and accumulated energy Savings reach 2 GWh by 2030. VIS will continually propose conservation projects for improvement and enhance energy utilization.

Power-saving Performance Statistics

Unit: NT$ thousand

Currency:	2021	2022	2023	2024
Power-saving performance	45,360	58,808	47,135	34,939
Data coverage	100%	100%	100%	100%

Main Energy Saving Measures and Effects in 2024

49 Energy- saving measures

9.4 GWh GWh Saved

5,444 metric tons Reduced Carbon Emissions

Utility Equipment Energy Saving

Air Conditioning System Energy Saving
- High Efficiency Ice Machine Replacement
- CP/CHP: Increase energy savings with variable frequency drives
- Exhaust/MAU reduction operation

A total of **7** energy-saving measures save approximately **3.2** GWh
Reducing **1,501** metric tons of carbon

Lighting Energy Saving
- LED Tube Replacement in Manufacturing Area
- LED Tube Replacement in Maintenance Area
- LED Tube Replacement in Office Area

A total of **6** energy-saving measures save approximately **1.2** GWh
Reducing **856** metric tons of carbon

Efficiency Improvement
- Add Solar Energy Device
- Adjust the Number of UPW Units in Operation
- Energy Saving Pump Replacement

A total of **10** energy- saving measures save approximately **2** GWh
Reducing **1,036** metric tons of carbon

Production Machine Energy Saving

Machine Set Replacement
- Dry Pump Replacement
- Local Scrubber Replacement

A total of **2** energy-saving measures save approximately **0.2** GWh
Reducing **104** metric tons of carbon

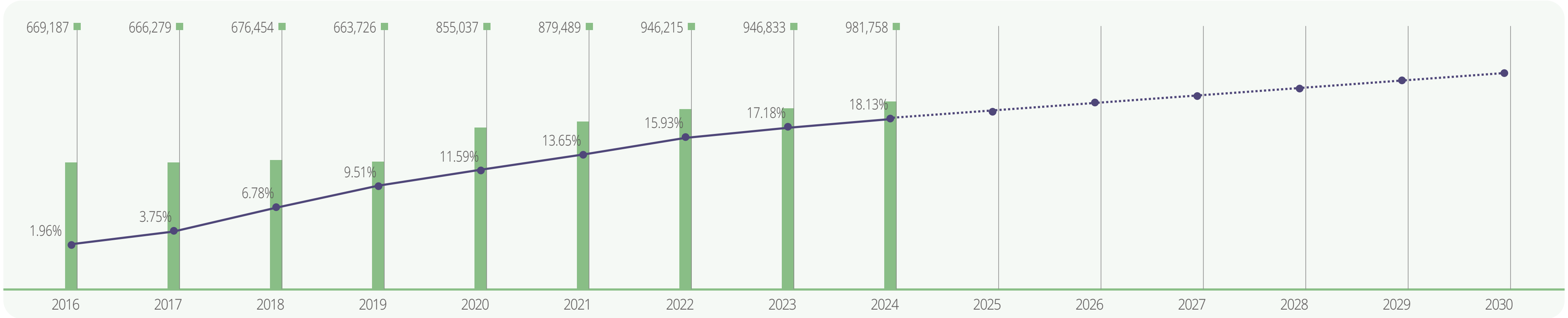
Machine Operation Adjustment
- Hot DI Standby time
- Chiller line with thermal insulation
- Baking took Pump signal off
- Tool Chiller Operation Adjustment

A total of **24** energy-saving measures save approximately **2.7** GWh
Reducing **1,947** metric tons of carbon

Note 1: The carbon emissions equivalent coefficient is 0.474 kg/kWh.

Note 2: The conversion unit is one kilowatt-hour equals 3,600 kilojoules.

Cumulative Power Savings Rate



VIS anticipates large-scale energy-savings engineering projects in 2025

Energy Saving Project Name	Fab 1	Fab 2	Fab 3	Fab 5
Energy-Savings Dry Pump Investment Plan Phase- VII -EE1		V	V	
Energy-Savings Dry Pump Investment Plan Phase- VII -EE1+EE2			V	
Dust-Free Room Light Tube Replacement LED Energy Savings Project			V	
Added a new frequency converter air compressor			V	
Lam Tool Chiller Energy Saving	V		V	
UPW System Transmission Motor Energy Saving		V	V	
HDP ETO RF Generator to Energy Saving ACME RF Generator	V	V	V	
Energy-Savings Dry Pump Investment Plan Phase- VIII	V	V	V	
Replacement of High-efficiency Units for Ice Machines	V	V	V	
Cooling Tower Energy Saving - Fan Blade Replacement	V	V	V	V

Total energy consumption Statistics

Unit: MWh

Total energy consumption	2021	2022	2023	2024
(A) Non-renewable fuel consumption (procurement or usage)	20,085	24,493	26,429	27,886
(B) Non-renewable electricity consumption (procurement)	879,489	946,215	934,713	969,582
(C) Other purchased energy (steam)	2,634	2,052	2,646	2,471
(D) Total renewable energy procurement or production for own use	0	70	12,120	12,175
(E) Total renewable energy sales	0	0	0	0
Total non-renewable energy consumption (A+B+C)	902,208	972,760	963,788	999,939
Total energy consumption (A+B+C+D)	902,208	972,830	975,908	1,012,114
Data coverage	100%	100%	100%	100%

Note 1: The conversion unit is one kilowatt-hour equals 3,600 kilojoules.

Note 2: The total electricity consumption increased in 2022 due to the addition of electricity usage in Fab 5.

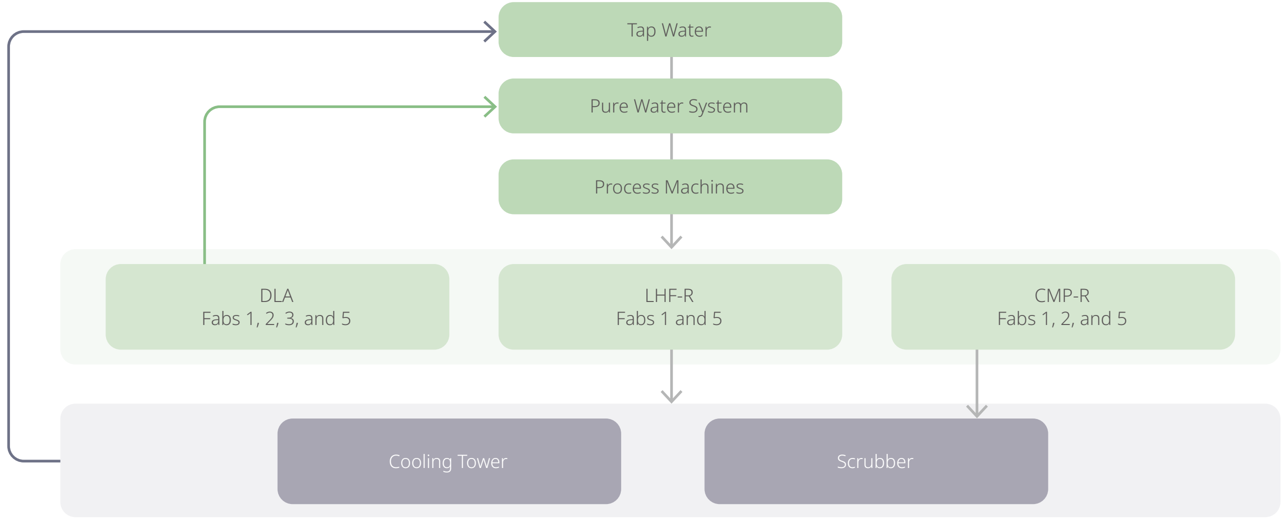
4.2 Water Resource Management

4.2.1 Water Usage Information

VIS Fab 1, Fab 2, and 5 are located in the Hsinchu Science Park and are fed by the Baoshan Reservoir and the Baoshan Second Reservoir. The production wastewater is first treated within the fabs to meet the acceptance criteria and discharged to the Hsinchu Science Park Administration's wastewater treatment plant for a second treatment, and eventually discharged. Fab 3 is located in Taoyuan City, and its water source comes from Shimen Reservoir. The production wastewater is first treated within the fab and discharged into Taoyuan's Dakeng River after meeting the discharge standard. VS1 uses NewaterNote as its water source. Affected by global climate change, droughts and floods in Taiwan have gradually become more extreme in recent years, resulting in a rising risk of water shortage and flooding. Therefore, water resource management, water recovery and emergency response to water shortages are becoming more prominent.

Note: Based on national strategic security considerations, to avoid water supply crises, the Singapore government has proposed the development of the "Four National Taps" projects - i.e., rainwater harvesting, freshwater importation, seawater desalination, and wastewater reuse, of which the wastewater reuse project is referred to as "Newater."

Process Water Recovery Diagram



As for water resource management, for mitigating impacts on production due to reduction of tap water supply during the dry season, VIS acts according to conditions at each plant and referring to industry experience, stipulating for our " Water Truck Transportation Response Plan for Water Shortages". According to the water situation, the related responsive mechanisms can be activated to reduce production capacity impacts.

VIS will fully reuse the drainage water after the process, according to the characteristics of the drainage water is divided into more than ten kinds of different drainage pipes, and the related discharged wastewater, according to the quality of water and the needs of the end-users, will be treated by the recycling system and then used, which not only reduces the discharge of wastewater and alleviates the burden on the environment, but also reduces the amount of rechargeable water from the mains, and saves water resources.

Risk Management of Water Resources

In terms of Risk Management of Water Resources, VIS utilizes the World Resources Institute (WRI) water risk assessment tool for the identification of water stress and water risks in the region where wafer fabs are located. The results showed a low to moderate risk for the fabs in Taiwan and a low risk for the ones in Singapore. No VIS wafer fabs are listed as high-risk water resource areas, and the water consumption of each factory is less than 2% in the region, indicating no significant impact on the use of water sources.

Meanwhile, VIS employees serve as representatives of the Water Resources Division of the Taiwan Science Park Association, actively participating in water conservation counseling and technology-sharing sessions organized by the Science Park Administration or the Water Resources Agency of the Ministry of Economic Affairs. We share experiences on water resources recycling and reuse with industry peers and independently develop plans to address water shortages. If there is a dry season, we cooperate with government agencies to respond to achieve the water-saving goals set by the government, and coordinate water resource applications with the Science Park Administration or the Water Resources Agency to ensure the quality and quantity of tap water supply.

Additionally, starting from 2025, Fab 3 will collaborate with the Taoyuan City Government to implement a project that replaces tap water with recycled RO water (reclaimed from domestic wastewater treatment), reducing reliance on tap water and mitigating the impact on production during dry seasons.

In 2024, VIS conducted two sessions of water management education and training courses.

VIS adheres to the principle of maximizing the use of every drop of water. In 2022, it implemented the ISO 46001 water resources management system. This involved surveying current water usage, analyzing organizational water consumption patterns, assessing the condition of water-use equipment, identifying significant water-consuming equipment, auditing existing issues and deficiencies, discovering water- saving potentials, and proposing practical water-saving measures and improvement strategies; we also organize annual water management education and training in our Taiwan plants to enable water users to effectively identify water efficiency improvements and management.

Region	Factory	Water Sources	WRI Water Risk Assessment Level
Taiwan	Fab 1	Baoshan Reservoir, Baoshan Second Reservoir, Yongheshan Reservoir, and Shimen Reservoir	Low to moderate
	Fab 2		
	Fab 5		
	Fab 3	Shimen Reservoir and Feitsui Reservoir	
Singapore	VS1	Domestic Wastewater Treatment and Reuse (Newater)	Low

Type of Water Source and Amount of Water Withdrawn

Unit: Million Liters/ Year

	2021	2022	2023	2024
Surface Water	1,372	1,778	1,793	1,762
Groundwater	90	0	0	0
Third Party's Water	5,383	5,334	5,951	6,278
Total Water Withdrawal	**6,845**	**7,112**	**7,744**	**8,040**

Note: The third-party water is tap water provided by the tap water company, the source is surface water, and all are freshwater (≦ 1,000 mg/ L total dissolved solids).

4.2.2 Water Recovery Management

In addition to adopting the Science Park's standard of an 85% process water recovery rate as a target, VIS Fab 1, Fab 2, and Fab 5 have chosen to use low water consumption process machines, divert process drainage pipes, establish various process water recovery systems, and continually promote water conservation measures to reduce tap water use.

In 2024, the average process waterrecovery rate Note of VIS Fab 1 reached 85.4%, Fab 2 reached 85.2%, and Fab 5 reached 85.8%, all exceeding the standard set by the Hsinchu Science Park. Although VIS Fab 3 is located in Taoyuan, which falls outside the jurisdiction of the Hsinchu Science Park, it still targeted a process water recovery rate of 77.0% and achieved 77.1% in 2024. The process recovery rate for the Singapore fab reached 70.2%.

Note: The process water recovery rate is calculated based on the water balance diagram of each plant, and therefore has not been converted to the overall company process recovery rate.

The process water recycling volume of the VIS has been gradually increasing. VIS acquired Fab 3 in 2015, VS1 in 2020, and Fab 5 in 2022. It has successfully implemented process water recycling projects. From 2015 to 2024, the accumulated process water recycling volume of VIS has exceeded 92.48 million metric tons per year. In 2024, the amount of process water recovery was 12.28 million metric tons per year.

	2021	2022	2023	2024
Fab 1 Average Process Water Recovery Rate (%)	87.1%	86.2%	85.9%	85.4%
Fab 1 Process Water Recovery Volume (Million metric tons)	2.78	2.89	2.74	2.80
Fab 2 Average Process Water Recovery Rate (%)	85.5%	85.5%	85.1%	85.2
Fab 2 Process Water Recovery Volume (Million metric tons)	3.66	3.59	3.41	3.63
Fab 3 Average Process Water Recovery Rate (%)	77.1%	77.1%	77.1%	77.1
Fab 3 Process Water Recovery Volume (Million metric tons)	2.08	2.47	2.58	2.82
Fab 5 Average Process Water Recovery Rate (%)	-	-	87.7	85.8
Fab 5 Process Water Recovery Volume (Million metric tons)	-	-	1.19	1.40
VS1 Average Process Water Recovery Rate (%)	60.9%	68.3%	70.2%	70.2
VS1 Process Water Recovery Volume (Million metric tons)	1.61	1.71	1.63	1.62
Total Process Water Recovery (Million metric tons/ Year)	**10.13**	**10.66**	**11.55**	**12.28**

Note: The calculation of the process water recovery rate for all VIS fab sites is based on the standard water balance diagram provided by the Science Park Administration.

With the integration of the VS1 and Fab 5, VIS has experienced changes in production capacity and process water recycling rates. The total water withdrawal over the four years from 2021 to 2024 was 6.84 million metric tons (2021), 7.11 million metric tons (2022), 7.74 million metric tons (2023), and 8.04 million metric tons (2024), respectively.respectively. Furthermore, VIS has implemented water-saving and water recycling measures, effectively reducing wastewater volume and decreasing wastewater emissions per unit wafer area.

4.2.3 Water Resources Management Projects

VIS focuses on the design, research and development, manufacturing, and sales of integrated circuits (ICs). To maintain sustainable business practices and to fulfill our responsibilities as a good corporate citizen, VIS fully participates in the operation of its energy resource management system based on compliance with laws and regulations, energy conservation, carbon reduction, green production, and reduction of impact on energy and water resources, to achieve the goals of complying with laws and regulations, meeting customers' requirements, and enhancing the efficiency of the use of energy and resources. To achieve these goals , our company commits to continuously carrying out and improving the following initiatives:

Comply with Water Resources-related Regulations and Requirements

Comply with water resources-related laws and regulations and other requirements;

Effective Use of Water Resources

Treasuring and properly utilizing water and other resources;

Implementation of Goal-based Management

Set up water resources performance metrics, and manage them in the PDCA model.

Continuous Performance Improvement

Regularly evaluate the efficiency review of water resources use, review water conservation opportunities, and continuously improve water resources usage efficiency;

Support Green Procurement

Support equipment or products with water-saving design effects;

Promote Internal and External Communication

Establish internal and external communication channels to facilitate information transmission;

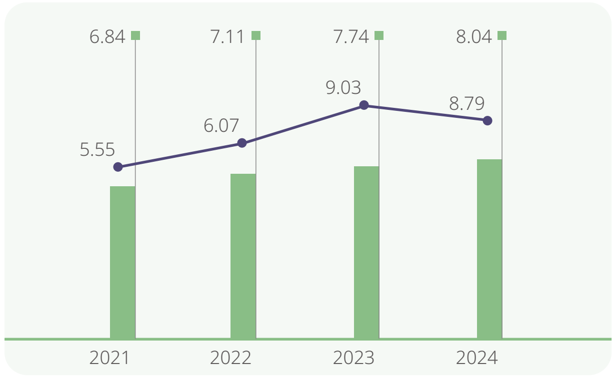
Provide proper resources for achieving objectives and targets

Strive for water resource sustainability

VIS water resource management projects are detailed in the following table, with an established goal of reducing the cumulative water conservation rate by an additional 13.5% in 2025 compared to 2015.

Type	Water Conservation Measures	Project Execution Year
Shared Equipment Water Conservation	The backwash of WWTs sand filter has been changed to ROR concentrated water to reduce raw water consumption	2020
	West Side MAU Water Discharge Recovery and Reuse	2020
	ROR Recovery Ratio Adjustment	2021
	VS1 LHF Water Discharge Recycling and Reuse	2023
	DLA Recycled Water Recycling Time Extension	2024
	Central Scrubber Water Replenishment Changed	2024
	Adjust RO Unit Recovery Rate	2025
Production Equipment Water Conservation	PB UF Backwash Water Recovery and Recycling	2020
	RO Recovery Ratio Adjustment	2021
	Water Saving for Change QDR Idle	2022
	Fab 3 PW UF Concentrated Water Recovery	2023
	SF Backwash Time Adjustment	2024
	4B4T Reclaimed Water Recovery	2025

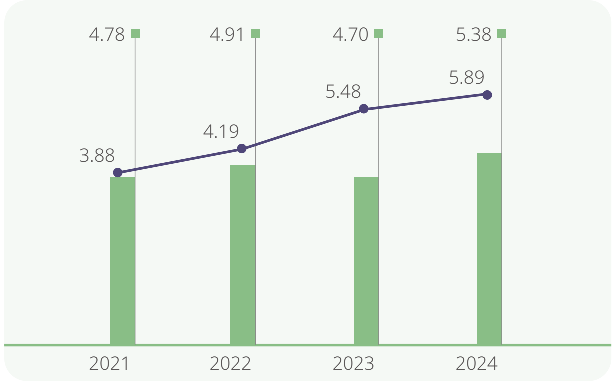
Water Consumption per Unit Wafer Area



■ Total Water Usage (Million metric tons/ Year)

● Water Usage per Wafer Area (Liters/ cm^2)

Wastewater Discharge per Wafer Area



■ Total Wastewater Discharge (Million metric tons/ Year)

● Wastewater Discharge per Unit Wafer Area (Liters/ cm^2)

In terms of water pollution prevention, VIS employs strategies such as reducing the amount of pollutants used in the production process, adopting high-efficiency equipment for water recovery and treatment of water pollutants, and ensuring that discharge water quality is better than or in compliance with government regulations. VIS also continues to reduce the concentrations of Tetramethylammonium Hydroxide (TMAH) and Ammonia Nitrogen (NH3-N) in the effluent, thereby minimizing the harm to receiving water bodies.

Each VIS fab is equipped with continuous emission monitoring systems (CEMS) at the discharge points of wastewater treatment facilities to monitor and record changes in water quality and volume. To prevent groundwater contamination from potential tank ruptures at wastewater treatment plants, the fabs in Taiwan conduct annual groundwater sampling and triennial soil sampling within the fab areas to ensure that the wastewater discharge, surrounding groundwater, and soil meet monitoring standards. In compliance with government regulations, the fabs in Singapore recycle wastewater, eliminating the need for effluent and soil testing.

The water quality analysis results of the wastewater discharge are shown in the table below, demonstrating that each fab has good stability in their wastewater treatment plants.

Control Items	Region where the Fab is located		Control Standards	2021	2022	2023	2024
Suspended Solids' Concentration in Wastewater (mg/ L)	Within the Park	Fab 1/ Fab 2/ Fab 5	300	2.7-47.0	6.3-94.0	10.1-52.0	4.6-163.0
	Outside the Park	Fab 3	30	5.7-28.5	4.2-27.8	4.5-22.6	5.6-28.6
Wastewater Chemical Oxygen Demand (COD) Concentration (mg/ L)	Within the Park	Fab 1/ Fab 2/ Fab 5	500	30.3-152.0	19.0-113.0	29.3-118.0	22.3-108.0
	Outside the Park	Fab 3	100	14.4-63.6	14.0-62.0	9.8-59.0	11.5-61.0
TMAH Concentration in wastewater (mg/ L)	Within the Park	Fab 1/ Fab 2/ Fab 5	30	9.9-24.5	6.0-20.1	1.24-6.7	0.9-28.3
Ammonia Nitrogen concentration (mg/L)	Within the Park	Fab 1/ Fab 2/ Fab 5	50	15.4-36.1	9.8-28.3	12.7-19.2	5.3-24.3
	Outside the Park	Fab 3	30	6.2-29.6	9.2-22.5	3.6-16.3	5.8-16.5

Note 1: The data for Fabs 1, 2, and 5 is from the two ice a month water sampling tests conducted by the Science Park Administration; Fab 3 is located outside the Hsinchu Science Park, and its data comes from the self-sampling tests conducted by independent third-party laboratories.

Note 2: The Singapore fab complies with government regulations requiring wastewater recycling; therefore, no effluent discharge monitoring data is available.

Each wastewater treatment plant is equipped with a comprehensive backup system, including an emergency power supply, to ensure that the backup system can automatically take over in the event of partial equipment failure during operation. The operating status of wastewater treatment equipment at VIS is centrally monitored, with personnel maintaining strict 24-hour oversight. If the effluent quality shows anomalies or exceeds preset limit values, an alarm is immediately triggered, and effluent discharge is suspended until the anomalies are resolved and normal conditions are restored.

Type of Wastewater Discharge and Volume of Discharge

Unit: Million liters/ Year

	2021	2022	2023	2024
Surface Water	1,245	1,527	1,528	1,474
Groundwater	0	0	0	0
Seawater	0	0	0	0
Third Party's Water	3,532	3,385	3,175	3,911
Total Water Discharge	4,777	4,912	4,703	5,385
Degree of Treatment	Secondary treatment	Secondary treatment	Secondary treatment	Secondary treatment

Note: 1. The discharged wastewater is all freshwater (≤1,000 mg/L of total dissolved solids).
2. Secondary treatment is designed to remove components and substances that remain in the water, whether dissolved or suspended.

Total Water Consumption

Unit: Million liters/ Year

	2021	2022	2023	2024	2024 Goals	2025 Goals
Total Water Withdrawal	6,845	7,112	7,744	8,040	-	-
Total Water Discharge	4,777	4,912	4,703	5,385		
Total Water Consumption	2,068	2,200	3,041	2,655	2,945	2,793

Water Consumption

Unit: Million Liters

	2021	2022	2023	2024	2024 Goals	2025 Goals
(A) Water Withdrawn: Water supplied by water company (or from other water supplying institutions)	5,383	5,334	5,951	6,278	-	-
(B) Water withdrawal: Clean surface water (lakes, rivers)	1,372	1,778	1,793	1,762		
(C) Water Withdrawn: Clean Groundwater	90	0	0	0		
(D) Reusing water sources: Reclaimed water or water sources that are the same or higher in quality as tap water (only applicable to B and C)	0	0	0	0		
(E) Total Water Used from All Sources (A+B+C-D)	6,845	7,112	7,744	8,040	7,320	7,800
Data Coverage Scope (Percentage of the Denominator)	100%	100%	100%	100%	-	-

Trend Changes: In 2021, due to drought conditions, the fabs in Taiwan adjusted their water recovery rates, resulting in reduced pure water consumption. With the addition of Fab 3 and Fab 5 in 2023, water usage increased in 2024 due to the installation of new equipment and increased production capacity.

Goal Setting: The 2025 target for the fabs in Taiwan is estimated based on the linear trend line of the actual output from 2021 to 2024, incorporating the actual 2024 emissions for the fabs in Singapore, to formulate the VIS 2025 targets.

How to Achieve the Goals: Starting from the end of 2025, Fab 3 will collaborate with the Taoyuan City Government to implement a project that replaces tap water with recycled RO water (reclaimed from domestic wastewater treatment), reducing reliance on tap water and mitigating the impact on production during dry seasons.

Ultra-pure Water

Unit: Million Liters

	2021	2022	2023	2024	2024 Goals	2025 Goals
Ultra-pure Water Consumption	9,072	9,402	9,875	10,688	8,935	10,159
Data Coverage Scope (Percentage of the Denominator)	100%	100%	100%	100%	-	-

Trend Changes: In 2021, due to drought conditions, the Taiwan fab adjusted its water recycling ratio, resulting in reduced ultrapure water consumption. In 2023, Fab 3 and Fab 5 were brought online. By 2024, water consumption increased due to the installation of new equipment and expanded production capacity.

Goal Setting: Although the production capacity in 2025 is estimated to be lower, the goal of pure water consumption in 2025 was set because of the need to maintain the pure water consumption of the machine.

How to Achieve the Goals: Continue optimizing the operating conditions of the pure water system to achieve the goals.

4.3 Waste Management

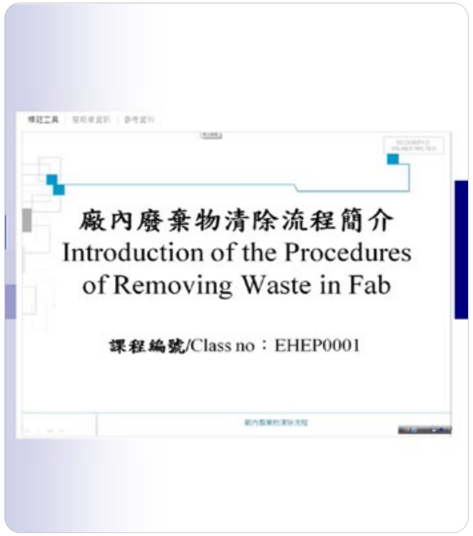
Life Cycle of Substances/ Resources and Management Practices

The VIS waste management philosophy has transitioned from traditional cleaning and disposal to integrated resource management. Professional technical personnel with expertise in waste management have been appointed, and in alignment with ISO 14001 standards, waste treatment control procedures have been established, and employee education and training programs are actively promoted to ensure that all staff can implement the relevant regulations at all stages of waste reduction, sorting, collection, storage, removal and treatment.

In terms of the sustainable utilization of resources, the Company takes the reduction of chemicals at the source as the primary principle and introduces the concept of zero-waste management, continuously evaluating chemical recycling channels and end-of-pipe waste reduction technologies to reduce the generation of back-end wastes. Recycling of waste is the secondary strategy, while incineration and sanitary landfill are the last resort.

In order to properly manage the waste generated by our company, the internal management has improved from the initial legal and proper cleaning and treatment to further focus on waste reduction at source and waste recycling. The review method for waste management is based on the ISO 14001 PDCA management process. Through the results of the Environmental Considerations identification, colleagues propose opportunities for improvement, such as waste source reduction, and review the performance of the improvement. By reducing the amount of waste used at the source, the output of waste at the back end can be reduced. For example, waste solvent generation can be reduced through process parameter optimization, and machine maintenance can be improved to extend the service life of parts, thereby reducing waste generation. In terms of process

Liquid waste (such as waste hydrofluoric acid) is managed with containment dikes to prevent leakage.



VIS has planned employee education and training courses related to waste management.

improvement, the Company has evaluated and tested replacing NMP (N-Methyl-2-Pyrrolidone) with carbonated water to reduce waste solvent emissions. In addition, it has also cooperated with chemical manufacturers to assess the possibility of applying to the Industrial Development Administration of the Ministry of Economic Affairs for the recycling of waste acid into industrial-grade raw materials for reuse, so as to minimize the waste of resources.

Waste Reduction and Reuse

Waste acids, solvents, and sludge are the most common types of waste generated by VIS. A majority of these wastes are treated physically and thermally and then converted into technical-grade raw materials, cement, road bricks, or other mixing materials. For containers that cannot be recycled, they are cleaned by qualified manufacturers and reused. Metals with a certain value, such as waste hardware, white iron, and aluminum, are handed over to manufacturers for recycling. In addition, although the Company produces a small number of nickel-cadmium batteries each year, it still follows the spirit of the Basel Convention and ships them by sea to advanced countries for recycling and treatment. Due to low output, there was no overseas transporting in 2024.

Refurbished Computer and Digital Training Program

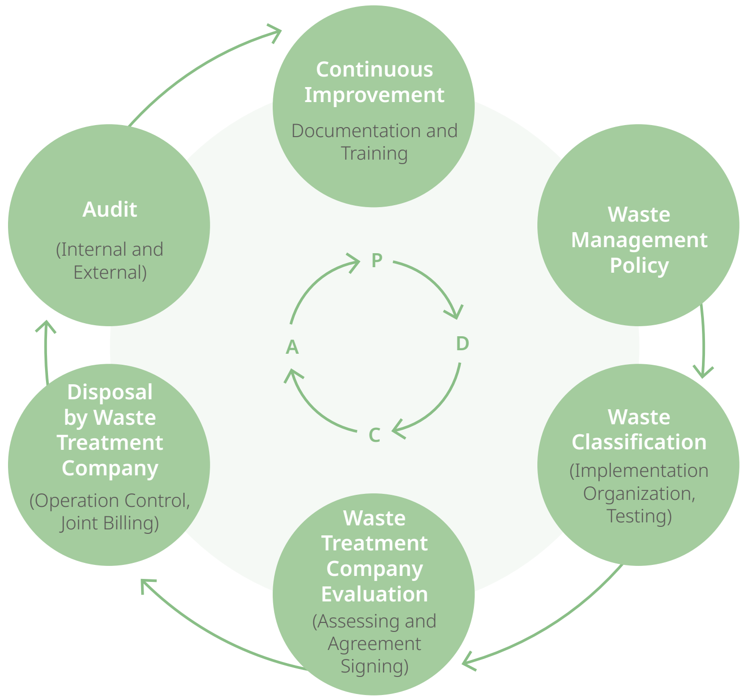
In terms of the disposal of end-of-life computers, VIS has been cooperating with ASUS since 2009 to promote the "Refurbished Computer and Digital Training Program" Project, which combines environmental protection and social welfare. Recycled information products are refurbished into refurbished computers to be donated to underprivileged organizations, so as to eliminate the digital gap in society, and at the same time, to promote the reuse of resources. VIS has donated a total of 9,645 electronic products such as computers and screens to date. VIS will continue to monitor changes in international laws and regulations and customer requirements, and plan strategies in advance to synchronize environmental protection and regulatory compliance.

Waste Treatment Company Management

VIS plans an annual audit program for waste manufacturers every year, and in 2024, it will complete a total of 27 proactive audits of waste treatment manufacturers. The scope of the audits will cover industrial safety and environmental protection, waste-related certificates, and on-site operations, and will further track the flow of products and waste to ensure that the sales of recycled products and the flow of waste treatment are all legal channels. In addition, the Company also works with its high-tech industry partners to formulate auditing standards for the assessment of waste manufacturers, utilizing the power of the industry to enhance the quality of audits and further select more reliable manufacturers.

The audits on waste treatment companies of VIS cover four major areas, including safety and health management performance, environmental management performance (e.g., the requirements of waste disposal, treatment and recycling facilities, air pollution control, and water pollution prevention and control), loss control management performance, and on-site inspection. According to the audit results for 2024, a total of 28 deficiencies were identified for improvement, and all of which have been fully addressed.

VIS Waste Management Procedures



Types of Waste Treatment Companies	Number	Specific Deficiency	Improvement Completion Date
Waste Solvents	1	Most of the factory's first aid kit medication has expired; replacement is recommended.	4/24/2024
	2	The location of the Emergency Response Center needs to be changed to the Central Control Room in order to have 24-hour on-duty staff to respond to emergencies.	4/24/2024
	3	In the cylinder storage area, some cylinders are not labeled with hazard labels and icons.	5/23/2024
	4	The noise level in the process area was 80.6 dBA, and a hearing protection program was recommended.	3/25/2024
	5	The scraping operation was not completed, the lid of the container was not closed, and the protective apron was not returned to its original position, resulting in the escape of odor.	3/25/2024
	6	There is no SDS labeling for the production process area.	3/25/2024
Waste Acid Solution	7	The relevant operators who perform tank entry operations (hypoxiaoperations) in the factory do not have at least three hours of on-the-job training records every three years.	7/26/2024
	8	A warning label should be added to the ladder of the E012 ammonia storage tank.	3/28/2024
	9	A warning label should be added to the ladder of the sulfuric acid storage tank.	12/2/2024
	10	Hazard labeling on the tank is blurred.	12/2/2024
	11	Online sensor recommends marking the permitted range on the header so that the on-site employees can also understand the current water quality.	5/4/2024
	12	Paint and blending solutions are not properly stored and are placed directly in the process area, increasing the amount of fire load.	5/4/2024
	13	The materials on that day blocked the liquid level controller. The liquid level controller on the left side was suspected to be out of service. It is recommended to increase the labeling of out-of-service equipment to avoid misuse by personnel.	5/4/2024

Types of Waste Treatment Companies	Number	Specific Deficiency	Improvement Completion Date
Waste Acid Solution	14	Water was accumulated at the flange of the sulfuric acid storage tank. It is necessary to confirm whether there is a leakage at the flange.	5/23/2024
	15	Several cans of unknown liquid were placed under the cleaning tank. It is recommended to remove them to prevent misuse by personnel.	5/24/2024
	16	The checkpoint for the emergency shower and eyewash stationwas only performed in February, and the water supply valve was not turned on.	5/24/2024
Sludge	17	The factory uses harmful substances such as liquid alkali and heavy oil. Please prepare a list of hazardous chemicals following the format of Table 5 of the regulations.	6/14/2024
	18	D-0899 Collector bags were removed on November 29, 2023, for a total of 2.87 metric tons and on December 28, 2022, for a total of 1.96 metric tons, both exceeding the maximum monthly output (1.08 metric tons) of the industrial waste disposal pla.	6/14/2024
	19	A warning label should be added to the ladders used for system maintenance.	7/15/2024
	20	A warning label should be added to the ladder in the process area.	11/4/2024
	21	Goggles are easily contaminated when placed outdoors, so it is recommended that they be placed in a cabinet for unified management.	6/18/2024
	22	Most of the factory's first aid kit medication has expired, replacing is recommended.	6/18/2024
	23	The used oil barrels are not removed, which increases the fire load.	6/18/2024
	24	During the break, the masks are hung on the rear-view mirror of the forklift. It is recommended to place them in the cabinet to avoid contamination.	9/12/2024
	25	The forklift is not equipped with a safety belt.	9/12/2024
	26	Maintenance staff of the dryer was wearing only a normal cap and forgot to wear a helmet on that day.	8/9/2024
	27	The labeling of the product storage area was easily blocked. It is recommended to reposition the labeling.	8/9/2024
Waste Empty Buckets	28	The fire extinguisher was blocked by excessive debris.	9/9/2024

Waste Management Target

VIS actively promotes the recycling of business waste and has set a target of a 93% recycling rate for business waste by 2024, and is continuously tracking the achievement of this target through the Safety, Health, and Environment Committee. Currently, all of the Company's wastes are handled by qualified waste removal, treatment, or recycling organizations to ensure that the wastes are handled properly and in compliance with environmental regulations.

In addition to enhancing the effectiveness of audits of waste manufacturers, VIS signed the “High-tech Industry Waste Cleanup and Recycling Self-regulation Covenant” proposed by the Taiwan Semiconductor Industry Association in 2017 and participated in the association's joint auditing activities to minimize the risk of violation of the law by waste cleanup manufacturers.

The waste recycling rate is determined mainly by identifying the waste treatment method adopted when looking for a waste treatment company to work with. The methods of waste burial or incineration which waste cannot be recycled are not included in the recycling statistics. Waste generated is shown in the table below:

Waste Generation

Unit: Metric tons/ year

Type	2021	2022	2023	2024
General Industrial Waste	4,018	4,237	3,542	4,102
Hazardous Industrial Waste	4,891	5,067	4,848	5,493
Total Waste Generated	8,909	9,304	8,390	9,595
Industrial Waste Recycling Volume	8,439	8,834	7,980	9,237
Industrial Waste Incineration Volume	462	462	404	352
Industrial Waste Burial Volume	8	8	6	6
Industrial Waste Recycling Rate[Note 1]	94.73%	94.95%	95.12%	96.27%
Industrial Waste Incineration Rate[Note 2]	5.18%	4.97%	4.81%	3.67%
Industrial Waste Burial Rate[Note 3]	0.09%	0.08%	0.07%	0.06%

Note 1: The Industrial Waste Reuse Rate (%) = Industrial Waste Reuse Volume (Metric Tons/Year) ÷ Total Waste Output (Metric Tons/Year) x 100.

Note 2: The Incineration Rate (%) of Industrial Waste = Annual Incineration Volume of Industrial Waste (Metric Tons/Year) ÷ Total Waste Generation (Metric Tons/Year) x 100.

Note 3: The Industrial Waste Landfill Rate (%) = Industrial Waste Landfill Volume (Metric Tons/Year) ÷ Total Waste Generated (Metric Tons/Year) x 100.

Solid General Industrial Waste Statistics

Unit: Metric tons

	2021	2022	2023	2024	2024 Goals
Total Waste Production for Recovery/Recycling	3,567.06	3,796.12	3,137.92	3,782.32	-
Total Waste Disposed	444.78	440.55	377.08	319.6	495
Total Waste Buried	1.90	1.76	1.11	6.06	-
Total Waste Generation for Incineration (Thermal Energy Recovery)	0	0	0	0	-
Total Incineration Generation Type (without Heat Recovery) Waste	442.88	438.79	375.97	313.54	-
Waste Disposed with Other Methods	0	0	0	0	-
Waste Disposed with Unknown Methods	0	0	0	0	-
Data Coverage	100%	100%	100%	100%	-

Statistics for Hazardous Industrial Waste

Unit: Metric tons

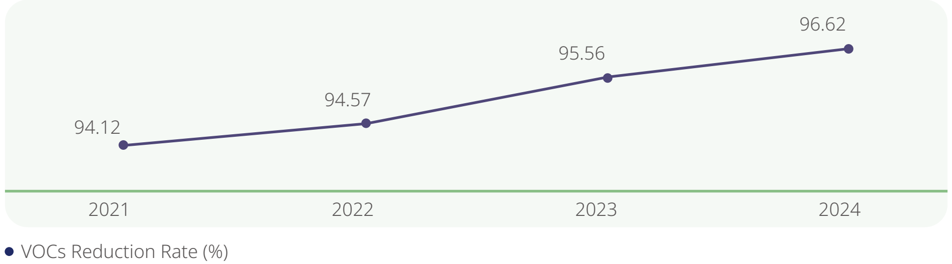
	2021	2022	2023	2024	2024 Goals
Total Waste Production for Recovery/Recycling	4,583.67	4,823.02	4,495.34	5,128.92	-
Total Waste Disposed	307.9	244.27	352.79	364.46	369
Total Waste Buried	6.32	5.70	4.77	0	-
Total Waste Generation for Incineration (Thermal Energy Recovery)	282.94	214.52	319.14	325.91	-
Total Incineration Generation Type (without Heat Recovery) Waste	18.64	24.05	28.88	38.55	-
Waste Disposed with Other Methods	0	0	0	0	-
Waste Disposed with Unknown Methods	0	0	0	0	-
Data Coverage	100%	100%	100%	100%	-

4.4 Air Pollution Control

The air pollution generated by the semiconductor manufacturing industry is mainly composed of volatile organic compound (VOCs) and acid-base gases. VIS adopts the best practicable technology of source separation and multi-stage treatment in pollution prevention, and utilizes high-efficiency preventive equipment to effectively treat the pollutants in the exhaust so that the pollutant content of the emissions into the atmosphere meets or is lower than the government regulations. Based on actual test results, the air pollutant concentrations and emissions of VIS are well below the emission standards approved by the Ministry of Environment.

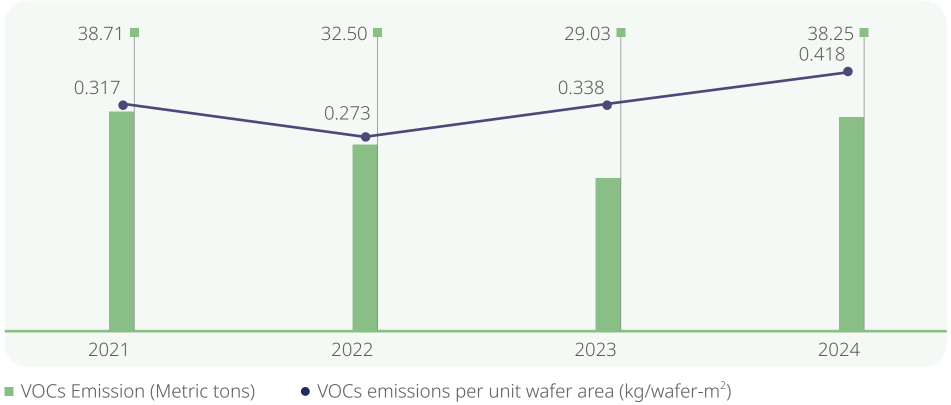
VIS has installed proper backup systems, including emergency power supply, in all its Fabs ensuring even if partial equipment failure occurs during operations, operations can still be automatically replaced by a backup system, reducing abnormal emission risks. Volatile organic waste gas systems at all VIS Taiwan fabs are equipped with zeolite rotor combined with incineration equipment. In 2024, Fab 5 added a new volatile organic compound treatment and prevention equipment, which is now officially in operation, with a removal rate of more than 90%, providing more effective control and exceeding regulatory requirements. In 2024, achieved an average removal rate of 96.62% for volatile organic compounds in Taiwan plants, surpassing the environmental impact assessment's best practicable control technology of 92%. Based on the emission coefficients of volatile organic compounds specified by the Ministry of Environment for the semiconductor industry, it is estimated that the emission of volatile organic compounds from VIS' fabs in Taiwan and Singapore will be 38.25 metric tons of volatile organic compounds in 2024.

VIS mainly uses natural gas as fuel, and only uses a small amount of diesel when the generator is running. According to the emission coefficients for air pollutants such as Nitrogen Oxides (NOx) and Sulfur Oxides (SOx) set by the Environmental Protection Administration of Taiwan's Ministry of Environment for the semiconductor industry, VIS Taiwan fabs emitted 22.4 metric tons of Nitrogen Oxides (NOx) and 10.21 metric tons of Sulfur Oxides (SOx) in 2024.



Note: The target for the reduction rate of VOC emissions is maintained at above 92%, exceeding the Environmental Impact Assessment (EIA) requirement.

Statistics of VOCs Emission



Unit: Metric tons

Taiwan and Singapore Fabs	2021	2022	2023	2024	2024 Goals
VOCs Emissions	38.71	32.5	29.03	38.25	38.3

Unit: Metric tons

Taiwan Fabs	2021	2022	2023	2024
Nitrogen Oxides (NOx)	18.46	18.18	20.86	22.4
Sulfur Oxides (SOx)	9.79	9.66	10.95	10.21

4.5 Environmental Protection

From 2021 to 2024, VIS has not suffered any loss due to environmental pollution, nor has it received any fines exceeding US$10,000 related to environmental or ecological issues. The Company is committed to promoting environmental protection measures, implementing routine maintenance and optimizing the management of existing equipment, as well as improving prevention and control equipment such as wastewater and exhaust gas treatment, seeking better ways of reusing and treating wastes, promoting a circular economy, and lowering the burden on the environment through the effective use and recycling of resources.

The total environmental investment amount in 2024 was approximately NT$346 million, with expenditure categories detailed in the table at right. The environmental investment benefits amounted to NT$36.69 million.

Amount of Environmental Protection Expenditures from 2021 to 2024 (Taiwan Fabs)

Unit: NT$ hundred million

Classification	2021		2022		2023		2024	
	Operating Expenses	Capital Expenditure	Operating Expenses	Capital Expenditure	Operating Expenses	Capital Expenditure	Operating Expenses	Capital Expenditure
Subtotal	2.48	2.69	1.96	5.47	1.87	1.93	1.93	1.53
Total Amount	**5.17**		**7.43**		**3.80**		**3.46**	

Note 1: Operating expenses include environmental protection-related testing fees, equipment operation and maintenance fees, and personnel costs.

Note 2: Capital expenditures include environmental protection-related equipment installation costs.

Note 3: Fab 5 has been part of the Company since 2022.

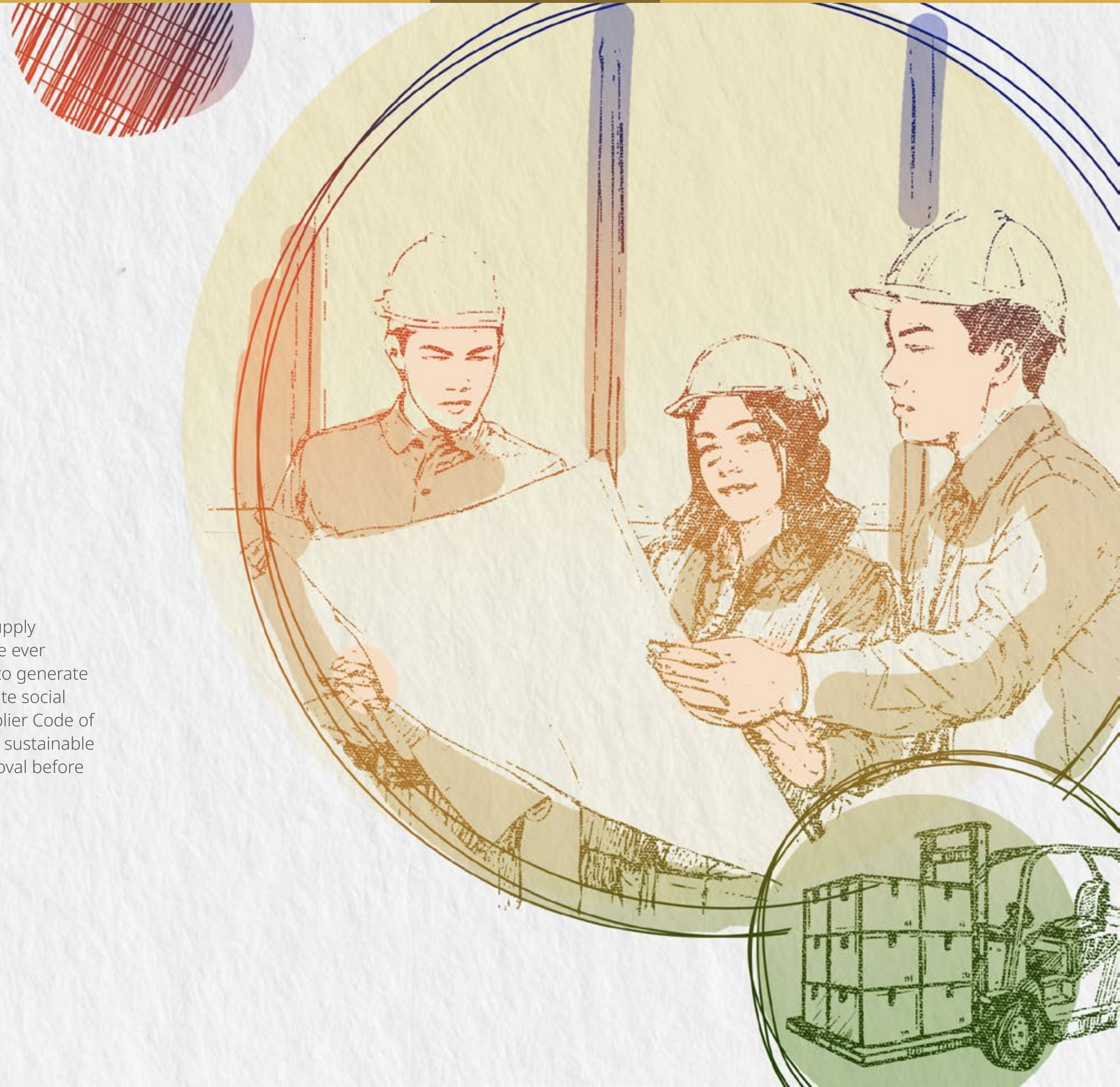
Benefits of Environmental Protection Investment from 2021 to 2024

Classification	Description	2021		2022		2023		2024	
		Environmental Benefits	Economic Benefits	Environmental Benefits	Economic Benefits	Environmental Benefits	Economic Benefits	Environmental Benefits	Economic Benefits
Cost Savings	Energy Saving	18,492 MWh	45.36 million	22,026 MWh	58.81 million	12,051 MWh	47.13 million	9,374 MWh	34.94 million
	Water Conservation Measures	60,809 metric tons	740,000	532,357 metric tons	16.73 million	410,954 metric tons	5.01 million	136,485 metric tons	1.75 million

Classification of Environmental Protection Expenditure Costs in 2024

Unit: NT$ hundred million

Classification of Environmental Expenditure Items	Description	Operating Expenses	Capital Expenditure
1.Direct Costs of Reducing Environmental Impacts			
(1) Pollution prevention costs	Including expenses for air pollution control, water pollution control, and additional environmental pollution control.	1.169	1.162
(2) Saving resources consumption costs	The costs incurred for conserving resources (for example: water resources)	-	0.354
(3) Industrial waste disposal and recycling	Costs for industrial waste disposal (including recycling, incineration, and landfill)	0.559	-
2. Interconnection costs for reducing environmental load (Environmental protection related management costs)	Including (1) environmental monitoring costs; (2) costs relating to environmental management system certification; (3) expenditures on employee environmental education; (4) green procurement costs; (5) costs of dedicated environmental personnel.	0.200	0.016
3. Additional Environmental Protection-Related Costs	Including (1) costs for soil remediation and environmental restoration; (2) expenses for environmental pollution insurance and government levied environmental fees; (3) compensation for environmental issues, fines, and litigation costs.	-	-
Total		**1.93**	**1.53**



Responsible Supply Chain

VIS has been dedicated to the responsible procurement towards the sustainable supply chain management. And strengthening of supply chain resilience in response to the ever changing international political and economic situation. The further expectation is to generate positive impact on the supply chain of global semiconductor industry, fulfill corporate social responsibility, and create a supply chain of sustainable development. The VIS' "Supplier Code of Conduct" has been approved by the Chairman. The commitment, mechanisms, and sustainable supply chain issues are reported during regular quarterly board meetings for approval before implementation.

100%

100% of products do not contain any conflict minerals

100%

100% of suppliers have signed the "VIS Corporate Sustainability Policy" and "VIS Supplier Code of Conduct"

5.1 Supply Chain Governance Structure

To enhance overall supply chain resilience and effectively promote sustainable management, VIS Board of Directors serves as the highest decision-making body for both sustainability governance and supply chain management. The Board is responsible for reviewing, supervising, and guiding the Company's ESG direction, including the approval of key policies and decisions related to supply chain operations. Under the Board, a functional committee — the Sustainable Development Committee — composed of board members, oversees the development and implementation of sustainability policies, objectives, and strategies, and assesses the effectiveness of supply chain sustainability initiatives.

The executive management team, including the Chairman and President, is responsible for confirming the Company's sustainability governance framework and conducts quarterly reviews of supply chain sustainability practices. Under the management team, the Corporate Sustainability Committee — comprising representatives from various departments including supply chain management — plans, implements, and tracks sustainability initiatives. The Committee regularly reports progress to the executive team, with consolidated results submitted to the Board on a semiannual basis.

Through this governance structure, VIS ensures that supply chain strategies remain aligned with the Company's overarching sustainability objectives and continuously evolve in response to emerging challenges.

Supply Chain Governance Structure

5.2 Sustainable Supply Chain Management Strategies

Due to the multifaceted nature of sustainability issues covered by supply chain management, the Board of Directors of VIS continuously supervises and guides the strategies and direction of sustainable supply chain management to ensure that the promotion of a sustainable supply chain aligns with VIS' overall ESG strategy.

Sustainable Supply Chain Management Strategies

Climate Actions	Care about supply chain emission and climate change issues, and establish a resilient supply chain
Value Consideration	Continuously strengthen the supply chain with value and competitiveness
Strategic Cooperation	Integrate suppliers' seek multiple supply resources and capabilities to jointly enhance the supply chain resilience
Diversified Supply	Seek multiple supply sources for the same material to ensure supply chain stability
Quality First	Acquire the products and services of the optimal quality provided by suppliers
Risk Management	Enhance the suppliers' sustainability performance in the environmental, social, and economic aspects
Responsible Mines	Ensure that the product sources provided by the supplier are reliable conflict-free minerals
Environmentally Friendly	Implementation of green procurement while taking care of both business growth and environmental responsibilities

5.2.1 Supply Chain Composition

The semiconductor manufacturing service industry includes a diverse and multifaceted supply chain. When dealing with numerous suppliers, VIS must consider the characteristics of various types of suppliers to establish an effective management model that aligns with the strategies of sustainable supply chain management. Therefore, we categorize suppliers based on the products and services they provide into six major categories: machinery & equipment, equipment parts, raw materials (including 8-inch wafers, process chemicals, gases, photoresists, and sputtering targets), construction engineering and professional consulting services, information and office supplies, and outsourcing services.

As of the end of 2024, VIS has established cooperative relationships with a total of 1,176 suppliers. In addition to categorizing suppliers, we also implement a tiered management approach. By classifying suppliers based on the degree of collaboration and scale, we provide the most appropriate management requirements and standards. This approach ensures that suppliers of various sizes and categories can collectively support VIS' commitment to ESG.

Overview of Supplier Categories in 2024

	Number of Suppliers	Percentage of Procurement Amount (%)
Machinery & Equipment	98	18.0
Equipment Parts	397	10.8
Raw Material	203	54.5
Construction and Professional Consulting Services	238	7.7
Information and Office Supplies	36	1.5
Outsourcing Services	204	7.5
Total	1,176	100

Distribution of Tier 1 Suppliers in 2024

	Number of Suppliers	Percentage of Procurement Amount (%)
Taiwan	477	89.36
Mainland China	4	1.37
Other Asia-Pacific Regions	2	1.60
Europe	3	0.16
United States	2	0.07
Total	488	92.56

Overview of Supplier Classification in 2024

	Number of Suppliers	Percentage of Procurement Amount (%)
Tier 1 Suppliers[Note1]	488	92.56
Tier 1 Significant Suppliers[Note2]	111	73.19
High Sustainability Risk Suppliers[Note3]	4	-
Non-Tier 1 Significant Suppliers[Note4]	64	-
Significant Suppliers (Tier 1 and non-Tier 1)	175	-

Note 1: Tier 1 Suppliers: Suppliers with non-one-time transactions and an annual transaction amount of NT$2 million or more.

Note 2: Tier 1 Significant Suppliers: Including Tier 1 suppliers that account for the top 85% of procurement amounts, as well as suppliers that are the sole source of supply and irreplaceable.

Note 3: High Sustainability Risk Suppliers: Among Tier 1 suppliers and non-Tier 1 suppliers, those identified as having high sustainability risks through detection and identification.

Note 4: Non-Tier 1 Significant Suppliers: Significant suppliers of Tier 1 Significant Suppliers or higher-level significant suppliers.

As VIS continues to expand its global presence, it is also promoting the localization of its supply chain. This approach not only enhances local economic development and reduces carbon emissions from transportation, but also shortens product lead times — helping to build an efficient and low-carbon supply chain.

Local Procurement

	Local Procurement Amount Ratio (%)			
	2021	2022	2023	2024
Taiwan	69	78	88	92
Singapore	76	78	81	98
	Local Procurement Supplier Number Ratio (%)			
Taiwan	97	96	97	98
Singapore	82	82	83	76

Note 1: "Local procurement" refers to suppliers who conduct direct transactions with VIS and whose business registration location is in the same country/region as VIS' manufacturing sites. For instance, if a supplier is registered in Taiwan or Singapore, purchases made by VIS manufacturing sites located in Taiwan or Singapore, respectively, are considered local procurement.

Note 2: VIS' manufacturing sites are regarded as key operational locations. As of 2024, VIS operates four manufacturing sites in Taiwan and one in Singapore.

Note 3: Due to significant equipment purchases in 2021 and 2022 from non-Taiwanese suppliers, the local procurement ratio decreased during those years.

5.3 Promotion of Sustainable Supply Chain Cycle

To ensure that all suppliers clearly understand VIS' commitment to and expectations for a sustainable supply chain — and in line with the Board of Directors' directives on sustainable supply chain management — VIS has established a comprehensive sustainability management framework. This framework encompasses guidelines for sustainable supply chains, identification of sustainability risks, supply chain sustainability audits, improvement support, and capability-building initiatives. Additionally, sustainability-related training for procurement staff has been prioritized, reflecting VIS' belief that integrating sustainability requirements into day-to-day procurement practices is essential to truly achieving a sustainable supply chain.

To further encourage supplier participation in sustainability initiatives, VIS is also developing a supplier incentive and elimination mechanism. This mechanism facilitates transparent communication with suppliers regarding VIS' sustainability expectations, provides necessary guidance or resources, offers appropriate incentives to suppliers demonstrating strong sustainability performance, and outlines exit strategies for those unable to meet VIS' minimum sustainability mechanism.

Sustainable Supply Chain Promotion Cycle

Sustainability Rooted Training Program for Procurement Personnel

Supplier Sustainability Standards

Supplier Code of Conduct: This document includes guidelines on labor, health and safety, environment, business ethics, and management mechanisms. All suppliers are required to sign it.

Corporate Sustainability Policy: All suppliers must sign.

Supplier Sustainability Risk Identification

Proactive Investigation: Based on environmental, social, governance,business (business relevance), national, industrial, and commodity-specific aspects, assessments are conducted for all suppliers to identify potential risks.

Risk Assessment: Conduct supplier risk assessments using a sustainability risk assessment questionnaire to identify suppliers with higher sustainability risks.

Supplier Sustainability Audit

Desk Assessments: Through the sustainability risk assessment questionnaire survey, simultaneously collect relevant supporting documents to conduct a supplier documentation audit.

On-Site Audits: Utilize either second-party or third-party audits, or refer to industry standards to conduct on-site audits and verify risk conditions.

Improvement and Capacity Building

Audit Deficiency Improvement Measures: After the audit, suppliers are required to address deficiencies. We provide follow-up guidance to assist suppliers in completing the improvements.

Elimination Mechanism: Suppliers must complete the audit deficiency improvements within three months. For major improvement activities, an extension may be granted once with VIS' approval. Suppliers failing to pass the assessment within the specified period will have their qualified supplier status revoked.

Capacity Building: Investigate major carbon-emitting suppliers and conduct outreach and guidance.

Supplier Reward Measures Supplier Elimination Mechanisms

5.3.1 Sustainability Rooted Training Program for Procurement Personnel

Only when procurement personnel clearly understand the vital role they play in sustainable supply chain strategy during daily operations can the implementation of a sustainable supply chain be truly achieved. In 2024, VIS organized sustainability education and training courses for procurement personnel, totaling 108 training hours. Through these training programs, procurement staff not only gained an understanding of the importance of sustainable development, but also integrated it into their daily procurement workflows — continually strengthening the connection between supplier management and sustainability management.

2024 Sustainability Training Courses for Procurement Personnel

	Target Audience	Personnel	Hours per Person	Total Training Hours
ESG Sustainable Management Education and Training	Procurement Staff	24	2	48
2024 Supplier ESG Assessment Project (Execution of Questionnaires/ Audits)	Procurement Staff	24	2.5	60
Total				**108**

5.3.2 Supplier Sustainability Standards

To clearly communicate VIS' requirements and standards for a sustainable supply chain, the Company has established the "Supplier Code of Conduct" and the "Corporate Sustainability Policy." Suppliers are required to sign these documents to ensure alignment with VIS' ESG principles.

Supplier Code of Conduct

The VIS "Supplier Code of Conduct" is primarily based on the Responsible Business Alliance (RBA) Code of Conduct, the UN Guiding Principles on Business and Human Rights, and internationally recognized human rights regulations, including the ILO Declaration on Fundamental Principles and Rights at Work and the UN Universal Declaration of Human Rights. It outlines standards across key areas such as labor, environmental responsibility, business ethics, health and safety, and management systems. VIS mandates all suppliers to comply with this code and actively monitors their compliance. By the end of 2024, all 1,176 suppliers who conducted transactions with VIS during the year had signed the code, achieving a 100% signing rate.

Key Points of the "VIS Supplier Code of Conduct"

A. Labor

- Freedom to Choose Occupation
- Young Workers
- Working Hours
- Wages and Benefits
- Humane Treatment
- Non-Discrimination
- Freedom of Association

B. Health and Safety

- Occupational Safety
- Emergency Preparedness
- Occupational Injuries and Illnesses
- Industrial Hygiene
- Physical Work
- Machine Guarding
- Public Health and Accommodations
- Health and Safety Communication

C. Environment

- Environmental Permits and Reporting
- Pollution Prevention and Resource Conservation
- Hazardous Substances
- Solid Waste
- Air Emissions
- Material Control
- Water Resource Management
- Energy Consumption and Greenhouse Gas Emissions
- Biodiversity, Deforestation, or Land Conservation

D. Ethical Standards

- Integrity in Business Operations
- No Improper Advantage
- Information Disclosure
- Intellectual Property Rights
- Fair Trade, Advertising, and Competition
- Protection of Identity and Prevention of Retaliation
- Responsible Mineral Procurement
- Privacy
- Avoidance of Conflicts of Interest
- Compliance with Import and Export Regulations
- Compliance with Confidentiality Obligations
- Supplier Business Contact Points

E. Management Systems

- Company Commitments
- Management Responsibilities and Accountabilities
- Legal and Customer Requirements
- Risk Assessment and Risk Management
- Improvement Objectives
- Training
- Communication
- Employee Feedback, Participation, and Complaints
- Audits and Assessments
- Corrective Actions
- Documentation and Records
- Supplier Responsibilities

VIS Corporate Social Responsibility Policy

In addition to requiring suppliers to sign the "Supplier Code of Conduct," VIS also mandates that suppliers sign the "Corporate Sustainability Policy." This policy outlines expectations across five key areas: corporate governance, business ethics, employee rights, health and safety, and environmental protection. Through this collaborative approach, VIS and its suppliers are jointly committed to deepening sustainability values and realizing a shared vision of social well-being. By the end of 2024, a total of 1,176 suppliers had signed the policy, achieving a 100% signing rate.

5.3.3 Supplier Sustainability Risk Identification

VIS conducts reviews of both potential and existing suppliers, assessing not only their performance in environmental, social, and governance (ESG) aspects, but also evaluating business relevance, geographic location and country, industry, and product categories provided. This approach aims to identify suppliers with potential risks and to implement timely management measures to mitigate supply chain risks.

Sustainability Risk Assessment Aspects

Aspect	Content
Environment	• Examine whether there are potential environmental-related negative risks, such as the absence of an environmental management system, lack of carbon reduction measures, inefficiency in resource utilization, or improper waste disposal. • Verify if suppliers have any records of environmental law violations.
Society	• Examine whether there are potential social-related negative risks, such as not assessing supply chain human rights risks or the occurrence of workplace injuries. • Verify if suppliers have any records of violations related to safety, health, labor, or human rights.
Governance	• Examine whether there are potential governance-related negative risks, such as incidents of corruption or bribery, or failing to require suppliers to adhere to the Supplier Code of Conduct. • Verify if suppliers have any records of business disputes, financial report falsification, corporate fraud, corruption, unfair competition, or other legal violations.
Commercial (Business Relevance)	• Evaluate suppliers based on procurement amount, procurement volume, market share, substitutability, capacity, price, supply status, quality, and technical capability.
Country	• Assess geopolitical risks, conflicts, and risks associated with high-risk countries based on the supplier's location.
Industry	• Evaluate the potential negative impacts of different industries, such as labor conditions, energy consumption, resource intensity, emissions, or pollution, to identify specific risks of concern within the industry.
Commodities	• Evaluate the potential negative impacts of different products, such as supply chain conditions, labor conditions, land use and resource intensity, energy consumption, emissions, material toxicity, or pollution, to identify specific risks associated with the products.

Before becoming a qualified new supplier for VIS, candidates must not only pass the initial screening and verification processes but also undergo additional assessments. In accordance with the New Supplier/Material Assessment Method and the Third-Party Safety, Health, and Environmental Audit Management Method, VIS evaluates and selects potential new suppliers through investigations and on-site audits. To ensure compliance with VIS' green product policy, suppliers are further required to submit relevant test reports and safety data sheets. They must also sign various commitments and declarations — such as the Restricted and Hazardous Substances Warranty and the Conflict Minerals Declaration — to confirm their alignment with VIS' sustainability requirements on key issues.

5.3.4 Supplier Sustainability Audit

To effectively manage risks across different categories and tiers of suppliers, VIS employs a diversified range of audit methods to assess the extent of suppliers' implementation of sustainability practices. The outcomes of these audits help identify supply chain risks and enable VIS to provide targeted guidance and capacity-building initiatives. This approach enhances the overall resilience of the supply chain and strengthens its ability to respond to potential risks.

VIS conducts both written and various forms of on-site audits, including second-party audits, third-party audits, and audits based on industry standards. In 2024, VIS completed desk audits for 488 suppliers, while an additional 51 suppliers underwent other forms of audits — including on-site, remote, third-party, or industry-standard audits. Annual targets are established to ensure the effective execution of sustainability audits.

Execution of Sustainability Audits

<table>
<tr><th></th><th>Execution Method</th><th colspan="2">Audit Participant</th><th>Number of Auditees</th><th>Total Number of Companies</th><th>2024 Goals</th><th>2024 Results</th></tr>
<tr><td rowspan="3">Desk Audits</td><td rowspan="3">Written information is collected through the VIS Sustainability Risk SAQ or the RBA SAQ</td><td colspan="2">Tier 1 Suppliers</td><td>488</td><td rowspan="3">552[Note 1]</td><td rowspan="3">• Completed desk audits for 488 Tier 1 suppliers (including significant suppliers).</td><td rowspan="3">• Completed desk audits for 552 Tier 1 suppliers (including significant suppliers).</td></tr>
<tr><td colspan="2">Tier 1 Significant Suppliers</td><td>111</td></tr>
<tr><td colspan="2">Non-Tier 1 Significant Suppliers</td><td>64</td></tr>
<tr><td rowspan="4">On-site Audits — 2nd Party</td><td rowspan="4">Conducted by either VIS or consultants</td><td colspan="2">Tier 1 Significant Suppliers</td><td>32</td><td rowspan="4">39[Note 2]</td><td rowspan="4">• Conducted second-party audits for 32 Tier 1 significant suppliers.
• Completed on-site audits for all high sustainability risk suppliers.</td><td rowspan="7">• Conducted second-party audits for 38 significant suppliers.
• Completed on-site audits for all 7 high sustainability risk suppliers.
• Conducted third-party audit for 1 significant supplier.
• Conducted industry standard audits for 11 significant suppliers.</td></tr>
<tr><td rowspan="2">High Sustainability Risk Suppliers</td><td>Tier 1 Suppliers</td><td>1</td></tr>
<tr><td>Tier 1 Significant Suppliers</td><td>6</td></tr>
<tr><td colspan="2">Non-Tier 1 Significant Suppliers</td><td>6</td></tr>
<tr><td>On-site Audits — 3rd Party</td><td>Conducted by independent third-party</td><td colspan="2">Non-Tier 1 Significant Suppliers</td><td>1</td><td>1</td><td></td></tr>
<tr><td rowspan="2">On-site Audits — Industry Standard Audit</td><td rowspan="2">Conduct audits based on the RBA VAP standards</td><td colspan="2">Tier 1 Significant Suppliers</td><td>8</td><td rowspan="2">11</td><td rowspan="2"></td></tr>
<tr><td colspan="2">Non-Tier 1 Significant Suppliers</td><td>3</td></tr>
</table>

Note 1: "Tier 1 Significant Suppliers" are a subset of "Tier 1 Suppliers". Therefore, the total number of suppliers includes both Tier 1 suppliers (488) and non–Tier 1 significant suppliers (64).

Note 2: The "Tier 1 Significant Suppliers" listed under the category of "High Sustainability Risk Suppliers" are already included in the overall count of "Tier 1 Significant Suppliers" and are not double-counted.

Desk Audits

For Tier 1 suppliers, VIS distributes the Sustainability Risk SAQ (Self-assessment Questionnaire). Different versions of the SAQ are tailored to reflect the specific characteristics and risk profiles of various industries, addressing key areas of concern. Suppliers are required to submit supporting documentation for verification. Through this comprehensive risk assessment framework, VIS effectively manages and mitigates supply chain risks. In 2024, VIS completed desk audits for all 175 significant suppliers, achieving a 100% audit completion rate.

Based on the results of the Sustainability Risk SAQ, VIS classifies Tier 1 suppliers who score below 60 or fail to score on key questions as high sustainability risk suppliers. In 2024, a total of seven high sustainability risk suppliers were identified. For these suppliers, VIS conducted on-site audits, provided recommendations for addressing audit findings, and offered guidance throughout the improvement process. Improvement deadlines were also established to ensure that associated risks can be effectively controlled and mitigated.

Sustainability Risk SAQ and Risk Assessment Results

		Sustainability Risk SAQ Results
Environmental	• Environmental Management • Carbon Reduction Measures • Energy and Resource Efficiency Measures • Hazardous Substance / Waste Management Measures	• Has not taken carbon reduction actions in response to the upcoming implementation of Taiwan's carbon fee and international carbon regulations (e.g., CCA, CBAM). • Has records of environmental regulation violations with penalties in the past three years.
Economic	• Corporate Sustainability Implementation • Business Ethics Management • Information Security Management • Business Continuity Management • Sustainable Supplier Management • Conflict Minerals Compliance	• Does not require suppliers to comply with the Supplier Code of Conduct. • Has records of violations of business ethics–related regulations with penalties in the past three years.
Social	• Human Rights Risk Assessment and Standards • Working Hours and Wages • Employee Communication and Violations • Occupational Safety and Health	• Lacks procedures or mechanisms for human rights risk assessment in the supply chain. • Has records of violations of labor-related regulations with penalties in the past three years.

Second-party On-site Audits

The VIS Sustainability Audit Team conducts on-site audits for Tier 1 significant suppliers, non-Tier 1 significant suppliers, and high sustainability risk suppliers. During these audits, the team not only verifies the accuracy of the suppliers' supporting documentation but also assesses the actual implementation of their sustainability practices. When deficiencies are identified, VIS provides guidance to help suppliers implement corrective actions and supports them in completing the necessary improvements.

In 2024, VIS conducted on-site audits for 39 suppliers. A total of 54 deficiencies were identified across 29 suppliers. Following guidance and support, all deficiencies were successfully corrected.

2024 Audit Deficiency Category Proportions

Type	Number of Deficiencies (not number of suppliers)	Deficiency Category Percentage (%)
Labor	1	1.8
Health and Safety	28	51.9
Environment	3	5.6
Business Ethics	1	1.8
Management System	21	38.9

2024 Main Audit Deficiencies

Type	RBA Classification	Deficiency Items	Improvement Plans
Labor	Working Hours	Inadequate control of employee overtime hours	Establish an overtime pre-approval mechanism and implement real-time working hour controls
Health and Safety	Occupational Safety	Safety hazards in the workplace; lack of warning signs and protective measures	Conduct regular inspections to identify hazards and install proper warning signs and protections
		No appropriate nursing/ breastfeeding facilities for female employees	Provide adequate and appropriate nursing/breastfeeding rooms for female employees
	Emergency Preparedness	Ineffective inspection of fire detection and suppression equipment	Conduct regular inspections to ensure proper functioning of fire detection and suppression systems
		Incomplete evacuation routes and signage	Review and revise evacuation plans and signage; establish regular inspection mechanisms
		Obstructed emergency exits	Conduct regular checks to ensure all emergency exits remain unobstructed
	Occupational Injury and Illness	Inadequate inspection of first aid kits	Define inspection frequency and create a checklist
		No tracking of occupational injuries or illnesses	Establish systems to prevent, manage, track, and report occupational injuries and illnesses
	Machine Safeguarding	Inadequate maintenance of physical guarding devices	Conduct regular inspections to ensure effectiveness of physical safety devices
	H&S Communication	Health and safety information not provided in languages understood by foreign workers	Provide health and safety materials in languages understood by foreign workers
	Industrial Hygiene	Personnel not wearing required PPE	Promote awareness and conduct regular inspections to ensure PPE compliance
		Emergency response equipment or chemicals not available	Conduct regular inspections to ensure emergency equipment and protective agents are in place

Type	RBA Classification	Deficiency Items	Improvement Plans
Environment	Environmental Permits	Lack of verification of professional license validity	Establish review mechanisms and inspection schedules to ensure license validity
	Energy & GHG Emissions	No emission reduction goals or review mechanisms	Develop GHG emission reduction goals and plans with regular effectiveness reviews
Ethics	Identity Protection & Anti-Retaliation	No anonymous whistleblowing or complaint mechanism	Establish anonymous reporting channels and handling procedures to protect whistleblower identity and rights
Management	Company Commitment	No corporate sustainability management policy in place	Develop a corporate sustainability policy and conduct regular effectiveness reviews
	Roles and Responsibilities	The supplier's senior management has not yet made a decision to establish a dedicated organization or unit for advancing corporate sustainability	The supplier's senior management should regularly review the sustainability governance structure and assess implementation requirements.
		No implementation plan for ISO 45001 OHS management system	Establish and implement an ISO 45001 Occupational Health and Safety Management System plan, and conduct periodic reviews to evaluate its effectiveness
	Training	No training on information security	Develop training procedures on information security to mitigate cybersecurity risks
		No emergency response training	Develop emergency response training procedures to mitigate related risks
	Corrective Actions	No mechanisms to identify process gaps through evaluations or audits	Develop internal and external evaluation, review, and audit mechanisms, and regularly verify the effectiveness of operational processes
	Documentation & Records	Unable to provide supporting documents in a timely manner	Provide timely documentation to demonstrate compliance; ensure privacy through secure handling
	Supplier Responsibility	No communication of sustainability requirements to suppliers	Establish procedures to communicate and monitor supplier compliance with sustainability standards

Third-party on-site audit

For Tier 1 suppliers, VIS requires compliance with the RBA VAP, with audits conducted by independent third-party organizations. These third-party audits help verify the actual implementation of sustainability practices. In 2024, audits were conducted on 11 suppliers. Among them, 1 supplier was found to have major deficiencies, and the remaining 10 had minor or no deficiencies. All identified deficiencies have been corrected.

Supplier Assessment

In addition to conducting sustainability audits, VIS also performs supplier performance assessments every six months through a cross-functional evaluation team composed of representatives from Procurement, Quality, and Risk & Environmental Safety units. Suppliers are evaluated based on five key dimensions: Quality (Q), Cost (C), Delivery Time (D), Safety & Environmental Protection (S), and Sustainability Governance (S), collectively referred to as QCDSS. From a sustainability perspective, safety is also a critical element of sustainable development. Therefore, VIS has incorporated safety into its sustainability-related evaluation criteria. With this adjustment, the total weighting for sustainability-related criteria has increased to 25%, highlighting VIS' strong commitment to sustainable development.

Supplier Assessment Weights

Quality (%)	Cost (%)	Delivery Time (%)	Safety & Environmental Protection (%)	Sustainability Governance (%)
35	20	20	15	10

To enhance supplier awareness and implementation of environmental, safety, health, and fire protection practices, the Risk and Environmental Safety Management Department conducts regulatory compliance surveys targeting raw material and parts suppliers. In 2024, VIS surveyed 48 raw material suppliers and 3 parts suppliers. All 51 suppliers were confirmed to be in full compliance with applicable environmental and occupational health and safety regulations.

5.3.5 Improvement and Capacity Building Program

In line with the Board of Directors' expectations for sustainable supply chain management, VIS is progressively implementing supplier guidance mechanisms and capacity-building programs. By helping suppliers understand the practical significance and implementation of sustainability practices, VIS encourages broader supplier engagement in sustainability-related initiatives. At the same time, the Company is gradually establishing management frameworks to strengthen suppliers' capabilities in identifying and managing sustainability risks.

Sustainability Audit Deficiency Improvement Actions

In 2024, a total of 29 suppliers were found to have deficiencies through on-site sustainability audits. Based on each supplier's circumstances, VIS provided support through written feedback, remote guidance, and on-site assistance to facilitate corrective actions. VIS set a 2024 target of helping all significant suppliers with audit deficiencies complete the required improvements. The annual target achievement rate for 2024 was 100%.

Supplier Education and Training

VIS has established a supplier education platform and developed training materials covering sustainable supply chain management mechanisms and requirements. These materials explain the contents of the VIS Supplier Code of Conduct and consolidate common audit deficiencies identified in recent years across environmental, social, and economic dimensions of the semiconductor supply chain. This experience-sharing helps accelerate ESG promotion.

In 2024, all 1,176 suppliers met VIS' requirements and successfully completed the training.

Supplier Capacity Building Projects

To build a resilient and sustainable supply chain, VIS has launched a series of supplier capacity building projects. These initiatives focus on different key ESG topics, with dedicated resources invested to support long-term collaborations lasting more than six months. VIS works alongside suppliers to jointly advance progress on ESG-related issues.

Starting in 2024, VIS initiated a CDP collaboration project with suppliers, aiming to reduce carbon emissions and move toward the goal of net-zero. The Company conducted a comprehensive review of supplier carbon emissions and carried out a questionnaire survey targeting 35 suppliers with the highest emissions — accounting for 90% of total supplier emissions — to assess their awareness and current practices. Based on the findings, VIS planned targeted training and advisory support to encourage these suppliers to complete ISO 14064-1 or ISO 14067 verification and certification, laying a foundation for net-zero transformation. The initiative also centered on the development of a low-carbon supply chain by focusing on three major areas: energy conservation and carbon reduction, adoption of low-carbon energy (such as green electricity and steam/cooling recovery), and the reuse of waste resources.

In 2024, VIS successfully guided 14 suppliers to complete ISO 14064-1 organizational-level greenhouse gas verification and certification. These efforts contributed to measurable greenhouse gas reductions across the supply chain, achieving an annual Scope 3 reduction of 4,000 tons of CO_2e.

2024 Supplier Capacity Building Project

Project Title	Project Content	Target Audience	Number of Suppliers	Benefits	2024 Goals	Achievement Rate
Supply Chain Greenhouse Gas Verification/ Certification	Assist suppliers in completing organizational-level third- party GHG verification	For suppliers accounting for the top 90% of Scope 3 emissions, guide them to complete organizational-level third-party verification/ certification of greenhouse gases.	35	Ensure suppliers fully understand the sources and details of their GHG emissions. In 2024, a total of 14 suppliers obtained ISO 14064-1 organizational-level GHG verification/ certification statements issued by third-party certifying bodies.	The number of suppliers with GHG verification/ certification reached 14, accounting for ≥40% of targeted suppliers. (With an annual increase of 10% since 2021)	100%
Supply Chain Carbon Reduction Management	Guide suppliers in reducing Scope 3 emissions through product carbon footprint verification	Long-term carbon reduction guidance for suppliers with the top 90% of Scope 3 emissions.	35	Ensure suppliers understand the greenhouse gas emissions data of their various products. In 2024, based on ISO 14067 product carbon footprint verification results conducted by third-party certifying bodies for products from four suppliers, VIS' supply chain achieved an annual reduction of 4,000 tons of CO_2e, with a reduction rate of 1.5%.	The number of suppliers with product carbon footprint verification/certification reached 4, accounting for 11% of targeted suppliers. Based on the verification/ certification results, VIS' supply chain achieved an annual Scope 3 greenhouse gas reduction rate of 1.6%.	94%

Supplier Sustainability Benchmark Case Sharing

VIS strives to promote the concepts and practices of sustainable development across a broader range of supply chain partners. The supply chain management unit continuously monitors suppliers' sustainability performance and selects representative best practices to share with other partners. In 2024, five VIS suppliers were selected for inclusion in the S&P Global Sustainability Yearbook. VIS not only recognized and commended these suppliers for their achievements but also promoted their cases as sustainability benchmarks for learning among other suppliers in the industry.

2024 Supply Chain ESG Action Plan and Results

Corresponding Company Overall Strategies	Sustainability Aspect	Management Mechanism	Action Plan	Project Objectives	Project Results
Establishing a Friendly Workplace	Strategic Cooperation	Regular Audit of Commitment Specifications	VIS actively protects the human rights of foreign employees and promotes a series of human rights protection projects. Continuous human rights risk assessments are conducted targeting labor brokers. The assessments focus on the provisions of "Freely Chosen Employment" in the RBA Code of Conduct, including: – freedom to change jobs – voluntary work and resignation – no fees charged under any circumstances – identity and personal documents of foreign employees must not be retained – no unreasonable restrictions on the activities and basic movements of foreign employees.	Provide zero-fee recruitment programs for foreign workers through labor brokers to ensure comprehensive human rights protection in the supply chain.	• In 2024, more than 400 foreign employees benefited from the zero-fee program. All related fees were fully covered by VIS, totaling over NT$25 million. • 100% of labor brokerage companies signed the Supplier Code of Conduct, committing to comply with RBA standards. Dormitories with complete facilities were provided to ensure a comfortable living environment for foreign workers. No complaints were received in 2024 from foreign workers regarding being charged fees or other illegal matters.

Corresponding Company Overall Strategies	Sustainability Aspect	Management Mechanism	Action Plan	Project Objectives	Project Results
Implementing Corporate Governance	Responsible Mines	Risk Assessment	As a member of the Responsible Mineral Initiative (RMI), VIS regularly monitors the latest information on responsible mineral procurement released by RMI. Uses RMI-developed due diligence templates, such as CMRT (Conflict Minerals Reporting Template) and EMRT (Extended Minerals Reporting Template), to conduct due diligence on suppliers. Suppliers are required to use smelters/ refiners that comply with the Responsible Minerals Assurance Process (RMAP). New suppliers must sign the “Environmental and Social Responsibility Commitment,” agreeing to comply with VIS’ "Responsible Minerals Policy" and submit qualified CMRT/EMRT reports to be approved as VIS’ qualified suppliers. The procurement department has established a tiered supplier risk management mechanism. If any supplier is found to be using conflict minerals, the procurement team will immediately implement management measures according to the mechanism, ensuring that all products used by VIS and its supply chain are sourced from countries/regions free of conflict minerals.	Reducing supply chain management risk to ensure 100% conflict-free products.	• Promote VIS’ "Responsible Minerals Policy" to 100% of suppliers and require implementation. • Based on risk assessment, 100% of smelters/ refiners in the supply chain do not come from high-risk conflict-affected countries or regions. 100% of relevant suppliers submitted CMRT/EMRT forms, none of which used conflict minerals. • According to the results of supplier investigations, VIS publicly discloses its CMRT/EMRT forms on its website for stakeholder access. Conflict-Free labels are affixed to VIS product cartons.

5.3.6 Supplier Reward and Elimination Mechanisms

Supplier Reward Mechanisms

To encourage suppliers to prioritize sustainability performance, VIS provides concrete incentives. Suppliers scoring 90 or above on the Self-Assessment Questionnaire (SAQ) are considered for increased procurement volumes or amounts. In addition, such suppliers will be prioritized for future procurement needs, further motivating them to continuously improve their sustainability performance.

Supplier Elimination Mechanisms

VIS requires suppliers to submit corrective actions for audit findings within three months and complete all necessary improvements. Remote guidance is provided to verify the compliance and effectiveness of these corrective actions. If a supplier demonstrates major deficiencies that cannot be resolved within three months, a one-time extension may be granted upon approval by VIS. Suppliers that fail to complete the required improvements within the designated timeframe have their qualified supplier status revoked. In 2024, one supplier is eliminated for failing to meet VIS' sustainability requirements.

5.4 Responsible Procurement

5.4.1 Statement of Responsible Minerals

VIS has established a "Responsible Minerals Policy" and is committed to complying with the regulations of the RBA and the U.S. Securities and Exchange Commission (SEC) regarding conflict minerals. The Company avoids the procurement of conflict minerals — such as gold, tin, tantalum, tungsten, cobalt, mica, and other minerals that may be subject to future RMI regulations — from designated countries (Democratic Republic of the Congo and neighboring countries).

5.4.2 Responsible Minerals Risk Assessment

VIS conducts risk assessments on suppliers' use of responsible minerals and has established a tiered management mechanism to ensure that the smelters or refiners associated with VIS' products and supply chain originate from conflict-free countries or regions. In 2024, the metals used by VIS included tungsten (W), tantalum (Ta), and cobalt (Co), which meet the criteria for Level 2 classification as shown in the table below. Through due diligence practices, VIS requires suppliers to provide CMRT or EMRT forms in accordance with RBA standards. No smelters or refiners from regulated countries or regions were identified.

Risk Level and Control Measures

Risk	Condition	Action
Level 1 (Low)	Supplier's products or raw materials do not use responsible minerals.	• VIS makes a declaration to supplier and requires the supplier to cooperate and sign back
Level 2	The supplier's products or raw materials use responsible minerals, but the source: did NOT originate from the Democratic Republic of Congo, and its surrounding region or other applicable areas ("Covered Countries") or are from recycled or scrap sources.	• VIS makes a declaration to supplier and requires the supplier to cooperate and sign back • Suppliers need to reply to"Investigation Spreadsheet" (Downloaded from RMI website) to understand the origin country of responsible minerals
Level 3 (High)	The supplier's products or raw materials use responsible minerals, but the source: did originate from the Democratic Republic of Congo, and its surrounding region or other applicable areas ("Covered Countries") or are from recycled or scrap sources.	• The supplier is required to propose a plan to replace the source of responsible minerals • Conduct an audit to check its control mechanism on suppliers, and request improvement reports for deficiencies, and fulfill the responsibilities of global citizens

5.4.3 Responsible Minerals Management Mechanism

As a member of the RMI, VIS not only declares its "Responsible Minerals Policy" to suppliers, but also implements both a Reasonable Country of Origin Inquiry (RCOI) and a due diligence (DD) system to obtain relevant documentation on mineral sources. For smelters that are not certified by RMI, VIS requires its suppliers to have those smelters apply for and obtain certification from RMI or an accredited third-party auditing entity, ensuring that all minerals used in VIS' operations and supply chain comply with responsible sourcing standards.

Recognizing that responsible minerals information is also a key concern for customers, VIS' procurement team proactively discloses the latest CMRT and EMRT forms on the VIS Online platform for easy access and download.

In 2024, VIS procured materials containing tungsten, tantalum, and cobalt. Accordingly, the Company conducted CMRT investigations on 13 suppliers providing tungsten and tantalum-containing materials, identifying 22 smelters through the investigation. All suppliers were verified as compliant with conflict mineral requirements. Additionally, VIS conducted EMRT investigations on two cobalt suppliers, identifying four upstream smelters. All were qualified responsible mineral suppliers — three certified under RMI's RMAP program and one certified under the Joint Due Diligence Standard (JDDS) established by The Copper Mark.

If any supplier discloses that their smelters or refiners are located in regulated countries or regions, VIS mandates the immediate cessation of procurement from those sources and requires a switch to legally certified smelters or refiners. As a wide range of smelters and refiners have already obtained RMI certification, such source transitions are not difficult. As a member of the RBA, VIS also provides the necessary guidance and support to facilitate this transition. In the event that a supplier refuses to comply, VIS will immediately cease all procurement from that supplier.

In terms of risk management, VIS maintains alternative sourcing strategies — including multiple sources and safety stock inventory. Even in the event of supplier replacement, VIS is able to secure sufficient transition time to avoid any disruption to operations.

5.4.4 Responsible Mineral Usage and Labeling

In 2024, in accordance with the regulations of the RBA and the U.S. SEC, VIS conducted due diligence on raw material suppliers. The results confirmed that no suppliers purchased conflict minerals — gold, tin, tantalum, tungsten, cobalt, or mica — from designated countries (Democratic Republic of the Congo and neighboring countries), and that 100% of VIS products manufactured in 2024 were free from conflict minerals.

Revenue Proportion from Products Containing Conflict-Affected Minerals in the Past Four Years

	2021	2022	2023	2024
Proportion of revenue from products containing minerals from conflict-affected areas (%)	0%	0%	0%	0%
Proportion of revenue from products containing minerals from conflict-affected areas and verified as non-conflict minerals (%)	0%	0%	0%	0%

Since April 2021, to support the U.S. Dodd-Frank Act (DFA) and reinforce the Company's commitment to corporate social responsibility, VIS has labeled all outsourced packaging of its own foundry products with a "Conflict-Free" mark, declaring that the products do not contain conflict minerals.

In addition to following the guidelines of the RMI, VIS fulfills its supply chain due diligence responsibilities by complying with the requirements of equivalent international organizations and initiatives. These include the London Bullion Market Association (LBMA), the Responsible Jewellery Council (RJC), the Responsible Cobalt Initiative (RCI), and the JDDS developed by The Copper Mark. By proactively responding to these requirements and implementing additional measures, VIS conducts cross-verification of upstream supply chain sources to reduce the risk of using conflict-affected minerals.

Labeling of Conflict-Free Minerals

5.4.5 VIS Sustainable Raw Materials Policy

VIS adheres to the principles of resource recycling and environmental sustainability, and has formulated the "Sustainable Raw Materials Policy", which has been submitted to the Board of Directors for approval. VIS is actively collaborating with internal and external stakeholders to build a sustainable raw materials recycling network, increase the proportion of third-party certified materials, optimize the utilization and efficiency of recycled raw materials, and promote innovative circular business models.

Through the development of innovative systems and technologies, the Company seeks to minimize raw material consumption and reduce negative environmental and social impacts on biodiversity-sensitive areas. By creating more value with fewer resources, VIS aims to ensure a positive contribution to sustainable development.

5.4.6 VIS Sustainable Raw Materials Program

VIS continues to increase the procurement ratio of sustainable raw materials with traceable management from suppliers, in an effort to reduce potential negative environmental and social impacts associated with raw material usage. In 2024, VIS assessed five major categories of raw materials — wafers, process chemicals, gases, photoresists, and sputtering targets — based on three dimensions: technical feasibility, economic viability, and environmental friendliness.

Wafers and sputtering targets were prioritized in the initial phase, with specific procurement targets identified. Circular economy initiatives were then expanded to include process chemicals, gases, and photoresists. For each category, VIS has established targets for the proportion of sustainable raw material usage and the proportion of recycled sustainable materials. In parallel, the Company has conducted awareness-building initiatives and provided job-specific training on sustainable raw materials to relevant stakeholders.

VIS Sustainable Raw Materials Short-Term Program: 2024

Raw Materials Category	Procurement Targets	2024 Sustainable Raw Materials Program			
		Usage Proportion		Recycling Proportion	
		Target (%)	Actual (%)	Target (%)	Actual (%)
Wafers	Reclaimed Silicon Wafers for Control/ Dummy	64%	64.5%	100%	100%
Sputtering Targets	Platinum Targets (Target Blank, Backing Plate)	68%	68.5%	100%	100%

VIS Sustainable Raw Materials Medium-Term Program: 2027

Raw Materials Category	Procurement Targets	2027 Sustainable Raw Materials Program	
		Target Usage Proportion (%)	Target Recycling Proportion (%)
Wafers	Reclaimed Silicon Wafers for Control/ Dummy	65%	100%
	Reclaimed Silicon Wafers for Compound Semiconductor Products	50%	100%
Process Chemicals	Sulfuric Acid	20%	100%
	Isopropanol	20%	100%
Sputtering Targets	Platinum Targets (Target Blank, Backing Plate)	69%	100%
	Silver Targets (Target Blank, Backing Plate)	50%	100%

Sustainable Raw Materials Long-Term Plan: 2030

Raw Materials Category	Procurement Targets	2030 Sustainable Raw Materials Program	
		Target Usage Proportion (%)	Target Recycling Proportion (%)
Wafers	Reclaimed Silicon Wafers for Control/ Dummy	66%	100%
	Reclaimed Silicon Wafers for Compound Semiconductor Products	65%	100%

Raw Materials Category	Procurement Targets	2030 Sustainable Raw Materials Program	
		Target Usage Proportion (%)	Target Recycling Proportion (%)
Process Chemicals	Sulfuric Acid	25%	100%
	Isopropanol	25%	100%
Sputtering Targets	Platinum Targets (Target Blank, Backing Plate)	70%	100%
	Silver Targets (Target Blank, Backing Plate)	70%	100%
Gases	Helium	Technical feasibility, 100% economic viability, and environmental friendliness are continuously being evaluated. The target usage proportion will be confirmed upon completion of the assessment.	100%
Photoresists	Thinner		
	Edge Bead Remover		
Sputtering Targets	Titanium Targets (Target Blank, Backing Plate)		

Circular Recycled Metal Raw Materials

VIS' metal-containing raw materials are found in WF6 gas and various types of metal sputtering targets. In 2024, the usage and proportion of recycled metal raw materials at VIS are presented in the table below.

Metal Substances	2024 Usage (tons)	2024 Recycled Material Usage Proportion (%)
Aluminum	11.132	0
Cobalt	0.409	20%
Copper	4.726	20%
Iron	0.038	0
Nickel	0.169	0
Lithium	0 (VIS does not use lithium metal in products)	N/A
Titanium	4.505	20%
Platinum	0.005	70%

Friendly Workplace

VIS prioritizes a people-centered approach, providing employees with a safe, healthy, challenging, and enjoyable work environment, along with educational training. This support helps employees enhance themselves and leverage their strengths.

49%

49% of job openings are filled through internal transfers

98 days

Maternity leave has been extended from the statutory 56 days to 98 days

6.1 Talent Attraction and Retention

Recruitment Results and Targets

The achievements of campus relationship management in 2024 include:

1. A total of 11 academia-industry cooperation projects with 5 universities.
2. Participated in 22 campus recruitment activities, reaching over 6,000 students.
3. Deepening the management of campus relationships in 16 universities by holding book discussions, special lectures, and activities focused on empowering women.
4. Planning 2 business visits with 2 schools, assisting students to become more familiar with the semiconductor industry, serving a total of 60 teachers and students.

Recruitment Strategies

Short-term goals

(1) Deepening campus management: strengthening the linkage with each target school by organizing various campus activities.

(2) Establishing diversified recruitment channels: enhancing recruitment process efficiency via social media, campus activities, and training organizations for better talent recruitment.

Mid-to-Long-term goals

(1) Becoming a top-notch brand of employer to attract outstanding talents.

(2) Providing competitive overall salaries to attract and retain topnotch talents while rewarding the employees with outstanding performance and long-term contribution.

Human Capital Recruitment and Retention

Diversified Marketing of Employer Branding

In light of the fact that employer branding is a major factor affecting talent employment, VIS has actively managed employer branding via different channels to explore the potential market of job seekers and cultivate the potential job seeker groups in the next 3 to 5 years. The promotion methods include: participating in campus recruitment activities, company supervisors sharing practical industrial experiences as alumni, academia-industry cooperation, summer internship programs, social media marketing, and deep cultivation of campus relationship.

We share the Company news, various employee activities, and recruitment information via the Facebook fan page of "Vanguard International Semiconductor Corporation"; as of 2024, the total number of accumulated fans has reached 14,870, and the major audience is the group aged 18-44. The LinkedIn page of "Vanguard International Semiconductor Corporation" has accumulated up to 25,048 connections. These two major social media have become the employer branding channels for job seekers and the general public. VIS continues with investment of various recruitment resources to expect students, potential job seekers, and the general public to understand the Company 's business philosophy and corporate culture via diversified and highly influential employer branding marketing strategies to attract the like-minded talents.

Recruitment Costs in 2021-2024

In the year 2024, the total number of new employees was 464, which represents an increase compared to the number of new employees in 2023, resulting in a decrease in recruitment costs.

Unit: NT$

Year	2021		2022		2023		2024	
Sites	Taiwan	Taiwan & Singapore	Taiwan	Taiwan & Singapore	Taiwan	Taiwan & Singapore	Taiwan	Taiwan & Singapore
Average Cost	6,251	8,345	5,582	8,217	48,749	36,275	20,961	24,282

Note: Recruitment cost of new employee = Annual recruitment cost /Annual number of new employees.

VIS, in collaboration with NYCU and the Taoyuan City Government, has jointly promoted the "University/High-school Collaboration on Online-learning, UHCOOL."

Cooperation Project

VIS, National Yang Ming Chiao Tung University (NYCU), and the Taoyuan City Government have launched the "University/High-school Collaboration on Online-learning, UHCOOL " initiative since 2023. Through cross-sector collaboration among universities, high schools, enterprises, and local governments, this program creates digital learning courses specifically designed for high school students. These courses are taught by university professors and industry experts, providing professional knowledge and practical industry insights. Schools are no longer limited by geography and resources, and students can go beyond traditional academic subjects to understand the basics of the semiconductor industry and explore semiconductor technology development at an early stage.

The first course launched by UHCOOL, "Introduction of Semiconductor Principles and Manufactures," is led by NYCU's course planning, with VIS providing professional consultation and industry practical experience sharing to ensure the course closely aligns with industry realities. The initiative also involves over ten high school teachers who participated and provided feedback. After a year of meticulous planning, a complete set of digital materials was developed, including high-quality teaching videos, well-edited handouts, and teaching guides. Since its launch in September 2024, it has been rapidly adopted by 48 high schools nationwide as a diverse elective credit course, receiving unanimous praise from students and teachers alike. In the first semester of the 2024 academic year, the number of elective students exceeded a thousand, making it the best steppingstone for high school students to enter the world of semiconductors.

Employing differently-abled persons

VIS has been hiring massagists with mental or physical disabilities since 2009. In 2020 new job positions such as factory cleaning and document management were added, and the job positions of campus recruitment representatives were added in 2022 to actively establish good and diverse job opportunities. As of the end of 2024, a total of 40 people with disabilities were hired, accounting for 0.6% of the total number of employees in the Company. After regulatory adjustments, this is equivalent to 65 employees, meeting regulatory requirements. In addition to being guided by senior employees, local employment service stations are also invited to carry out design for individual case work, to pay a visit to these employees, and provide counseling services to help them adapt to work environment.

Human Resources Structure

VIS has conducted a talent recruitment process flow in VIS accordance with international human rights conventions and human rights and employment-related laws and regulations: no child labor is hired, and no discrimination based on race, religion, skin color, nationality, age, gender, sexual orientation, age, marriage, appearance, disability, or other legally protected situations. For employees from 14 countries all over the world, VIS is dedicated to creating a friendly working environment respecting diverse ethnic groups, blending cultures of multiple countries, and constantly promoting exchanges among employees from various ethnic groups.

By the end of 2024, the total number of employees of VIS reached 6,526, with Taiwan employees accounting for 80.02%, and employees not in Taiwan accounting for 19.98%. 96% of employees of VIS are non-regular employees, and 4% of them are regular employees. Based on the job category, there are a total of 682 supervisors, 3,179 professionals, and 2,665 technicians.

Distribution of Employees and Supervisors of Different Nationalities in 2024

Nationality		Number of Employees	Employee Percentage	Number of Supervisors	Supervisor Percentage
National	Taiwan	5,222	80.02%	599	87.83%
Foreigner	Philippines	437	6.69%	1	0.15%
	Malaysia	397	6.07%	14	2.05%
	Singapore	232	3.56%	53	7.77%
	China	181	2.77%	2	0.29%
	India	24	0.37%	2	0.29%
	Indonesia	12	0.18%	2	0.29%
	Myanmar	9	0.14%	-	-
	United States	6	0.09%	6	0.88%
	Vietnam	2	0.03%	-	-
	Sri Lanka	1	0.02%	1	0.15%
	South Korea	1	0.02%	1	0.15%
	Japan	1	0.02%	1	0.15%
	Nicaragua	1	0.02%	-	-

Distribution of Numbers of Employees

Type	Type of Employment	Male		Female		Subtotal and Ratio	
		Number	Subtotal and Ratio	Number	Subtotal and Ratio	Number	Subtotal and Ratio
Gender		3,366	51.6%	3,160	48.4%	6,526	100.0%
Nationality	National	2,762	52.9%	2,460	47.1%	5,222	80.0%
	Foreigner	604	46.3%	700	53.7%	1,304	20.0%
Job Title	Supervisor	549	80.5%	133	19.5%	682	10.5%
	Professional	2,339	73.6%	840	26.4%	3,179	48.7%
	Technician	478	17.9%	2,187	82.1%	2,665	40.8%
Identity	Non-regular	3,248	51.8%	3,020	48.2%	6,268	96.0%
	Regular	118	45.7%	140	54.3%	258	4.0%
Age	Under 30	483	60.5%	316	39.5%	799	12.2%
	30-49	2,331	50.2%	2,316	49.8%	4,647	71.2%
	50 and above	552	51.1%	528	48.9%	1,080	16.6%
Education	High school and below	372	22.3%	1,293	77.7%	1,665	25.5%
	College	1,633	52.1%	1,504	47.9%	3,137	48.1%
	Master	1,311	78.8%	353	21.2%	1,664	25.5%
	Ph.D.	50	83.3%	10	16.7%	60	0.9%

Note 1: This table includes employees in Taiwan HQ and the overseas subsidiaries.

Note 2: The classification of domestic and foreign nationality in this table is based on the location of the Company's headquarters. Domestic nationality refers to nationals of the home country, while non-nationals of the home country are categorized as foreign nationality.

Note 3: Non-regular employees include permanent employees, full-time employees, and foreign full-time employees; regular employees are those who have signed fixed-term contracts, including temporary staff such as contract masseurs, consultants, and interns.

Note 4: The Company does not have any employees with zero-hour contracts or part-time employees.

Note 5: The number of non-employee workers controlled by the organization at our work sites totals 477 (366 at Taiwan facilities and 111 at Singapore facilities), including personnel for chemical/gas filling operations, security, kitchen staff, and cleaning staff.

Distribution of Numbers of Employees by Region

Type	Type of Employment	Taiwan						Singapore / US					
		Male		Female		Subtotal and Ratio		Male		Female		Subtotal and Ratio	
		Number	Ratio of the Group	Number	Ratio of the Group	Number	Ratio of the Group	Number	Ratio of the Group	Number	Ratio of the Group	Number	Ratio of the Group
Gender		2,745	42.1%	2,824	43.2%	5,569	85.3%	621	9.5%	336	5.2%	957	14.7%
Nationality	National	2,712	51.9%	2,452	47.0%	5,164	98.9%	50	1.0%	8	0.1%	58	1.1%
	Foreigner	33	2.6%	372	28.5%	405	31.1%	571	43.8%	328	25.1%	899	68.9%
Job Title	Supervisor	471	69.1%	110	16.1%	581	85.2%	78	11.4%	23	3.4%	101	14.8%
	Professional	1,955	61.5%	730	23.0%	2,685	84.5%	384	12.1%	110	3.5%	494	15.5%
	Technician	319	12.0%	1,984	74.4%	2,303	86.4%	159	6.0%	203	7.6%	362	13.6%
Identity	Non-regular	2,735	43.6%	2,819	45.0%	5,554	88.6%	513	8.2%	201	3.2%	714	11.4%
	Regular	10	3.9%	5	1.9%	15	5.8%	108	41.9%	135	52.3%	243	94.2%
Age	Under 30	382	47.8%	254	31.8%	636	79.6%	101	12.6%	62	7.8%	163	20.4%
	30-49	1,931	41.6%	2,072	44.5%	4,003	86.1%	400	8.6%	244	5.3%	644	13.9%
	50 and above	432	40.0%	498	46.1%	930	86.1%	120	11.1%	30	2.8%	150	13.9%
Education	High school and below	186	11.2%	1,098	65.9%	1,284	77.1%	186	11.2%	195	11.7%	381	22.9%
	College	1,277	40.7%	1,392	44.4%	2,669	85.1%	356	11.3%	112	3.6%	468	14.9%
	Master	1,236	74.3%	326	19.6%	1,562	93.9%	75	4.5%	27	1.6%	102	6.1%
	Ph.D.	46	76.7%	8	13.3%	54	90.0%	4	6.7%	2	3.3%	6	10.0%

Note: The classification of domestic and foreign nationality in this table is based on the location of the Company 's headquarters. Domestic nationality refers to nationals of the home country, while non-nationals of the home country are categorized as foreign nationality.

The gender ratio structure of the employees of VIS is rather balanced, where male employees account for 51.6% and female employees account for 48.4%. Due to the characteristics of the technology industry and employment market supply, most managerial and professional staff are male. The Company continuously focuses on the career development of female employees. To achieve the sustainability goal of having over 19% female supervisors, the proportion of female managers reached 19.5% in 2024.

Distribution of Numbers of Female Employees

Years	2021		2022		2023		2024	
Number/Ratio	Number of Female	Ratio of Female	Number of Female	Ratio of Female	Number of Female	Ratio of Female	Number of Female	Ratio of Female
Overall Employees	3,127	49.4%	3,317	49.9%	3,193	49.9%	3,160	48.4%
Management Level	103	19.1%	110	19.1%	121	20.2%	133	19.5%
Junior Management (Section)	54	19.5%	60	19.9%	65	21.1%	71	20.4%
Middle Management (Department)	37	19.2%	38	18.6%	42	20.2%	46	19.4%
Senior Management (Division/ Regional)	12	17.4%	12	17.1%	14	17.1%	16	16.5%
Supervisors of Production Revenue Related Departments	74	15.4%	78	15.3%	87	16.1%	92	15.0%
Employees of STEM Categories	790	24.1%	872	24.5%	859	24.3%	892	23.8%

Note 1: Departments related to production and revenue include engineering, manufacturing, sales, quality, and supply chain units involved in the production and revenue process.

Note 2: STEM includes employees in engineering, quality, and finance units.

Employee Entry Rate and Turnover Rate

Domestic and Foreign Recruitment

By the end of 2024, the total number of employees at VIS will reach 6,526, and the total number of new employees will be 464 with a new employment rate of 7.1%. The overall gender ratio of new employees is 73.5% men and 26.5% women. In terms of age distribution, those under 30 account for the most at 56.0%, followed by those aged 30-49, at 38.1%, and then finally those aged 50 or above at 5.8%. 49% of the job openings in 2024 were filled by internal transfer.

Ratios of Job Openings Filled Through Internal Transfer in 2021 to 2024

Years	2021	2022	2023	2024
Internal Transfer Rate	32%	40%	57%	49%

Ratios of Job Openings Filled Through Internal Transfer in 2024

2024		Number of positions filled internally	Ratio
Total persons		450	-
Age Distribution	Under 30	35	8%
	30-49	317	70%
	50 and above	98	22%
Gender Distribution	Male	326	72%
	Female	124	28%
Management	First-Level Management	57	44%
	Mid-level Supervisors	46	36%
	Senior Supervisors	26	20%

Number of new employees from 2021 to 2024

Year	2021	2022	2023	2024
Number of new employees	1,320	1,250	154	464
New Employee Rate	21.5%	19.3%	2.4%	7.1%

Note: New employees refer to official non-regular employees who complete registration procedures.

Employment Rate by Gender, Region, Nationality, and Age of New Employees in 2024

Type	Male		Female		Total	
	Number	Percent	Number	Percent	Number	Percent
	341 (10.4%)	73.5%	123 (3.9%)	26.5%	**464 (7.2%)**	**100.0%**
Region						
Taiwan	242	83.7%	47	16.3%	**289 (5.2%)**	**62.3%**
Singapore/US	99	56.6%	76	43.4%	**175 (19.5%)**	**37.7%**
Nationality						
National	254	84.1%	48	15.9%	**302 (5.8%)**	**65.1%**
Foreigner	87	53.7%	75	46.3%	**162 (12.8%)**	**34.9%**
Age						
Under 30	209	80.4%	51	19.6%	**260 (32.5%)**	**56.0%**
30-49	108	61.0%	69	39.0%	**177 (3.8%)**	**38.1%**
50 and above	24	88.9%	3	11.1%	**27 (2.7%)**	**5.8%**

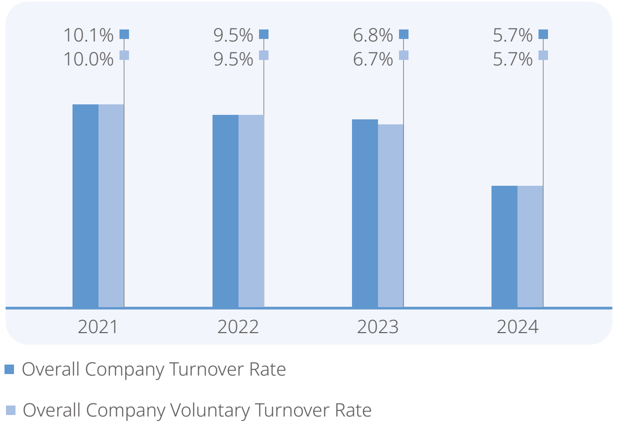
Note 1: New employee refers to the official non-regular employee who completes the registration procedure.

Note 2: (%)refer to new employment rate of each group = Total number of new employees of each group in 2024/ ((Total number of employees of each group at the beginning of the year) +(Total number of employees of each group at the end of the year)/ 2).

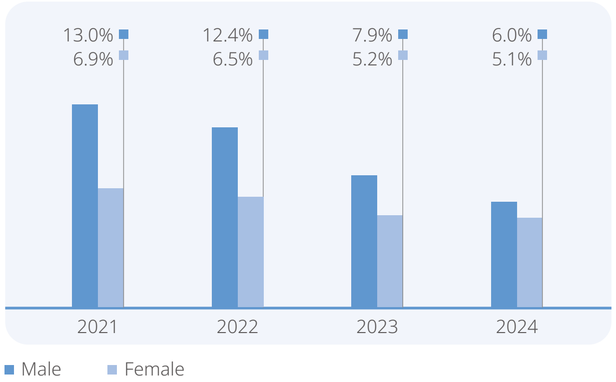
Employee Turnover Rate

In 2024, the total number of resigned employees is 352 (including 29 retirees), with a turnover rate of 5.7%, which is a decrease of 1.1% compared to the previous year. By gender, the average turnover rate of male employees is 6.0%, and the average turnover rate of female employees is 5.1%; based on the age group, the average turnover rate of employees aged under 30 is 11.0%; the average turnover rate of employees aged 30 to 50 is 4.8%; the turnover rate of employees aged 50 and above is 5.4%.

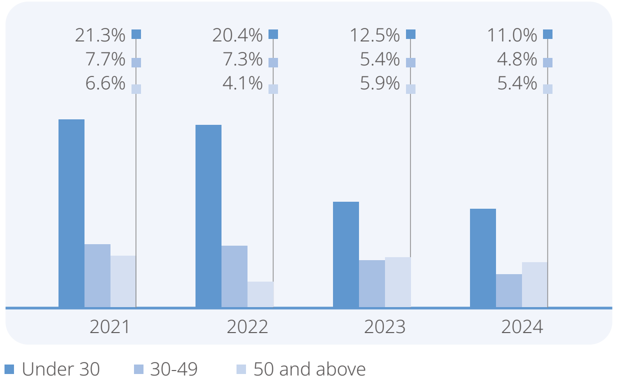
Overall Company Turnover Rate



Overall Company Turnover Rate – Gender

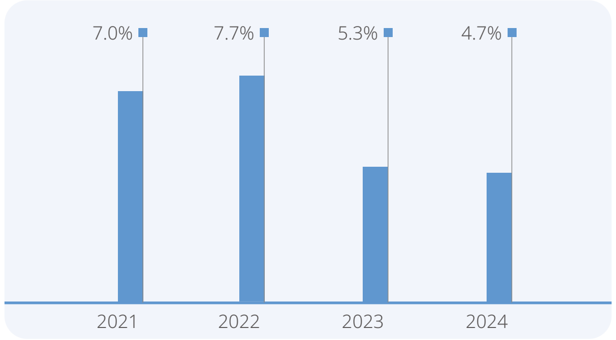


Overall Company Turnover Rate – Age

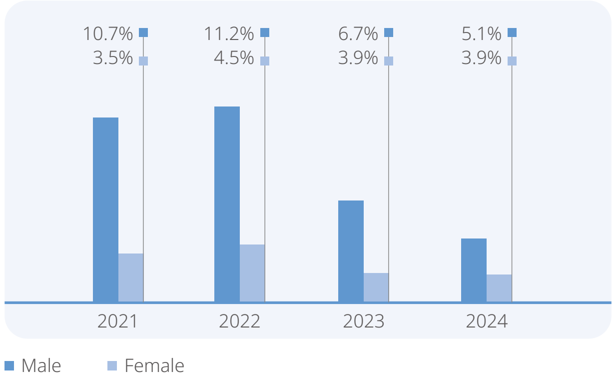


In 2024, the number of employees who left the Company in Taiwan was 254 (including 29 retirees), with a turnover rate of 4.7%, which is a decrease of 0.6% compared to last year. By gender, the average turnover rate for male employees was 5.1%, while for female employees it was 3.9%. By age group, the average turnover rate for employees under 30 years old was 10.4%; for employees aged 30 to 49, it was 3.4%; and for employees 50 and above, it was 5.2%.

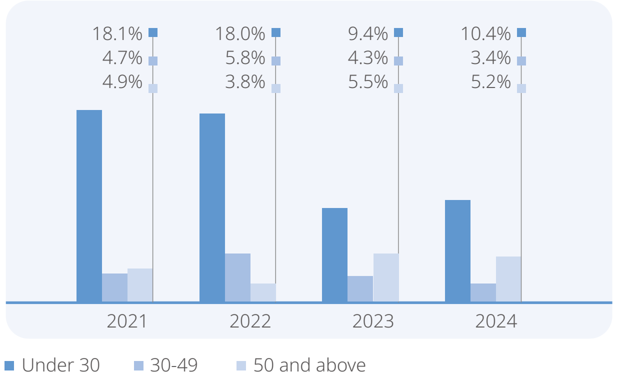
Turnover Rate in Taiwan



Turnover Rate in Taiwan – Gender



Turnover Rate in Taiwan – Age



Turnover Rate

Year	2021		2022		2023		2024	
Gender/Item	Number	Turnover Rate	Number	Turnover Rate	Number	Turnover Rate	Number	Turnover Rate
Male	274	10.7%	310	11.2%	176	6.7%	138	5.1%
Female	94	3.5%	133	4.5%	118	3.9%	116	3.9%
Total	**368**	**7.0%**	**443**	**7.7%**	**294**	**5.3%**	**254**	**4.7%**
Age/Item	Number	Turnover Rate	Number	Turnover Rate	Number	Turnover Rate	Number	Turnover Rate
Under 30	162	18.1%	182	18.0%	74	9.4%	63	10.4%
30-49	177	4.7%	235	5.8%	177	4.3%	146	3.4%
50 and above	29	4.9%	26	3.8%	43	5.5%	45	5.2%
Total	**368**	**7.0%**	**443**	**7.7%**	**294**	**5.3%**	**254**	**4.7%**

Note 1: Monthly turnover rate = the total number of resigned employees of the group ÷ an average number of employees of the group of the month.
Note 2: Calculation of annual turnover rate= Σ (Turnover rate of each month of the year).
Note 3: The calculation of the turnover rate involves the resigned official full-time employees, not including the employees on unpaid leave.

Compensation

Overall Compensation

VIS is dedicated to providing employees with benefits above the industrial average, the overall compensation of employees of VIS is determined according to the professional knowledge and skills, job duties, performance, and long-term dedication in conjunction with the company's operation objectives. In order to maintain the competitiveness of VIS' overall remuneration and meet the basic living wage needs of employees,conducts annual salary surveys to assess market salary levels and references overall economic indicators (for example, the Consumer Price Index (CPI) forecast by the Chung-Hua Institution for Economic Research (CIER)) and the Anker Methodology for Estimating a Living Wage and the cost of living database, Numbeo to make appropriate adjustments to employees' base salaries. To foster a workplace environment that promotes work-life balance, the Company provides employees and supervisors with attendance information from the previous week on a weekly basis. Employees are also reminded to report overtime based on actual needs (with the option to choose either overtime pay or compensatory leave in accordance with regulations), ensuring fair compensation for overtime work. In addition, the Company reviews employees' use of annual leave on a quarterly basis to protect their right to take time off. Any unused annual leave may be carried forward or compensated in accordance with the law. For employees to share the Company's operation achievements, VIS provides a comprehensive compensation package including base salary, allowances, and bonuses. Additionally, at least 10% of the annual profits are distributed as employee compensation, with eligible recipients including employees meeting certain criteria. Additionally, through medium- to long-term incentive plans spanning 2-3 years, VIS provides contract bonuses or stock options to employees and supervisors who demonstrate potential and achieve performance targets, aiming to retain and motivate top talent.

Taiwan is a key operational base for VIS' strategic execution and resource allocation, having a critical impact on overall business operations and development. In 2024, there were a total of 15 managers in VIS, and 5,351 full-time non-managerial employees. The average annual salary of full-time non-managerial employees was NT$1,572,000, an increase of NT$87,000 from the previous year; the median annual salary was NT$1,195,000, an increase of NT$119,000 from the previous year. (According to the Taiwan Stock Exchange Corporation Rules Governing Information Filing by Companies with TWSE Listed Securities and Offshore Fund Institutions with TWSE Listed Offshore Exchange-Traded Funds) All aforementioned data has been qualified by the audits by Deloitte & Touche. The total employee remuneration for 2024 is around NT$1.76 billion, which will be distributed after the resolution by the Board of Directors and the approval by the shareholders' meeting in 2025 in order to encourage the constant contribution of our employees. The overall remuneration of VIS will not vary due to the difference in gender, age, race, religion, political stance, or marriage, and all employees will be treated equally. In 2024, the salary ratio between male and female grass-root employees was close to 1 to 1.

Ratio of Base Pay and Compensation of Female and Male Employees in Taiwan in 2021-2024

Item/Year		2021		2022		2023		2024	
		Base Pay	Compensation	Base Pay	Compensation	Base Pay	Compensation	Base Pay	Compensation
Managerial	Executives	1.00	1.37	0.91	1.80	0.92	1.09	0.90	0.98
	Senior Management	0.95	0.97	0.96	0.98	0.95	0.91	0.96	0.91
	Junior management	0.96	0.93	0.93	0.90	0.93	0.91	0.95	0.93
	Management Positions (Junior, Middle, and Senior Levels) Total	**0.96**	**0.95**	**0.95**	**0.94**	**0.94**	**0.91**	**0.96**	**0.92**
Non-Managerial	Indirect Labor [Note]	0.89	0.80	0.88	0.78	0.90	0.80	0.88	0.79
	Direct Labor (Taiwanese)	1.11	1.04	1.16	1.09	1.13	1.06	1.12	1.04
	Direct Labor (Foreign)	0.97	1.02	0.96	1.04	0.96	1.00	0.96	0.95
	Non-Management Positions Total	**0.99**	**0.95**	**1.00**	**0.97**	**1.00**	**0.95**	**0.99**	**0.93**

Note: Due to the type of work, the indirect non-managerial staff is mostly male employees related to engineering. In terms of job positions, engineering roles account for a higher proportion.

Welfare System

VIS provides a welfare system that is superior to the regulatory requirements while meeting the needs of employees and a perfect leave management system, such as: insurances, flexible vacation days, pensions, emergency assistance, marriage and childbirth gifts, funeral subsidies, birthday gift certificates, year-end party subsidies, special store discounts, occasional group travel activities, community subsidies, Childcare Leave and Family Care Leave beyond statutory requirements, , and adjustment of "Prenatal checkup leave" and "Paternity leave" from the statutorily required 7 days to 10 days; maternity leave is increased from the legally-mandated 56 days to 98 days. Starting in 2024, the flexible working hour system will be implemented, allowing day shift workers to adjust their working hours according to their own needs and provide a diverse and friendly work environment that can balance work and life quality.

Meanwhile, foreign employees will have access to the same welfare system as the local employees. VIS provides every employee in Taiwan with insurance meeting local laws and regulations. In addition to the labor insurance and national health insurance for every employee, as required by law, we also provide group comprehensive insurance, including life insurance, accident insurance, medical insurance, cancer insurance, etc. Starting from the day of registration, every employee will join the group comprehensive insurance paid by the Company covering the spouse, children, and family members of every employee so that they can be fully protected to be concentrated to their works without any worry.

Leave and Attendance Policy Superior to Statutory Requirement

Item	Statutory Standard	Measures Superior to Statutory Standard
Holiday	• 12 national holidays every year	• In addition to the 12 national holidays each year, an additional seven days of anniversary leave are provided for employees to use flexibly.
Special Leave	• Those who serve for more than 6 months but less 1 year will be granted three days of such leave	• To accommodate the leave needs of employees with less than one year of service, one day of special leave will be granted for every two months of service.
"Prenatal Checkup Leave" and "Paternity Leave"	• "Prenatal checkup leave" 7 days; "Paternity leave" 7 days	• The statutory 7-day entitlement for prenatal checkup leave and paternity leave has been increased to 10 days.
Maternity Leave	• Maternity leave 8 Weeks	• The statutory 8-week of maternity leave has been increased to 14 weeks.
"Childcare Leave"	• None	• Employees who are personally caring for a child under the age of three shall be granted eight hours of paid "Childcare Leave" per month, starting from the child's date of birth.
"Family Care Leave"	• Family care leave is included within personal leave and is limited to a total of seven days per calendar year.	• If the combined total of 14 days of personal leave and family care leave for the current year has been fully used, an additional 1 to 7 days may be granted upon approval by the plant director.
Flexible Working Hours	• None	• The "Flexible Regular Day Shift Schedule" includes the original 08:30–17:30 shift and adds three new options: 07:30–16:30, 08:00–17:00, and 09:00–18:00, for a total of four shift options.

Employee Compensation and Welfare Expenses in 2021-2024

Unit: NT$ thousand

Item	2021	2022	2023	2024
Employee Compensation and Welfare Expenses	11,106,860	12,823,275	9,224,280	9,903,266
Average Employee Compensation and Welfare Expenses	2,099	2,199	1,621	1,798

Note 1: The average number of employees is calculated by the average number of people of the year (annual average number of employees =sum of total number of current employees at the end of each month/12.)

Note 2: Employee compensation and welfare refer to the salaries, bonuses, and welfare expenses disclosed in the individual financial statements.

Data related to leave without pay

In 2024, there were a total of 180 employees at VIS who enjoyed parental leave, and 85 of them applied for unpaid parental leave, all of which were approved. In 2024, there were 32 employees reinstated from a leave of absence for childcare, with a reinstatement rate of 61.5%. Among them, the reinstatement rate for male employees was 60% and that for female employees was 62.5%. The primary reason female employees did not return after their unpaid leave was due to the need to continue caring for their families (accounting for 89%), while male employees not returning after leave had mostly found other jobs (accounting for 78%). In addition, the retention rate for employees who took parental leave and returned to work in 2023 and stayed for over a year was 89.7%, with a retention rate of 90% for male employees and 89.7% for female employees.

Parental Leave and Reinstatement in 2023 and 2024

Item	Total	Male	Female
Number of Employees Eligible for Parental Leave in 2024 [Note]	180	92	88
Number of Applications for Unpaid Parental Leave in 2023	85	30	55
Actual Number of Employees Reinstated from Parental Leave in 2024 (A)	32	12	20
Number of Employees Expected to Reinstate from Unpaid Parental Leave in 2024 (B)	52	20	32
Reinstatement Rate (A)/(B) from Maternity Leave in 2024	61.5%	60.0%	62.5%
Actual Number of Employees Reinstated from Unpaid Parental Leave in 2024 (C)	39	10	29
Number of employees who returned and stayed at work for more than one year from unpaid parental leave in 2024 (D)	35	9	26
Retention Rate of Employees Returning from Parental Leave in 2024 (D)/(C)	89.7%	90.0%	89.7%

Note: In accordance with the law, VIS supports employees in applying for parental leave. Both primary and non-primary caregivers are eligible to apply for up to two years of parental leave and may receive six months of unpaid parental leave allowance, calculated at 80% of their average monthly insured salary from the six months prior to the leave.

Retirement System

Complete and Sound Pension System

VIS has abided by laws and regulations with its pension system, and the employees applicable to the old system of the "Labor Standards Act" and the employees applicable to the new system of the "Labor Pension Act" all have their retirement rights properly protected. In 2024, 29 VIS employees applied for retirement and were all approved; among them, 48% were male employees and 52% were female employees.

For employees who choose the new system, the Company allocates 6% of their salary every month and deposits it into the personal account of the Labor Insurance Bureau; for those who choose the old system, and those who choose the new system but retain the seniority of the old system, the "VIS Labor Pension Reserve Fund Supervisory Committee" has been established by law to deposit 2% of labor pension reserve fund every month.

By 2024, the fair value of the pension plan assets of VIS is NT$927.05 million; the amount that needs to be appropriated by law in the future has been listed as accrued pension liabilities, and the amount by the end of 2024 is NT$255.86 million. In addition to the deposit of pension reserve fund, the Company also conducts actuarial calculations of retirement reserve funds through professional accounting consultants every year to confirm the full amount of appropriation and protect the rights and interests of employees to claim pensions in the future.

Policy	Established the "VIS Labor Pension Reserve Fund Supervisory Committee," contributing 2% of the labor retirement reserve fund monthly	Contribute 6% of the monthly salary into the personal account at the Bureau of Labor Insurance
Applicable to the Old System under the "Labor Standards Act"	V	
Opt for the New System under the "Labor Pension Act"		V
Opt for the New System but Retain Old System Seniority	V	V

6.2 Employee Development

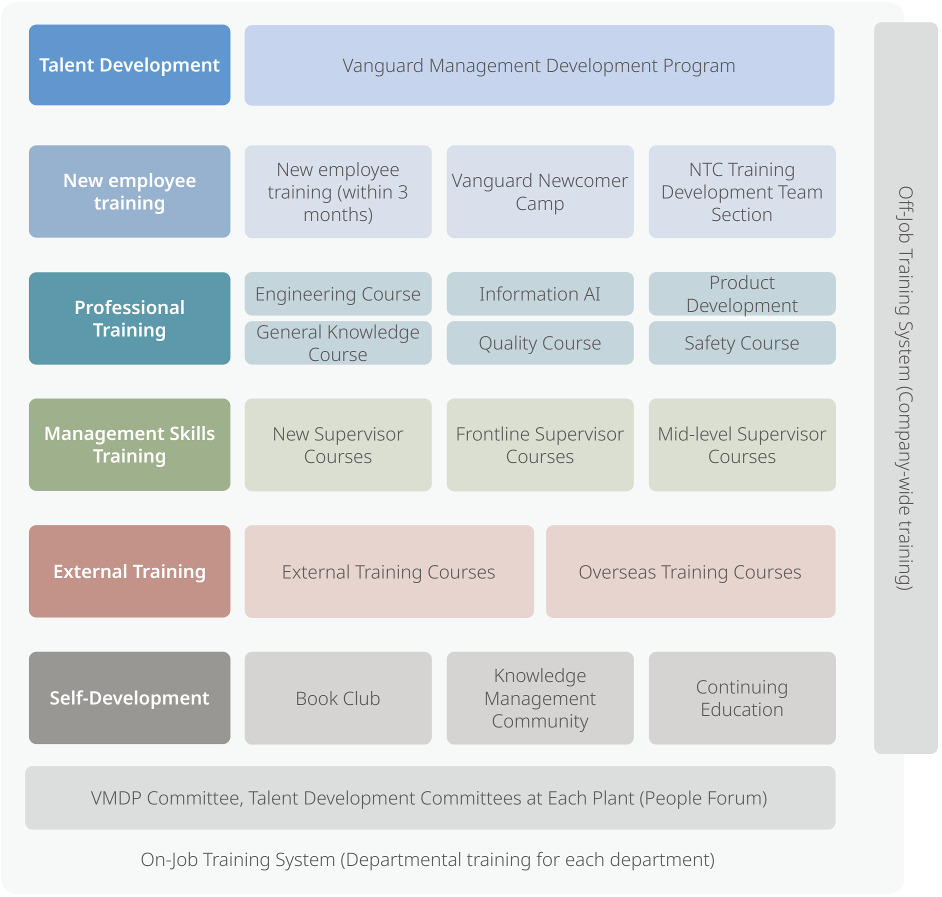
Comprehensive Talent Development and Cultivation

VIS actively integrates various resources to promote talent development and education training, creating a good learning environment to ensure that every employee has diverse development opportunities. Based on vision, strategic goals, and organizational needs, the Company constructs a complete talent development system and tailors personal learning and development plans according to employees' positions and career planning. In addition to establishing an internal online learning platform to encourage continuous learning, the Company also provides external training courses, fully combining internal and external training resources to cultivate and enhance employees' abilities, helping employees grow together with the Company.

(1) The Company has established a complete talent development system, committed to cultivating professional talents and discovering the potential of employees. Training programs include new employee training, management competency development, professional competency enhancement, external training, and self-development. Through dual-track methods of on-the-job training (OJT) and off-the-job training (OFF-JT), employees' professional abilities and competitiveness are refined.

(2) To cultivate professional talents meeting the Company's needs, the Company bases its efforts on vision and strategic goals, supplemented by annual performance management and development planning, ensuring that organizational development and personal growth advance simultaneously. For supervisors at all levels, the Company has formulated a management skills training blueprint and planned diverse management courses, using internal and external lecturers to provide more than ten courses such as supervisor role mindset and VIS values, coaching performance management and development, co-creating win-win with customers, expression influence, open diversity and inclusive leadership, stress and adversity management, change and conflict management, situational leadership, etc., to cultivate core management capabilities of leadership talents.

(3) The Company has established a training management system, digital learning platform, and knowledge management platform as personal learning resources. Every employee sets learning and development goals annually and formulates personal development plans after discussion with their supervisor, thereby achieving continuous development goals. At the same time, learning outcomes are applied to the workplace, continuously refining professional abilities and improving work performance.



Learning and Development

Diverse Learning Resources

VIS has established a comprehensive training and development system, which includes talent development, new employee training, professional training, management training, external training, and self-development. Each course category corresponds to specific teaching methods and learning approaches. Overall, the training methods primarily focus on teaching, while coaching is used in advanced talent development programs. In new employee training, professional training, and talent development programs, mentoring is tailored for each participant, providing guidance in both work and life. The Company regularly publishes the "VIS Fresh News" monthly, announcing information about in-person and online courses, which are open for registration to everyone regardless of their status. New employees receive training tailored to their specific roles.

Our digital learning platform offers nearly 850 courses, continuously updating materials based on demand, covering general development, engineering technology, professional skills, and management competencies. Through this platform, learning is not restricted by time or location, allowing employees to plan their learning progress independently, enhancing competitiveness and fostering a culture of self-directed learning. In 2024, there were approximately 80,000 online learning instances, with a total of 157,000 hours of internal training conducted both in-person and online, involving over 140,000 participants. On average, each employee received 24 hours of training, with total training expenses exceeding NT$26.8 million (including the joint venture VSMC in Singapore).

Classification of Training Methods at VIS

Course Categories	Teaching Methods			Learning Approaches	
	Teaching	Coaching	Mentorship	Teams	Networks
Talent Development	V	V	V	V	V
New Employee Training	V		V	V	
Professional Training	V			V	V
Management Training	V			V	V
External Training	V			V	
Self-Development	V			V	V

Comparison of New Employee Training Participant Identities at VIS

Participant Identities	New Employee Training		
	New Employee Orientation (HR)	Essential Skills Training (Hiring Unit)	Occupational Safety and Health Training
Full-time Employees (Indirect)	V	V	V
Full-time Employees (Direct)	V		V
R&D Substitute Service	V	V	V
Contract personnel	V		V
Part-time Employees	V		V
Visually Impaired Masseurs			V

Training Indicator Statistics for VIS from 2021 to 2024

Unit: Expenses - NT$

Year	Number of Employees	Total Training Sessions	Total Training Hours	Average Training Hours	Total Training Expenses	Average Training Expenses
2021	6,333	122,697	139,317	22.00	7,593,524	1,199.0
2022	6,641	135,714	160,015	24.10	17,723,091	2,668.7
2023	6,395	127,900	169,084	26.44	24,714,271	3,864.6
2024	6,526	140,286	158,005	24.21	26,868,476	4,117.1

2024 VIS Training Indicator Statistics - Average Training Hours (by Employee Category/Gender)

Unit: Hours

Year	Direct Labor	Indirect Labor	Management			Male	Female
			First-Level	Middle-Level	Senior		
2024	16.50	29.49	25.78	26.14	16.90	30.58	17.45

Return on Human Capital Investment for VIS from 2021 to 2024

Unit: NT$ thousand

	2021	2022	2023	2024
(A) Operating Income	43,951,087	51,694,31	38,272,570	44,054,762
(B) Operating Expense	5,049,955	6,116,773	4,671,828	4,821,527
(C) Employee Compensation and Welfare Expenses	11,106,860	14,686,307	10,791,480	11,784,144
Return on Human Capital Investment (A-(B-C))/C	450%	410%	411%	433%
Total Number of Employees	6,333	6,641	6,395	6,526

Personnel Development

Performance-Oriented Management and Development

The performance management and development system of VIS aims to uncover the potential of employees and enhance their quality. Through collaboration between supervisors and employees, a positive communication model is established, creating a learning environment for continuous growth. The Company's strategic goals are closely integrated with individual work goals to improve both personal and organizational performance.

To strengthen the management skills of supervisors at all levels and establish a common language, the Company has developed a management capability training blueprint and offers various management training courses. In 2024, a total of 23 sessions were held, accumulating 123 hours of management training courses, with 667 participants. Through course discussions and post-course learning plans, supervisors at all levels can apply what they have learned to daily management tasks, continuously improving their management capabilities. Additionally, the Company utilizes competency assessments and performance management systems to establish talent development plans for key personnel at different levels, reserving talents needed for the Company's future development. By the end of 2024, three specialized classes had successfully graduated, cultivating 84 outstanding supervisory talents. Meanwhile, to strengthen employees' professional capabilities, approximately 60 key talents were selected for training at relevant enterprises in 2024.

Performance Evaluation Method

Evaluation Type	Evaluation System	Applicable Targets	Frequency	Implementation Method
Goal Management	Performance Evaluation	All Employees	Semi-annual	Supervisors undertake organizational goals and, after discussing annual goals with employees, jointly formulate outcome measurement indicators.
Diverse Evaluation	Performance Evaluation	All Employees	Semi-annual	Supervisors can provide performance feedback irregularly, but the Company requires a review of goal implementation at least every six months.
Diverse Evaluation	Performance Evaluation	Managerial Staff	Semi-annual	Supervisors may invite external unit supervisors to act as co-evaluation supervisors, providing feedback on employee performance. Managerial staff must participate in cross-organizational evaluations, receiving feedback and suggestions from cross-unit supervisors.
Diverse Evaluation	Personnel Promotion	Promoted Managerial Staff	Semi-annual	Supervisors must invite cross-unit supervisors to provide feedback and development suggestions for nominated personnel, and a committee composed of cross-unit supervisors will review the process and provide feedback and suggestions.
Team	Team Goal Assessment	Unit Teams	Quarterly	The Company sets annual goals for the overall organization, and based on the principle of team orientation, each plant undertakes the Company's annual goals and formulates effective Key Performance Indicators (KPIs). Subsequently, each team within the group identifies key outcomes at various stages, displays organizational goals, and cascades them down to individual goals.
Agile	Monthly Evaluation	Direct Labor	Monthly	Production line personnel review operational quality monthly to ensure it meets expected standards, recording it as a reference for subsequent personnel development.

Enhancing Employees' Cross-Disciplinary Capabilities and Key Training Planning

All employees of VIS have formulated Individual Development Plan (IDP) with company compulsory courses, department compulsory courses, and other elective courses. Supervisors will also provide employees with training resources in accordance with the needs of their current positions to continuously improve the professional knowledge and skills of every employee in different periods.

Project Name	Leadership Development Program - Talent Development Plan for All Levels
Project Objective	Through talent selection and assessment tools, potential supervisors from various regions are selected to participate in a comprehensive development program lasting at least one year. The program aims to enhance leadership skills and provides training courses including core competency training, presentation skills, book clubs, language learning, and benchmarking enterprise learning, ensuring the sustainability of key positions and establishing a management echelon.
Teaching Method	Teaching, Coaching, Mentorship
Learning Approach	Teams, Networks
Training Target	Potential managerial/technical leadership talents, a total of 84 employees participated in the training project (accounting for 1.3% of the total number of employees)
Quantitative Benefits	Since 2022, the promotion rate of program members is 60.7% (holding important positions in the Company), and the retention rate of program members is approximately 95%.

Additionally, the Company also supports employees to develop according to their individual career planning and expertise, advocates proper talents for suitable positions, respects employees' willingness to transfer, encourages employees to accumulate different professional field capabilities, and cultivates internal cross-disciplinary talents. This approach promotes the long-term development of the organization.

Project Name	Leadership Development Program - Managerial Competency Training (New Supervisors, Managerial Positions)
Project Objective	Support frontline and mid-level supervisors in developing team management capabilities and cross-departmental coordination skills. The training program includes topics such as managerial mindset and alignment with corporate values, communication and expression, stress and adversity management, change and conflict management, financial concepts, situational leadership, presentation skills, and enhancement of interview techniques.
Teaching Method	Teaching, Coaching, Mentorship
Learning Approach	Teams, Networks
Training Target	Supervisors at all levels, a total of 646 participants in the training project (accounting for 9.9% of the total number of employees)
Quantitative Benefits	1. A total of 21 sessions were held in 2024, with an overall satisfaction score of 4.7. 2. The pre- and post-training scores for new supervisor training increased by 42%, and the pre- and post-training scores for managerial training increased by 44.4%. 3. In 2024, employee feedback on labor-management issues compared to 2023 showed a 6% decrease in personnel management, a 9% decrease in facilities and services, and a 6% decrease in regulations/personnel systems.

Enhance supervisory leadership capabilities through talent development programs.


Strengthen team management and cross-departmental coordination abilities through management competency training.

Project Name	Cultural Education - New Employee Orientation (New Employee Guidance, Vanguard Newcomer Camp)
Project Objective	1. Through experiential learning, assist new employees in quickly integrating into the Company culture, understanding the organization's mission, vision, and core values (ICVC). 2. Provide opportunities for new employees to interact with senior executives, promoting two-way communication, aiding career development, and fostering collaboration with employees from different departments to enhance cross-departmental cooperation and overall work efficiency. In the course, five senior executives serve as company introduction instructors, sharing professional experiences to enhance new employees' sense of identification with the Company culture.
Teaching Method	Teaching, Mentorship
Learning Approach	Teams
Training Target	All newly hired full-time employees, a total of 89 participants in the training project (accounting for 1.4% of the total number of employees)
Quantitative Benefits	In 2024, a total of 4 sessions were held, with post-course satisfaction scores ranging from 4.68 to 4.85, and a turnover rate of approximately 5.6%.

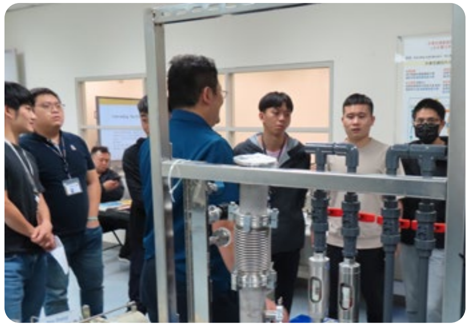

Help newcomers quickly integrate into company culture through experiential learning activities.

Project Name	Cultural Education - 6 Sigma GB Internal Instructor Training
Project Objective	Conduct an 18-week internal seed instructor training course to implement the internal knowledge transfer system, enhancing 6 Sigma expertise and instructor teaching skills. External consultants assist in compiling the teaching materials and provide authorization, arranging for seed instructors to conduct trial lectures with immediate guidance from the consultants.
Teaching Method	Teaching, Coaching
Learning Approach	Teams, Networks
Training Target	After internal selection, 9 seed instructors participated in the training project (accounting for 0.1% of the total number of employees)
Quantitative Benefits	1. In 2024, 1 session was held with a total duration of 42 hours, achieving an overall satisfaction score of 4.9. 2. Starting from 2025, the transition from external to internal instructors for teaching is expected to save the Company approximately NT$1.8 million annually in instructor fees.


Implement knowledge transfer culture through internal instructor development.

Project Name	Cultural Education - New Engineer Competency Training Program
Project Objective	1. Cultivate semiconductor talent through workplace integration, professional training, and communication care, ensuring skill transfer and establishing a professional foundation. 2. The 12-week training includes affinity training courses, covering team development, general education, and professional learning across 10 specialized programs. Teaching methods include mentor training, foundational and advanced courses in various areas, hands-on component operation, and departmental learning-by-doing.
Teaching Method	Teaching, Coaching, Mentorship
Learning Approach	Teams, Networks
Training Target	113 new engineers within six months of employment and 186 internal instructors participated in the training project (accounting for 4.6% of the total number of employees)
Quantitative Benefits	1. The total training duration is approximately 3,200 hours, with workplace care for nearly 113 participants, achieving an overall satisfaction score of 4.7. 2. In terms of organizational benefits, the independent duty time for engineers has been reduced from the original 12 months to 9 months, allowing them to go online 3 months earlier.

Project Name	Transition Program for Retiring and Terminated Employees - Middle-aged and Senior Adaptation Plan
Project Objective	To assist middle-aged and senior employees (aged 45 and above) in effectively coping with life stage transitions, enhancing health knowledge and psychological adjustment abilities, a series of lectures covering topics such as medical care, legal and financial matters, and spiritual growth is planned to be launched starting in 2025.
Teaching Method	Teaching
Learning Approach	Teams
Training Target	A total of 157 participants took part in the training program, accounting for 2.4% of the total workforce.
Quantitative Benefits	In 2024, a total of 4 sessions of kinesiology taping technique lectures were held, with 82 participants, achieving an overall satisfaction score of 4.7.

Strengthen semiconductor professional expertise through engineer competency training.


Assist in adapting to life stage transitions through Middle-aged and Elderly appropriate programs.

Project Name	Digital Transition Program - AI/Digital Transformation to Enhance Productivity
Project Objective	Digital transformation is one of the key development directions for the Company. It is not just about technological upgrades, but more importantly, about improving work efficiency and productivity through the introduction of new technologies. Since 2019, we have been actively promoting advanced intelligent manufacturing and intelligent management centered on Industry 4.0 through the "VIM^2" (VIS Intelligent Manufacturing & Intelligent Management) initiative. By implementing a top-down integration strategy, we have introduced appropriate solutions within the organization to accelerate digital transformation. In 2024, we will continue to enhance this effort by offering seminars and integrating generative AI to help employees acquire basic AI knowledge and expand internal applications. Through the collaboration of business units, IT teams, and management, we aim to promote the knowledge, technologies, and tools of digital transformation, collectively improving product quality and work efficiency.
Teaching Method	Teaching, Mentorship
Learning Approach	Teams, Networks
Training Target	A total of 270 participants took part in the in-person training program, accounting for 4.1% of the total workforce.
Quantitative Benefits	1. In 2024, we offered three sessions of in-person AI courses and subsequently developed seven online AI-related courses (such as Introduction to Machine Learning, Data Project Workflow, Introduction to Deep Learning, MediaTek Generative AI Innovation Sharing, LLM - Opportunities and Challenges of Large Language Models, etc.) available for all employees to select on the digital platform. Starting in 2025, we will fully implement Generative AI (GAIVIS), initiated by the Technical Committee, and continue to plan a series of 16 technical lecture courses. 2. Since 2019, we have been gradually implementing the cloud-based human resources system (SAP), with the learning module in Taiwan officially going live in 2024. 3. Since 2020, we have held the "VIM^2 Award" annually to continuously recognize employees' achievements in technological transformation. Notable outcomes include the application of AI predictive models to actual processes in 2024 (Advanced Process Control - APC), reducing quality anomaly rates by 20% and improving process capability by 15%. From 2021 to 2024, we reduced the cost of goods sold by NT$330 million, saving 0.15% in electricity, 0.28% in raw materials, and 0.28% in maintenance costs.


Improve corporate organizational operations and create new value through digital technology applications.

6.3 Human Rights

VIS supports international human rights norms and places Human Rights as the most important consideration when formulating related policies. VIS' "Human Rights Policy" were announced in October 2018. In terms of employee labor related systems and regulations, it has complied with or formulated the regulations superior to laws and international human rights regulations to ensure that the Company's code of conduct can be aligned with international indicators; it has also been dedicated to establishing active and positive employee relationships and to create a fun and challenging working environment.

Human Rights Policy

VIS is committed to supporting the "Universal Declaration of Human Rights (UDHR)" and is guided by international human rights norms, including the "International Human Rights Covenants", the "ILO Declaration on Fundamental Principles and Rights at Work", the "UN Guiding Principles on Business and Human Rights (UNGPs)", the "OECD Guidelines for Multinational Enterprises", and the "UN Global Compact Ten Principles (UNGC)". We take actions consistent with the "Responsible Business Alliance Code of Conduct (RBA)" and strictly adhere to the laws of the countries where we operate globally to protect Human Rights and create a dignified working environment. We uphold our core corporate values, by implementing the "Human Rights Policy", ensuring that Employees have a Safe Working Environment and are treated with the respect they deserve. At the same time, we demand major suppliers to develop and implement relevant Human Rights Policies in accordance with the provisions of the "Responsible Business Alliance Code of Conduct", and require our supply chain partners to adhere to the same standards.

Human Rights Risk Assessment and Risk Mitigation Measures

VIS promises to ensure the safety of supply chain working environment, the respect and dignity for all employees, emphasis on environmental protection policies, compliance with morality, and constant innovation and improvement plan; the checklist of human rights risks will be established annually according to international human rights conventions and policies, and the supervisors of all responsible units (Human Resources Division, Risk and Environmental Safety Department) will carry out risk assessment and human rights due diligence with respect to all subjects on the checklist. For mitigation of human rights risks, the Company has actively carried out specific improvement plans to create an outstanding, more challenging, safer, and more interesting working environment; meanwhile, it has also provided the educational training of human rights protection to ensure all employees understand their rights.

In 2024, VIS identified a total of 18 human rights risk issues. The following human rights risk matrix is the result of a risk assessment conducted by the responsible units for each topic, based on the probability of occurrence and the severity of the impact. In the 2024 human rights risk assessment, no high-risk issues (9 points); there were seven moderate-risk issues (3-6 points): Safe Working Environment, Privacy (Customers), Physical and Mental Health (Community), Abnormal Workload, Ergonomics, Sexual Harassment, Occupational Injury; a total of eleven issues were identified as low risk (1-2 points): Child Labor, Forced Labor, Unlawful Discrimination and Equal Employment Opportunity, Protection of Personal Data, Occupational Diseases, Occupational Health Protection, Maternity Protection, Freedom of Association, Smooth Labor Management Communication, Human Trafficking, and Work-life Balance.

Human Rights Risks Matrix Diagram

High risk (9 points); Moderate risk (3-6 points); Low risk (1-2 points) ● Severity ● Possibility

	Almost impossible	Impossible	Possible
Severe	3 Safe Working Environment, Privacy (Customers), Physical and Mental Health (Community)	6	9
Moderate	2 Child Labor, Forced Labor, Unlawful Discrimination and Equal Job Opportunities, Protection of Personal Data, Occupational Diseases, Occupational Health Protection, Maternal Protection, Freedom of Association, Labor Management Communication, and Human Trafficking	4 Abnormal workload, Ergonomics	6
Low	1 Work-life balance	2	3 Sexual harassment, Occupational injury

From 2022 to 2024, VIS has conducted comprehensive human rights due diligence across its operations and implemented mitigation measures for all identified risk areas. The Company also maintains oversight mechanisms for contractors and tier 1 suppliers, continuing to strengthen supply chain management to ensure alignment with human rights standards.

In addition, all equity investees have been included in VIS' human rights risk assessment scope to ensure their operations comply with international human rights principles. These investees have completed thorough assessments and adopted mitigation measures for identified risks to ensure labor rights and workplace conditions meet expected standards. While tier 1 suppliers undergo sustainability risk SAQ desk audit or on-site audit, contractors and equity investees are evaluated based on the indicators outlined in VIS' Human Rights Risk Matrix. The results are as follows.

Category	Human Rights Assessment Coverage (2022–2024)	Identified Risk Proportion	Mitigation Measures Implementation Rate	Reporting Basis
Own Operations [Note 1]	100%	15.75%	100%	Calculated by Number of Employees
Contractors	100%	6.91%	100%	Calculated by Number of Contractors
Tier 1 Suppliers [Note 2]	100%	3.15%	100%	Calculated by Number of Tier 1 Suppliers
Equity investees [Note 3]	100%	0.00%	100%	Calculated by Number of Equity investees

Note 1: Own operations include VIS, its subsidiaries, and joint ventures over which the Company exercises management control.

Note 2: Tier 1 suppliers include suppliers engaged in non-single-use transactions with an annual transaction amount exceeding NT$2 million.

Note 3: Equity investees refer to companies in which VIS holds more than 10% of the shares but does not exercise management control.

Human Rights Due Diligence Process

Steps	1. Information Collection	2. Identification of Level of Impact	3. Analysis	4. Execution
Implementation Methods	Assessment of own business, value chain and related businesses, mergers and acquisitions, joint ventures, and other new business relationships	Actual	Primary cause, contributing factors, and correlation conditions	Integrated in the process flow and operation
	Collect and study the issues of risk groups such as employees, women, children, aborigines, immigrants, third-party contracted labor, and local communities	Potential	Scale, scope and remedial ability	Remedies
	Employee Opinion Mailbox	-	Severity and likelihood	Communication
	Feedback of stakeholder	-	-	-

Human rights standards are part of the due diligence process. The responsible unit formulates a due diligence checklist, which includes implementation guidelines for risk assessment, integration of human rights assessment, and execution framework.

Vulnerable Object	Human Rights Issue	Prevention/Mitigation Measures	Remedies	Number of Bases with Improvement Plans and the Ratio of Improvement
All Employees	Occupational Health Protection and Occupational Diseases	**System** • Set the management objective of "Safe with Zero Accident, Healthy with Zero Occupational Disease". Comply with laws and regulations and international conventions to establish a safe and healthy working environment. • Provide all current employees with health examinations every year. • Provide special operation health examinations every year and carry out classified management according to the results of examinations. • Promote health improvement activities and employee assistance programs in conjunction with the Company's philosophy, health examination analysis, and employees' health needs, and encourage the participation by employees. **Training** • List occupational health protection courses as compulsory courses. **Communication** • Through association boards and Employee Communication meetings for advocacy and outreach. **2024 Implementation Results** • A total of 1,057 employees received personalized health guidance from the on-site physicians.	**Compensation** • Arrange outpatient clinics with factory doctors for employees with abnormal health examinations, provide individualized health consultations, and strengthen medical assistance and tracking for employees with medium and high health risks. • Arrange outpatient clinics with factory doctors for employees with abnormal special operation health examinations, provide individualized health consultations and health educations, and provide referral medical assistance and tracking when necessary.	The evaluation indicates that there is no base of risk
All Employees	Abnormal Work Load	**System** • Establishing a disease prevention plan triggered by abnormal workload in VIS. • Arrange overwork scale survey every year, and establish a tracking list for prevention and management of occupational cerebrovascular and heart diseases by combining health check report results. **2024 Implementation Results** • The abnormal workload assessment results indicated that a total of 46 employees needed to undergo interviews, and individual interviews and health guidance were completed within the year.	**Compensation** • Arrange outpatient clinics with factory doctors for employees, provide individualized consultation and professional suggestions, and assist employees in creating health life modes.	The evaluation indicates that there is no base of risk
All employees and resident suppliers	Forced Labor	**System** • Comply with the labor laws of the local government, emphasize the willingness of personnel to freely choose occupations, and never force or threaten personnel to provide labor services. All employees work voluntarily and have the right to terminate their employment relationship at any time. • Employees can file complaints on relevant issues through channels such as the Ombudsman Mailbox and Employee Opinion Mailbox. • Audit the labor conditions of dispatched workers from contractors during the contract period to ensure compliance with regulations, serving as a basis for cooperation evaluation. **2024 Implementation Results** • No incidents or complaints of forced labor. • The labor conditions of contractors in security, catering, cleaning, and transportation services were audited according to labor law regulations, and the results showed compliance with labor standards.	**Compensation** • Mediation and coordination in accordance with internal procedures.	The evaluation indicates that there is no base of risk

Vulnerable Object	Human Rights Issue	Prevention/Mitigation Measures	Remedies	Number of Bases with Improvement Plans and the Ratio of Improvement
All Employees	Work-life Balance to Maintain Employees Physical and Mental Health	**System** • The Company provides employees with diversified art, health, parent and child, and society activities. • The Company provides an EAP (Employee Assistance Program), offering employees professional counseling in psychology, law, finance, health, management, and long-term care, and provide medical services. **2024 Implementation Results** • Various activities such as family days, walking and running events, sports seasons, and employee travel were organized, with over 20,000 participants, promoting employee work-life balance. • The EAP services were used 373 times, with psychological and legal issues being the most frequent.	**Compensation** • Professional consultants assist employees in legal, financial, health, management, psychological and other issues.	The evaluation indicates that there is no base of risk
All Employees	Freedom of Association	**System** • In accordance with the Company's "Human Rights Policy", employees have the right to freedom of association according to local regulations, and the Company respects employees' rights to form unions through legal procedures. • The Employee Welfare Committee encourages employees to participate in legitimate leisure and welfare activities, formulates association management methods, and provides funding subsidies. **2024 Implementation Results** • A total of 30 clubs were operating normally.	**Compensation** • Mediation and coordination in accordance with internal procedures.	The evaluation indicates that there is no base of risk
All Employees	Labor Management Communication	**System** • Provide smooth employee communication channels. • According to the Implementation Measures for Labor-Management Meetings, labor and management representatives shall be assigned in each plant, and employees can make proposals during the quarterly labor-management meeting. • The Chairman Communication Meetings are held once every six months for close communication between Chairman and employees. **2024 Implementation Results** • The employee feedback channel received 364 proposals, all of which were resolved after communication with the proposers. • A total of 16 Labor-Management Meetings and 5 Chairman Communication Meetings were held, with approximately 1,145 participants from the Taiwan and Singapore sites. Additionally, 250 Fab/Area communication meetings were continuously held, with 12,451 participants.	**Compensation** • Mediation and coordination in accordance with internal procedures.	The evaluation indicates that there is no base of risk
All Employees	Protection of Personal Data	**System** • Establish the Personal Data Protection Committee to accept consultation, complaints, exercise of rights of owner of personal data, and emergency notification. • The Personal Data Protection Committee shall carry out regular sampling inspections and reviews and convene regular meetings to strengthen the personal data protection; internal audit and external audit units shall conduct law compliance inspections every year. **Communication** • Carry out occasional advocacy of personal data protection. **2024 Implementation Results** • No personal data leakage incidents.	**Compensation** • Mediation and coordination in accordance with internal procedures. **Punishment** • Mediation and coordination in accordance with internal procedures.	The evaluation indicates that there is no base of risk

Vulnerable Object	Human Rights Issue	Prevention/Mitigation Measures	Remedies	Number of Bases with Improvement Plans and the Ratio of Improvement
Customers	Privacy	**System** • The Company has established a Proprietary Information Protection Policy (PIP Policy), which clearly defines the classification of confidential information and the principles for its receipt, transmission, storage, and usage. • Employees are required to conduct business in accordance with regulations including, but not limited to: information security, "Ethics and Business Conduct", Protection of Personal Data, and the PIP Policy. • The Company has implemented an Enterprise Information Security Management System, strictly enforcing information security policies and management procedures, along with regular customer satisfaction evaluations. **2024 Implementation Results** • All employees have completed the online course "PIP Advocacy – Proprietary Information Protection Policy", ensuring compliance with PIP practices. • The Company received a complaint regarding a vendor-related privacy breach. Investigation results showed no violation of relevant regulations.	**Compensation** • The Company has established a cross-organizational PIP Committee, which holds regular quarterly meetings to review violations and system deficiencies from the previous quarter. When necessary, ad hoc meetings are convened to promptly address time-sensitive cases and issues. • Upon receiving a complaint, the Company will take immediate action based on internal investigation results, such as enhancing employee awareness campaigns to improve privacy protection consciousness.	The evaluation indicates that there is no base of risk
All Employees	Sexual Harassment	**System** • Formulate sexual harassment prevention and management measures, and insist on zero tolerance of discrimination. • Set up Anti-Sexual Harassment Mailbox with the Chief Legal Officer serving as the highest responsible authority. **Training** • Sexual harassment prevention, control, and management are listed as the annual compulsory courses. **Communication** • Maintaining a gender-equal work environment, sexual harassment prevention has been listed as one of the severe Items. Outreach activities like creating animations, and eDMs, are announced through bulletin boards, television, and employee communication meetings. **2024 Implementation Results** • No sexual harassment complaints.	**Compensation** • Comprehensively investigate the who/what/when/where/which of the case, track, audit, and supervisor of individual case, and ensure the effective implementation of punishment or counseling measures to adjust the workplace environment and system to avoid the occurrence of same incidents or retaliations. **Punishment** • The Sexual Harassment Complaint Committee will warn or punish the perpetrators depending on the circumstances of the violation and request the perpetrator to apologize to the victim. If the circumstances are serious, they may be dismissed according to the Company's regulations.	The evaluation indicates that there is no base of risk
Female Employees Who are Pregnant or within One Year After Giving Birth	Maternal Protection	**System** • Establish the VIS Maternal Health Protection Management Plan to provide maternal health consultations and work safety assessments and grading management for pregnant and postpartum women. • Establish maternal health protection and management notification system. **Communication** • Promote the Maternal Health Protection Plan through channels such as bulletin boards and posters outreach. **2024 Implementation Results** • 95 maternal health assessments were completed, allowing all individuals to continue working in their original units, with individualized health consultations and guidance provided.	**Compensation** • Arrange pregnant and parturient women to receive health consultation, work safety assessment, pregnancy and postpartum health guidance from factory doctors, and refer medical assistance and tracking when necessary.	The evaluation indicates that there is no base of risk

Vulnerable Object	Human Rights Issue	Prevention/Mitigation Measures	Remedies	Number of Bases with Improvement Plans and the Ratio of Improvement
All employees and resident suppliers	Ergonomics	**System** • Carry out regular operation analysis and hazard assessment with respect to all employees and resident suppliers. **2024 Implementation Results** • No abnormal findings from ergonomics investigations.	**Compensation** • For suspected hazard cases involving employees and vendors, a nurse will arrange for a health clinic visit, and together with the Risk and Environmental Safety Management Department, perform on-site operational observation. After conducting an analysis of the operational procedures, contents, and actions, suggestions for improvement are made.	The evaluation indicates that there is no base of risk
Community Residents	Physical and Mental Health	**System** • Regular noise and air pollution monitoring to properly manage and reduce health risks for residents. **2024 Implementation Results** • No incidents affecting the physical and mental health of community residents.	**Compensation** • If the physical and mental health of community residents is affected by the Company's operations, the Company will coordinate compensation measures based on the actual situation and immediately improve the pollution conditions.	The evaluation indicates that there is no base of risk
All Employees and Suppliers	Safe Working Environment	**System** • There shall be gas and liquid leakage detectors installed in the plant for on-site real-time monitoring; the operation environment measurement shall be conducted once every 6 months. **Training** • All Employees participate in the work of occupational safety and health, controlling environmental and safety risks from the source; through training, communication, and emergency response drills, strengthening recognition of occupational safety and health responsibilities, and instilling a culture of occupational safety and health. **2024 Implementation Results** • No abnormal Safety Risk was found in the working environment.	**System Adjustment** • Strengthen the education and advocacy of EHS for employees and suppliers. **Compensation** • Implement selection and assignment of workers and health management classification in accordance with the health examination reports and the results of operation environment measurements.	The evaluation indicates that there is no base of risk
All Employees and Suppliers	Occupational Injury	**System** • Carry out hazard identification and risk assessment regularly with respect to the contents and items of all operations. • All construction projects must convene a coordination organization safety meeting in advance to implement the management of dangerous operation permits and on-site operations. **Training** • Safety and health training shall be listed as the compulsory courses for new employees. **Communication** • Industrial safety advocacy must be implemented for all employees and suppliers. • Advocacy of prevention and control of occupational injuries of employees. **2024 Implementation Results** • 7 occupational injury cases, primarily consisting of contusions and sprains. Upon occurrence, employee care and return-to-work procedures were immediately initiated, and the causes of accidents were reviewed to enhance safety management and supervision mechanisms. Additionally, improvements were made to hardware to reduce the risk of human error.	**Compensation** • Occupational injuries and industrial safety cases shall all be listed as the tracking and improvement items, and improvement plans shall be proposed for these cases.	The evaluation indicates that there is no base of risk

Vulnerable Object	Human Rights Issue	Prevention/Mitigation Measures	Remedies	Number of Bases with Improvement Plans and the Ratio of Improvement
Foreign Employees	Human Trafficking	**System** • Comply with the labor laws and regulations of local government and carry out recruiting process flows according to the laws while confirming the identity documents of the interviewees. • Employees are required to sign an employment contract upon reporting for duty ensuring that all procedures comply with applicable regulatory processes. • Cooperate with legal labor agencies to hire foreign direct employees and apply for foreign employee work permits in accordance with laws and regulations. Strictly verify relevant information to ensure that the process flow complies with laws and regulations. **2024 Implementation Results** • There were no incidents of human trafficking.	**Punishment** • By law the Company shall downgrade or suspend the labor agencies with major human rights violations.	The evaluation indicates that there is no base of risk
Employees under 18 years old	Child Labor	**System** • Strictly abide by labor laws and regulations while carrying out the recruitment process flow. • Upon the arrival of hired individuals, conduct thorough data verification to ensure no employees under the age of 18 are hired. **2024 Implementation Results** • No child labor was employed.	**Compensation** • Explain to the hiring unit and assess the improvement plan for each individual case.	The evaluation indicates that there is no base of risk
All Employees and Job Seekers	Unlawful Discrimination and Equal Employment Opportunity	**System** • Promote and implement internal control procedures, abide by labor laws and regulations of local government, and never discriminate job applicants based on the screening conditions of race, class, language, ideology, religion, party affiliation, place of origin, place of birth, gender, sexual orientation, age, marriage, appearance, facial features, and physical and mental disabilities. • Employees can make complaints of relevant issues via the Ombudsman Mailbox and Employee Opinion Mailbox. • Carry out recruitment process flow according to laws and regulations to eliminate unlawful discrimination. **2024 Implementation Results** • No incidents of employment discrimination.	**Compensation** • Mediation and coordination in accordance with internal procedures.	The evaluation indicates that there is no base of risk

Employee Communication

VIS takes employees' opinions and ideas seriously, so that it establishes diversified and smooth employee opinions feedback channels and provides bilateral open communication environment to improve the harmonic labor-management relationship. The highest responsible parties in charge of each communication channel include the independent director, Chairman, President, Vice President & CFO, CLO, Human Resources Director, and Director of each fab. In 2024, there were a total of 364 cases reported through the Employee Opinion Channels. All reported cases were handled properly and promptly by appropriate units with the highest confidentiality principle and, depending on the situation, a special task force was established. This includes 191 cases of " Speak Out", 136 cases in the Employee Opinion Mailbox, 37 cases in the Ombudsman Mailbox, and 0 cases in the Anti-Sexual Harassment Mailbox.

A sexual harassment complaint is a situation where there is inappropriate contact against the willingness of the victim in the workplace, causing the victim to feel offended. We have formulated the "Regulations Governing Sexual Harassment Prevention" in accordance with the "Act of Gender Equality in Employment" and "Regulations for Establishing Measures of Prevention, Correction, Complaint and Punishment of Sexual Harassment at Workplace", where the Sexual Harassment Complaint Committee shall carry out undisclosed investigation procedures to protect the parties concerned, and based on investigation result, to provide behavioral education, observation, and coaching, as well as performance punishment, and keep records to close the case. In addition, relevant mechanisms are promoted through the Company's internal website, Electronic Bulletin Board, and new employee training materials, ensuring that all employees are informed and implement them.

The Company respects the establishment of enterprise labor unions by employees in accordance with legal procedures. The Company has established clear and smooth communication channels with the labor unions, including regular quarterly labor-management meetings, and communication between union supervisors and human resources units at all times, the Company holds at least 2 Chairman Communication Meetings semi-annually,: one is managers of specific job grade and above, and the other is an employee communication meeting open to all employees. A total of 5 sessions were held in 2024, where the Chairman shared the Company's operational status and future outlook, and responded to each employee's questions, effectively conducting two-way communication. To maintain a harmonious and trusting relationship through the aforementioned channels, no collective agreements have been signed, resulting in 0% coverage of employees under such agreements. All labor-related policies and regulations for employees comply with the "Human Rights Policy" and are formulated with reference to practices of leading industry peers. Employees are also encouraged to provide suggestions through the mentioned communication channels.

To continuously create a communication-friendly environment and proceeding toward an "open management model", adhering to the principles of efficient communication, starting from 2022, regular Fab/Area Communication Meetings have been held for face-to-face communication between supervisors and employees. Transparent Communication and listening to employees' voices allows for Immediate feedback and effective problem-solving, further strengthening employee relationships.

Frequency and Content of Implementation of Diversified Communication Channels

Item	Implementation Frequency	Content Description	2024 Implementation Results	Working Conditions
Labor-Management Meeting	Quarterly	Organized separately at each fab in accordance with the law.	A total of 16 labor-management meetings were held across four fab locations in Taiwan.	• 2025 Calendar and Flexible Leave Usage for Regular Day Shifts, along with adjustments and additions to the 2025 Group Insurance Self-Pay Plan. • Recommendation for adjustment of meal subsidy amounts. • Suggestion to change the minimum unit for applying for annual leave from 0.5 days to 0.5 hours to enhance leave flexibility. The current minimum unit for annual leave applications already exceeds the standards set by regulations. • Recommendation to add flexible working hour shifts. After reviewing industry practices, the existing five shift types already effectively balance life and work quality needs, so no additional shifts will be added at this time.
Employee Opinion Channels	Occasionally	Speak Out, Employee Opinion Mailbox, Ombudsman Mailbox, Anti-Sexual Harassment Mailbox, Audit Committee Mailbox, Chairman's Mailbox, and President's Mailbox.	There were a total of 364 grievance cases in the Year, with a case closure rate of 100%.	• Work-Life Balance: Includes flexible working hours, overtime regulations, work hours management, and workload balance. • Compensation and Benefits: Competitive salary levels. • Work Environment: Safe and adequately equipped work facilities. • Management Approach: Open communication and timely adjustments to management methods.
Chairman Communication Meeting	Half year	Communication Meeting for Managers of Specific Job Grade and Above, and All Employees Communication Meeting.	There were five sessions of the Chairman's Communication meetings throughout the year, with approximately 1,145 participants from the Taiwan and Singapore Fabs.	• Work-Life Balance: Includes flexible working hours, overtime regulations, work hours management, and balanced workloads. • Compensation and Benefits: Competitive salary levels. • Work Environment: Safe and adequately equipped work facilities. • Management Approach: Open communication and timely adjustments to management methods.
Fab/Area Communication Meeting	Occasionally	Each fab/area holds a Fab/Area Communication Meeting, Skip Level, or Workshop based on actual needs.	In 2024, a total of 250 sessions were held, with 12,451 participants from the Taiwan and Singapore facilities.	• Work-Life Balance: Includes overtime regulations, work hours management, and balanced workloads. • Management Approach: Open communication and timely adjustments to management methods.

Survey of Employee Recognition of Business Philosophy

VIS has always emphasized every employee's opinion, which can serve as the basis for improvement measures to create a more harmonic working environment and to strengthen the cohesion of employees. In order to understand the recognition level among employees toward the Company's business philosophy, since 2018, the Company has cooperated with expert consultants to conduct the "Survey of Employee Recognition of Ten Business Philosophies". The survey in 2023 covers employees in Taiwan, the West Coast of the United States, and Singapore. The response rate was 99.98%, with an approval rating of 4.55/5.0 points, an increase of 0.13 points from 2020. All items showed significant improvement, indicating that employees highly appreciate the Company's business philosophy and dedication (work commitment).

The questionnaire covers the Business Philosophy and the Aspect of Employee Engagement, with a total of 51 questions, answered on a five-point Likert scale. The business philosophy includes a total of ten concepts. The average level of recognition from all employees for the aspect of business philosophy is 4.55 points, and 85.0% of the employees agree, which is slightly higher than the recognition level in 2020 (4.42 points, 77.3%). For the business philosophies with higher recognition, the Company will continue to promote relevant policies and programs to consolidate existing results. For items with lower recognition, the Company will review current policies and extensively collect employee opinions. Business partners from each department will communicate and investigate with each Area and Fab to analyze the reasons for lower recognition and propose improvement plans. Based on the survey results, the Company formulates maintenance strategies for the top three business philosophies with higher recognition in each Area and Fab, and propose action plans for the three with lower recognition, planning to strengthen policies and communication mechanisms to enhance employees' understanding and support of the business philosophy.

Years		2018	2020	2023						
Response Rate		92%	98.2%	99.98%						
Aspect	Content	All Employees	All Employees	All Employees	Gender		Job Position			
					Male	Female	Non-Management	Frontline Management	Mid-level Management	Senior Management
Business Philosophy Article 1	Upholding Ethical Business Practices	4.39 point (77.5%)	4.42 point (77.3%)	4.55 point (85.0%)	4.53 point (83.9%)	4.56 point (86.0%)	4.54 point (84.7%)	4.65 point (87.6%)	4.58 point (86.1%)	4.65 point (89.1%)
Business Philosophy Article 2	Focusing on Core Business									
Business Philosophy Article 3	Internationalized Operation with View on Global Market									
Business Philosophy Article 4	Focusing on Long-term Business Strategies, Striving to Be a Perpetual Enterprise									
Business Philosophy Article 5	Treating Customers as Partners									
Business Philosophy Article 6	Building Quality into All Aspects of Our Business Compliance									
Business Philosophy Article 7	Constant Innovation and Entrepreneurial Vitality									
Business Philosophy Article 8	Creating a Dynamic and Enjoyable Working Environment									
Business Philosophy Article 9	Establishing an Open Management Style									
Business Philosophy Article 10	Being a Good Corporate Citizen by Contributing and Caring for both Shareholders and Employees									
Employee Engagement	Commitment	4.42 point (86.3%)	4.42 point (85.1%)	4.56 point (88.6%)	4.56 point (87.8%)	4.56 point (89.2%)	4.54 point (88.0%)	4.70 point (93.2%)	4.66 point (92.1%)	4.80 point (94.5%)

Explanation:
1. The questionnaire uses a five-point Likert scale (5 points for strongly agree, 4 points for agree, 3 points for neutral, 2 points for disagree, and 1 point for strongly disagree) for responses.
2. The percentages in brackets are the percentages of employees answering Agree and Strongly Agree.
3. The following investigation result represents the employees' work motivation (Purpose), whether they enjoy work (Job Satisfaction) and Happiness. the degree (Applies to unanswered question sets)

Aspect	Level of agreement	The percentages of employees answering Agree and Strongly Agree
Work Motivation (Purpose - internal motivation, e.g., my work has a clear sense of purpose)	4.55 point	92.6%
Enjoyment from Work (Job satisfaction - external motivation, e.g. I am satisfied with my job)	4.45 point	88.4%
Sense of Happiness from Work (Happiness - e.g., I feel happy at work most of the time)	4.39 point	86.3%

Diversity and Inclusion: Creating an equitable and inclusive workplace environment

VIS regards employees as its most valuable asset, and is committed to creating a diverse, equitable, and inclusive culture. The Company provides a safe and healthy work environment and equal opportunities for development, enhancing employee recognition and helping both employees and the Company to grow together. The Company is committed to promoting diversity and inclusion, with a particular focus on addressing the challenges faced by underrepresented groups, including women and foreign employees. By listening to their voices and creating an inclusive and equitable work environment, the Company ensures that every employee feels respected and valued. This approach enhances employee recognition and supports their personal and professional growth.

Women V Employee Resource Group: Strengthening women's influence and workplace support

The Company regards women's empowerment as an important sustainability indicator, striving to deeply understand the challenges faced by women at VIS to create a better work environment, strengthening the recruitment and retention of female engineers. In May 2023, the Company established its first employee resource group, "Women V," with Vice President of Finance Amanda Huang serving as Chair and Area Heads as Vice Chairs. Collaborating with Human Resources, Risk and Environmental Safety Management, Finance, and Public Relations departments, Women V operates under the mission of "uniting VIS female power, promoting diverse dialogue, unlocking personal potential, realizing self-value, supporting mutual growth, becoming better selves, and jointly creating a healthy, balanced, diverse, and inclusive friendly workplace." It focuses on four core areas: internal activities and seminars, campus connection management, optimization of labor conditions and work environment, and brand marketing.

Women V holds quarterly meetings to report on the progress of women's empowerment projects and listen to employee feedback. Through small seminars, DEI (Diversity, Equity, and

VIS is committed to creating an equal and inclusive workplace environment.

Inclusion) courses, and lectures, it promotes intergenerational communication and the establishment of a female-friendly workplace environment. In 2024, two focus group sessions were held, inviting 35 employees of different generations and genders to engage in deep exchanges with female senior executives, yielding fruitful results. Additionally, the first DEI lecture series was held in two sessions, with 62 employees participating, aimed at strengthening the elimination of unconscious bias and promoting intergenerational communication and cooperation, continuously creating a friendly and inclusive workplace.

Our social responsibility initiatives focus on community engagement and employee welfare. Starting from July 1, 2024, VIS officially launched a flexible working hours system to better accommodate the needs of employees balancing work and family. Multiple shifts are now available for employees to choose from, catering to individual and family needs. The first satisfaction survey for the flexible working hours policy showed that 2,606 employees (45.1%) responded, with a satisfaction rate of 87.9%.

Additionally, in January 2024, the Company held its first one-day "Junior Engineer Winter Camp," which received enthusiastic responses from employees' children. In August, the program was extended into a two-day 'Junior Engineer Summer Camp,' featuring a variety of innovative courses including semiconductor education, environmental education, arts and crafts, scientific experiments, and safety education. A total of 120 children participated, and the event was highly praised by employees. The Company plans to continue and innovate the content of these camps, providing opportunities for employees to engage in parent-child learning activities.

Women V Employee Resource Group: Hosted its first DEI seminar and holds quarterly women's empowerment forums to strengthen female influence and promote diversity in the workplace.

Women V Employee Resource Group: Organized the "VIS Junior Engineers" camp, encouraging parent-child co-learning and fostering a family-friendly support system.

VIS Family: Promoting Multicultural Integration

Comprised of members from 14 countries worldwide, the VIS Family is dedicated to creating a friendly work environment that respects diverse groups. The Company integrates various cultures and continuously promotes interaction among employees from different backgrounds. Every Christmas, the Company organizes activities for employees from the Philippines, allowing them to experience warmth similar to their hometown while in Taiwan. These events are co-hosted by the Talent Acquisition and Business Partner Department and the Manufacturing Department, ensuring a sense of belonging and festive warmth. The Deputy Director of Fab 5 also attends, supporting with "Woman Power" to empathize with the challenges faced by female workers. The event has received enthusiastic feedback from Filipino employees, with over 100 positive comments on the official Facebook post. Additionally, the cafeteria regularly features Filipino comfort food to warm the hearts and stomachs of employees, enhancing job satisfaction and happiness. Every year during the year-end banquet, the Company reserves special performance time for foreign employees to sing together with the Chairman, fostering a lively and enthusiastic atmosphere that allows more employees to feel the warmth and energy of their peers, and promoting cross-cultural understanding. In addition to organizing diverse activities, the Company now regularly conducts employee communication sessions to understand the needs of foreign employees and promptly address them, ensuring that all employees can find a sense of belonging at VIS and co-create a diverse and inclusive work environment.




VIS Family: Promoting multicultural integration and inclusion.

6.4 Workplace Health Management

Health Management

VIS is dedicated to creating a safe and healthy workplace by providing health examinations at frequencies superior to the statutory requirement, including physical and health examinations for new employees, special operation personnel, and current employees. We have appointed professional nurses, special on-site service physicians, and occupational physicians according to the laws and regulations to provide employees with professional consultation on medical and health examination reports, along with the comprehensive health management plan including special protection, health promotion, and psychological counseling in order to enhance the employees' health awareness.

To help employees better understand their individual health risks, VIS has optimized the “Health Management App”. In 2022, this included adding individual health grading, allowing employees to track their health trends over the years, emphasizing the importance of health, and increasing awareness of self-health management. The app is also fully integrated with the National Health Insurance Express platform, consolidating medical and medication records and it can be connected to personal wearable devices for comprehensively recording daily sleep, walking, and other health information. This creates a comprehensive record of an employee's health history, allowing employees to enjoy "holistic health anytime, anywhere."

In 2024, VIS received recognition and commendation for our services in workplace health, employee welfare promotion, and epidemic prevention initiatives, and was awarded the "TCSA Outstanding Performance in Sustainable Practices - Workplace Wellbeing Leadership Award”, "Outstanding Healthy Workplace - Health Care Award from the Health Promotion Administration, Ministry of Health and Welfare", and "Epidemic Prevention Vanguard Award - Gold Award."

H2U Health Bank+ App Promotional Poster.

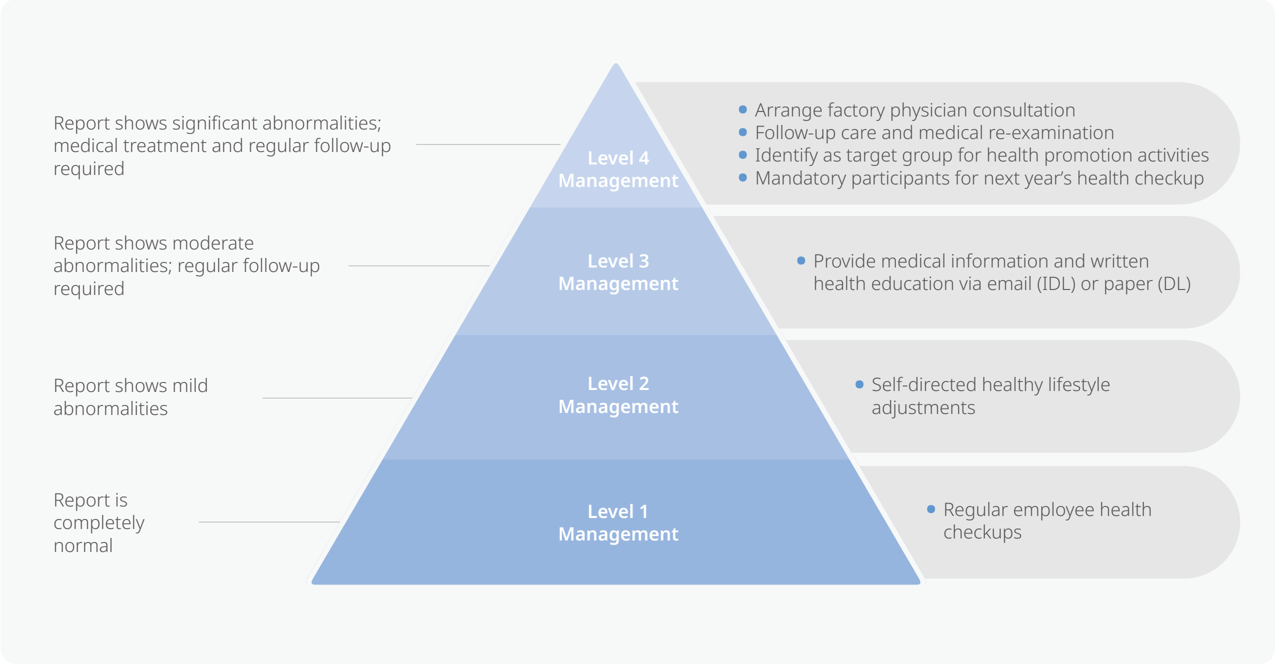
TCSA Outstanding Performance in Sustainable Practices - Workplace Wellbeing Leadership Award.

Outstanding Healthy Workplace - Health Care Award.

Epidemic Prevention Vanguard Award - Gold Award.

Special Protection

VIS conducts special operational health examinations every year to care about employees' health. In 2024, the number of people undergoing special hazardous operations (including noise, ionizing radiation, arsenic, nickel, and indium) in the Taiwan Region was 313, with a 100% completion rate. The result of special operation health examination indicates that there are no personnel of the Third Level and Fourth Level Management; for the personnel of the Second Level Management, factory occupational physicians have been assigned to interview them to provide personal health guidance. At the same time, based on the results of health check reports, lists for occupational-induced cerebrovascular and heart disease prevention management and moderate-to-high aged work aptitude assessment have been established. Proactively arranging for occupational physicians providing individual counseling and professional advice helps employees create healthy lifestyle patterns. In addition, we are regularly conducting surveys on employees' musculoskeletal status and overload, actively promoting, and ensuring our employees' physical and mental health, and safety of the working environment.



Health Grading Management Measures Level 1 to 4.

On-site Physician Consultation Services Poster Across All VIS Site.

Factory Physicians Provide Individualized Consultation and Professional Advice.

VIS is committed to maternal health protection and promoting suitable work for middle-aged and elderly employees, ensuring employees' physical and mental health and a friendly workplace environment. In terms of maternal health protection, VIS has a Maternal Health Protection Management Plan, arranging health consultations, work safety assessments, pregnancy and postnatal health guidance, establishing resting stations for expectant mothers, exclusive parking spaces, breastfeeding rooms, and baby exclusive gifts, ensuring the physical and mental health of female labor force during pregnancy, after childbirth, and while breastfeeding, and achieving the purposes of Maternal Health Protection. In 2024, a total of 95 maternal health protection consultations were completed, with tracking and care carried out according to the classification management assessed by physicians, and the continuous promotion of the Maternal Protection 2.0 plan through regular advocacy to strengthen protection concepts. Additionally, the Company thoughtfully provides "VIS Baby Exclusive Gifts: My Deer Diaper Cover, Baby Bath Gift Box" to employees with newborns, with a total of 81 VIS babies receiving these gifts.

For middle-aged and elderly employee care, VIS has developed a work plan tailored to their needs. The plan targets employees aged 45 and above, conducting risk assessments, arranging on-site factory physician consultations for suitability evaluations, and implementing necessary job assignment adjustments in compliance with Occupational Safety and Health regulations. These measures ensure workplace safety as well as physical and mental well-being for middle-aged and elderly workers. In 2024, the plan covered 180 employees, with physician consultations arranged, and all participants were deemed suitable to remain in their original positions after evaluation.

Workplace Maternal Pregnancy Notification Process Promotion.

Postpartum employee receive VIS' Exclusive Gifts for Babies.

Health Care Program

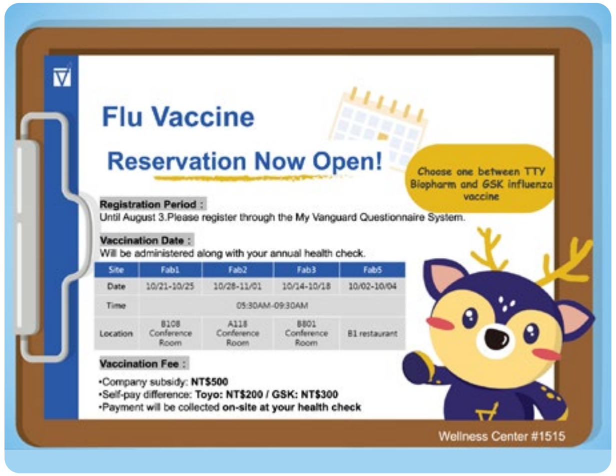
VIS provides annual health checks for all employees in service. In 2024, there were a total of 5,128 participants in Taiwan, with a check-up rate of 97%. This health check also incorporated screenings for oral cancer, colorectal cancer, and hepatitis B and C in conjunction with the Health Promotion Administration, allowing eligible individuals to undergo related examinations on-site. During the annual health check, a comprehensive overwork scale assessment was conducted to understand employees' fatigue and stress levels in work and personal life, and to identify abnormal work overload and high health risk groups based on the ten-year cardiovascular disease risk from the health check results. For highly abnormal health check results, the Company arranges on-site physicians to provide individualized health consultations, enhancing medical assistance and tracking for employees with moderate and high health risks. In 2024, a new in-factory re-examination mechanism was added to improve the re-examination rate, allowing timely monitoring of abnormal value changes and evaluation of improvement effects for those with highly abnormal results. In 2024, the number of times people visited the factory clinic for counseling was a total of 1,057.

Flu prevention is a key safety and health item for VIS. Every year, the Company arranges flu vaccinations in conjunction with health check events. To meet different group needs, in 2024, two kinds of vaccine brands were provided for employees to choose from. Each individual was granted a NT$500 subsidy for the vaccine, and in 2024, a total of 1,764 employees got vaccinated with a total subsidy of NT$882,000.

Health Check-up Poster Across All VIS Site.

Annual Health Checkups Arranged for All Employees.

Annual Flu Vaccinations Conducted Alongside Health Checkups.



Annual Flu Vaccinations Poster Across All VIS Site.

Health Promotion Activities

- **Women's Cancer Screening - Early Detection, Early Treatment**
  VIS supports female employees by organizing three sessions of women's cancer screenings, including cervical smear tests and mammograms, with a total of 265 participants. These screenings enable early detection of abnormalities, prompt diagnosis, and timely treatment, helping to minimize the impact of disease on individuals and their families.

- **Health Seminars - Establishing Correct Health Concepts**
  Metabolic syndrome has become a major health threat in modern society, and failing to address it over time can lead to cardiovascular diseases and other chronic conditions. To help employees develop a better understanding of health, four seminars on metabolic syndrome were held, with a total of 139 participants. In addition to prioritizing employees' health, the Company recognizes their concerns about children's growth and development. In response to the increasing prevalence of precocious puberty in recent years, a pediatric endocrinologist from Mackay Children's Hospital was invited to provide professional insights on prevention and management strategies. 39 employees attended the event.

- **Caring for Middle-aged and Elderly Employees - Kinesiology Taping Seminar**
  As individuals age, muscle and joint issues can significantly impact quality of life. To support the health of middle-aged and elderly employees, the Company invited professional physical therapists to conduct a kinesiology taping seminar. Participants learned taping techniques to alleviate muscle fatigue, improve joint stability, and reduce the risk of injuries during exercise or daily activities. A total of 157 employees took part in the seminar, which received enthusiastic praise.

Three rounds of women's cancer screening events held in 2024.

Special lecture on precocious puberty by a pediatric endocrinologist.

Four lectures on metabolic syndrome to promote health awareness among employees.

Kinesiology taping workshop for middle-aged and senior employees.

- **Self-funded Vaccination - Strengthening Immune Protection**
  To enhance employees' self-protection and immunity, timely vaccinations were offered to ensure comprehensive disease prevention and lower the risk of infection and severe illness. Self-funded vaccination programs for shingles and pneumococcal disease were arranged, with 333 participants benefiting from the initiative to improve their health and safety.

- **Online Walking and Weight Loss Competition - Cultivating Exercise Habits**
  To encourage employees to adopt regular exercise habits, the "VIS Forest Travel - Online Walking and Weight Loss Competition" continued in 2024. The event featured Taiwan's Top 100 Mountains as a theme, incorporating ultra-slow running and physical mountain climbing check-ins to enhance engagement and enjoyment.

  Spanning 12 weeks, the competition attracted 1,473 participants, who collectively walked 500 million steps — approximately 310,000 kilometers, equivalent to circling Taiwan 316 times. Additionally, 256 employees participated in the weight loss challenge, shedding a total of 630.5 kilograms, averaging around 2.5 kg per person.

Online Walking Challenge: 2024 "VIS Forest Journey" poster.

Self-funded vaccination events for shingles and pneumococcal disease to enhance immunity.

Online Weight Loss Competition: 2024 "VIS Forest Journey" poster.

6.5 Occupational Safety and Health

6.5.1 Environmental, Safety, and Health Policy and Management System

Environmental, Safety, and Health Policy

VIS specializes in IC design, R&D, manufacturing, and sales, adhering to the core values of "integrity, customer-oriented, value-oriented, and commitment." VIS actively engages with internal and external stakeholders, including customers, employees, suppliers, shareholders, and society, to establish strong interactions and enhance mutual understanding and consensus. Through consultations, VIS collaborates with stakeholders to formulate this policy. Additionally, this policy applies to environmental, safety, and health investigations conducted before mergers and acquisitions, reinforcing the Company's commitment to achieving the goals of "zero workplace accidents and sustainable environmental development."

VIS "Environmental, Safety, and Health Policy" is drafted and revised by the Environmental, Safety, and Health (ESH) Committee reviewed by the Board of Directors, and applies to all operations locations and contractors. The Risk & Environment Safety Management Department (RESM) is in charge of supervisor and promotion, and presenting performance and results during quarterly ESH Committee, and reporting major accidents to the Board of Directors.

The scope of the "Environmental, Safety, and Health Policy", as well as the Environmental/Safety and Health Management System, has been published on the Company website. Additionally, all contractors are required to comply with the Company's policy in executing safety and health management. During contractor safety and health training, the "Environmental, Safety, and Health Policy" is explained to ensure that all contractors working at VIS fully understand and adhere to the Company's regulations.

Environmental, Safety, and Health Management System

VIS independently adheres to the requirements of ISO 14001, ISO 45001, and relevant environmental, safety, and health regulations to establish a comprehensive Environmental, Safety, and Health Management System. All facilities have obtained ISO 14001:2015 and ISO 45001:2018 third-party certifications, while Taiwan facilities have additionally secured TOSHMS certification. Stakeholders, including suppliers and the public, can verify the status of related certifications through the Company website.

Note: The verification scope includes all personnel working within the premises of each facility but does not include company dormitories.

As factory engineering department, and equipment engineering departments, will conduct a risk assessment and registration and identification of environmental aspects related to safety and health based on activities, products, and services in the workplace, process hazards, insurance company audits, expert advice, cases occurring in any department or friendly factories, and legal requirements. They are carried out by senior personnel assigned by each unit, and proposals for environmental protection and safety and health (ESH) programs must be put forward for the execution of improvement for items with high risk and significant environmental aspects. The major methods for promotion are as shown below:

- **Regulatory Compliance Identification**
  The RESM Department logs into the national regulatory database and other relevant websites each month to review the latest environmental, safety, and health regulations. This ensures compliance with applicable laws and the requirements of other stakeholders.

- **Environmental, Safety, and Health Risk Assessment & Management Plan Development**
  Each facility in Taiwan assigns senior personnel, while the Singapore facility designates trained personnel, to conduct risk assessments for workplace safety and hygiene, as well as registration and identification of environmental considerations. For any identified high-risk or significant environmental concerns, proposals for ESH improvement plans must be submitted and implemented.

  ESH proposals undergo an initial review by the proposing unit supervisor, department safety representative, and the RESM Department. Upon approval by the regional ESH committee chairperson, the plans are executed. Each facility reports its ESH implementation performance during monthly plant-level ESH committee meetings, with all facilities' performance summarized and presented at the Company-wide ESH committee meetings every quarter.

- **ESH Performance Measurement and Environmental Monitoring Management**
  Each unit assigns personnel to operate and maintain equipment and facilities according to standard operating procedures. Regular functionality assessments are conducted based on ESH testing results, as well as internal and external issues, stakeholder expectations, and regulatory requirements. These evaluations ensure that all facilities comply with relevant ESH regulations and company environmental and safety management standards.

  VIS has established an Environmental Monitoring Management Plan to ensure that air pollution, wastewater, waste disposal, soil contamination, groundwater quality, and noise levels meet regulatory requirements. Pollution control measures align with environmental protection standards.

- **ESH Competition to Promote a Safety Culture**
  The Facilities Engineering Department and Module Engineering Department in Taiwan conduct ESH Performance KPI competitions every six months. Evaluation criteria include incident reduction, continuous ESH improvement, and operational control measures. Winning units receive awards and bonuses in recognition of their achievements.

  Singapore Fab organizes the Annual Best Workplace Safety & Health Performance Award competition, with assessment criteria covering monthly incidents, inspection detection/closure rates, ESH initiatives, knowledge-sharing sessions, and meeting attendance rates.

- **Implementation of Internal and External Audits**
  VIS has established the "Environmental, Safety, and Health Corrective and Preventive Actions and Internal Audit Measures" to verify compliance with relevant operational principles and standards through internal audits. Based on audit results, the Company implements appropriate corrective and preventive measures to achieve continuous improvement objectives, maintain the effectiveness of the ESH system, and ensure that effective countermeasures are taken when actual or potential abnormalities occur. This helps prevent recurrence of similar issues and supports ongoing improvement efforts.

  The RESM Department conducts internal audits every six months for Taiwan facilities and annually for the Singapore Fab, while a third-party certification body is entrusted with conducting annual management system audits to ensure continued effectiveness.

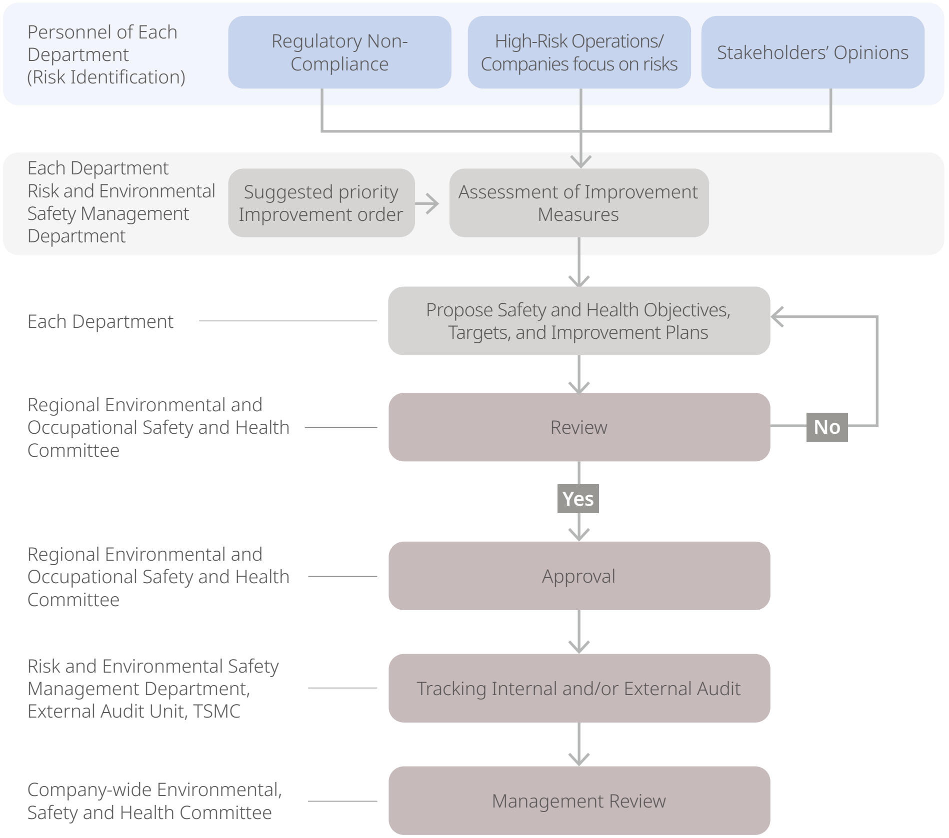
  The internal audit for 2024 identified a total of 48 deficiencies, including 2 minor non-conformities, 7 corrective actions required, and 65 recommendations for improvement. The primary deficiency type was "Insufficient Personnel Awareness / Inadequate Safeguarding Mechanisms," accounting for 44% of findings, followed by "Failure to Timely Review OIs / Form Applicability" at 32%. Examples are provided in the table below:

	Missing reason	Improvements Actions
Audit result description	**Insufficient Personnel Awareness / Inadequate Safeguarding Mechanisms: Examples** 1. The nighttime gas and chemical assault operation requires four workers to be deployed simultaneously at the valve manifold box (VMB) end of the supply room and the clean room. However, the chemical and gas filling operation management (TCGM) and the plant water gasification night shift are insufficient to meet the needs of two people working simultaneously. 2. SMOC2-2408-001 pre-activation inspection was rejected by the RESM Department, but the applicant failed to complete the required closure process. **Failure to Timely Review OIs / Form Applicability: Examples** 3. Work permits were not closed in accordance with the "Hazardous Work Permit Measures", and no construction application was submitted for general operations. 4. Risk assessment forms and environmental aspects must incorporate climate change-related impact issues.	1. The RESM Department has issued an e-CAR for the deficiencies, requesting departments to submit improvement and corrective action plans. 2. Electronic awareness campaigns have been launched to clarify SMOC closure requirements, supplemented by email reminders and Power BI monitoring for unclosed application cases. To ensure that the same failure does not occur again, the RESM department will continue to collaborate with other departments to conduct root cause analysis and review measures to prevent recurrence. In addition, corrective measures will be implemented simultaneously in all factories, and awareness among colleagues will be raised through promotional activities to ensure that improvement plans are effectively implemented.

If an abnormality or deficiency is found, an accident investigation system and a Corrective Action Request (CAR) will be opened to require the defective unit to improve. The environmental safety and health management follows the PDCA implementation method as follows:

Environmental, Safety and Health Management Structure Chart

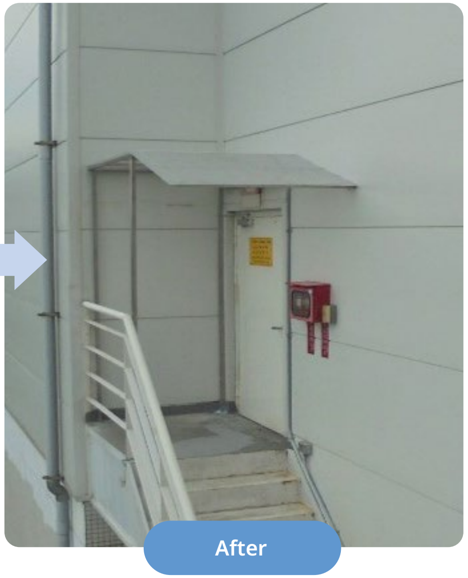
The implementation and operation process flow of the environmental safety and health organization



VIS is committed to promoting green manufacturing, integrating environmental sustainability as a key objective of its environmental policy. In 2024, all facilities collectively implemented 28 environmental improvement initiatives that focused on energy and resources conservation, waste reduction, and pollution control enhancement. These initiatives included upgrading the E500 Scrubber from a heated system (Edwards) to an adsorption system (ICS), implementing CF4 gas reduction measures for 85DP and 88DD equipment, and optimizing the CDA Dryer by adjusting regeneration airflow to lower energy consumption. Additionally, RE equipment was modified from APM to LTMC, reducing chemical costs, optimizing acid discharge, and improving waste acid treatment. The Company also improved the Gas VMP recovery system to enhance resource reutilization. Meanwhile, RMBK 4A-BG850 incorporated refinements in abrasion technology to reduce adhesive usage, further lowering the environmental impact of production processes.

Beyond these equipment and process upgrades, VIS continues to prioritize sustainable purchasing practices by selecting environmentally friendly recycled products, such as hand towels and printing paper. The Company ensures that all raw materials comply with restricted substance regulations, minimizing environmental harm while maintaining high operational standards.

Important safety and health-related programs executed in 2024 are as follow:



Fab 1: 69kV 3F Daylight Cover Installation and Improvement Project

(Risk Level: 3 → 5)

Fab 3: Emergency Shower and Eyewash Station Upgrade with Additional Pressure Pump and Pipeline Modifications

(Risk Level: 3 → 5)

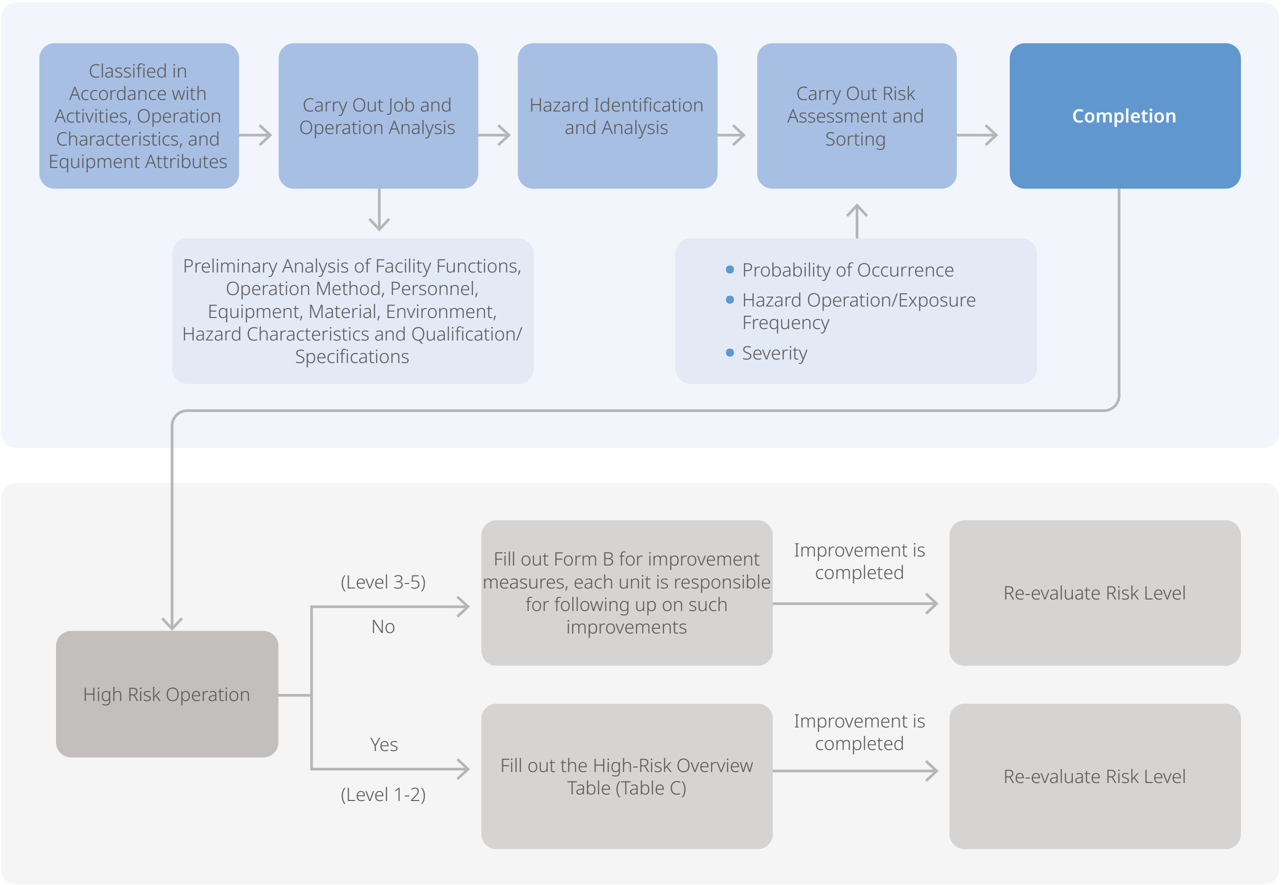
Hazard Identification, Risk Assessment, and Accident Investigation

Relevant responsible departments (The Facilities Engineering Department and Module Engineering Department, etc.) should assign senior personnel (those with more than two years of experience) or section-level supervisors to serve as hazard identification and risk assessment personnel. They will assess their various operations, facilities, and activities, including routine and non-routine tasks, hazard classifications (including physical, human, chemical, biological, and psychosocial hazards), planned or new product development or modified activities, products, and services. The assessment will cover employees, contractors, agents, visitors, contract personnel, individuals involved with the interface of leased facilities, and other external personnel who need to enter the workplace for work-related reasons. They will identify safety and health hazards associated with equipment, facilities, and the production environment, considering personnel behavior, capabilities, and other human factors that may introduce risks to operational activities. Based on the identification results, they will carry out operational improvements and risk and opportunity assessment controls.

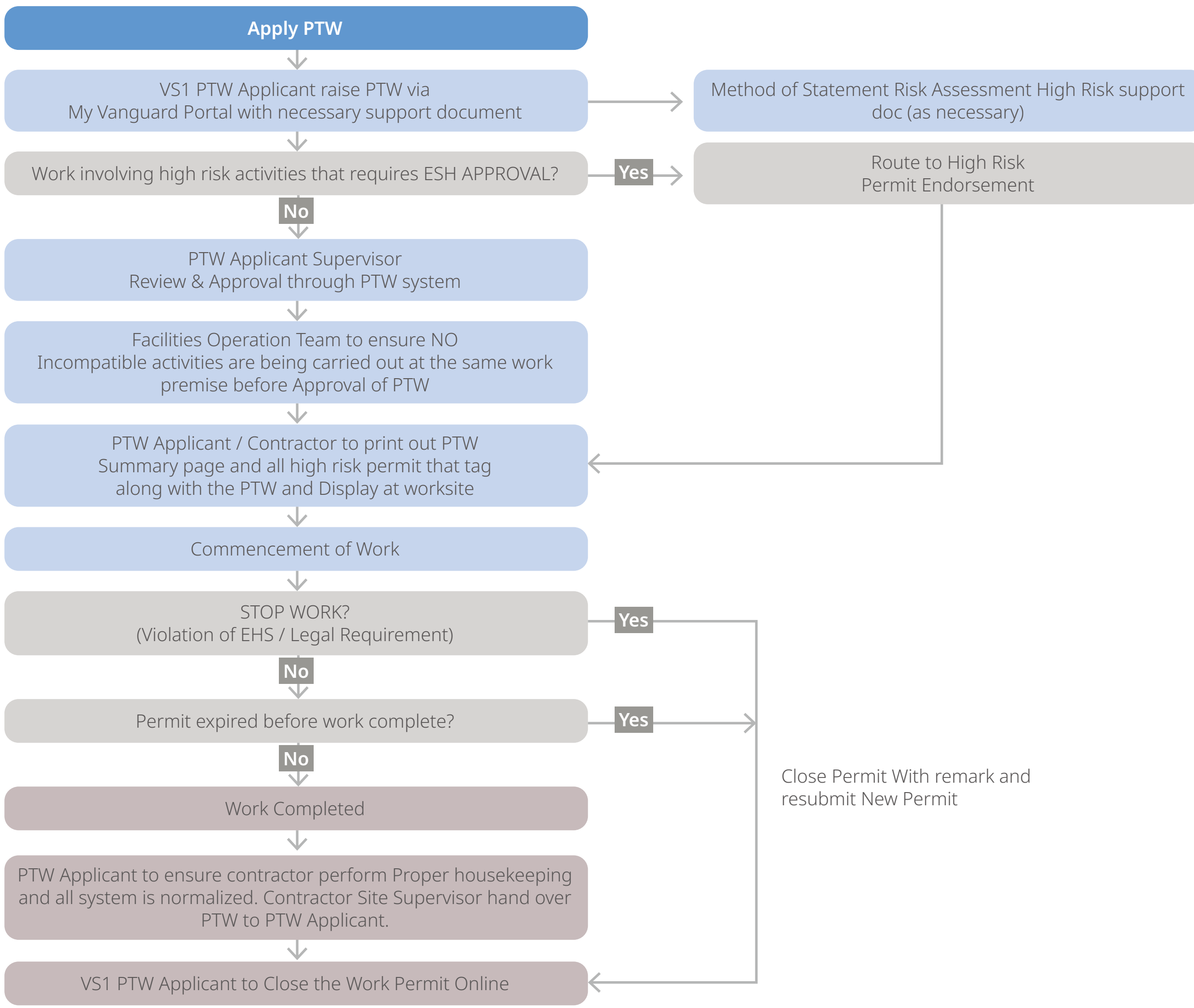
The 2024 risk assessment results for the Taiwan fabs identified the top five hazard types

Ranking	Hazard Type	Percentage %
1	Fire/Explosion/Fire Alarm	12.6%
2	Chemical Splash/Contact	11.4%
3	Falling/Flying Objects	8.0%
4	Electric Shock	7.9%
5	Pinching, Rolling, Crushing/ Compression Injuries	7.9%

Operating Procedures for Hazard Identification and Risk Assessment of Taiwan Plant



Operating Procedures for Hazard Identification and Risk Assessment of Singapore Plant



The 2024 risk management implementation results for the Singapore fab identified the top five risk items:

Ranking	Risk Type	Risk Item (Description of Severity or Scope of Identified Issue)	Risk Level
1	Hazard Risk	Fire Risk: A major fire could result in the damage of more than one cleanroom passage.	Moderate
2	Operational Risk	Power Outage Risk: Extended lead times for critical components of the high-voltage power supply system; the lack of an N+1 design for the 22KV transformer and vacuum circuit breaker (VCB) could lead to production interruptions.	Moderate
3	Operational Risk	Parts Supply Risk: Insufficient inventory or difficulty in obtaining critical parts for bottleneck tools could lead to production interruptions.	Moderate
4	Employee Turnover or Lack of Skilled Personnel	Manpower Risk: An outbreak of a pandemic or a BCP event could result in changes to key functions or positions and manpower shortages, affecting business continuity.	Moderate
5	Compliance Risk	Legal Issues: Violations of occupational safety, health, and environmental regulations.	Low

Risk and Opportunity Assessment

(1) The responsible department should assign personnel to evaluate the risks and opportunities within the department or section. The responsible department should assign personnel to be responsible for the assessment of department or section risks and opportunities.

(2) The abovementioned assigned personnel, based on the collection of internal and external environmental, safety, and health issues and stakeholders' needs, will discuss with the supervisor to select SWOT analysis themes for risk and opportunity assessment. Fill out the SWOT analysis form for risks and opportunities, analyzing strengths/opportunities, strengths/threats, weaknesses/opportunities, and weaknesses/threats, and take corresponding measures. Improvements should be made based on the total score evaluation results.

(3) After selecting significant environmental, safety, and health issues, the responsible unit should establish improvement measures and targets. These should be planned through project meetings, the ESH committee, and continual improvement activities (Continual Improvement Team, CIT), determining the execution of ESH improvement plans and their prioritization.

If the results of hazard identification, risk assessment, and environmental aspects reveal items of major risk and significant environmental aspects, the management plan needs to be formulated. The ESH plan is initially approved by the proposing unit supervisor, the department's safety representative, and the risk management organization, and then implemented after approval by the chairperson of the regional ESH Committee. Each plant shall report the ESH implementation performance during the plant ESH committee meeting every month, and the ESH implementation performance of all plants shall be summarized and reported during the ESH committee of the entire company.

VIS has stipulated in the "Safety and Health Rules" that when the personnel performing their duties found the "imminent danger", without endangering the safety of other workers, they may stop operations and evacuate to a safe place on their own, and immediately report to their immediate supervisors. The Company must not dismiss, transfer, retaliate, and refuse to pay wages during the suspension of operations, or take other unfavorable punishments for those who exercise the right of retreat.

Contractor Management

During the coordination organization meeting for all outsourced engineering or contracted operations in the Taiwan plant, the business undertaking unit and the contractor are required to fill out Job Safety Analysis (JSA) for engineering hazard analysis, identifying problems early and proposing appropriate improvement strategies. A toolbox meeting must also be convened before the daily engineering operation, informing the contractor's personnel of the possible risks of the day's operation and any required protective measures.

There must be risk assessment based on work activities hazard analysis for contracted operations in all outsourced projects or contracted business in the Singapore plant. During the toolbox meeting, contractors shall be notified of the emergency evacuation plan, Personal Protective Equipment (PPE) requirements, scope of work, and method of work. For contractors/maintenance providers who have just taken over the Singapore plant, it is necessary to conduct on-site inspections with the contractors/maintenance providers to familiarize themselves with the site of the Singapore plant.

During hazardous and high-risk operations, if any safety concerns arise, any VIS employee is authorized to inquire, halt the operation, and notify the Emergency Response Center or the responsible unit immediately.

The Company has established the "Procurement specifications for machines/ equipment, personal protective equipment, raw materials, service environment safety health." The purpose is to ensure that the Company's procurement of machinery/equipment, personal protective equipment, raw materials, and labor-related services comply with environmental safety and health regulations. Relevant domestic and international standards requirements (such as CNS (Chinese National Standards), IEC (International Electrotechnical Commission), FM certification, etc.) are incorporated into these procurement regulations.

Chemicals Management

The risk levels of hazardous chemicals used or stored in Taiwan plant shall be assessed in accordance with the degree of health hazard, distribution status, and consumption, and hierarchical management shall be adopted. If there is any chemical change in Singapore plant, the change management shall be implemented according to the technical data document “Engineering Change Risk Management Measures.”

Taiwan plant: The RESM Department shall outsource the operation environment monitoring according to the regulatory requirements once every six months, and the results of monitoring shall be announced and the units with abnormality detected shall be requested for improvement.

Singapore plant: The industrial sanitation inspection shall be implemented for dangerous chemicals every year according to the local regulatory requirements.

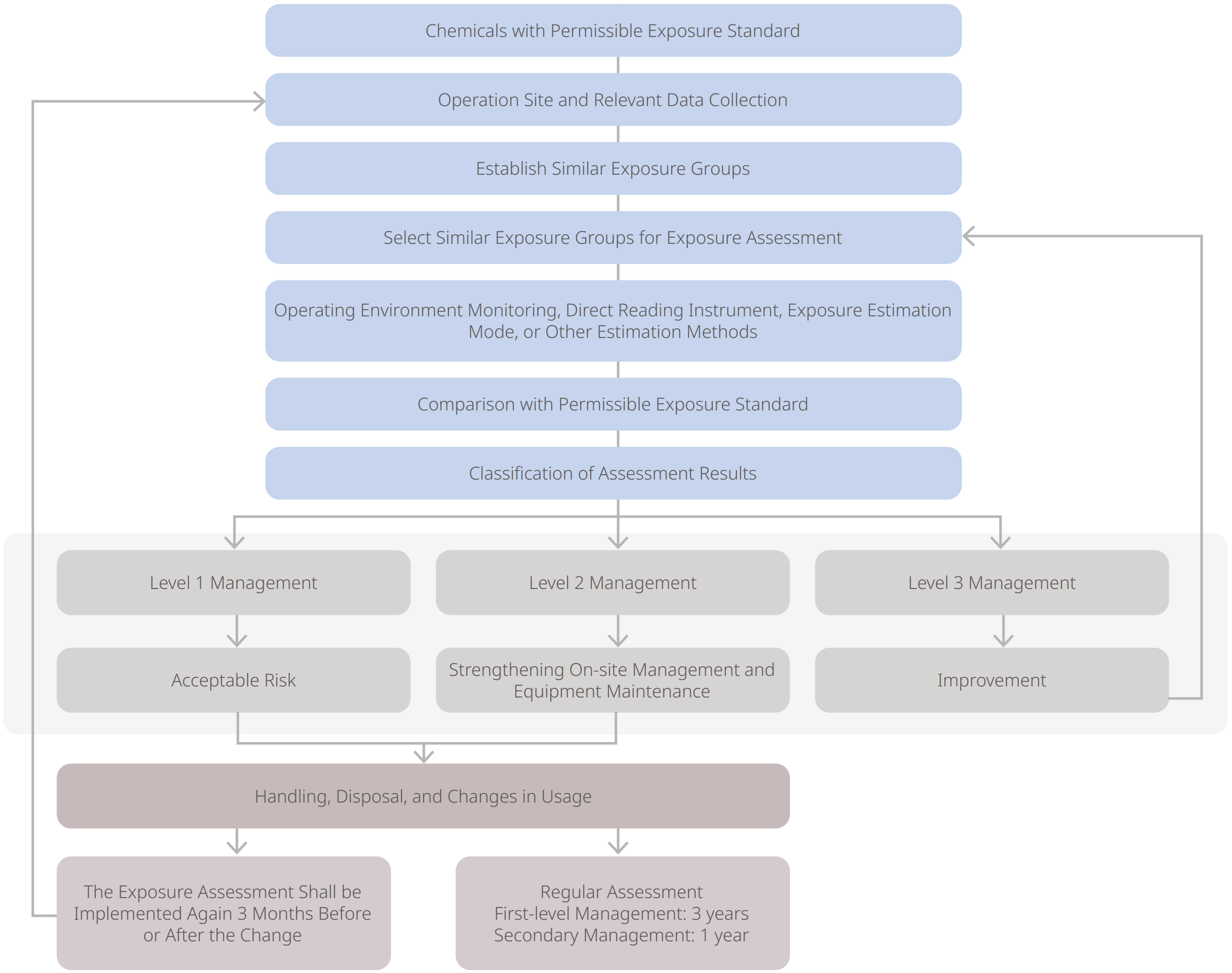
For new chemicals used for the first time by the Company, a new material evaluation meeting and change management review meeting must be convened according to regulations to confirm whether the chemical poses health hazards, is a controlled chemical, or is a reproductive or toxic hazard substance. Based on the assessment results, it will be included in the operation environment monitoring items, and measures such as maternal health protection workplace hazard assessment will be adopted.

The number of new chemical applications submitted across all facilities over the past five years is summarized in the table below.

	2020	2021	2022	2023	2024
Number of Applications	5	8	9	8	17

VIS has established the "Measures For Employee Safety And Health/ Environmental Protection Education And Training" in accordance with Articles 27 and 32 of the Occupational Safety and Health Act, the Regulations for Occupational Safety and Health Education and Training, and the Key Points for Implementing Occupational Safety and Health Education and Training. Environmental protection personnel are designated based on the “regulations and management measures of the Environmental Protection Specialized Units” and the enterprise requirements for appointing professional waste management technicians as specified in public announcements.

The assessment results and classification management process for chemicals with allowable exposure standards are as right:



Emergency Response

The Emergency Response Centers (ERC) in all VIS facilities conduct annual appropriate emergency response trainings and drills according to the "Emergency Response Handling Plan Instruction". The Company has established an "Emergency Response Action Plan". If abnormal accidents occur within the factory, the ERC must respond and handle the emergency according to various emergency procedures. For instances like gas leaks or fire alarms, the ERC will broadcast for all personnel in the area to evacuate to the designated area first, and members of the trained Emergency Response Team (ERT) wearing protective gear will deploy to confirm and handle the emergency. Then, the internal and external reporting to the Supervisor and the investigation of the accident will be initiated according to the "Accident Notification/Accident Investigation Methods". All accidents/deficiencies will be tracked for their improvement progress and reported to all members and labor representatives in the plant safety and environmental committee and the Company's safety and environmental committee.

In 2024, a total of 316 sessions of ERT drills and trainings were organized in the Taiwan and Singapore plants, with 5,952 participants, achieving a 100% completion rate.

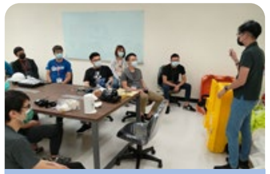
Environmental, Safety, and Health Incident Reporting and Investigation

VIS has established the "Accident Notification and Investigation Methods" to provide clear guidelines for incident reporting and handling. This ensures that all VIS workers and contractors can promptly report incidents to the relevant units in the shortest time possible, following established procedures. Each facility unit and the headquarters are responsible for incident handling according to their respective duties. They must implement corrective measures based on the root cause of the incident and continuously improve safety protocols to minimize risks and losses.

Additionally, the Company has developed the "VIS Staff Injury Accident Handling Procedure" to manage workplace injuries and illnesses, including those occurring during commutes to and from work. This policy ensures that affected employees receive medical assistance and that preventive measures are implemented to reduce the likelihood of similar incidents recurring.

The process of accident investigation and subsequent handling is as the next page:

Organized in the Taiwan and Singapore facilities | 5,952 participants / 316 sessions | ERT drills and trainings achieving a 100% completion rate



ERT Basic Emergency Response Training
70 people
12 Sessions

ERT Advanced Emergency Response Training
1,048 people
186 Sessions

TE & Office Evacuation Drill
3,328 people
16 Sessions

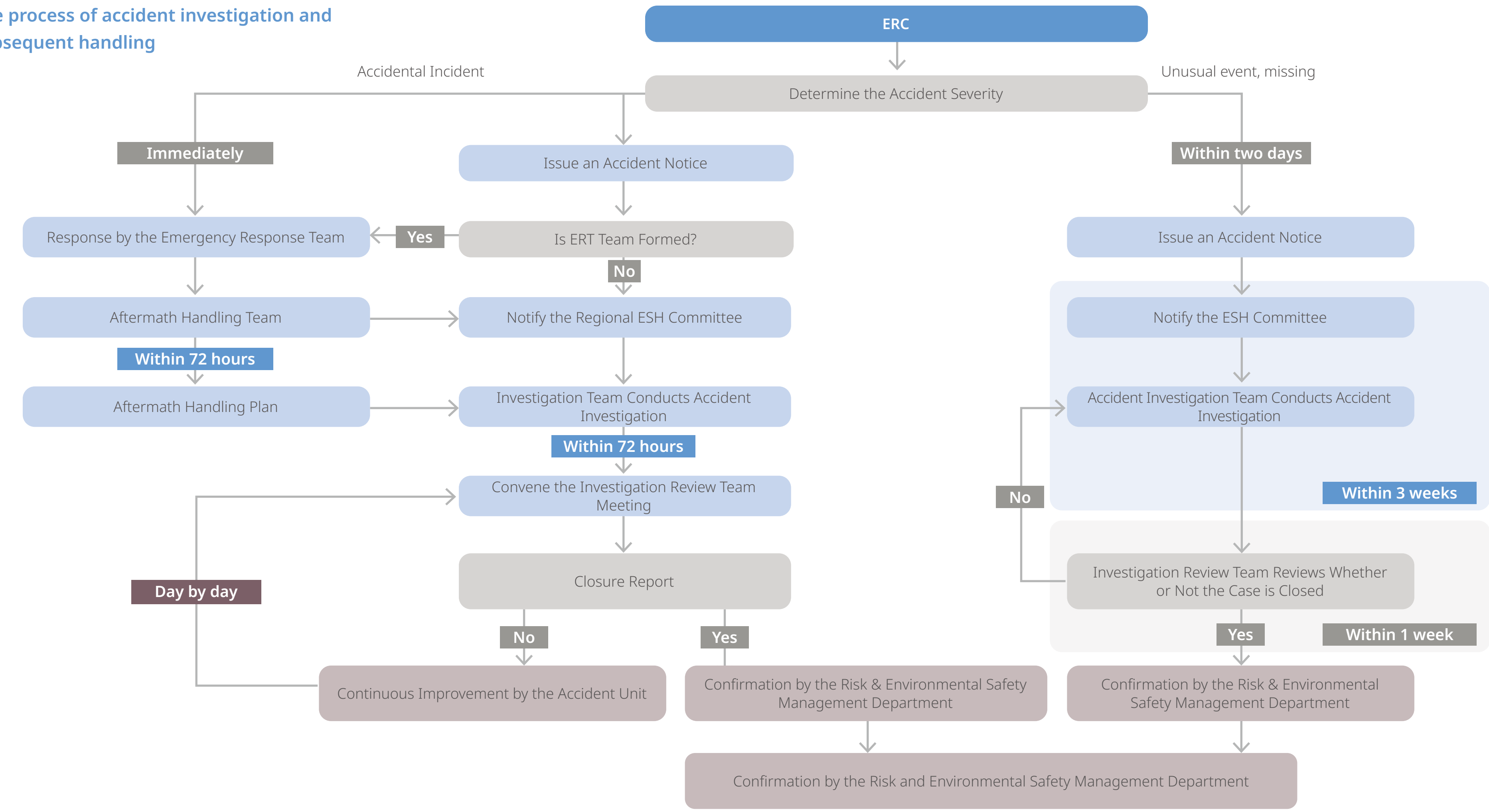
ERT Professional Training
135 people
8 Sessions

ERT Basic Firefighting Live Fire Training
88 people
8 Sessions

Commander & ERT Team Leader Training
623 people
30 Sessions

ERT Drill & Unannounced Drill
660 people
56 Sessions

The process of accident investigation and subsequent handling

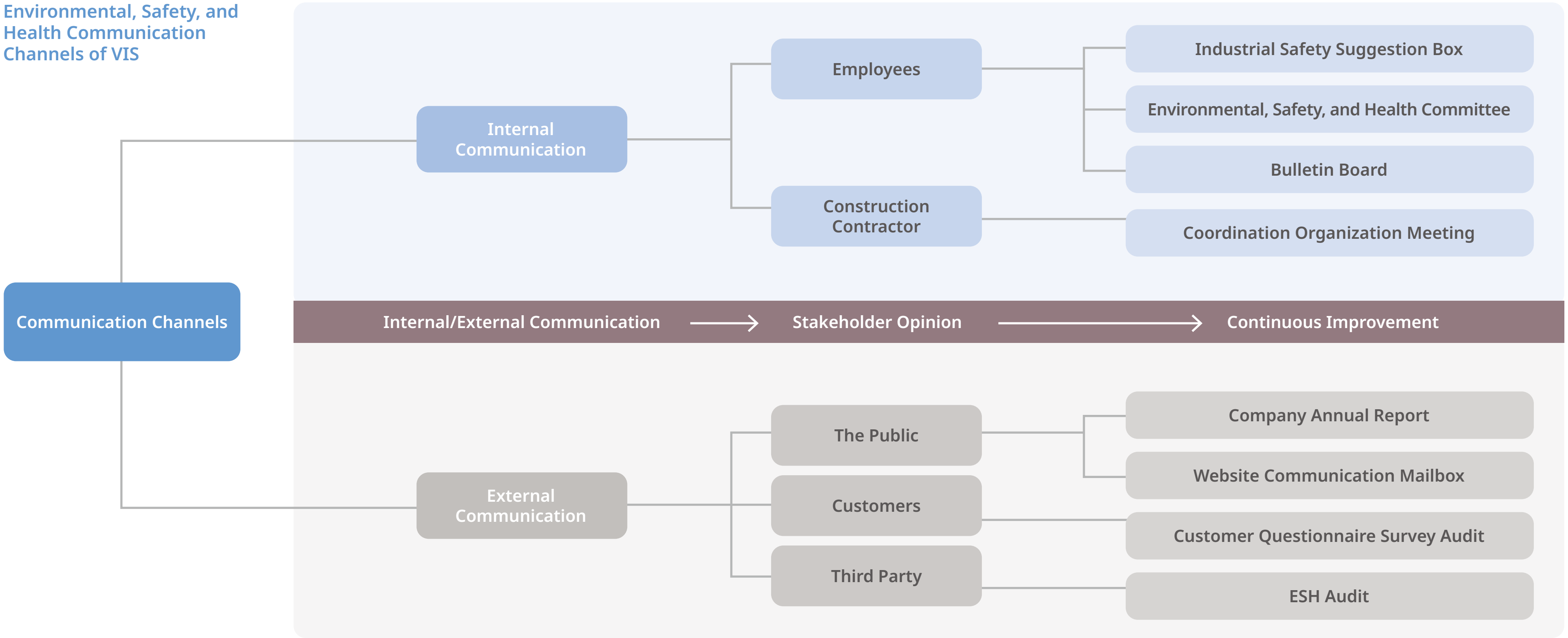


Participation, Consultation, and Communication of Environmental, Safety and Health Workers

VIS has a dedicated emergency response personnel available 24 hours at the plant to provide consultation. ESH issues can be referred to the regular day-shift engineer responsible for safety and environmental protection. The Company ensures effective communication through various channels, including TE (Operator) communication monthly meetings, physical and electronic bulletin boards, departmental environmental safety meetings, regional-level ESH committee meetings, and the labor-management e-communication platform. Employees and stakeholders can also provide feedback through the industrial safety suggestion box, the suggestion improvement system, and the newcomer symposium, as well as by reporting concerns directly to managers or industrial safety representatives.

Farther, Resident vendors encountering issues during routine operations can immediately report them to the responsible engineer or raise concerns during the monthly Hook-up (second pair) coordination organization meeting held in Taiwan plant. Additionally, environmental, safety, and health-related discussions with vendor staff can be conducted through supplier audits, ensuring continuous improvement in workplace safety and compliance.

Environmental, Safety, and Health Communication Channels of VIS



Environmental, Safety, and Health Committee

VIS has established an Environmental, Safety, and Health (ESH) Committee, comprising the president, department supervisors, labor representatives, plant nurses, and safety and health personnel. This committee conducts regular reviews of ESH-related implementation status to ensure compliance and continuous improvement.

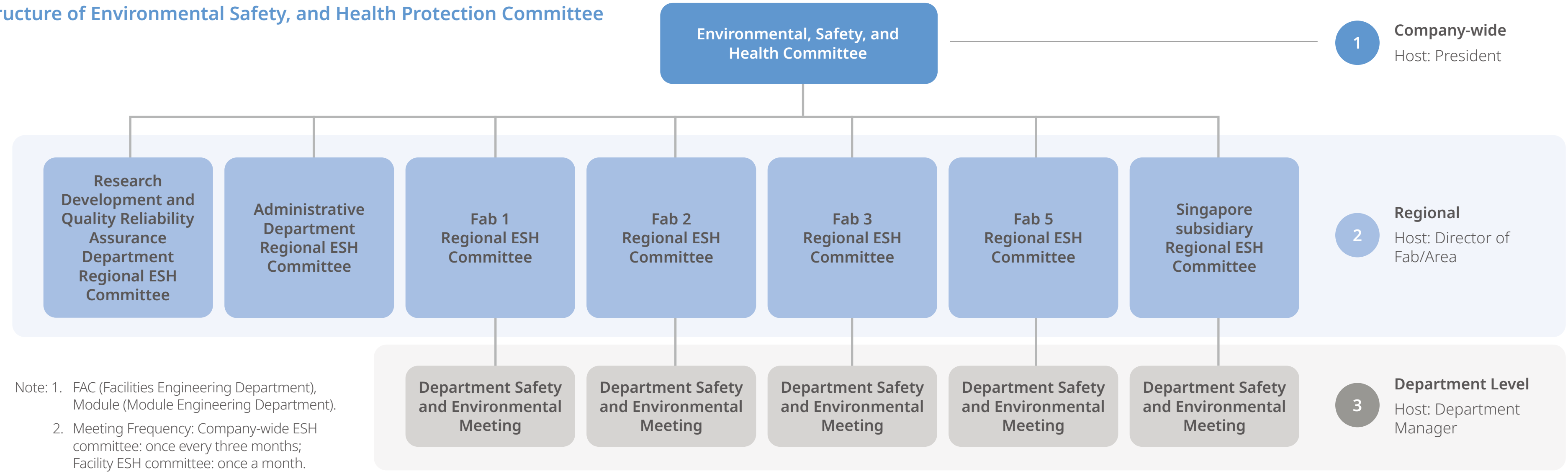
Additionally, regional ESH committees have been established based on departmental operations, allowing for more focused and effective improvement proposals tailored to specific workplace needs. This structure enhances overall management performance and enables departments to review and refine their safety protocols in alignment with their operational characteristics.

Committee Representatives: The president (management representative), heads of each regional plant (division), ESH and nursing personnel, department managers, and labor representatives (comprising more than one-third of total members).

Labor Representatives: Elected through the labor-management meeting and selected from each regional ESH committee.

At Singapore Fab, the workplace ESH committee consists of management and employees. However, under the Workplace Safety and Health Law, labor representatives are not mandatory for this committee structure.

Structure of Environmental Safety, and Health Protection Committee



Note: 1. FAC (Facilities Engineering Department), Module (Module Engineering Department).
2. Meeting Frequency: Company-wide ESH committee: once every three months; Facility ESH committee: once a month.

Workers Covered by the Occupational Safety and Health Management System

VIS has a total of 6,419 employees: 5,568 in Taiwan Fabs and 851 in Singapore Fabs (excluding VSMC personnel).

The total number of workers controlled by the contracting firm or workplace is 477 (366 from Taiwan Fabs and 111 from Singapore Fabs), accounting for 6.9% of all workers. (The above numbers and ratios of workers have been verified and confirmed internally and externally by the Company).

Note: The number of employees/contractors is as of December 31, 2024.

6.5.2 Statistics of Occupational Injuries

In 2024, there were 7 occupational injury incidents in VIS Taiwan fatalities, primarily involving bruises, with no fatalities; there were no occupational injury incidents in the Singapore facility. These incidents were all minor injuries occurring during operations. After the incidents, the Company immediately activated the employee care mechanism, arranged for employees to recuperate, and return to work, reviewed the causes of the accidents, strengthened various aspects of workplace safety management and supervisor monitoring mechanisms, and improved hardware equipment to reduce the risk of human error.

In 2024, other incidents at VIS were all near misses, including four chemical leaks, two gas alarm system activations, and two fire alarm system activations. Each incident was reviewed immediately to identify the causes, strengthen workplace safety management and supervisor monitoring mechanisms, and improve hardware equipment to reduce the risk of human error.

VIS will continue to enhance the awareness of operational hazards among all workers and continuously optimize the safety management of the working environment to ensure that all employees and contractors work in a safe environment.

Statistics of Occupational Injuries - Taiwan Facilities

	2021		2022		2023		2024	
Total Number of Employees	63,275		68,204		67,840		66,008	
Total accumulated work hours	11,838,737		12,555,198		11,613,543		11,957,047	
Number of Occupational Injuries	8		8		10		7	
Number of People with Occupational Injuries	Male	Female	Male	Female	Male	Female	Male	Female
	2	6	2	6	3	7	1	6
Occupational Injury Number Proportion Note 1	0%	0%	0%	0%	0%	0%	0%	0%
Occupational Injury Frequency Note 2	0.17	0.51	0.16	0.48	0.26	0.60	0.08	0.50
Severity Rate of Occupational Injuries Note 3	2	11	1	6	3	17	0	3
Total Injury Index Note 4	0.02	0.07	0.01	0.05	0.03	0.10	0	0.04

The total number of days lost due to occupational injuries is the sum of the days when employees of the Company are temporarily or permanently unable to return to work due to injuries; the calculation of these cases does not include the traffic accidents took place during commuting.

Note 1: The proportion of occupational injury number is calculated as an integer, anything below is ignored.

Note 2: Occupational injury frequency=(Number of occupational injuries / Total person-work hours(including overtime hours)) x 1,000,000.

Note 3: The severity rate of occupational injuries = (Total loss of days due to occupational injuries / Total working hours (including overtime)) x 1,000,000.

Note 4: The comprehensive injury index = √(Occupational injury frequency * Occupational injury severity /1,000).

Note 5: There were no contractor occupational disaster incidents from 2021 to 2024.

Statistics of Occupational Injuries - Singapore Facility

	2021		2022		2023		2024	
Total Number of Employees	10,692		11,579		10,257		9,868	
Total accumulated work hours	2,009,902		2,030,325		1,826,320		1,810,476	
Number of Occupational Injuries	2		4		0		0	
Number of People with Occupational Injuries	Male	Female	Male	Female	Male	Female	Male	Female
	1	1	5	0	0	0	0	0
Occupational Injury Number Proportion Note 1	0%	0%	0%	0%	0%	0%	0%	0%
Occupational Injury Frequency Note 2	0.50	0.50	2.46	0	0	0	0	0
Severity Rate of Occupational Injuries Note 3	7	7	19	0	0	0	0	0
Total Injury Index Note 4	0.06	0.06	0.22	0	0	0	0	0

The total number of lost days due to occupational injuries refers to the sum of days employees are temporarily or permanently unable to return to work due to injuries; the count does not include traffic accidents occurring during commutes.

Note 1: The proportion of occupational injury number is calculated as an integer, anything below is ignored.

Note 2: Occupational injury frequency=(Number of occupational injuries / Total person-work hours(including overtime hours)) x 1,000,000.

Note 3: The severity rate of occupational injuries = (Total loss of days due to occupational injuries / Total working hours (including overtime)) x 1,000,000.

Note 4: The comprehensive injury index = √(Occupational injury frequency * Occupational injury severity /1,000).

Note 5: There were no contractor occupational disaster instances from 2021 to 2024.

Absentee Rate

	2021	2022	2023	2024
Total Company Work Hours	13,848,639.0	14,585,523.0	13,439,725.0	13,767,523.0
Impact Hours Due to Occupational Injuries, Personal Leave, and Sick Leave	140,478.5	224,377.5	181,121.5	113,411.0
Occupational Injury Absenteeism Rate	0.01%	0.01%	0.01%	0.00%
Personal Leave Absenteeism Rate	0.39%	0.33%	0.28%	0.19%
Sick Leave Absenteeism Rate	0.61%	1.20%	1.05%	0.63%
Overall Absenteeism Rate	1.01%	1.54%	1.35%	0.82%

6.5.3 Environmental, Safety and Health Educational Training and Promotion

VIS adopts an employee-centered approach to promote safety education, training, and professional skill certification. Through comprehensive training, employees strengthen their safety awareness, expand their knowledge and skills, and foster a shared safety culture, thereby creating a "Healthy, Happy Workplace and Joyful Homeland."

VIS follows the “Safety, Health and Environmental Protection Education and Training Regulations” and the annual safety course plan to implement various training programs. Based on the training participants, job content, and work requirements, the programs are categorized into four major types: on-the-job training, environmental promotion training, professional training, and disaster prevention training. Training effectiveness is verified through assessments to strengthen employees’ safety awareness and to achieve the goal of protecting their occupational safety and physical health.

I. VIS Educational Training Planning and Implementation Process Flow

Establish Annual Training Plan

- Statutory Training Courses
- Employee Safety, Health and Environmental Education & Training Regulations
- Firefighting / Fire Alarm / Emergency Response Training
- Professional Firefighting / Chemical Disaster Training

Course Management and Post-training Performance Evaluation

- Training Completion Tracking
- Training Assessment
- Performance Reporting
- Certificate Submission
- Feedback from the Learning Management System (LMS)

Training Record Filing and Completion Rate Management

- Environmental Safety LMS System Completion
- Retraining Schedule Setup
- Assignment of Supervisors at All Levels

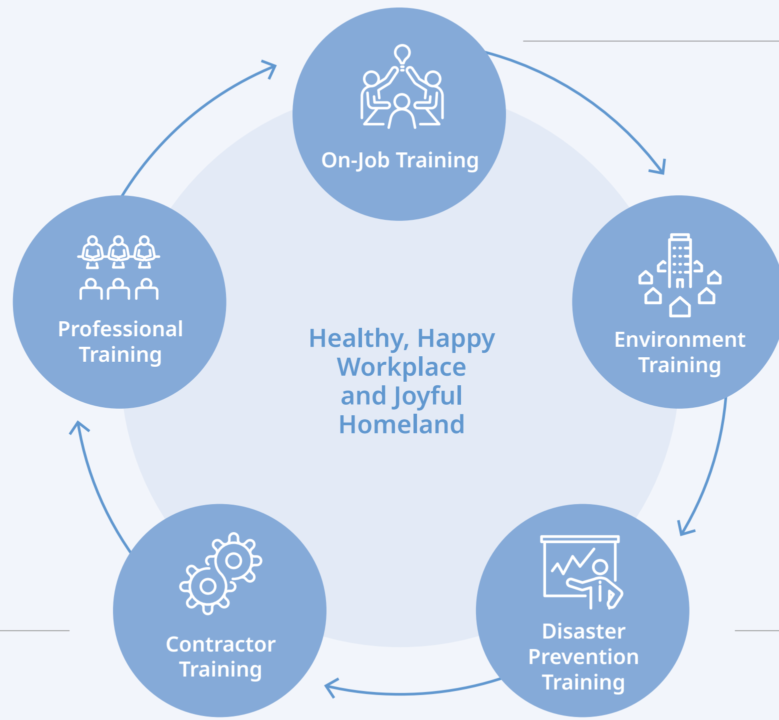
Review Annual Training Results and Evaluate Special Course Requirements

- Completion Rate
- Post-training Questionnaire Results
- Certification Renewal / Retraining Courses
- Operational Requirements (e.g., system transition training, on-site safety inspection training)

II. Type of Education and Training

1. Organic Solvent Operation Supervisor Training
2. Specific Chemical Substances Operation Supervisor Training
3. Radiation Protection Training
4. Human Factors Hazard Prevention Practical Training
5. Civil Defense Training
6. Plant Fire Safety Planning Practical Training
7. Accident Investigation Training
8. Enterprise Risk Management: Risk Management Procedures and Quantitative Risk Assessment Training

1. Initial Contractor Training
2. Contractor Retraining
3. Six-Hour Contractor Supervisor Training



1. New Employee Training
2. General Hazard Awareness Retraining
3. Supervisor Certification Training
4. Post-Earthquake Building Risk Assessment Training
5. Motorcycle Safe Riding Training
6. Section Chief Level Environmental, Safety and Health Retraining
7. General Hazard Awareness Retraining

1. Greenhouse Gas Inventory Training
2. Firefly Restoration

1. Accident Commander Training
2. Emergency Response Team Basic Training
3. Emergency Response Team Leader Training
4. Emergency Response Equipment Practical Training
5. Professional Chemical Accident Handling Training
6. Green Grass Lake Firefighting Training
7. EMT-1 Educational Training
8. Respiratory Protective Equipment Fit Test Training
9. Firefighting Practical Training

Note 1: The target audience of the New Employee Training includes substitute military servicemen, contract or temporary employees who have been converted to regular full-time positions.
Note 2: For detailed information on disaster prevention-related training, please refer to Section 3.2.3 "Risk Items and Response Measures."

III. Education and Training Photos

Environmental, Safety and Health Educational Training Grading System:

A grading system has been implemented for ESH courses to strengthen the professional competencies of ESH personnel at all levels.

Employee Environmental Education:

Through environmental education courses, employees learn about environmental sustainability, which enhances their sustainability awareness and promotes positive environmental behavior.

Organic Solvent Operation Supervisor Training.
(Number of Participants: 29)

Specific Chemical Substances Operation Supervisor Training.
(Number of Participants: 24)

Radiation Operator Training.
(Number of Participants: 101)

Environmental Education Course – Plant Mounting Workshop.
(Number of Participants: 160)

6.5.4 Contractor Management

VIS strictly enforces contractor management to ensure construction safety and environmental protection. All cooperating contractors must sign the "Contractor Construction and Safety Management Affidavit," and every contractor operator must also sign the "Contractor Personnel Safety, Health, and Environmental Management Signature Form" to fully understand the work environment and necessary safety measures. Contractors are responsible for all safety and health matters during the construction period and are committed to conducting self-inspections to ensure compliance with safety regulations and maintain a safe work environment for the Company and its employees.

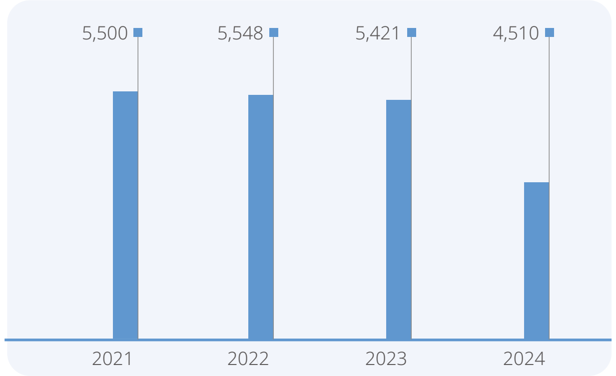
Hazard Notification and Educational Training

VIS requires hazard notification to be completed for all contracted operations to identify potential hazards and preventive measures before, during, and after the operation, ensuring that all personnel fully understand potential risks and adopt appropriate protective measures.

- **Coordination Organization Meeting:** Contractors must complete detailed risk assessments and Job Safety Analyses (JSA), listing all risks and preventive measures. These items shall be presented during the coordination organization meeting. Contractor supervisors and all agents must attend the meeting, and the meeting minutes must be reviewed and confirmed by both the contractor and subcontractor representatives to ensure that all supervisors and responsible personnel clearly understand the operational hazards and corresponding preventive measures.
- **Daily Toolbox Meeting:** Prior to daily operations, supervisors must brief all workers on safety, health, and environmental protection matters during toolbox meetings. VIS will conduct random audits to verify whether contractors are properly holding these meetings, ensuring that all workers are fully aware of operational hazards and precautions.

Number of Contractor Personnel Who Passed the Qualification Examination

Unit: Persons



In addition, VIS provides weekly educational training for contractors to inform them of various operational hazards, safety precautions, and regulations. Case studies are presented in an easy-to-understand manner to help all contractor operators enhance their safety awareness.

Qualification of Contractor Personnel

The qualifications of contractor personnel are strictly controlled:

- In Taiwan, beyond the legal requirements of labour insurance, six hours of mandatory safety training, and possession of relevant licenses, VIS further requires:
  - Operators performing high-risk critical tasks must have at least two years of relevant work experience.
  - General construction contractors must have at least one year of experience before they are eligible for long-term work permits.
  - High-risk operation personnel must be at least 20 years old and certified by the contractor company to engage in such work.
- For contractor supervisors and safety and health personnel, VIS specifically requires the following:
  - Supervisors must be authorized by the Company's responsible person via a signed letter of authorization.
  - Contractor supervisors (for projects with five or more workers) and safety and health personnel (for projects with thirty or more workers) must hold at least a Type C Labor Safety and Health Supervisor Qualification.

"e-Management System" Implements Multi-level Personnel Access Control

VIS utilizes an e-management system to strengthen contractor management and construction safety, including the Contractor Management System, Contractor Hazard Notification System, and Construction Safety Permit Application System. Contractors who need to enter the plant for services must establish personnel and company information as well as hazard notification records, such as coordination meeting minutes, which must be reviewed and approved before access is granted. Additionally, all contractor operators must complete the "Contractor Safety and Health Educational Training." Only supervisors, safety and health personnel, and operators who meet the above qualifications can be listed in the "Construction Safety Permit Application System" for selection and assignment by applicants.

Supervision of Contracted Operations

- **Supervisor Qualification**
  According to company regulations, employees responsible for contracted operations must possess the qualification of "Supervisor" to ensure effective source management. In addition, retraining is required once every two years to maintain the validity of the qualification and to update professional knowledge.
- **Prior Approval Required for Contracted Operations**
  To ensure operational safety, all high-risk and hazardous operations must be applied for and approved in advance. After receiving approval, the inspection checklist must be printed and reviewed item by item by the contractor's supervisor, accompanied by an on-site inspection of the work environment. Subsequently, VIS personnel in charge will conduct a re-inspection to ensure all safety measures have been properly implemented.
- **High-Risk Operations**
  In accordance with company regulations, prior to conducting high-risk critical operations, confirmation must be obtained from the contractor's supervisor, the responsible VIS unit supervisor, and VIS industrial safety personnel to ensure all conditions are safe before commencing work. Depending on the degree of hazard, the contracting unit may use dashcams or surveillance equipment to monitor project progress.
- **Daily Monitoring of Operation Progress**
  During the daily joint defense morning meetings held by the RESM Department, the completion of protective measures for all approved operations across each plant area is verified. Industrial safety personnel conduct random inspections and supervision during each pre-construction toolbox meeting within the Company. The "Emergency Response Center" maintains control over all high-risk and hazardous operations, conducting inspections during and after construction to ensure compliance with regulations.
- **Comprehensive Supervision**
  Fab directors, engineering unit supervisors, and industrial safety representatives conduct inspections from time to time. Any identified issues shall be immediately corrected and recorded as items for follow-up improvement.

Exclusive Abnormal Conditions Handling Unit

If any unsafe condition involving contractors is identified, the Emergency Response Center (ERC) of the respective plant must be notified immediately. Upon receiving the report, the handling unit, along with relevant departments, will promptly visit the site for confirmation, rectify the unsafe condition, and implement systematic follow-up and improvements.

- **Contractor Evaluation**
  VIS conducts contractor evaluations annually. Evaluation results are reported at both the plant-level ESH committee meetings and the company-wide ESH committee meetings, and submitted to the procurement unit as the basis for determining future cooperation.
- **Contractor Health Management**
  VIS places great importance on contractors' health management. A health center, qualified first-aid personnel, EMT-1 certified staff, and first-aid equipment are available at the Taiwan plant to provide immediate medical assistance in case of emergencies. With the contractor's consent to provide personal health information, the Company's health center conducts follow-up management and health guidance for individuals with abnormal health check results.
- **"Big Hands Holding Small Hands" Program**
  In 2024, VIS continues to promote the "Big Hands Holding Small Hands" program to enhance contractors' ESH management performance and strengthen the ESH audit guidance system. The program is being expanded from third-party subcontractors to all contractors, incorporating the "Contractor Audit System" into standard management processes to narrow the safety and health management gap between contractors and VIS, jointly improving construction safety.

VIS Contracting Operation Management Framework

Common Good

VIS actively invests resources to assist disadvantaged groups, support rural education, engage in community development, and advocate for the UN Sustainable Development Goals, contributing to social upliftment.

4,000 employees

There were over 4,000 instances of employee participating in the Year-end Charity Donation Campaign

30 million

The value of investment in the Common Good was over NT$30 million

2,500 hours

Employees accumulated over 2,500 hours as environmental volunteers

As a responsible corporate citizen, VIS believes that it is only by contributing to the overall common good, that our enterprise can achieve sustainable operations. To practice the precepts of the common good, under the supervision and regularly held review of our Board of Directors, VIS adheres to five public welfare themes: Care for Disadvantaged Groups, Care for Elderly Citizens Living Alone, Diverse Empowerment, Sustainability Initiatives, and Environmental Conservation. VIS evaluates the impact of its operations on communities and society (Hsinchu, Taoyuan, and Singapore), and participates in social activities through methods such as donations, volunteer services, and resource investment to proactively implement the UN sustainable development goals, promote public welfare and sustainable projects, and invites suppliers, customers, and employees to participate together.

Additionally, to effectively evaluate the efficiency of contributions (to the common good), VIS relies on Business for Societal Impact, B4SI / Formerly known as London Benchmark Group's (LBG) community investment evaluation mechanisms to evaluate quantified benefits and impacts of each effort by considering time, money, and materials provided. In addition to knowing the results of each project, this assessment also allows us to integrate and allocate resources more reasonably in a way that resources waste can be avoided. At the same time, we also deeply care for disadvantaged groups. In each of our interactions with them, we think about how to provide proper and long-term benefits to increase quality and positive impacts of our social footprints.

In 2024, the value of investment in the Common Good was approximately NT$30.18 million.

Concrete Actions and Social Impacts for the Five Major Public Welfare Themes

Public Welfare Themes	Concrete Actions	Impact on Society
Care for Disadvantaged Groups	• Organized a year-end charity donation event with the themes "Overcome High Walls, Open the Door to the World," and "Spending the New Year with the Elderly".	• Six social welfare organizations raised NT$4.6 million.
	• Year-end charity banquet; invited local elders and beneficiaries to dine together.	• Three social welfare organizations and two local communities, with nearly 300 elders and individuals with disabilities, celebrated together at the year-end event.
	• Holding the "Sending Love Home in Winter! Material Donation Event", collected daily necessities for use by the homeless and elderly living alone.	• 30 large boxes of assorted daily necessities were donated for homeless and elderly citizens living alone in northern Taiwan.
	• Donating NT$1.2 million to 6 social welfare organizations.	• Six social welfare organizations received a combined NT$1.2 million in donations, which will be used to support their service initiatives.
	• Organizing the 30th Anniversary My Deer merchandise charity sale event.	• Six social welfare organizations raised a total of NT$1 million.
	• Inviting children and youth from the Blue Sky House to participate in the concert, fun sports family day, and road running event organized by VIS.	• 30 underprivileged children and youth created wonderful memories.
	• For four consecutive years, VS1 has been participating in The Boys' Brigade Share-a-Gift campaign.	• 160 sets of essential supplies were given to underprivileged youth in Singapore.
Care for Elderly Citizens Living Alone	• VIS Volunteering Club regularly organizes local elder care and communal dining activities.	• Elders in Baoshan Village and Kehu Villageli receive monthly companionship and health care services.
	• VS1 volunteers cared for the elderly at Brighthill Evergreen Old Age Home in Singapore.	• 400 sets of essential supplies were given to the elderly at the nursing home.

Public Welfare Themes	Concrete Actions	Impact on Society
Diverse Empowerment	• In collaboration with IC Voice, we produced two career videos for the "Learning–Application Link" project, targeting high school and vocational students. These videos were shown in a tour across high schools and vocational schools in Taoyuan, Hsinchu, and Miaoli, and are available for application by high schools and vocational schools throughout Taiwan.	• 157 high schools and vocational schools across Taiwan participated; over 66,000 students viewed the videos; project reached more than 140,000 people in total.
	• Signed a tripartite Memorandum of Understanding (MOU) with National Yang-Ming Chiao Tung University and the Taoyuan City Government to promote the "University/High-school Collaboration On Online-learning (UHCOOL)" program; launched a digital course titled "Introduction of Semiconductor Principles and Manufactures".	• Launched in the first semester of the 113th academic year; rapidly adopted by 48 high schools nationwide as a diverse elective credit course; enrollment exceeded 1,000 students; best steppingstone for high school students to enter the world of semiconductors.
	• Holding semiconductor science popularization and career seminars at Zhaodong Elementary School and Fuxing Elementary School in Hsinchu County, as well as Neihu Elementary School in Hsinchu City.	• Over 170 elementary school students gained new knowledge about semiconductor science and Career concepts.
	• Sponsoring Tsing Hua University's Sunrise Program with NT$300,000; providing scholarships and female mentors; funding three disadvantaged female students to study.	• Supporting three underprivileged female students to ensure they can study with peace of mind.
	• Sponsoring Yang Ming Chiao Tung University's "Scholarship Program for Ukrainian Students" with NT$ 500,000.	• Supporting two Ukrainian students to study in Taiwan, with peace of mind about their homeland.
	• Donating 170 copies of the book "Holding Hands and Never Letting Go: Together We Traverse the Quicksand of Depression".	• 17 high schools and vocational schools in Taoyuan, Hsinchu, and Miaoli benefited from this initiative.
	• Organizing a Christmas market event and invited charitable organizations to set up stalls.	• Two charitable organizations raised over NT$500,000 through their sales.
Sustainability Initiatives	• Sponsoring NT$2 million to "Focus Taiwan: Jennifer Shen's talk" radio program; producing 52 episodes a year; advocating numerous United Nations' Sustainable Development Goals.	• Sharing information on global sustainability trends and important issues in Taiwan with the general public, reaching over 970,000 individuals.
	• A total of five factories in Taiwan and Singapore turned off the lights for one hour to implement the promoted initiative.	• A total of approximately 147 kWh of electricity was saved, reducing carbon emissions by about 70 kilograms for the planet.

Public Welfare Themes	Concrete Actions	Impact on Society
Environmental Conservation	• Cooperating with National Taiwan University, we initiated the three-year phase one research on "Enhancing Soil Carbon Sinks through Resource Recycling".	• First semiconductor company in Taiwan to study soil carbon sequestration technology using resource recycling concepts; conducting in-situ soil improvement experiments.
	• Since 2018, adopted the Qianjia Air Quality Purification Zone; transformed barren public land into a recreational park; created an urban green lung; provides opportunities for leisure, ecological education, and sustainable resource utilization. • Since 2019, adopted Hsinchu City's Cherry Blossom Park; entrusted professional companies to maintain plants; continued to green and beautify the area; transformed into an urban park where residents can "enjoy proximity to water, appreciate cherry blossoms during the day, and view fireflies at night"; added beautiful scenery to the city. • Since 2019, adopted Kezihu; since 2020, detention pond in Hsinchu Science Park; actively engaged in ecological maintenance; regularly greening and beautifying waterfront land.	• Adopted a total of 4.9 hectares of parkland and green spaces; provided two green public areas for daily recreation; opportunities for environmental education activities such as tree planting, firefly watching, and learning about plants. • Within Qianjia Air Quality Purification Zone, 325 tall trees and large green space; cleans 5 metric tons of carbon dioxide annually; acts as a natural air purifier; honored for six consecutive years with "Outstanding Adoption Unit " award by the Ministry of Environment due to excellent maintenance results. • In 2024, the Environmental Protection Bureau of Hsinchu City, Shui Yuan Primary School, and The Society of Wilderness organized "Exploring Qianjia Air Quality Purification Zone: The Rhinoceros Beetle Returns" event; aimed to help children understand local ecology and experience importance of natural environment protection; provided a successful model for other adoption units in Hsinchu City. • In Cherry Blossom Park, a total of 8,000 fireflies larvae have been released into the wild, successfully establishing a firefly ecological cycle.
	• Implementing a plant restoration project within the factory area, becoming the first company to invest in the restoration of Bamboo Orchid (*Arundina graminifolia*) (Nationally Critically Endangered, NCR).	• Several threatened native Taiwanese plants have been restored and protected, including Bamboo Orchid, Shower of Gold Climber, and Wulai Azalea.
	• Holding environmental education courses at Neihu Elementary School in Hsinchu and 'VIS Junior Engineers' Camp.	• Over 100 elementary school students gained new insights into semiconductor science and environmental education.
	• At VIS' 30th Anniversary Fun Sports Family Day, we organized an "Eco Monopoly Activity," using interactive games to engage employees and their families in experiencing the importance of ecological conservation.	• More than 500 employees and their family members participated.
	• Employees accumulated over 2,529 hours as environmental volunteers.	• Over 3,527 individuals of the public participated in Environmental Education activities.

7.1 Social Welfare

7.1.1 Care for Disadvantaged Groups & Care for Elderly Citizens Living Alone

Year-end Charity Donation Campaign

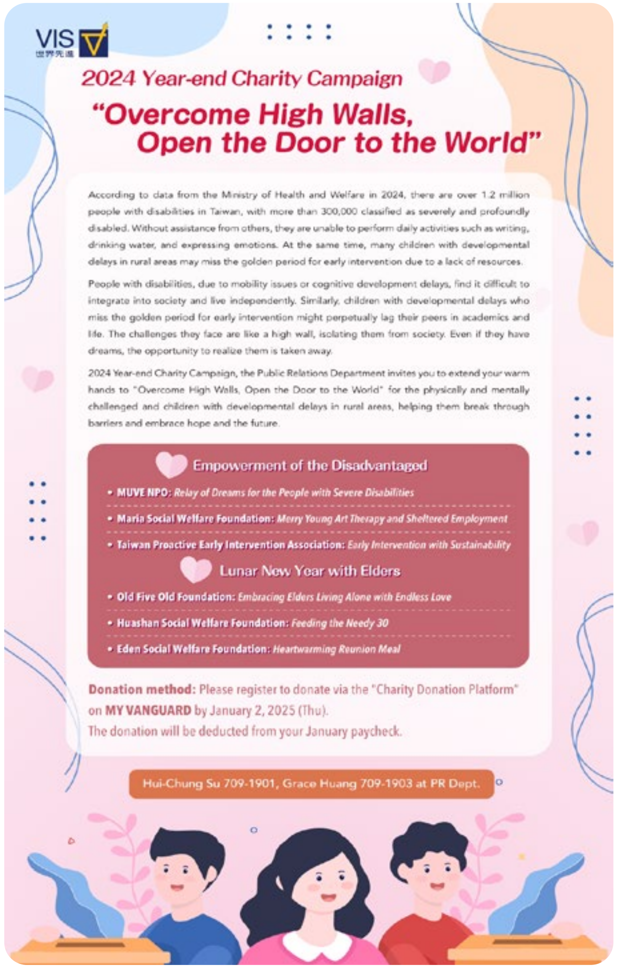
In its 2024 Year-end Charity Donation Campaign, VIS not only continued its long-standing supports for the "Spending the New Year with the Elderly" program run by the Huashan Social Welfare Foundation, Eden Social Welfare Foundation, and Old Five Old Foundation, but also selected a special annual theme to encourage employees to actively support charitable organizations in need. Since 2021, we have focused on "Empowerment of the Disadvantaged" as the main theme of our public welfare initiatives and have consistently set project themes based on this focus for four consecutive years. For 2024, under the theme "Overcome High Walls, Open the Door to the World," VIS expanded its support for projects empowering the disadvantaged, raising funds for MUVE NPO, Taiwan Proactive Early Intervention Association, and Maria Social Welfare Foundation. This aims to help individuals with disabilities and children with developmental delays overcome their challenges and embrace hope and the future. The campaign raised NT$4.6 million, setting a new record for employee donations over the past decade.

In addition, the 2023 Year-end Charity Donation Campaign, which supported the Taiwan Foundation for the Blind, Blue Sky House, and LoHas Children's Home, also brought good news. In 2024, these three organizations used the funds raised to achieve significant results in projects empowering the disadvantaged. The Taiwan Foundation for the Blind provided over 467 hours of digital learning courses for the visually impaired and purchased eight low vision aiding devices to help those with low vision learn to use them. Blue Sky House enhanced the fundamental academic abilities of children through bi-weekly tutoring sessions, resulting in 70% of students improving their English and Math scores by 25% in their final exams with the help of academic tutoring. LoHas Children's Home introduced external instructors and offered 26 career courses through board games and card activities to help children explore their personal traits, understand important elements of career planning, and experience professions such as auto repair, baking, and aesthetic styling firsthand.

To practice the precepts of the common good, VIS has held an annual Year-end Charity Donation Campaign for ten consecutive years since 2015, raising a total amount of over NT$35 million. These funds have been used to support 20 charitable organizations and remote communities, with nearly 30,000 participants cumulatively. For four consecutive years, projects empowering the disadvantaged have been selected as the annual theme in response to United Nations Sustainable Development Goal (SDG) 4: "Eliminate gender disparities in education and ensure equal access to all levels of education and vocational training for the vulnerable, including persons with disabilities, indigenous peoples, and children in vulnerable situations." In the future, VIS will continue to sow the seeds of love through action, promoting society towards an ideal future!

In 2024, VIS' Year-end Charity Donation Campaign Raised More than NT$ 4.6 million, Marking the Highest Donation Record From Its Employees in the Past Decade

Themes	Public Welfare Organizations	Project Titles
Empowering The Disadvantaged	MUVE NPO	Severe Disability Dream Relay Program
	Maria Social Welfare Foundation	Merry Young: Art Therapy and Supported Employment
	Taiwan Proactive Early Intervention Association	Sustainable Early Intervention Program
Spending the New Year with the Elderly	Old Five Old Foundation	Embracing Elderly Citizens Living Alone with Love that is always there
	Huashan Social Welfare Foundation	Feeding the Needy 30
	Eden Social Welfare Foundation	Heartwarming Reunion Meal



The 2024 year-end charity donation event by VIS raised NT$4.6 million-the highest employees contribution in the past decade.

Year-end Charity Donation Campaign Series - Year-end Charity Banquet

In January 2025, VIS held a Year-end Charity Banquet, welcoming service recipients from the Huashan Social Welfare Foundation, Eden Social Welfare Foundation, Old Five Old Foundation, as well as nearly 300 senior citizens from Baoshan Village and Kehu Village. Together with VIS' Volunteer Club members, they enjoyed singing and a shared meal. During the event, Chairman Leuh Fang, on behalf of all employees, presented donation checks to six charitable organizations: Huashan Social Welfare Foundation, Eden Social Welfare Foundation, Old Five Old Foundation, MUVE NPO, Taiwan Proactive Early Intervention Association, and Maria Social Welfare Foundation. The donated funds will be dedicated to designated projects in 2025.

Year-end Charity Donation Campaign Series - Sending Love Home in Winter! Material Donation Event

For three consecutive years, VIS has launched a materials donation event in various factories in Taiwan to collect daily necessities for Lezhi Charity Association's homeless repair team, as well as the underprivileged families and senior citizens it supports. In 2024, a total of 30 boxes of supplies were collected, providing warmth and support to the disadvantaged individuals throughout the winter.

VIS Volunteering Club's Uninterrupted Local Care

VIS volunteers have been caring for senior citizens and disadvantaged children in the local community on a long-term basis. We regularly organize "Dining with the Elders" events and extend our care to community elders during festivals such as the Mid-Autumn Festival and Dragon Boat Festival. Additionally, we integrate company events like the 30th Anniversary Concert, Fun Sports Family Day, and Fun Run, inviting children and youth from social welfare organizations to join in the celebrations.

Over three years, VIS has collected over a hundred boxes of supplies, providing warmth and companionship to the disadvantaged during the Spring Festival.

At the Year-end Charity Banquet, Chairman of VIS presented donations on behalf of all employees to six long-term partner charitable organizations.

Chairman, along with members of the VIS Volunteer Society, celebrated with the elders from the social welfare organizations.

The VIS Volunteer Club invited children and youth from Blue Sky House to enjoy a meal and watch the lawn concert alongside senior managers.

Fun Sports Family Day - Creating Lasting Memories with Disadvantaged Children and Youth

In 2024, to mark the 30th anniversary of VIS' founding, we hosted a Fun Sports Family Day and invited the Renewal Youth Care Association, Syin-Lu Social Welfare Foundation, Children Are Us Foundation, and World Peace Organization to set up charity sale booths at the event venue. Together, these four social welfare organizations raised nearly NT$250,000. Additionally, VIS donated NT$1.2 million to six long-term partner charities, including Hsinchu Renai Children's Home, Lohas Children's Home, Blue Sky House, Lezhi Charity Association, The World Community Service Association, and Taiwan Vineyard Arts Association.

Singapore Subsidiary Activities - Diverse Empowerment, Daily Engagement

VIS' Singapore subsidiary, VS1, has similarly expanded its impact through a series of dedicated actions, embodying the spirit of corporate social responsibility. This includes participating in the " The Boys' Brigade Share-a-Gift" event for four consecutive years and, for the first time this year, collaborating with "Care Singapore," a nonprofit organization dedicated to career assistance for disadvantaged youth, to collect 160 essential items for local disadvantaged youth. Additionally, we invited colleagues and their children to organize recreational activities at the local elderly care home "Brighthill Evergreen," where we donated 400 essential items.

Additionally, VS1 encourages employees to participate in activities that contribute to social good on a daily basis. This includes collaborating with the Singapore Association of the Visually Handicapped (SAVH) to introduce massage services by the visually impaired, partnering with the Singapore Red Cross to encourage employees to donate blood, and motivating employees to order Mid-Autumn Festival mooncakes from Project Dignity, a social enterprise dedicated to empowering disadvantaged individuals.

Chairman, on behalf of the Company, donated NT$1.2 million to six charitable organizations.

For four consecutive years, VS1 has participated in the "The Boys' Brigade Share-a-Gift" event and, for the first time, collaborated with Care Singapore to collect 160 essential items for local disadvantaged youth.


For the first time, VS1 invited colleagues and their children to organize recreational activities at the Brighthill Evergreen elderly care home and donated 400 essential items.

VS1 has long collaborated with the Singapore Association of the Visually Handicapped (SAVH) to provide employees with comfortable massage services by the visually impaired.

7.1.2 Diverse Empowerment

Reduction of the gap between learning and application - Learning-Application Link Project

The disconnect between what is learned and what is applied is a profound issue experienced by many young people just entering the workforce. For high school students facing future career choices, identifying a suitable path among numerous options has become a key focus of career guidance. For two consecutive years, VIS has collaborated with IC Voice on the "Learning-Application Link" project, producing two career videos centered on this theme. These videos feature interviews that share personal educational and career experiences to help high school students envision their future careers. By integrating the United Nations Sustainable Development Goals, we promote the concept of quality education, aiming to assist teenagers in their exploratory years in mapping out future directions and narrowing the gap between learning and application.

The second session of "Learning - Application Link" specially invited Portnoy, founder and Chief Knowledge Officer of PanSci, and renowned counseling psychologist Muer Chou to participate. Two videos were produced featuring dialogues between these industry experts and workplace representatives from VIS: "Don't be afraid of the frustration! Find your unique position in the workplace through innovation!" and "Relieve stress! Face life's choices at your own pace." Through the personal experiences of industry experts, the videos empathize with students' confusion and anxiety while offering advice. Workplace representatives further analyze the skills needed in real work scenarios, helping students to think critically and encouraging them to "find where their heart leads" and bravely challenge all possibilities.

VIS invited counseling psychologist Muer Chou (center) to engage in a dialogue with VIS' manufacturing department manager(left).

VIS invited Portnoy, the founder and Chief Knowledge Officer of PanSci (center), to engage in a dialogue with our HR manager (left).

The videos were screened during a tour across high schools and vocational schools in the Taoyuan, Hsinchu, and Miaoli regions and made available for application by high schools and vocational schools throughout Taiwan. Additionally, in-person seminars were held at National Experimental High School and Hukou High School, where Distinguished Professor Tammy Lin, from National Chengchi University and HR managers from VIS addressed teenagers' questions about their future careers face-to-face. In 2024, a total of 157 high schools and vocational schools participated, with over 66,000 students viewing the videos, and the project reached more than 140,000 people in total.

The second "Learning-Application Link" invited Distinguished Professor Tammy Lin from National Chengchi University and VIS' HR manager to conduct in-person seminars at National Experimental High School and Hukou High School.

2024 Participation in Learning - Application Link: High Schools and Students Reached

65 schools, 37,079 people

Taipei City	21
New Taipei City	17
Keelung City	5
Taoyuan City	11
Hsinchu City	6
Hsinchu County	4
Yilan County	1

39 schools, 16,575 people

Miaoli County	7
Taichung City	18
Changhua County	3
Nantou County	4
Yunlin County	7

46 schools, 12,040 people

Chiayi City	7
Chiayi County	2
Tainan City	10
Kaohsiung City	23
Pingtung County	3
Penghu County	1

6 schools, 789 people

Hualien County	4
Taitung County	2

1 school, 300 people

Kinmen County	1
Lienchiang County	0

Empowerment for the Disadvantaged - Semiconductor Popular Science and Career Lectures

VIS aims to use empowering approaches to practically and proactively assist disadvantaged groups. Since 2022, we have established public welfare themes focused on "Empowering the disadvantaged, educational sessions on the semiconductor industry, and narrowing the gap between learning and practical application." By integrating these with our main business endeavors, we hope not only to expand recruitment for the sector but also to assist students of all ages and disadvantaged groups. In 2024, semiconductor science popularization and career seminars were held at Zhaodong Elementary School and Fuxing Elementary School in Hsinchu County, as well as Neihu Elementary School in Hsinchu City, with over 170 students participating.

Encourage Women to Join the Technology Industry - National Tsing Hua University's Sunrise Program

By providing economically disadvantaged students with scholarships, we hope to shorten the gap in educational resources caused by economic disparity. This allows these students to pursue their studies with peace of mind. From 2021 onward, to encourage female students to work in the high-tech industry, we have designated sponsorships for three female students studying in different departments, offering a total of NT$300,000 in scholarships annually. We have arranged for three female supervisors to serve as mentors, providing one-on-one assistance to students in their studies, life, and career development.

Implementing Education Without Borders - National Yang Ming Chiao Tung University Scholarship Program for Ukrainian Students

The Russian-Ukrainian War has forced many Ukrainian students to interrupt their studies. In the spirit of Education Without Borders and humanitarian relief, VIS participates in the Scholarship Program for Ukrainian Students initiated by National Yang Ming Chiao Tung University. Starting in 2022, we annually sponsor NT$ 500,000 to support the tuition of two Ukrainian students in the special program in Taiwan, ensuring they can study without financial burden.

VIS educational volunteers brought self-made teaching aids to conduct public welfare seminars at rural elementary schools in Hsinchu County.

VIS educational volunteers brought self-made teaching aids to conduct public welfare seminars at rural elementary schools in Hsinchu County.

Order Instead of Donations: Celebrating the Festival with Social Welfare Groups

To support and encourage the development of social welfare organizations and social enterprises, VIS has launched the "Order Instead of Donations" campaign during holiday seasons since 2021. It encourages employees and departments to prioritize purchasing gift boxes from these organizations.

Christmas Market: Using Charity Vouchers to Encourage Colleagues to Support Nonprofit Organizations

VIS organized a Christmas market and invited the "TriBake Roomy Sheltered Workshop" and the "San Love Welfare Association" to set up charity sale booths on company premises. To encourage employee participation, charity vouchers were provided as subsidies for purchases. The event attracted 5,400 transactions, with total sales exceeding NT$500,000.

7.1.3 Sustainability Initiatives

Earth Hour lights-off initiative

For five consecutive years, VIS has participated in the Earth Hour initiative by turning off non-essential lights at its five factories in Taiwan and Singapore—provided that production and safety were not affected. This effort saved approximately 147 kilowatt-hours of electricity and reduced carbon emissions by nearly 70 kilograms.

Note: At the Taiwan plant, carbon emissions per kilowatt-hour of electricity consumed are 0.509 kilograms, while at the Singapore plant, the figure is 0.4057 kilograms.

VIS has implemented the "Order Instead of Donations" initiative internally, receiving support and praise from employees.

At VIS' Christmas event, employees were encouraged to support the self-sufficiency of charitable organizations through the use of charity vouchers.

VIS saved a total of approximately 147 kWh during the Earth Hour event in 2023, reducing carbon emissions by almost 70 kg for the planet.

Focus Taiwan: Jennifer Shen's talk

To proactively advocate for the United Nations Sustainable Development Goals (SDGs), VIS has donated NT$2 million annually to IC Broadcasting Company Limited since 2015 to inspire new ideas and advance sustainability initiatives. The currently sponsored "Focus Taiwan: Jennifer Shen's Talk" radio program is hosted by Jennifer Shen. Through her professional expertise in journalism, she combines the theme of the program with the UN SDGs. In 2023, a total of 52 episodes were produced and broadcast. Professionals from different fields were invited to discuss current important issues of sustainability trends and culture. The program has responded to at least 13 UN SDGs, as well as important issues for Taiwan including the current international situation, AI trends, local development, art and education, and other influential subjects. Each episode is broadcast over the air and is also available on the IC Broadcasting website, Apple Podcast, Google Podcast, Spotify, and other on-demand podcast platforms. Episodes are available for listeners to select and listen to at their convenience, thus expanding the program audience. The program's impact has reached over 970,000 individuals, driving discussions and attentiveness in the industry towards sustainability issues.

The program "Focus Taiwan: Jennifer Shen's Talk" revolves around current sustainable initiatives and important cultural issues, encouraging listeners to accumulate cultural knowledge in their daily lives and take sustainable actions.

In 2024, "Focus Taiwan: Jennifer Shen's Talk" advocated for 13 UN SDGs, Involving Multiple Artistic and Humanistic Issues

SDGs	Themes	Guests
	Food and Agriculture Education is the Trend, Daily Life Choices	Deputy Director of the Agricultural Policy Research Center of the Agricultural Science and Technology Research Institute Chen Jie-Ting
	Building Vegetable Gardens in Cities, Green Impact of Urban Farming	Co-Farming Food Generation Initiator Zhan Kai-Yu, Lin Zi-Xun
	Not Replacing Nursing Care, but Helping Human Care! Long-Term Care Robots are More Humane and Lively!	Professor Wang Shengzhi of National Yang Ming Chiao Tung University, Wang Zhaoxiang, Manager of Aeolus Robotics
	Toxicity of Bongkrekic Acid and Public Food Safety Precautions	Professor Meng Mengxiao of the Institute of Biotechnology of National Chung Hsing University
	After the Earthquake Relief: A Comprehensive View of the Demand and Cultivation of Medical Talents in Hualien and Taitung	Dean of the School of Medicine of Tzu Chi University, Vice President of Hualien Tzu Chi Hospital Dr. Chen Zong-Ying
	Seeing Hope, Walking out of the Quicksand of Depression	Former Minister of Science and Technology Chen Liang-Ji, and his wife Wang Su-Mei
	Walk out of the Valley of Depression with Love and Companion	Former Minister of Science and Technology Chen Liang-Ji, and his wife Wang Su-Mei
	From COVID- to Enterovirus: New Research from the National Health Research Institutes, Reminders for Summer Infectious Disease Prevention and Treatment	Chen Wei-Jian, Vice President of the National Health Research Institutes, and Zhou Yanhong, Researcher at the National Institute of Infectious Diseases and Vaccinology
	Use IC to Reduce Noise, Protect Hearing, and be People-oriented	Xue Zong-Zhi, Founder of SteadyBeat Technology
	Learning from Nature, Asia's Only Permanent Green Flag Eco-School	Lin Yong-Cheng, Principal of Hushan Experimental Elementary School
	Education and Learning Without Frames, Miscellaneous Schools Lead the Way to the Future	Su Yang-Zhi, Founder of ZA Share
	The Heart of a Good Teacher, Turning Lives Around, Moving Hyperactive Children Toward Innovative Educational Ideals	Lin Zheyu, Co-founder of Pley School
	Education without Rewards?	Peng Yu-Liang, Founder of Shining Life
	Less Detours in Subject Exploration, 1st Step in Learning	Xu Kuang-Yi, Founder of Cedarmonte®

SDGs	Themes	Guests
	Female Entrepreneurship! Technological Innovation in Spatial Aesthetics	Zhong Wan-Ting, Founder of Startek
	Green Gold under the Sun, Feeling that Green Electricity not only Reduces Carbon but also Makes Money	Feng Xiao-Ru, CEO and Co-founder of SunnyFounder
	Career Path of a "National Player" in the Technical and Vocational Field! Creating Technical Career Glory by Linking Learning and Use	Huang Wei-Xiang, Founder of Skills for U
	NSTC Promotes Crystal-Created Taiwan, TTA Builds an Innovation Industrialization Base, and Builds Taiwan into an Innovation Solution Exporting Country	Wu Cheng-Wen, Chairman of the National Science and Technology Council (NSTC)
	Mobile Equality! Transportation Services for the Orphaned Elderly in the City and Countryside from a Taxi	Hou Sheng-Zong, Chairman of Be The Light Association
	Yingge, the Ceramic Town, Sets out Again! Designing to Open up New Industries	Ai Shu-Ting, Host of the T22 Project
	Turning the "Chicken" Around, the Aowanda Maple Red Chicken has Become the Strongest Engine of Local Industries	Lin Guo-Zhang, Chief of the Forest Recreation Department of Forestry and Nature Conservation Agency, Nantou Branch, and He Mei-Lan, the Free-range Chicken Mom
	Standing on the Local Front Line, Deepening the Integration of Local Happy Life	Mei-Ling Chen, Chairman of Taiwan Regional Revitalization Foundation

SDGs	Themes	Guests
	Waste Classification, Resource Recycling Power from the Community	Professor Liu Jiong-Xi, Department of Life Sciences, National Taitung University
	Implementation of Circular Economy, International Trends Trigger Corporate Transformation	Au-Yeung Oi-Ning, CEO of REnato lab
	Recycling Encyclopedia, Resources No Longer Go to the Wrong Place	Huang Chi-Yang, Co-founder of RETHINK
	Not Only Buying Vegetables, But Also Cultivating the Land, Relying on the Weather for a Living, with the Farmers	Jin Xin-Yi, Founder of Social Enterprise "Buy Directly from Farmers"
	Transform away from Fossil Fuels! Global and Taiwan Challenges after COP28	Adjunct Researcher at the Institute of Earth Sciences, Academia Sinica Wang Zhong-He
	Sustainable Finance, a New Driver of Corporate ESG	Liu Zong-Sheng, Chairman of the Investment Trust and Investment Advisory Association
	Can Plastic Decompose Quickly? Challenges and New Life of PLA	Zhang Geng-Ling, Associate Professor of the Institute of Environmental Engineering, Sun Yat-sen University
	Small Household Appliance Repair Shop, Waste and Carbon Reduction, Reinventing the Second Spring of Electrical Appliances	Huang Zi-Yan, Initiator of Small Household Appliance Repair Shop
	How to Define the Green Growth Strategy in the Face of Net-Zero Carbon Emission in 2050?	Peng Qi-Ming, Minister of Environment
	Green Building with Local Materials, Creating a New Future for Bamboo Architecture in Taiwan	Gan Ming-Yuan, Chief Architect of D.Z. Architects & Associates
	Taiwan's Oceans in the Intensive Care Unit? Underwater Photography Reveals the Beauty and Sorrow of Marine Ecology	Li Jing-Bai, Underwater Photography Director
	Plant Messiah, Building an Ark of Seed Preservation in Taiwan	Dong Jing-Sheng, Researcher of the Forestry Research Institute of the Ministry of Agriculture
	30 Years of Aboriginal Mission, Sustainable Philosophy of Tree-planting Family	Ong Wen-Sheng, Chairman of Love Hometown Development Association in Wutai Township, Pingtung County, and Dresedrese Pacengelaw, Volunteer
	Thousands of Scientists Protecting Truths in Science Journalism!	Chen Xi-Yin, CEO of Taiwan Science and Technology Media Center

SDG	Themes	Guests
Major issues in Taiwan, international situation, industrial changes, AI and new technologies, youth counseling, aging society, warm strength, etc.	From the Streets to the Stage, Againstwind Theater Gives Wings to Lost Youths	Cheng Wei-Sheng, Director of the Againstwind Theater
	Urban Aesthetics Project! Design Power of Cross-domain Integration	Zhang Ji-Yi, President of Taiwan Design Research Institute
	Excellent Software Industry, Solving Pain Points of Taiwan's Industry!	Peng Li-Zhen, CEO of Toplogis
	Why Taiwan Needs Its Own GPT?	TAIDE Project Model Training Group for Trusted AI Conversation Engine, National Science and Technology Council Convener Tsai Zong-Han
	AI Wave Rides on the Trend, Let Technology Save You Time and Effort	Leo Huang, Founder of Taiwan High Performance Innovation Research Co., Ltd.
	Taiwan's Prospects under the Wave of Artificial Intelligence	Ethan Tu, Founder of Taiwan AI Labs
	3D Version of the Network of Three-dimensional Space - Meta-universe Flips Work and Life	Tammy Lin, Distinguished Professor, College of Communication, National Chengchi University
	New Revelations from the Hualien Earthquake, Earthquake Resistance and Reinforcement Tips for Buildings!	Lin Rui-Liang, Head of the Building Section, National Center for Research on Earthquake Engineering
	Changes in U.S. Election and U.S.-China-Taiwan Relations	Zhen-Sheng Yan, Professor of College of International Affairs, NCCU
	University Presidents Become Senior College Students! Gradual Transition from Career Peak to Retirement	Hong-Sen Yan, Chair Professor Emeritus of Mechanical Engineering, National Cheng Kung University
	U.S. Election and Changes in U.S.-China-Taiwan Relationship	Wei-En Tan, Professor of the Institute of International Politics, National Chung Hsing University
	AI Megatrend! Opportunities and Challenges in Liberal Arts and Sciences	Chi-Hua Tsai, Winner of the National Excellent Teacher Award of Ministry of Education

7.2 Environmental Conservation

7.2.1 Create a Green Living Space

In 2022, after receiving approval from the Hsinchu City Government, VIS began investing in the comprehensive redevelopment of Cherry Blossom Park. Utilizing the full tree form method, we planted 37 new Showa cherry trees and Shin-sumizome cherry trees, transplanted and corrected the existing 68 Formosa cherry blossom trees and ring-cupped oaks, re-planted turf to increase the coverage of greenery, and re-laid the granite pedestrian paths. Landscape artworks were installed for the public to check-in and take photos, creating a green living space within the city.

On the eve of Arbor Day 2023, we held the "Cherry Blossom and Fireflies Light Up the World" cherry blossom party event, attracting 500 enthusiastic participants to engage in ecological challenges and tree planting activities. Upholding the concept of promoting environmental sustainability, we continued our efforts in 2024 to green and beautify urban areas and communities through practical actions. We also commissioned professional plant maintenance companies to care for the various plants. Under professional care, the cherry blossoms bloomed, adding beautiful cherry blossom scenery to the city.

The new Showa cherry trees and Shin-sumizome cherry trees planted by VIS in Hsinchu City's Cherry Blossom Park are in full bloom.

7.2.2 Environmental Education

To promote the concept of environmental sustainability, we have actively engaged in ecological restoration efforts. Since 2020, we have launched the Firefly Restoration Project, dedicated to optimizing the habitat environment for fireflies in the green water areas of Kezihu River on both sides of Cherry Blossom Park and ensuring clean water sources. From 2020 to 2024, a total of 8,000 fireflies larvae were released into the wild. In 2024, we continued nighttime observations during the firefly season, confirming the successful establishment of a sustainable ecosystem for firefly growth. We will continue to maintain the habitat environment, making Cherry Blossom Park not only a city park where people can enjoy water, cherry blossoms by day, and fireflies by night, but also an environmental education venue for our employees, nearby residents, and teachers and students from local schools can enjoy leisure and recreational activities.

We actively promote ecological education programs and organized an environmental education event at Neihu Elementary School in Hsinchu City in 2024. Through comprehensive courses and interactive experiences, students gained a deeper understanding of firefly and beetle ecology, receiving enthusiastic feedback.

Additionally, we continue to expand the scope of environmental education by incorporating environmental education courses into the "VIS Junior Engineers' Camp" for the children of our employees. This initiative aims to deepen the understanding of Cherry Blossom Park's ecology and the restoration of flora and fauna among our employees and their children. The activities introduce biodiversity in a relaxed and engaging manner, and through hands-on ecological workshops, enhance the awareness and interest of employees' children in ecological conservation.

Upper-grade students at Neihu Elementary School in Hsinchu enthusiastically participated in the courses, gaining both knowledge and joy.

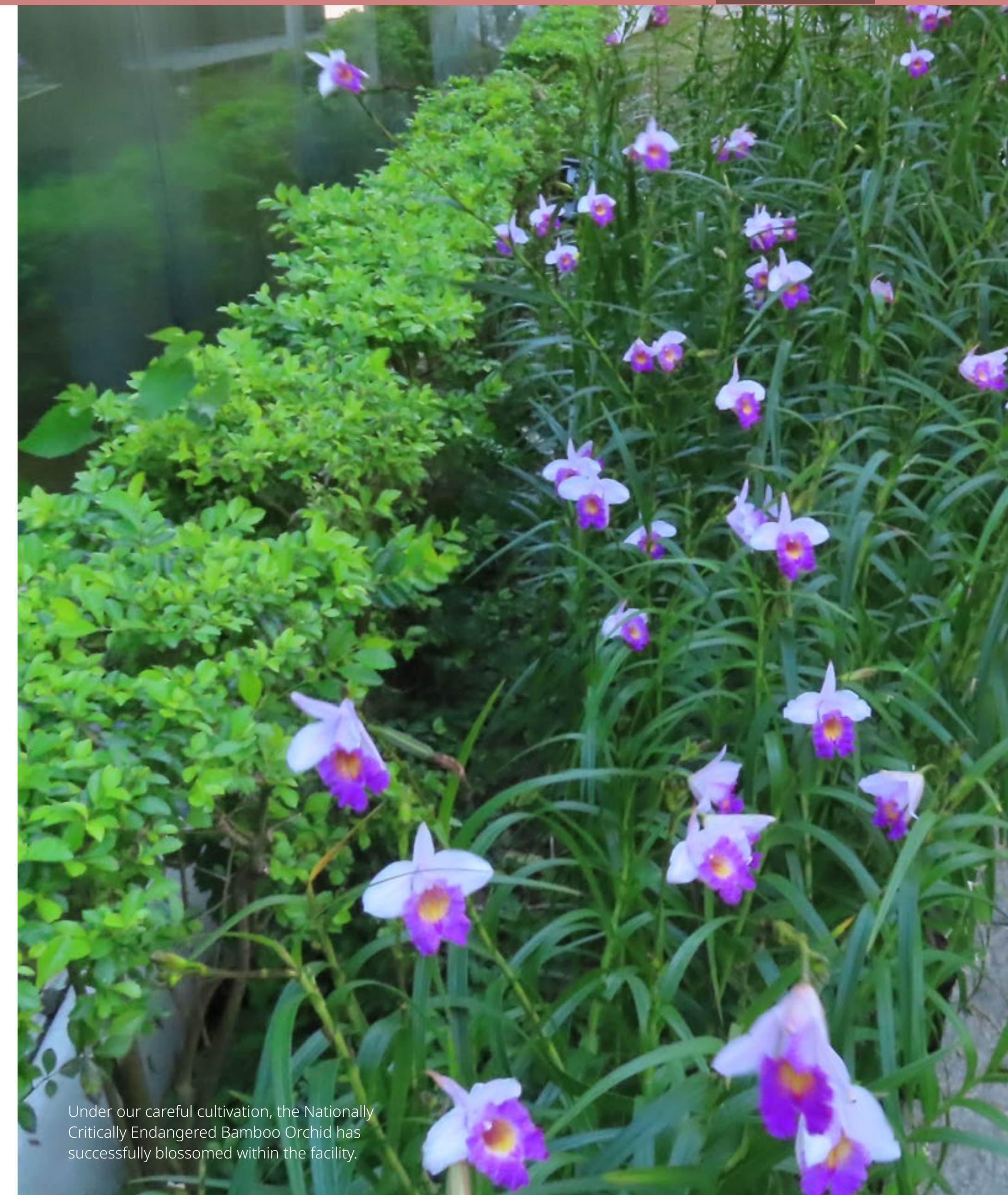
The VIS Junior Engineers' Camp includes environmental education, introducing biodiversity and enhancing children's conservation awareness through hands-on activities.

Biodiversity

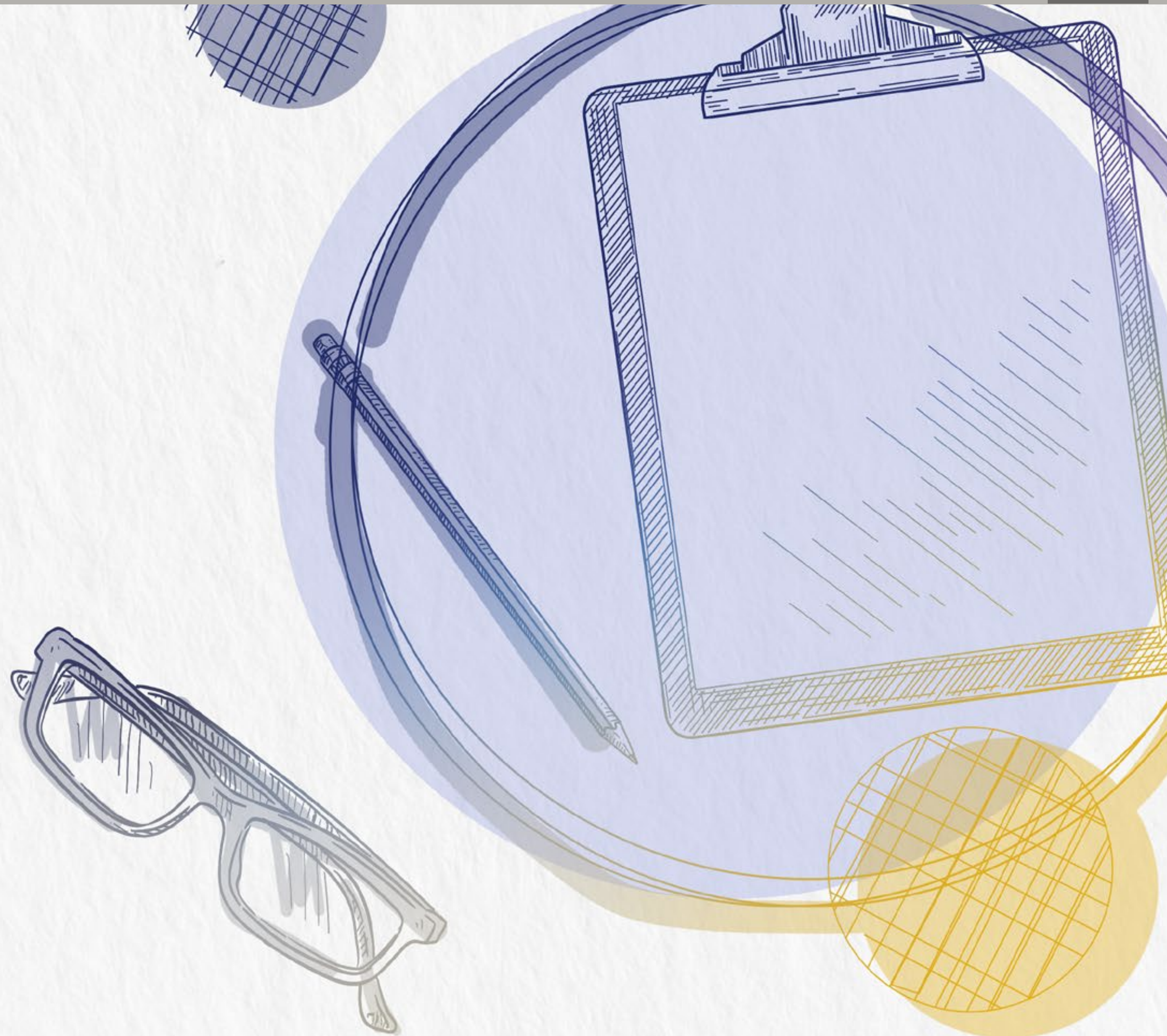
VIS has established a "Commitment to Biodiversity and Zero Deforestation," adhering to the goal of harmonious coexistence with the environment and the creation of sustainable values. We promise not to engage in development and operational activities in domestic or foreign legally protected ecological areas and biodiversity-sensitive areas, and to take protection measures to reduce impacts on biodiversity and forest ecology.

In addition to continuing the Firefly Restoration Project and Plant Restoration Project, we successfully restored rare plants such as Bamboo Orchid (*Arundina graminifolia*) (Nationally Critically Endangered, NCR), Shower of Gold Climber (*Tristellateia australasia*) (Nationally Endangered, NEN), and Wulai Azalea (*Rhododendron kanehirai*) (Extinct in the Wild, EW) in 2023 under suitable environmental conditions around our facility. After a year of meticulous care, these plants have thrived and blossomed within the facility, demonstrating vigorous vitality. We are the first company in Taiwan to engage in the restoration of Bamboo Orchid. By leveraging the unique environmental characteristics of our facility and implementing strict access control, we effectively prevent human damage and promote plant restoration through organic cultivation methods. This has enabled the precious Nationally Critically Endangered Bamboo Orchid to successfully return to Hsinchu, showcasing our ongoing commitment to ecological protection.

Through the dedicated efforts of VIS, the Wulai Azalea has flourished within the facility.



Under our careful cultivation, the Nationally Critically Endangered Bamboo Orchid has successfully blossomed within the facility.



Appendix

Appendix 1 About This Report

The core of this Report lies in the corporate sustainability strategies adopted by Vanguard International Semiconductor Corporation (VIS for short), which are structured around the dimensions of corporate governance, customer relations, workplace well-being, environmental protection, and social engagement, etc. to disclose VIS' viewpoints and response actions in addressing material issues in the process of sustainability development.

Period of Report

The main time frame of this Report's data and content is 2024 (January 1, 2024 to December 31, 2024).

Parameters and Scope of this Report

The disclosure scope of this report aligns with the consolidated financial statements, encompassing the operational activities of all subsidiaries included in both the parent company's and consolidated financial statements. Any inconsistencies in scope will be explicitly addressed within the report.

Reporting Principles

This Report was prepared based on the Global Reporting Initiative Standards (GRI Standards) 2021 released by the Global Sustainability Standards Board (GSSB), TPEx's "Rules Governing the Preparation and Filing of Sustainability Reports by TPEx Listed Companies", and AA1000 Accountability Principles (AA1000AP). In addition, the framework of the Task Force on Climate-Related Financial Disclosures (TCFD) initiated by the Financial Stability Board (FSB) and the Sustainability Accounting Standards Board (SASB) Standards were also adopted as the principles for reporting.

Note: All financial figures in this Report are presented in New Taiwan Dollars (NT$). Units conventionally used in international practices have been adopted for the measurement of environmental safety and social engagement.

Management Approach

Data for this Report was collected from reports written by the Company's various departments assigned by VIS Corporate Sustainability Committee Taskforce, the correctness and completeness of which were then reviewed by relevant department leaders before the data was compiled and composed into the report by the Public Relations Department. The report was submitted to the Sustainable Development Committee for review and was finally approved by the Board of Directors.

Verification

The 2024 Sustainability Report was compiled based on GRI Standards 2021, which has been assured by SGS Taiwan Ltd., confirming that it complies with "GRI Standards" and AA1000 Assurance Standard: v3 - Type 2 moderate level assurance, and encompasses relevant sustainability guidelines such as "Task Force on Climate-Related Financial Disclosures (TCFD)" framework. Please refer to Appendix 5 for the assurance report.

Release

VIS published its first Corporate Sustainability Report in 2015, and continues the report publication on a yearly basis.

Current release: Published in August, 2025

Previous release: Published in August, 2024

Next release: Published in August, 2026

Feedback

For continued communication with stakeholders, we sincerely welcome you to contact us and offer your valuable opinions.

Responsible Unit: VIS Corporate Sustainability Committee
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Appendix 2 GRI Content Index Table

Statement of Use: VIS has followed the GRI Standards to report relevant content of the period from January 1, 2024 to December 31, 2024.
Applied GRI 1: GRI 1: Foundation 2021
Applicable GRI Sector Standards: N/A

General Disclosures

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
GRI 2: General Disclosure 2021	The Organization and its Reporting Practices				
	2-1	Organizational details	1.1 Company Profile Appendix 1 About This Report	10 230	
	2-2	Entities included in the organization's sustainability reporting	Appendix 1 About This Report	230	
	2-3	Reporting period, frequency and contact point	Appendix 1 About This Report	230	
	2-4	Restatements of information	-		There were no such incidents during the reporting period.
	2-5	External assurance	Appendix 1 About This Report Appendix 5 AA1000 Assurance Statement	230 252	
	Activities and Workers				
	2-6	Activities, value chain and other business relationships	1.1 Company Profile 5.2 Sustainable Supply Chain Management Strategies	10 142	
	2-7	Employees	6.1 Talent Attraction and Retention	159	
	2-8	Workers who are not employees	6.1 Talent Attraction and Retention	159	
	Governance				
	2-9	Governance structure and composition	2.2 Corporate Sustainability Management 3.1 Corporate Governance	19 61	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
GRI 2: General Disclosure 2021	2-10	Nomination and selection of the highest governance body	3.1 Corporate Governance	61	
	2-11	Chair of the highest governance body	3.1 Corporate Governance	64	
	2-12	Role of the highest governance body in overseeing the management of impacts	3.1 Corporate Governance 3.2 Risk Management	61 71	
	2-13	Delegation of responsibility for managing impacts	2.2 Corporate Sustainability Management	19	
	2-14	Role of the highest governance body in sustainability reporting	Appendix 1 About This Report	230	
	2-15	Conflicts of interest	3.1 Corporate Governance	70	
	2-16	Communication of critical concerns	3.1 Corporate Governance	65	
	2-17	Collective knowledge of the highest governance body	3.1 Corporate Governance	65	
	2-18	Evaluation of the performance of the highest governance body	3.1 Corporate Governance	67	
	2-19	Remuneration policies	3.1 Corporate Governance 6.1 Talent Attraction and Retention	67 164	
	2-20	Process to determine remuneration	3.1 Corporate Governance 6.1 Talent Attraction and Retention	67 164	VIS' governance unit did not seek opinions from remuneration consultants and stakeholders, nor did it incorporate these opinions into remuneration-related considerations.
	2-21	Annual total compensation ratio	-	-	Sensitive information was not disclosed, as it is subject to specific confidentiality provisions.
	Strategy, Policies and Practices				
	2-22	Statement on sustainable development strategy	Letter from the Chairman	3	
	2-23	Policy commitments	6.3 Human Rights	176	
	2-24	Embedding policy commitments	6.3 Human Rights	176	
	2-25	Processes to remediate negative impacts	6.3 Human Rights	178	
	2-26	Mechanisms for seeking advice and raising concerns	6.3 Human Rights	183	
	2-27	Regulatory Compliance	3.3 Ethics and Transparency	83	During the reporting period, VIS was fined a total of NT$220,000 for issues related to working hours. In response, the Company has enhanced its administrative procedures and improved communication and awareness efforts with supervisors and employees.

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
GRI 2: General Disclosure 2021	Stakeholder Engagement				
	2-28	Membership associations	2.3 Communication with Stakeholders on Material Topics	54	
	2-29	Approach to stakeholder engagement	2.3 Communication with Stakeholders on Material Topics	45	
	2-30	Collective bargaining agreements	6.3 Human Rights	183	Not applicable. VIS does not have a collective agreement covering this disclosure item; therefore, the information cannot be provided.

Material Topics Disclosure

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
Material Topics Disclosure					
GRI 3: Material Topics 2021	3-1	Process to determine material topics	2.3 Communication with Stakeholders on Material Topics	21	
	3-2	List of material topics	2.3 Communication with Stakeholders on Material Topics	24	
Climate Change					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 4.1 Climate Change and Energy Management	42 99	
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	4.1 Climate Change and Energy Management	121	
	305-2	Energy indirect (Scope 2) GHG emissions	4.1 Climate Change and Energy Management	121	
	305-3	Other indirect (Scope 3) GHG emissions	4.1 Climate Change and Energy Management	122	
	305-4	GHG emissions intensity	4.1 Climate Change and Energy Management	121	
	305-6	Emissions of ozone-depleting substances (ODS)	-	-	During the reporting period, VIS did not use any ozone-depleting substances.
	305-7	Nitrogen oxides (NOX), sulfur oxides (SOX), and other significant air emissions	4.4 Air Pollution Control	138	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
Energy Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 4.1 Climate Change and Energy Management	42 99	
GRI 302: Energy 2016	302-1	Energy consumption within the organization	4.1 Climate Change and Energy Management	120	
	302-3	Energy intensity	4.1 Climate Change and Energy Management	120	
	302-4	Reduction of energy consumption	4.1 Climate Change and Energy Management	118	
Waste Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 4.3 Waste Management	42 133	
GRI 306: Waste 2020	306-2	Management of significant waste-related impacts	4.3 Waste Management	133	
	306-3	Waste generated	4.3 Waste Management	136	
	306-4	Waste disposal transfer	4.3 Waste Management	137	
	306-5	Direct waste disposal	4.3 Waste Management	137	
Water Resource Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 4.2 Water Resource Management	43 126	
GRI 303: Water and Effluents 2018	303-1	Interactions with water as a shared resource	4.2 Water Resource Management	126	
	303-2	Management of water discharge-related impacts	4.2 Water Resource Management	126	
	303-3	Water withdrawal	4.2 Water Resource Management	127	
	303-4	Water discharge	4.2 Water Resource Management	131	
	303-5	Water consumption	4.2 Water Resource Management	131	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
Talent Attraction and Retention					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 6.1 Talent Attraction and Retention	43 157	
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	6.1 Talent Attraction and Retention	161	
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	6.1 Talent Attraction and Retention	166	
	401-3	Parental leave	6.1 Talent Attraction and Retention	167	
Employee Development					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 6.2 Talent Development	43 168	
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	6.2 Talent Development	170	
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	3.1 Corporate Governance 6.1 Human Capital Attraction and Retention	63 158	
	405-2	Ratio of basic salary and remuneration of women to men	6.1 Human Capital Attraction and Retention	165	
Occupational Safety and Health					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 6.5 Occupational Safety and Health	43 194	
GRI 403: Occupational Safety and Health 2018	403-1	Occupational health and safety management system	6.5 Occupational Safety and Health	194	
	403-2	Hazard identification, risk assessment, and incident investigation	6.5 Occupational Safety and Health	198	
	403-3	Occupational health services	6.4 Workplace Health Management	188	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
GRI 403: Occupational Safety and Health 2018	403-4	Worker participation, consultation, and communication on occupational health and safety	6.5 Occupational Safety and Health	204	
	403-5	Worker training on occupational health and safety	6.5 Occupational Safety and Health	207	
	403-6	Promotion of worker health	6.4 Workplace Health Management	188	
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	6.5 Occupational Safety and Health	198	
	403-8	Workers Covered by the Occupational Safety and Health Management System	6.5 Occupational Safety and Health	205	
	403-9	Work-related injuries	6.5 Occupational Safety and Health	206	
	403-10	Occupational Disease	-	-	There were no work-related ill health cases as defined by regulations occurring in VIS in 2024.
Economic Performance					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 1.2 Financial Performance	40 12	
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	1.2 Financial Performance	13	
	201-2	Financial implications and other risks and opportunities due to climate change	4.1 Climate Change and Energy Management	99	
	201-3	Defined benefit plan obligations and other retirement plans	6.1 Talent Attraction and Retention	167	
	201-4	Financial assistance received from government	1.3 Tax Policy	16	
Risk Control					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.2 Risk Management	40 71	
Supplier Sustainability Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 5. Responsible Supply Chain	41 140	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
GRI 204: Procurement Practices 2016	204-1	Proportion of spending on local suppliers	5.2 Sustainable Supply Chain Management Strategies	143	
GRI 308: Supplier Environmental Assessment 2016	308-1	New suppliers that were screened using environmental criteria	5.3 Promotion of Sustainable Supply Chain Cycle	146	
	308-2	Negative environmental impacts in the supply chain and actions taken	5.3 Promotion of Sustainable Supply Chain Cycle	149	
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	5.3 Promotion of Sustainable Supply Chain Cycle	146	
	414-2	Negative social impacts in the supply chain and actions taken	5.3 Promotion of Sustainable Supply Chain Cycle	149	
Regulatory Compliance					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.3 Ethics and Transparency	40 83	
Corporate Governance					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.1 Corporate Governance	41 61	
Integrity Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.3 Ethics and Transparency	41 82	
GRI 206: Anti-competitive Behavior 2016	206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	3.3 Ethics and Transparency	84	
Product Quality and Safety					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.5 Quality and Customer Service	44 93	
Innovation and R&D					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.4 Innovation Management	44 85	

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
Information Security and Privacy Protection					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.2 Risk Management 3.3 Ethics and Transparency	44 79 84	
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	3.3 Ethics and Transparency	84	
Customer Relationship Management					
GRI 3: Material Topics 2021	3-3	Management of material topics	2.3 Communication with Stakeholders on Material Topics 3.5 Quality and Customer Service	44 93	

All material topics related to GRI indicators in the above GRI index table have been assured by an external third party.

General Topics Disclosure

GRI Standard	Disclosure Content		Corresponding Report Section	Page No.	Note
General Topics Disclosure					
GRI 406: Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	6.3 Human Rights	182	
GRI 407: Freedom of Association and Group Negotiation 2016	407-1	Operating sites and suppliers that may be faced with the risks of freedom of association and group negotiation	6.3 Human Rights	179	During the reporting period, VIS did not have any suppliers that had the risk of violating freedom of association.
GRI 408: Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor	5.3 Promotion of Sustainable Supply Chain Cycle 6.3 Human Rights	146 182	
GRI 409: Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	5.3 Promotion of Sustainable Supply Chain Cycle 6.3 Human Rights	146 178	

The general topics related to GRI indicators in the above GRI index table are not within the scope of external third-party assurance.

Appendix 3 SASB (Sustainability Accounting Standards Board) Index Table

According to the industry classifications found on SASB official website, VIS has selected its applicable metrics from the 11 sectors and 77 industries contained in the SASB Materiality Map for disclosures:

Sector: Technology & Communications

Industry: Semiconductors

Topic	Code	Metric for Disclosure	Category	Description and Explanation
Greenhouse Gas Emissions	TC-SC-110a.1	Scope 1 GHG emissions	Quantitative	VIS' 2024 Scope 1 GHG emissions were 240,951.9772 metric tons CO_2e.
		Total PFCs emissions	Quantitative	VIS' 2024 total perfluorocarbon emissions were 99,938.12 metric tons CO_2e.
	TC-SC-110a.2	Discussion of long-term and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	Qualitative	VIS aims to reduce GHG emissions per unit wafer area by 30% from the 2021 baseline by 2030. VIS' Scope 1 GHG emission sources include direct emissions from diesel fuel used in power generators and natural gas in fabs; mobile emissions from fuel used in company vehicles; and fugitive emissions of F-gases. In 2005, VIS signed the "Memorandum of Cooperation for the Reduction of PFCs Emissions" in collaboration with Taiwan Semiconcuctor Industry Association (TSIA) and the Environmental Protection Administration (EPA) of the Executive Yuan.
Energy Management in Manufacturing	TC-SC-130a.1	Total energy consumed	Quantitative	The total energy consumed by VIS in 2024 was 3,643,612 GJ.
		Percentage: Grid electricity	Quantitative	VIS' total grid electricity consumption in 2024 was 3,532,378 GJ, accounting for 97% of the total energy consumed.
		Percentage: Renewable energy	Quantitative	VIS' renewable energy consumption in 2024 was 43,830 GJ, accounting for 1.2% of the total energy consumed.
Water Management	TC-SC-140a.1	Total water withdrawn	Quantitative	VIS' total water withdrawal in 2024 was 8,040.18 thousand cubic meters (1,000 m^3).
		Percentage of water withdrawal in regions with high or extremely high baseline water stress	Quantitative	Since VIS' operational sites are not located in regions with high or extremely high baseline water stress, the percentage of water withdrawal from such regions in 2024 was 0%.
		Total water consumed	Quantitative	VIS' total water consumption in 2024 was 2,655.23 thousand cubic meters (1,000 m^3).
		Percentage of water consumption in regions with high or extremely high baseline water stress	Quantitative	Since VIS' wafer fabs are not located in regions with high or extremely high baseline water stress, the percentage of water consumption from such regions in 2024 was 0%.

Topic	Code	Metric for Disclosure	Category	Description and Explanation
Waste Management	TC-SC-150a.1	Amount of hazardous waste from manufacturing	Quantitative	The total amount of hazardous waste from VIS' manufacturing in 2024 was 5,493.11 metric tons (t).
		Percentage of hazardous waste recycled	Quantitative	The total amount of hazardous waste recycled by VIS in 2024 was 5,454.569 metric tons (t), accounting for 99.30% of the total amount of hazardous waste.
Employee Health & Safety	TC-SC-320a.1	Description of efforts to assess, monitor, and reduce exposure of employees to human health hazards.	Qualitative	In addition to assigning senior personnel to conduct safety and health risk assessments and evaluate environmental aspects, VIS requires the proposal of Environmental Safety and Health (ESH) implementation programs aimed at improving high-risk and significant environmental aspects. The risk and environmental safety management departments of VIS' Taiwan fabs also commission external agencies to conduct biannual work environment testing. The results are disclosed, and improvements are required from units where anomalies are identified. For detailed information on policies and management systems, please refer to Section 6.5.1 Environmental Safety and Health Policies and Management Systems.
	TC-SC-320a.2	Total amount of monetary losses as a result of legal proceedings associated with employee health and safety violations (Unit: NT$)	Quantitative	VIS was not involved in any monetary losses as a result of legal proceedings associated with employee health and safety violations in 2024.
Recruiting & Managing a Global & Skilled Workforce	TC-SC-330a.1	Percentage of employees that are required a work visa	Quantitative	The statistics of VIS' 2024 employees who need a work visa to work in the country are shown in the table below:

Location of operations	Total foreign national employees	Total employees in the location of operations	Location of operations
Taiwan	405	5,569	7.27%
Non-Taiwan	899	957	93.94%

Note: According to the regulations of the country where the operational site is located, non-nationals of that country must obtain a work visa to be legally employed.

Topic	Code	Metric for Disclosure	Category	Description and Explanation
Product Lifecycle Management	TC-SC-410a.1	Percentage of products by revenue that contain IEC 62474 declarable substances (Unit: %)	Quantitative	In 2024, the percentage of VIS products by revenue that contain IEC 62474 declarable substances was 0%. All VIS products are compliant with requirements of relevant international laws and regulations listed in the IEC 62474 Declarable Substance List.
	TC-SC-410a.2	Processor energy efficiency at a system-level for: (1) servers, (2) desktops, and (3) laptops	Quantitative	VIS is a foundry service provider that does not produce end applications or products. Therefore, no specific content related to end applications or products can be disclosed.

Topic	Code	Metric for Disclosure	Category	Description and Explanation
Material Sourcing	TC-SC-440a.1	end applications or products can be disclosed.	Qualitative	In addition to communicating its Conflict Minerals Management Policy to suppliers, VIS requires that the final sources of minerals used by suppliers be certified by the Responsible Minerals Initiative (RMI) through the Responsible Minerals Assurance Process (RMAP). Suppliers' smelters and refineries must also be certified by RMI or verified by independent third-party audit organizations to ensure that all minerals used by the Company and throughout its supply chain comply with responsible minerals management standards. For detailed information on VIS' Conflict Minerals Declaration and due diligence practices, please refer to Section 5.4 Responsible Procurement.
Intellectual Property Protection & Competitive Behavior	TC-SC-520a.1	Total amount of monetary losses as a result of legal proceedings associated with anticompetitive behavior regulations (Unit: NT$)	Quantitative	VIS did not incur any monetary losses from legal proceedings related to anticompetitive behavior regulations in 2024.
Type of production	TC-SC-000.A	Total production	Quantitative	VIS produced a total of 2.14 million 8-inch wafers in 2024.
	TC-SC-000.B	Percentage of production from owned facilities (Unit: %)	Quantitative	All of the 2.14 million 8-inch wafers produced in 2024 came from VIS-owned facilities.

SASB Materiality Map: https://materiality.sasb.org/
SASB official website: https://www.sasb.org

Appendix 4 Article 4 of TPEx's "Rules Governing the Preparation and Filing of Sustainability Reports by TPEx Listed Companies"

Appendix 1-8 Sustainability Disclosure Standards - Semiconductor Industry

No.	Metric for Disclosure	Category	2024 Disclosure	Unit
I	Total energy consumption, percentage of grid electricity, and renewable energy usage rate	Quantitative	1. Total energy consumed: VIS consumed a total of 3,643,612 GJ of energy in 2024. 2. Percentage (Grid electricity): VIS' total grid electricity consumption in 2024 was 3,532,378 GJ, accounting for 97% of the total energy consumed. 3. Percentage (Renewable energy): VIS' renewable energy consumption in 2024 was 43,830 GJ, accounting for 1.2% of the total energy consumed.	Gigajoules (GJ), Percentage (%)
II	Total water withdrawal and total water consumption	Quantitative	1. Total water withdrawn: VIS withdrew a total of 8,040.18 thousand cubic meters (1,000 m^3) of water in 2024. 2. Percentage of water withdrawal in regions with high or extremely high baseline water stress: Since locations of VIS' operations are not within regions with high or extremely high baseline water stress, the percentage of water withdrawal from such regions in 2024 was 0%. 3. Total water consumed: VIS' total water consumption in 2024 was 2,655.23 thousand cubic meters (1,000 m^3). 4. Percentage of water consumption in regions with high or extremely high baseline water stress: Since locations of VIS' wafer fabs are not within regions with high or extremely high baseline water stress, the percentage of water consumption in regions with high or extremely high baseline water stress in 2024 was 0%.	Thousand cubic meters (1,000 m^3)
III	The weight of hazardous waste from manufacturing, and the recycling percentage	Quantitative	1. Amount of hazardous waste from manufacturing: The total amount of hazardous waste generated from VIS' manufacturing activities in 2024 was 5,493.11 metric tons (t). 2. Percentage of hazardous waste recycled: The total amount of hazardous waste recycled by VIS in 2024 was 5,454.569 metric tons (t), accounting for 99.30% of the total amount of hazardous waste.	Metric tons (t), Percentage (%)

No.	Metric for Disclosure	Category	2024 Disclosure	Unit
IV	Explain the occupational accident categories, number of people being affected, and relevant percentages	Quantitative	In 2024, seven VIS employees experienced minor injuries such as bruises in Taiwan Sites, accounting for 0.009% of total number of employees 75,876 in Taiwan. In Singapore Sites, there were no employees encountering a minor injury.	Quantity, Ratio (%)
V	Disclosure of product life cycle management: Including weight of scrap products and e-waste, and percentage of recycling	Quantitative	With the aim of achieving sustainable use of resources, VIS makes efforts in converting waste into valuable resources through recycling and reuse. All waste is properly cleared, disposed of, or reused with the assistance provided by qualified waste clearance, disposal or reuse service providers. However, since VIS is not an end product manufacturer, customers recycle scrap products themselves; thus, no scrap product statistics can be disclosed.	Metric tons (t), Percentage (%)
VI	Description of the risk management associated with the use of critical materials	Qualitative Description	In addition to declaring Conflict Minerals Management Policy to suppliers, VIS requires that the final sources of minerals used by suppliers be certified by Responsible Minerals Initiative (RMI) through Responsible Minerals Assurance Process (RMAP). Suppliers' refineries are also required to be certified by RMI or third-party verification/audit agencies to ensure that the minerals used in the Company and the supply chain conform to the requirements of responsible minerals management. For detailed Conflict Minerals Declaration and due diligence information, please refer to 5.4 Responsible Procurement.	Not Applicable
VII	Total amount of monetary losses as a result of legal proceedings associated with anticompetitive behavior regulations	Quantitative	VIS did not incur any monetary losses as a result of legal proceedings associated with anticompetitive behavior regulations in 2024.	Reporting Currency
VIII	Production volume of the main product under the Company's product category	Quantitative	The total production of VIS 8-inch wafers in 2024 was 2.14 million pieces.	Varies by Product Type

Appendix 2: TPEx-listed Companies Climate-related Information

1. Implementation of Climate-related Information

Item	Implementation Performance
I. Describe the supervision and governance on climate-related risks and opportunities from the Board of Directors' and management.	1. VIS' climate change governance and management structure is based on a three-level top-down mechanism, consisting of the Board of Directors, Audit Committee, and Sustainability Development Committee, the executive management team, and the executive committee. **Board of Directors, Audit Committee, and Sustainable Development Committee** • Oversee VIS' overall climate and natural management practices • Review the linkage between the management team's compensation and ESG performance **Executive Management Team** (Chairperson: Chairman & Chief Strategy Officer, President) • Grasping climate and natural risks and opportunities; illustrating the organization's business/strategy/ research and development direction and financial planning. • Formulate mid- to long-term goals and development strategies for climate change, nature cleanup positive, and renewable energy. • Quarterly reviewing the Company's ESG related strategies and objectives. **Energy and Carbon Reduction Committee** **Chairperson: Assistant Vice President of Operation and Environmental Safety** • Manage actions for risks and opportunities related to physical and transitional risks and opportunities in terms of climate change and nature-based topics. **Corporate Sustainability Committee** **Chairperson: Chairman & Chief Strategy Officer** **Deputy chair: Vice President & CFO** • Interdepartmental communication platform for climate and natural governance, and management strategies issues. Participated by representatives from functional committees for economic, environmental, social and governance performance. • Cover topics such as carbon asset management, supply chain management, energy saving and carbon reduction. **Enterprise Risk Management Committee** **Chairperson: President** • Identify and execute climate change and natural-related risks. • Manage and execute risk control plans. Note: The Audit Committee and the Sustainable Development Committee are 100% composed of board members. 2. The supervision and governance of the Board of Directors includes: (1) Supervise the overall climate change management actions of VIS; (2) Review the linkage between management team compensation and ESG performance. 3. The supervision and governance of the management team are executed by VIS' highest-level climate change management and decision-making center. (1) Recognizing climate risks and opportunities; explaining the organization's business/strategy/R&D direction and financial planning; (2) Setting medium-term and long-term goals and development strategies for climate change and renewable energy; (3) Reviewing the Company's ESG-related strategies and objectives every quarter.

II. Describe how the identified climate risks and opportunities affect the business, strategy, and finances of the business (short, medium, and long term).	Short-term refers to a period within 3 years, medium-term refers to 3 to 10 years, and long-term refers to extends beyond 10 years. The analysis of VIS' climate-related risks and opportunities is as follows: **Physical Risks: Taiwan's terrain features high mountains, steep slopes, and uneven rainfall distribution, making it prone to seasonal and regional water scarcity. In recent years, the impacts of climate change have intensified, with more frequent occurrences of heavy rainfall, flooding, and drought. In response to the challenges posed by flooding and water scarcity, VIS has completed the identification of relevant risk factors and proactively developed response mechanisms and mitigation measures to reduce operational risks. The scope of analysis covers 100% of existing fabs, along with specific adaptation plans for the next five years. Risk assessments and adaptation strategies have also been completed for newly established fabs.** 1. Flood Risk • **Risk Description** Short-term: Flood risk analysis based on 500-year return period rainfall. Medium-term: Under the worst-case scenario (SSP5-8.5), rainfall intensity will increase by approximately 15% and flood height will increase by 15% by 2035. Long-term: Under the worst-case scenario (SSP5-8.5), rainfall intensity will increase by approximately 20% and flood height will increase by 20% by 2050. • **Business Impact:** In the event of flood-related production disruptions, the estimated daily loss per fab is approximately NT$25 million (estimated based on revenue generated by five 8-inch wafer fabs in 2024). • **Response Strategy:** Establish flood prevention management and response mechanisms, install related hardware, plan for flood gate installation, and purchase insurance to transfer risk. • **Financial Planning:** Hardware investments for flood gates installation, personnel training for flood prevention response, preparation for flood and typhoon events, maintenance of flood prevention-related hardware and software, and expenditures for flood and typhoon insurance. The evaluation scope covers all fabs, with annual costs estimated at NT$30 million to NT$40 million. • **Opportunity:** Establish flood prevention management and response mechanisms, and install related equipment to enhance the fabs' resilience against flooding. 2. Water Shortage Risk • **Risk Description** Short-term: Water supply is limited, with reductions exceeding 20%. Medium-term: Under the worst-case scenario (SSP5-8.5), by 2035, the maximum number of consecutive dry days is projected to increase by approximately 4%, with a simulated water supply restriction of 20%. Long-term: Under the worst-case scenario (SSP5-8.5), by 2050, the maximum number of consecutive dry days is projected to increase by approximately 5.5%, with a simulated water supply restriction of 30%. • **Business Impact:** In the event of drought or water shortage causing production interruption, each fab experiences a daily production loss of approximately NT$25 million (estimated based on revenue generated by five 8-inch wafer fabs in 2024). • **Response Strategy:** Establish an emergency water supply mechanism to maintain continuous production during drought periods; implement water-saving measures to enhance water resource efficiency; in the case of severe water restrictions, deploy water trucks to transport the required operational water. • **Financial Planning:** With a 10% water restriction, the daily additional cost is approximately NT$0.5 million; with a 20% water restriction, the daily additional cost is approximately NT$1 million; with a 30% water restriction, the daily additional cost is approximately NT$2 million. (Annual water truck supply contracts have been signed.) • **Opportunity:** Establish an emergency water supply mechanism and implement water-saving measures.

Transition Risk

1. **Scope 1:** Greenhouse Gas Direct Emissions - Low Carbon Transition Risk
   - **Risk Description**

     Short-term: The imposition of carbon fees and carbon taxes will impact the Company's operational costs. Taiwan will start levying a carbon fee of NT$300 per ton of CO_2e at the general rate from 2025. Enterprises that propose a self-determined reduction plan and achieve the reduction targets specified in the regulations will be eligible for a preferential rate of NT$100 per ton of CO_2e. Singapore increased the carbon tax rate to SGD 25 per ton of CO_2e (approximately NT$600) in 2024. Assuming the carbon emissions at the Taiwan fabs in 2025 are approximately 200,000 tons of CO_2e, after deducting the free emissions and using the reduction credits obtained in accordance with the "Greenhouse Gas Early Action Project, Environmental Protection Administration, Executive Yuan" to deduct 10% of the chargeable emissions, adopting the preferential rate, VIS will pay a carbon fee of approximately NT$15.43 million. If the annual carbon emissions at the Singapore fab exceed the threshold of 25,000 tons of CO_2e, VIS will have to pay at least approximately NT$15 million in carbon tax.

     Medium-term: With policy adjustments and market changes, it is expected that the carbon fee/carbon tax rates in Taiwan and Singapore will increase. During this period, Taiwan may face a new carbon fee ranging from NT$500 to NT$1,000 per ton of CO_2e, while the new carbon tax rate in Singapore is projected to range from SGD 25 to SGD 50 per ton of CO_2e (approximately NT$600 to NT$1,200). If the carbon emissions from all Taiwan fabs are estimated at 200,000 tons of CO_2e, the total carbon fee could reach NT$100 million to NT$200 million. For the Singapore fab, with an estimated carbon emission of 25,000 tons of CO_2e, the carbon tax could amount to approximately NT$15 million to NT$30 million.

     Long-term: As environmental protection policies become increasingly stringent, countries will continue to lower the threshold for levying carbon fees/carbon taxes. Forecasts show that Taiwan's carbon fee per ton may range from NT$1,000 to NT$1,600, while Singapore's carbon tax per ton may range from SGD 50 to SGD 80 (approximately NT$1,200 to NT$1,920). If the carbon emissions from all Taiwan fabs are estimated at 200,000 tons of CO_2e, the carbon fee payable could range from NT$200 million to NT$320 million. For the Singapore fab, with an estimated carbon emission of 25,000 tons of CO_2e, the carbon tax payable could reach NT$30 million to NT$48 million.
   - **Business Impact:** Increased operating costs.
   - **Response Strategy:** Implement the "Carbon Emission Reduction Improvement Plan", which includes installing greenhouse gas emission treatment equipment and utilizing negative emissions technologies to offset carbon emissions.
   - **Financial Planning:** The installation of greenhouse gas emission treatment equipment is projected to reach 100% completion, with an investment of NT$1.65 billion. For the remaining 112,000 tons of CO_2e emissions that cannot be eliminated, offsetting at a rate of NT$2,000 per ton will result in an annual expenditure of approximately NT$224 million.
   - **Opportunity:** Implement the "Carbon Emission Reduction Improvement Plan" to move towards the net-zero emission goal, enhancing the Company's competitiveness.

2. **Scope 2:** Greenhouse Gas Indirect Emissions - Low Carbon Transition Risk
   - **Risk Description**

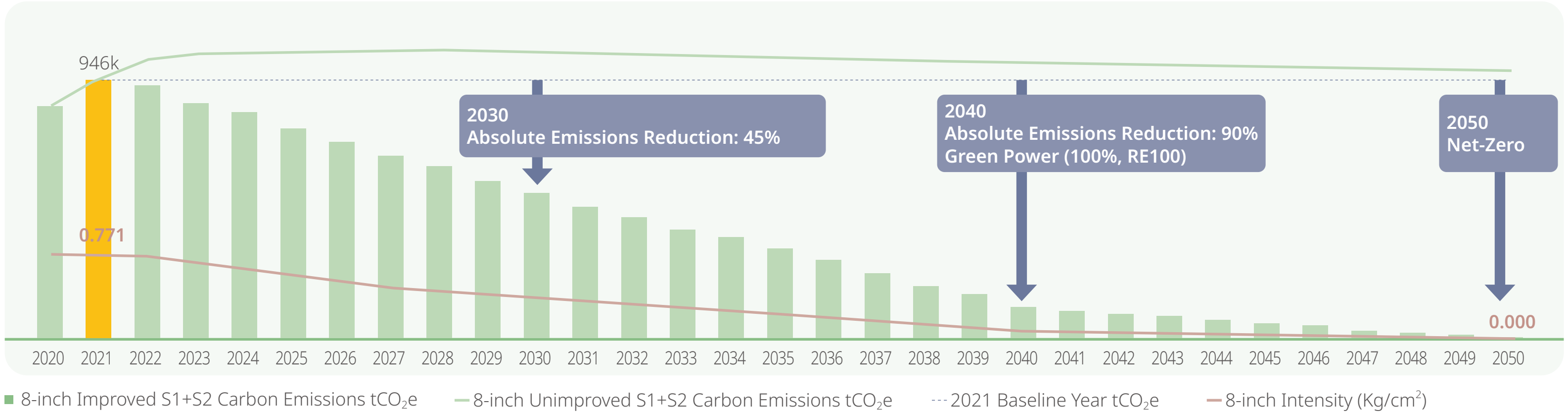
     Short-term: Taiwan will start imposing a carbon fee of NT$300 per ton of carbon emissions from 2025. Enterprises that propose a self-determined reduction plan and achieve the reduction targets specified in the regulations will be eligible for a preferential rate of NT$100 per ton of CO_2e. If the Scope 2 emissions in 2025 are estimated at 500,000 tons of CO_2e, after deducting the free emissions and using the reduction credits obtained in accordance with the "Greenhouse Gas Early Action Project, Environmental Protection Administration, Executive Yuan" to deduct 10% of the chargeable emissions, adopting the preferential rate, VIS will need to pay approximately NT$38.57 million in carbon fees.

     Medium-term: By 2031, if the carbon fee rate in Taiwan increases to NT$1,000 per ton of CO_2e, based on 500,000 tons of CO_2e emissions, the annual carbon fee will rise to about NT$500 million.

     Long-term: By 2050, if the carbon fee rate in Taiwan increases to NT$1,500 per ton of CO_2e, based on 500,000 tons of CO_2e emissions, the annual carbon fee could rise to NT$750 million.
   - **Business Impact:** Increased operating costs.
   - **Response Strategies:** Implement the "Energy Conservation Improvement and Renewable Energy Usage Plan," which includes introducing energy-saving equipment and technologies, as well as procuring green electricity.
   - **Financial Planning:** The estimated investment in energy-saving equipment and technologies is NT$12 billion. Additionally, the annual procurement of 770 million kilowatt-hours of green electricity is expected to result in an additional cost of NT$1.54 billion annually (price difference between green electricity and Taipower, at NT$2 per kilowatt-hour).
   - **Opportunities:** Introduce energy-saving equipment and technologies to improve resource utilization efficiency.

	3. Risk of Changes in Customer Product Trends • **Risk Description:** Short / Medium / Long-Term: Customer demand is gradually shifting towards green energy products, which may lead to to a decrease in orders and a decline in revenue. • **Business Impact:** If the manufacturing technology for green energy products is not enhanced or improved, downstream customers will lose their market competitiveness. • **Response Strategy:** Increase training on green product technologies and market promotion. • **Financial Planning:** Allocate capital expenditures to support the development of manufacturing technologies for green energy products. • **Opportunity:** Increase and enhance the use of high-frequency, low-impedance components in newly developed or existing technology platforms to boost revenue from green energy products.
III. Describe the financial impact of extreme weather events and transformative actions.	Extreme weather events (e.g., droughts and heavy rainfall) present both long-term and short-term risks to factory operations, potentially causing production disruptions and revenue losses. Meanwhile, the global trend toward net-zero emissions is prompting enterprises to take transformative actions, including investments in low-carbon products and innovative technologies. The financial impact on VIS is outlined below: **Extreme Weather Events** 1. **Flood Risk:** Increased rainfall intensity leads to higher floodwater levels. Financial Impact: Investments in flood gates, personnel training for flood prevention response, preparation for flood and typhoon events, maintenance of flood prevention-related hardware and software, and expenditures for flood and typhoon insurance. 2. **Water Shortage Risk:** The maximum number of consecutive dry days increases. Financial Impact: In the event of a 10% water restriction, the estimated additional daily cost is approximately NT$500,000. A 20% restriction would increase the cost to around NT$1,000,000 per day, while a 30% restriction would result in an estimated daily cost of NT$2,000,000. A water truck supply contract has been signed to ensure annual backup water delivery. **Transformative Actions** 1. **Low-carbon Transformation:** Achieving full installation of greenhouse gas emission treatment equipment will require an investment of approximately NT$1.65 billion. For emissions that cannot be eliminated, negative emissions technologies will be adopted to offset them, resulting in an annual expenditure of around NT$224 million. Additionally, investments in energy-saving equipment and technologies are estimated at NT$12 billion, while the annual purchase of 770 million kWh of green electricity is expected to increase electricity costs by approximately NT$1.54 billion. 2. **Changes in Product Trends:** Enhance and expand the use of high-frequency, low-impedance components in newly developed or existing technology platforms. **Financial Impact:** Capital expenditures will be allocated to support the development of manufacturing technologies for green energy products.
IV. Describe how climate risk identification, assessment, and management processes are integrated into the overall risk management system.	1. Based on the TCFD framework, VIS has identified climate-related risk issues by referring to reports from international organizations, industry-specific analytical data, and relevant laws and regulations. Key categories considered include current regulations, emerging regulations, technological risks, legal risks, market risks, reputational risks, acute physical risks, and chronic physical risks. 2. The risk value is determined by aggregating the financial or strategic impact level and the frequency of occurrence, which serves as the basis for prioritizing climate-related risk issues. 3. The short-, medium-, and long-term risks of climate change upstream, in-house operations, and downstream are integrated into various operational risk management systems, and the Enterprise Risk Management Committee regularly conducts risk management including risk identification, risk measurement, risk response, mitigation, sharing, bearing, risk monitoring, and risk reporting. 4. The Enterprise Risk Management Committee, composed of senior management, is responsible for reviewing various risks (including climate risks) and guiding the implementation of risk control plans. It regularly reports to the Board of Directors every year, and the Board of Directors reviews and supervises the effectiveness of risk control implementation and provides decision-making and guidance. 5. The management team then formulates policies and improvement targets based on the conclusion of the discussions of the Board of Directors and submits these to each executive committee for operational adjustments.
V. If scenario analysis is used to assess the resilience to climate change risks, the scenarios, parameters, assumptions, and analysis factors used, and major financial impacts should be described.	The scenario used by VIS to assess the resilience to climate change risks is a 1.5 ℃ roadmap, i.e., achieving Net-Zero Emissions by 2050. The parameters and analysis factors used in the financial impact analysis include the electricity emission coefficient, the unit price of electricity (non-renewable energy and renewable energy), and the unit price of carbon fee at the location of each fab. The hypothesis includes the trend of changes in the preceding parameters. At the same time, VIS also refers to Net-Zero by 2050: A Roadmap for the Global Energy Sector (NZE 2050) and Sustainable Development Scenario (SDS, fossil fuels transitioning to renewable energy, transitioning to 100% renewable energy by 2040) released by the International Energy Agency (IEA), Net-Zero Climate Scenario and three main net-zero technologies, including: clean energy, hydrogen energy, and negative carbon technology (carbon capture and storage), released by Bloomberg New Energy Finance (BNEF), and Taiwan's 2050 Net-Zero Transformation Policy Scenario (STEPS) for analysis.

VI. If there is a transition plan for managing climate-related risks, describe the content of the plan, and the indicators and targets used to identify and manage physical risks and transition risks.	1. Transition Plan: Continuously improve process efficiency, increase the installation rate of greenhouse gas treatment equipment, replace energy sources, and implement energy-saving improvement initiatives. 2. Indicators and Targets: VIS became a member of RE100 in December 2022, committing to achieving 100% green electricity usage by 2040. With the current five 8-inch wafer fabs, VIS has set a target for 2040, aiming for a 70% reduction in carbon emissions (Scope 1 + Scope 2 + Scope 3) compared to 2021 levels, moving toward net-zero emissions by 2050. 3. Net-Zero Carbon Reduction Pathway and Strategy for Scope 1 and Scope 2 (based on the current five 8-inch wafer fabs): **(1) Net-Zero Carbon Reduction Path** (A) Absolute Reduction Target: Compared with the base year 2021 carbon emissions of 946 kt CO_2e (kilotonnes of carbon dioxide equivalent), the planning proximity target for 2030 is an absolute reduction of 45% of carbon emissions, with a reduction of 425.7 kt CO_2e; and the long-term target for 2040 is an absolute reduction of 90%, with a reduction of 851.4 kt CO_2e, and reaching a net-zero by 2050. (B) Carbon Emission Intensity Reduction Target (at Full Load): Compared with the carbon emission intensity of 0.771 kg-CO_2/cm² in the base year of 2021, reduce it by 50% and 473 kt CO_2e in 2030 in the near term; reduce it by 90% and 851.4 kt CO_2e in 2040 in the long term; and reduce it to 0 kg-CO_2/cm² in 2050. **(2) Scope 1 and Scope 2 Carbon Reduction Strategies:** (A) Autonomous Carbon Reduction: Achieve over 90% carbon reduction through the installation of greenhouse gas removal equipment, conversion of high-carbon potential gases to low-carbon potential gases, implementation of energy-saving improvement projects, and procurement of green electricity to meet autonomous carbon reduction targets. (B) Carbon Credits/ Negative Carbon and Natural Carbon Sink Technologies: For the remaining less than 10% of carbon emissions, from 2041 to 2050, the strategy includes offsetting through the purchase of external carbon credits, negative carbon technologies, and natural carbon sink technologies. Relevant emission information is referenced from ISO/CNS 14064-1, the Environmental Protection Administration's Greenhouse Gas Verification Guidelines, the Greenhouse Gas Inventory Registration Guidelines, and the WBCSD/WRI Greenhouse Gas Protocol. Emissions are verified according to these standards and have undergone third-party validation by SGS. Scope 3 Low-Carbon Transition Risk: If suppliers do not undergo a low-carbon transition, raw material supply could face price increases due to high carbon emissions and the imposition of carbon fees or carbon taxes. To mitigate these risks, VIS actively encourages its suppliers to adopt low-carbon transition practices, thereby reducing the financial impact associated with Scope 3 low-carbon transformation.



VII. If internal carbon pricing is used as a planning tool, the basis for setting the price should be stated.	VIS, a semiconductor wafer manufacturing company, prioritizes climate change and energy conservation while striving for business performance. When planning capital expenditures, the Company incorporates carbon tax costs to achieve the following objectives: (1) Improve cost-benefit analysis of engineering projects; (2) Promote the implementation of energy-saving improvements to enhance energy efficiency; (3) Evaluate investments in the installation and procurement of renewable energy equipment; (4) Provide strategic and decision-making references for low-carbon transition and the risks associated with carbon tax impacts; (5) Serve as one of the reference indicators for long-term financial planning toward low-carbon transition; (6) Establish Net-Zero carbon emissions targets; (7) Develop financial plans for offsetting residual carbon emissions through carbon credits from 2041 to 2050. Scope of application: Scope 1 and Scope 2 emissions. The Company adopts a shadow pricing method for carbon pricing (referencing government carbon tax rates) and applies it to 100% of its operational sites. The internal carbon pricing framework is determined as follows: • Taiwan facilities: Based on Taiwan's Ministry of Environment's carbon fee regulations, priced at NT$300 per ton of emissions. • Singapore facilities: Referencing Singapore's carbon tax rate, priced at SGD 25 per ton of emissions. The internal carbon pricing system is utilized to evaluate the benefits of energy-saving and carbon reduction projects, as well as renewable electricity initiatives. This approach supports carbon reduction efforts across global operational sites while mitigating the financial impact of carbon fee (carbon tax) policies. From 2041 to 2050, VIS plans to offset its remaining carbon emissions through carbon credits, priced at NT$2,000 per ton.
VIII. If climate-related targets have been set, the activities covered, the scope of greenhouse gas emissions, the planning horizon, and the progress achieved each year should be specified. If carbon credits or renewable energy certificates (RECs) are used to achieve relevant targets, the source and quantity of carbon credits or RECs to be offset should be specified.	The climate-related targets set by VIS encompass activities across its five 8-inch wafer fabs. GHG emissions scope include Scope 1, 2, and 3. Please refer to the table below, and 4.1 Climate Change and Energy Management for the climate-related targets timeline and progress.
IX. GHG Inventory and Assurance status and the Reduction Target, Strategy, and Concrete Action Plans (fill in 1-1 and 1-2).	Please refer to the table on the following page.

1-1 Greenhouse Gas (GHG) Inventory and Assurance Situation in the Last Two Years

Year	Scope	Scope 1: Direct GHG Emissions		Scope 2: Indirect GHG Emissions		Agency	Standards	Level of Assurance
		Total Emissions	Intensity (tons CO_2e/per million)	Total Emissions	Intensity (tons CO_2e/per million)			
2023	VIS	181,341	5.2	474,982	13.7	SGS Taiwan Ltd.	ISO 14064-3	Reasonable Assurance
	All subsidiaries	21,859	5.9	70,409	18.9			
	Total	203,200	5.3	545,391	14.2			
2024	VIS	225,714	5.6	512,991	12.8	SGS Taiwan Ltd.	ISO 14064-3	Reasonable Assurance
	All subsidiaries	15,237	3.5	69,659	16.0			
	Total	240,951	5.5	582,650	13.2			

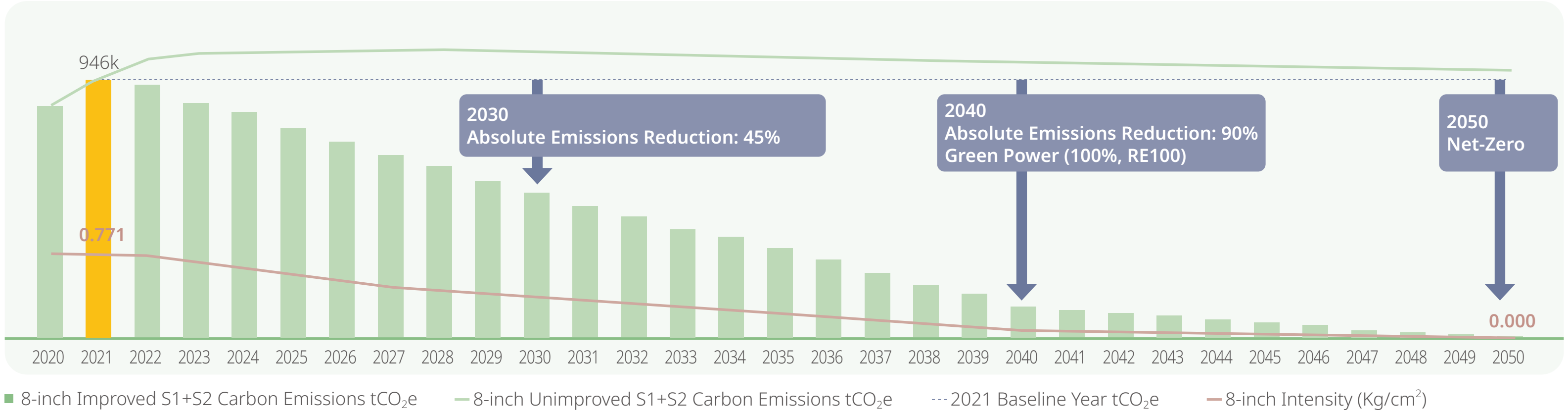
Year	Scope	Scope 3: Other Indirect GHG Emissions					Agency	Standards	Level of Assurance
		Category 3. Indirect GHG emissions from transport	Indirect GHG emissions from products used by the organization	Category 5. Indirect GHG emissions associated with the use of products from the organization	Category 6. Indirect GHG emissions from other sources	Total			
2023	VIS and All Subsidiaries	13,980	257,607	0	0	271,587	SGS Taiwan Ltd.	ISO 14064-3	Limited Assurance
2024	VIS and All Subsidiaries	28,577	200,252	0	0	228,829	SGS Taiwan Ltd.	ISO 14064-3	Limited Assurance

Note: For the greenhouse gas verification statement, please refer to the certification section of the Company's website.

1-2 GHG Reduction Target, Strategy, and Concrete Action Plan

1. GHG Reduction Target:
   VIS total GHG emissions from Scope 1 and 2 in 2021 was 945,600 tons (CO_2-equivalent).

   With 2021 as the base year, the implementation performance and future reduction targets for 2024 are as follows:
   - The targeted reduction in carbon emissions in 2024 was 39,700 tons (CO_2-equivalent), whereas the actual reduction was 44,300 tons (CO_2-equivalent), surpassing the target by 4,600 tons (CO_2-equivalent).
   - Carbon Reduction Targets in 2025: Reduce carbon emissions by 39,700 tons (CO_2-equivalent).
   - Carbon Reduction Targets in 2030: 45% reduction in cumulative carbon emission from 2022 to 2030 compared to the base year.
   - Carbon Reduction Targets in 2040: Reduce 90% compared to the base year. Gradually achieve Net-Zero carbon emissions by 2050.



2. GHG Reduction Strategy and Specific Action Plan:
   For direct GHG emissions, such as those from production processes, VIS will increase the use of gases with low emission coefficients, reduce emissions at the source, and install GHG treatment equipment. For indirect GHG emissions, such as those from electricity consumption, VIS will introduce energy-saving technologies and low-energy-consumption equipment to improve energy efficiency. VIS has committed to using 100% renewable energy by 2040 to eliminate indirect GHG emissions associated with electricity consumption. In addition, VIS is actively promoting a low-carbon supply chain and advancing environmental sustainability initiatives to reduce other indirect GHG emissions. For GHG emissions that cannot be eliminated (less than 10% of total emissions compared to the base year), VIS plans to offset them through the purchase of carbon credits, deployment of negative emission technologies, and utilization of natural carbon sinks between 2041 and 2050, gradually achieving net-zero carbon emissions by 2050.

Appendix 5 AA1000 Assurance Statement

SGS

ASSURANCE STATEMENT

SGS TAIWAN LTD.'S REPORT ON SUSTAINABILITY ACTIVITIES IN THE VANGUARD INTERNATIONAL SEMICONDUCTOR CORPORATION'S SUSTAINABILITY REPORT FOR 2024

NATURE AND SCOPE OF THE ASSURANCE

SGS Taiwan Ltd. (hereinafter referred to as SGS) was commissioned by VANGUARD INTERNATIONAL SEMICONDUCTOR CORPORATION (hereinafter referred to as VIS) to conduct an independent assurance of the Sustainability Report for 2024 (hereinafter referred to as the report). The assurance is based on the SGS Sustainability Report Assurance methodology and AA1000 Assurance Standard v3 Type 2 Moderate level during 2025/05/14 to 2025/07/10. The boundary of the report includes Vanguard International Semiconductor Corporation Taiwan and oversea operational and production sites as disclosed in VIS' Sustainability Report of 2024. The boundary is the same as VIS' consolidated financial statements.

SGS reserves the right to update the assurance statement from time to time depending on the level of report content discrepancy of the published version from the agreed standards requirements.

INTENDED USERS OF THIS ASSURANCE STATEMENT

This Assurance Statement is provided with the intention of informing all VIS' Stakeholders.

RESPONSIBILITIES

The sustainability information in the VIS' Sustainability Report of 2024 and its presentation are the responsibility of the directors or governing body (as applicable) and management of VIS. SGS has not been involved in the preparation of any of the material included in the report.

Our responsibility is to express an opinion on the text, data, graphs and statements within the scope of assurance based upon sufficient and appropriate objective evidence.

ASSURANCE STANDARDS, TYPE AND LEVEL OF ASSURANCE

The assurance of this report has been conducted according to the AA1000 Assurance Standard (AA1000AS v3), a standard used globally to provide assurance on sustainability-related information across organizations of all types, including the evaluation of the nature and extent to which an organization adheres to the AccountAbility Principles (AA1000AP,2018).

Assurance has been conducted at a type 2 moderate level of scrutiny.

SCOPE OF ASSURANCE AND REPORTING CRITERIA

The scope of the assurance included evaluation of quality, accuracy and reliability of specified performance information as detailed below and evaluation of adherence to the following reporting criteria:

Reporting Criteria Options	
1	AA1000 Accountability Principles (2018)
2	GRI (In Accordance with)
3	Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD)

- The evaluation of the reliability and quality of specified sustainability performance information in VIS' Sustainability Report is limited to determined material topics or those clearly marked in the report as conducted in accordance with type 2 of AA1000AS v3 sustainability assurance engagement at a moderate level of scrutiny for VIS and moderate level of scrutiny for its subsidiaries.
- The evaluation of the report against the requirements of GRI Standards, includes GRI 1, GRI 2, GRI 3, 200, 300 and 400 series claimed in the GRI content index as material and is conducted in accordance with the standards.
- The evaluation of the report against TCFD is conducted at a type 2 moderate level of scrutiny since it includes forward-looking information.

SPECIFIED PERFORMANCE INFORMATION AND DISCLOSURES INCLUDED IN SCOPE

The specified performance information includes the data for 2024, which is related to GRI 2, GRI 3, GRI 200, 300 and 400 series claimed in the GRI content index as material and TCFD in VIS' Sustainability Report.

ASSURANCE METHODOLOGY

The assurance comprised a combination of desktop research, interviews with relevant employees, superintendents, Corporate Sustainability Committee members and the senior management in Taiwan; documentation and record review and validation with external bodies and/or stakeholders where relevant.

LIMITATIONS

Financial data drawn directly from independently audited financial accounts, and items excluded from the assurance scope have not been checked back to source as part of this assurance process.

INDEPENDENCE AND COMPETENCE

The SGS Group of companies is the world leader in inspection, testing and verification, operating in more than 140 countries and providing services including management systems and service certification; quality, environmental, social and ethical auditing and training; environmental, social and sustainability report assurance. SGS affirm our independence from VIS, being free from bias and conflicts of interest with the organisation, its subsidiaries and stakeholders.

The assurance team was assembled based on their knowledge, experience and qualifications for this assignment, and comprised auditors registered with professional qualifications such as ISO 26000, ISO 20121, ISO 50001, RBA, QMS, EMS, SMS, GPMS, CFP, WFP, GHG Verification and GHG Validation Lead Auditors and experience on the SRA Assurance service provisions.

FINDINGS AND CONCLUSIONS

ASSURANCE OPINION

On the basis of the methodology described and the assurance work performed, we are satisfied that the specified performance information included in the scope of assurance is accurate, reliable, has been fairly stated and has been prepared, in all material respects, in accordance with the AA1000 AccountAbility Principles (2018).

We believe that the organisation has chosen an appropriate level of assurance for this stage in their reporting.

ADHERENCE TO AA1000 ACCOUNTABILITY PRINCIPLES (2018)

INCLUSIVITY

VIS has demonstrated a good commitment to stakeholder inclusivity and stakeholder engagement. A variety of engagement efforts such as survey and communication to employees, customers, investors, suppliers, and other stakeholders are implemented to underpin the organization's understanding of stakeholder concerns. For future reporting, VIS may proactively consider having more direct two-ways involvement of stakeholders during future engagement.

MATERIALITY

VIS has established effective processes for determining issues that are material to the business. Formal review has identified stakeholders and those issues that are material to each group and the report addresses these at an appropriate level to reflect their importance and priority to these stakeholders.

RESPONSIVENESS

The report includes coverage given to stakeholder engagement and channels for stakeholder feedback.

IMPACT

VIS has demonstrated a process on identify and fairly represented impacts that encompass a range of environmental, social and governance topics from wide range of sources, such as activities, policies, programs, decisions and products and services, as well as any related performance. Measurement and evaluation of its impacts related to material topic were in place at target setting with combination of qualitative and quantitative measurements.

QUALITY AND RELIABILITY OF SPECIFIED PERFORMANCE INFORMATION

On the basis of the verification work performed, we checked VIS' minutes of meetings, management documents, ERP and E-learning system reports, ISO certifications and so on. We have confidence that the specified performance information included in the scope of assurance is reliable at a moderate level of scrutiny for VIS and at a moderate level of scrutiny for its subsidiaries.

ADHERENCE TO GRI

The report, VIS' Sustainability Report of 2024, is reporting in accordance with the GRI Universal Standards 2021. The significant impacts were assessed and disclosed in accordance with the guidance defined in GRI 3: Material Topic 2021 and the relevant 200/300/400 series Topic Standard related to the material topics claimed in the GRI content index. The report has properly disclosed information related to VIS' contributions to sustainability development. For future reporting, it is recommended VIS to continually take the leadership in disclosing more extensive and insightful information to foster greater transparency and comparability with international benchmarks.

ADHERENCE TO TCFD

Based on the assurance methodology performed, no systematic errors were detected, and SGS is satisfied that VIS has met the requirements of TCFD. The actual and potential impacts of climate-related risks and opportunities has been considered and identified over the relevant short-, medium-, and long-term time horizons. The resilience of VIS' strategy was taking into consideration with different climate-related scenarios including RCP2.6, SSP5-8.5, IEA NZE 2050, SDS and Stated Policies Scenario, STEPS scenarios. The scope1, scope 2 and scope 3 greenhouses gas (GHG) emissions inventory has been conducted and verified annually. The metrics have been used by VIS to manage climate-related risks and opportunities and performance against targets. As a leading enterprise, it is recommended that VIS to improve its climate and nature related Governance, Strategy, Risk Management, Metrics and Targets continuously.

Signed:
For and on behalf of SGS Taiwan Ltd.

AA1000 Licensed Report 000-8/V3-XBYJG

Stephen Pao
Business Assurance Director
Taipei, Taiwan
14 July, 2025
WWW.SGS.COM

TWLPP 5008 Issue 2502

VIS 世界先進

Vanguard International Semiconductor Corporation Sustainability Report